

Asian Paints Ltd. (ASIANPAINT)

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29th July, 2022

BSE

Limited National Stock Exchange of India Limited

Corporate Relationship Department Exchange Plaza, Plot No. C/1,

Phiroze Jeejeebhoy Towers, Block G, Bandra – Kurla Complex,

25th Floor, Dalal Street, Bandra (East),

Fort, Mumbai – 400 001 Mumbai – 400 051

Scrip Code: 500820 Symbol: ASIANPAINT

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ub: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Investor Call

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ease find enclosed the transcript of the investor call held on 26th July, 2022 , with regard s to the financial results of the Company for the quarter ended 30th June, 2022 .

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he transcript has also been uploaded on the Company's website and can be accessed through the following link :

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This is for your information and records .

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ours truly,

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or ASIAN PAINTS LIMITED

R. J. J

EYAMURUGAN

CFO & COMPANY SECRETARY

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"Asian Paints Q1 FY2023 Earnings Conference Call"

July 26, 2022

Management : Mr. Amit Syngle : MD & CEO

Mr. R.J. Jeyamurugan : CFO & Company Secretary

Mr. Parag Rane : GM – Finance

Mr. Arun Nair : Manager - Corporate Communications

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Arun Nair : Good Evening and a v ery warm welcome to one and all for the Asian Paints investor conference for Q1 FY 2023 results . Today in the panel we have Mr . Amit S yngle, MD & CEO. We have Mr . R.J. Jeyam uragan , CFO and Company Secretary and we have Mr. Parag Rane , GM - Finance .
May I now request Mr. Amit Syngle to take you all through the presentation , Mr. Amit Syngle over to you.

Amit Syngle : Good evening and welcome to the investor conference for the Quarter One financial year 2023 .

First of all , just to reiterate that at Asian Paints we have been delivering joy since 1942 we exist to beautify preserve transform all spaces and objects bringing happiness to the world and that's the key kind of objective which we have been kind of following for deca des.

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Coming straight to the results , the results have been quite exceptional as you can see the overall Quarter has gone off quite well in terms of the overall performance which is the re. The total volume growth for the Quarter is 37% , which is one of the highest volume growth , which we have seen in the last 6 Quarters so to say . We have a value growth which is also 59% which is a ided by both a better mix as well as the price increases which we have taken in Q3 and Q4 earlier to that ex tent which is the realization which we are getting , The good thing is that when we compare it with the normal year which is the FY 19-20 which was the pre -covid year , so that you can see in the four year CAGR , both volume and value CAG R has have been clearly 20% , which clearly shows that this is a very very healthy overall growth which we have been able to get and it is just not over a lower base to that extent and this has been the consistent strategy of the c ompany in terms of driving the top line in a very strong manner and that is what you see the results coming out for you .

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I just referred to this . So, if you see consistent kind of overall growth s, which you kind of see, you can look at the overall doub le digit volume trend which is coming in , in terms of this overall the percentage represents the CAGR numbers which you are seeing overall . So consistent volume growth , which is coming, and I would say that in a scenario which is currently there , getting a volume growth is a very clear indicator in terms of possibly a good performance which the organization is putting forward as we kind of go forward .

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Coming to some of the details of the overall performance one thing which we have been seeing in Quarter One which is a trend which is continuing for Quarter Four is that the T1 , T2 centers continue to grow faster than the T 3, T4 centers. The economy range is also leading the growth in T3, T4 centers but the Prelux which is the premium and luxury range is growing very well in T1, T 2 centers giving us a very better mix to that extent , but clearly what we are s eeing is that in T3 , T4 centers , given the price increases which have taken place there is a little bit of a down trading which is happening tow ards the economy products where is the growth coming in in some of th ose cente rs there . The other great thing which we see is that the Projects Institutional business is on a very strong trajectory . We are seeing growth s coming from the Builder construction segment in a big way , we are also seen from the whole area of the Government spending on infra projects and the factory segments and therefore it also continues to nudge o ur entire growth in waterproofing and construction chemicals in a very big way overall , and this is something which we see geographically across the country to that extent and that is why we would say that this seems t o be a fairly strong trend which we think will continue .

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When you look at overall from the point of view of our newer categories of waterproofing

and adhesives, both have been growing at exponential rates for the last few Quarters, as we see as it is in the case in this Quarter. Overall, the distribution footprint which we have been kind of telling you all about earlier is expanding at a fairly staggering rate and we have added more than about 5000 retailing points in Quarter One itself which is itself a fairly big number in terms of the way it is. The other big parameter which Asian Paints is using going forward is innovation and when we say innovation this is innovation based on patents. Patents which have been commercialized and therefore we have launched about 10 new products in Quarter One. So today if we see that in the entire market, we have close to about 40 unique products which almost no competition has and almost about 300 unique finishes as far as textures and finishes which kind of come in and that's the kind of innovation which we are continuing, which we think is very difficult for any other competitor to match as you kind of go ahead.

Just to give you a glimpse, if you see some of these products which have come are by itself very strong products. We are launching an anti-insect enamel, there is 'Advanced PU'

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Enamel. PU is the latest technology at the high end. We are launching high-quality, high end 'Glitz Matt' product, which is there, and we are launching a full collection which is called the 'Luxe Collection', which is coming in 'Royal e Play'.

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Some glimpses of the finishes, the finishes just look brilliant, and this is really the gateway of the world which we are trying of getting to India. In terms of the kind of finishes which look like Granite and are really very amazing and they can be done with stenciling as well. So, I think some amazing kind of standout products especially at the top end luxury end and the premium end in terms of what we are kind of taking out.

So, when we come to the home decor business; In this business what we are seeing is again as we are saying a lot of strides have been made overall. So, this is a business just for your information, we are moving from the 'share of surface' to the 'share of space' within the home. So, it is a transition from saying not only on the four walls but between the four walls and if you look at one of the areas which we have looked at propagating this decor is our 'Beautiful Home s Stores' which is decor under one roof, where we offer a range of categories kitchen, bath, sanitary, lighting, tiles, flooring, etc. And overall, we have about 31 Stores operational across the country. We also have a service which we call as the 'Beautiful Home Service', which is there where we offer a personalized interior design and I think this is something which has been growing at a very strong pace and got

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traction. It is offered in about nine cities. We are adding a lot of ranges in categories to our Home Decor proposition, we have added now 'Rugs' as a proposition which has come to our overall decor portfolio and aligned with the organization called 'Jaipur Rugs' there and we seems to be, we are inspiring the entire model through a central digital engine which is called the beautifulhomes.com. So digital is a very strong part of this fore, which also takes into the whole area of the Gen Z and the millennial crowd which kind of comes in a very strong way as we kind of go forward.

We see the Kitchen and the Bath business - Again both businesses in Quarter One has been doing extremely well.

The kitchen business has grown by a staggering 66%, they locked in more than Rs. 100 crores of business, Rs. 111 crores in the kitchen and they lowered the losses which were there previously. The losses were due to inflation which we saw in Q1 to that extent and that is why a small loss which has come, which we are confident that as we go forward this will get really turned into profits.

If you look at Bath, again a staggering growth very healthy growth of 116% of total business of close to about Rs. 119 crores over a base of Rs. 55 crores. These are very strong bases as well as what we see, and I think as in the last two Quarters we have seen good profitability have started to come in. We did about PBT of about Rs. 5 crores in Bath business, where we saw lesser of inflation from some of the core of raw material which kind of come into the overall effect.

So, I think both businesses have now comfortably started crossing the Rs. 100 crores mark strongly; and we have told you earlier we are putting up a new plant in Pune which should be kind of operational by Q4 of this financial year as we kind of go ahead. So, this is a business to really look out for in terms of going forward.

Our recent acquisitions, which are there, both have done extremely well in the 1st Quarter we took on 'Weatherseal', which was into UPVC windows and doors overall and this is something which in Quarter One has done also quite well overall and we are growing towards a strong number which we will deliver this year in terms of the overall

space of UPVC windows and doors and we are making a lot of investments to take this distribution forward as we kind of go ahead.

'White Teak' is the other acquisition which we had done. The business has done extremely well in the 1st Quarter by maintaining the same gross margins and the EBITDA margins and overall, it's a Rs. 20 crores business in Quarter One against a full year last year of Rs. 57 crores. So clearly a business which is growing and strongly growing. So, the overall home décor, we feel as a foray has been very strong in Q1, and this will continue to grow given the higher focus which the organization is putting in this direction.

Overall coming to AP global business, you see the footprint across various countries outside India. The representation is across Asia, Middle East, Africa, in terms of what you see and in South Pacific.

So when we look at the performance here, again a clear double digit performance coming in global overall when we see and this is aided by still the fact that we were able to kind of drive certain price increases in the last Quarter and even in this Quarter to that extent despite challenging situations which we have seen in several countries. You are all aware of what's happening in Sri Lanka and we've facing some headwinds with respect to forex; even with respect to Egypt in a strong way; but overall if you see all geographies, Africa has grown by about 8%, Middle East by about 10%, Asia is something which is aided by Nepal and Bangladesh in a strong way by about 24% overall and the good part is that we have started realizing good PBTs this year. Last year was not so good, because of very high inflation and overall PBT which we have been able to drive is pretty good in terms of what we have been able to do this year about Rs. 38 crores against Rs. 11 crores of loss last year. So, I think that is something which is given as a very strong overall performance as far as the consolidated results go.

If you look at the Industrial business, just to remind everyone, we are both in General Industrial (GI) and Auto OE business separately through two JVs which are there.

If I look at the performances, the PPG-AP JV, which looks at Auto OE largely and Refinishes overall; this JV has done also quite well overall bring it about 63% given the fact that auto industry has started recovering quite a bit after the chip shortage which we saw last year in across the Quarters to that extent. Given that recovery, we have seen a strong return in the auto OE business overall and if you look at even the Refinishes business that has

also done quite well and therefore against a last year Rs. (-)6 crores of loss we are looking at almost about a Rs. 30 crores kind of a profit coming here to that extent and that is something which has really propelled the business forward .

The other JV which is there AP-PPG, which we call as a General Industrial has been consistently kind of growing over the last 8 Quarters , as I see and they have done a staggering growth of almost about 56% on a very big base of last year as well to that extent and more importantly they continue to kind of deliver fairly healthy profits which is there and overall whether it is the whole area of Protective paints or in terms of Powder Coatings the overall business has been pretty good . So, in all Industrial business has done also very well like the other businesses like I have showed you .

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So, if you look at from the gross margins , just for your information if we compare with obviously the margins position overall , if you look at sequential , yes the margins have come down and bit from 39.7 to 37.9 because we saw almost a 6% inflation in Quarter One over Quarter Four and despite the fact that we had taken 2% price increases during the Quarter , definitely the inflation was out far outstripping . We needed to balance the overall price increase in the market so that the price elasticity should remain to that extent in terms of the overall position and that is why we took a slightly balance price increase overall . When you compare it with a n equivalent Quarter of last year which is Q1 of financial year 2022, that is also was about 38.9 so we were a percentage lower as far as overall the gross margin picture is concerned .

As you kind of go forward , despite all this when you look at the Standalone financials , it is very clear that the performance has been v ery strong . You have a Net Sales growing at about 60% , you have a gross margin growth of about 55% at an absolute level , the P BDIT is also about 65% growth , PBT is 73% and PAT accordingly is it about 71% . But the good thing obviously is that the P BDIT ma rgin has improved from 18.7 in Quarter One of last

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year to 19.4 in the Quarter One of the current year , and that is something which is a very strong effort which has gone into cost optimization, efficiency measures which we have kind of taken despite the higher inflation in the gross margins being lower to that extent and that is something which has been a very strong zone in terms of what we have kind of look ed at. S o I think that's a good trend in terms of what we see in terms of the P BDIT margins improving and that is what we hope to kind of retain as we kind of go forward .

Coming to the overall Consolidated financials , so overall when we see , here again the standalone topline was slightly better than the other businesses and that is why the overall net sales here is about a 55% gain , but if you look at from the point of view of both PBDIT and PBT , it is clear that you know the other businesses because of AP global doing quite well compared to last year , the growths are much higher here in terms of 70% and 84% which you clearly see in terms of what has been delivered overall . Even the P BDIT margins have improved by 1.6% over the Quarter One of last year . So overall I think all businesses doing quite well , fairly healthy numbers in terms of what we are seeing , and I think that is something which is propelling the overall growth of the company .

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I'm sure you are looking at finding out what is ou r outlook . I think as we go ahead , we are seeing demand conditions being stable as I said that the consumers sentiment in this Quarter was also quite good . Overall , we see fairly okay grow ths in rural and urban markets to continue . W e are focus ed on delivering topline is something which is very strong , and this focus will continue , and we will keep on focusing on both volume and value coming across because that is something which is one of the clear objec tives which the organization wants to drive .

Overall, when we see the advance in monsoon has been quite good . Overall , some small deficits here and there but we feel that the overall monsoon should be normal , and I think

that will have a good sentiment in T3, T4 and the demands in T3, T4 cities should improve further as we kind of see. Yes, inflation is a big worry at the moment because while inflation stabilized in Quarter Four, we again saw resurgence in Quarter One. I think the overall macro environment situations are again very unpredictable as it kind of looks. Over and above the rupee depreciation is also a cause of worry. So in all I think the

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inflation is a cause of worry in terms of what we need to kind of watch out for and demand is not that

much of an issue as we kind of see and especially when we look at the disturbances which are happening in some of the key markets and the forex changes, I think Sri Lanka, Bangladesh, Ethiopia and Egypt are facing some headwinds and that is something which we will have to take into stride; but overall, I think the directions seems to be good, we seem to have left Covid behind and therefore I think the situation appears really good in terms of overall growth as we look forward.

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Just a bit on in terms of our whole ESG initiative which is all about our sustainable journey which is part of our Asian Paints charter. We looked at various areas in terms of Environment, Social and Governance and you can see these areas right up there which we follow very stringently and which would have read in our the annual report which came out this year. If you look at some of the benchmarks and the landmarks which we have been able to achieve are very strong so whether it is the case of water replenishment, whether it is the case of the whole area of RE which is the electricity which we are able to kind of generate or it is about effluent reduction or it is the hazardous waste disposal, all areas have been very stringently kind of taken. We have been working on with the Green Pro certification for almost 187 of our products and that's something which is a good achievement and in the Social area, we continue in terms of the work which we have done last year. You know about 3,75,00 trainings which we have been able to impart and almost about 2,70,000 beneficiaries of the health initiatives which we have kind of taken. So, a very strong body of work which is happening in all these areas which are there.

That's all from us and thank you so much and we are now ready for your questions. Thank you.

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Moderator: Good evening everyone. Request all participants to kindly rename yourself with your name and company name. Today we have participants joining on zoom video platform and also via tele calling platform. Requesting all participants joined via zoom video platform, please use the raise hand feature to ask a question to the panelist. Kindly unmute when given a chance to ask a question. Please say your name and company name before asking questions. Participants connecting via zoom video platform can post their question on the chat box to and we will ask on your behalf. Participants joined through toll-free numbers, please press *1 to ask questions to the panelist. Please say your name and company name before asking your questions.

We now have our first caller online with us via zoom. Mr. Abneesh Roy (Edelweiss Securities), Request you to unmute yourself and ask your question.

Abneesh Roy: Yeah thanks, the first question is on White Teak, so looking very sharp number versus the full year. So, is there a seasonality here and is the growth coming because of the addition of the distribution or is it because it is doing well on its own?

Amit Syngle: So, we have used multiple areas to kind of take the White Teak business on. One of the company owned stores, we are increasing the company owned stores from their current number to of 10 to further stores and some numbers have already got increased. We have also introduced White Teak in our Beautiful Homes stores which are total 31 stores now to that extent and we have now expanded the whole design and the range which we are offering in White Teak. Some very good work which has happened in all that space, so we think this business which we are gaining getting is more because the

fact that there is a larger distribution now available . People have more access at the same Q&A

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time we are also focusing in terms of looking at getting more and more customers to the virtual site so that we can get more leads .

Abneesh Roy: Sure, my second question is on AP -PPG, so 19% revenue CAGR. I don't think the industry would be growing at this level, so if you could elaborate who are you gaining market share from, and then in which industry segment have you gained .

Amit Syngle: So there are two segments , or the three segments which we have done extremely well . One is the segment of Powder coating where we have been able to kind of really get very very good business from the medium sized industries with in the area of fans , helmets and so on and so forth which are there to that extent and this business has been really growing at exponential growths overall in terms of what we see and we are getting a higher selling prices as well to that extent in terms of the realizations which are there . The second business is the Protective paint business which again , we have been able to focus on the oil and gas sector and some other sectors which are there to that extent where we have got good sales coming in and the third area is the whole area of Road Markings and Flooring . This third areas also kind of grown very strongly with us . We feel that largely as we see, we would have gained from the organized players in this market in a very strong manner and this is something which is a strong trajectory basis superior products , good quality and good servicing .

Moderator: Thank you sir , we now have our next caller online , Mr. Avi Mehta (Macquarie) who is online with us via zoom . Sir, please unmute yourself and ask your question.

Avi Mehta : Hi Sir, thanks for the opportunity . I just wanted to ask on the margin front , you know if you could give us a sense on your outlook on the input cost environment especially given the almost 10% odd correction that we've see recently in titanium dioxide price

in China and a related question would it be fair to read your outlook comments as

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one, Q1 being the bottom of gross margin and we steadily recovering probably in the second half to 40-42% reach ? Thank you .

Amit Syngle: So, when we see the overall environment , I think the volatility continues . I referred in my presentation that Q4 saw 1% and that point of time we thought that was the last of the inflation which we were seeing . To be surprised by Quarter One where we saw 6% kind of inflation coming and that also on the talk of recession happening in the world and overall prices are coming down over to that extent . So, I think this entire area will continue to be little bit volatile as we kind of go and see forward because while at this moment we are seeing crude coming down , we are still seeing inflation in prices of crude and prices of some of our additives and so and so forth which are there to do this thing and especially a very high rise coming with respect to our solvent based raw materials which are there to that extent . So, as I see it , I think even in Quarter Two we are expecting some inflation to kind of continue to that extent and I don't think so we should be able to reach that kind of a level till point of time .

While we are taking price increases , we have announced another price increase of about 0.5% in Quarter Two and we will take further calibrated price increases going forward , but I think we are not in a situation where the environment is stable and I think the inflationary kind of environment will continue , but, I think the company by focusing with respect to its initiatives on sourcing formulation and cost efficiencies would kind of really see that we are able to deliver good topline growths at the same time good PBDIT margins.

Avi Mehta: Sir, then this just the other bit on continuing with that theme that you expect volatile input cost , would you see signs , are you concerned about decorative demand weakness creeping in because of this inflationary scenario or is the near term commentary still remaining especially July for example to be bullish, that's all from my

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side. And last before I mean if I don't get a chance sir, I wish you get well soon, I could see the hand, that's all. Thank you very much sir!

Amit Syngle: No, thank you for the concern . Over all what we see very clearly is that you know the consumer demand is definitely is a concern which is there in our mind ; but you know what we have seen in Quarter One that after taking almost about an increase of anywhere between 25% to about 28% you know, consumer demand we have been able to really kind of see that the demand is there , the marriage season is quite big for us and that is something which seems to be continuing . There seems to be obviously a pent-up demand for the last two years of Covid whatever you say in the market , Overall , the housing sector is kind of I would say booming overall . There are lot of real estate market is going the construction market is also up in terms of this thing , government spending on infra is up. Given all this what we are seeing we are also trying to balance our price increases as we said and we are taking very measured increases to that extent , so we don't upset the consumer demand going forward . So, I think you're pretty hopeful that in this balancing act as a kind of go forward , while the environment will remain inflationary, we will try to pass minimum kind of increases as far as the customer is concerned and would focus clearly on consumer demand being there in the market because we would really like to drive the top end of the market in a big way .

Avi Mehta: Thank you very much !

Moderator: Thank you sir , we would request everyone to limit your questions to 2 max . We now have our next caller online , Mr. Mihir Shah (Nomura) , v

ia teleconferencing .

Request you to unmute yourself and ask your question please .

Mihir Shah: Thank you for taking my question and congrats on a strong set of results. Sir I just wanted to check with you is there any one-off in sales or any case of inventory fill-up at the dealer end, as in you know when 4Q was there, they didn't have purchased as

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much, so they had to purchase more than normal in the 1st Quarter , so that's one. And a supplementary to that is, if you see the KL volumes told in this Quarter, is it a sustainable one for the remaining part of year ? Because historically you know we have seen 1Q sales in normal years to be one of the lower versus the other Quarters . So, assuming if you have done this, you know very large part of KL sales in this quarter, you know you should do much more than what you have done this Quarter in the remaining part of the year, so that's my first question.

Amit Syngle: Okay, so as we see it you know going forward , we see that you know the kind of sales which we have been able to get even in terms of the volume level overall I think has been quite good . There is no excess stocking in the market which we see very clearly because at Asian Paints I think we believe that you know the turnover of inventory at the retailers end is very important and we should not be really looking at very high inventory levels at the retailers and I think that is why possibly , we focus on servicing so much so I think it is very clear that there is no increase of inventory at the retailers end which is kind of gone ahead and typically what happens is that July and August are the months of stocking which really happens depending on what time is the Diwali to that extent and therefore I think it is devoid of any kind of inventory dumping which are there to that extent . Overall , what we see is that Quarter One if you look at from a CAGR perspective , I think is about a 20% volume growth from 2019-20 which is there and I think going forward , other Quarters we are also looking at saying that we can maintain a double digit kind of CAGR s over the normal year which is there , is what is the kind of approach we will have it will all depend in terms of how consumers demand pans out and how possibly the B 2B business also kind of really grows overall . So, to that extent I think you know overall if everything goes well , it should be a good growth across the Quarters as we see forward .

Mihir Shah: Thank you sir , my second question is on margin how should one think about margins? Can one say the margins have bottomed in the 1st Quarter, you know I

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understand the you know single digit inflation that you see, but the price increase should ideally make up for that, so that's you know one and margin should improve from 1st Quarter onwards and secondly, on current margin structure that we have, its quite far from the long period average of about 43 odd per cent. I am talking about gross margins, so do you see margins going back to those levels or this would be a new normalized margin band that the company is working with?

Amit Syngle: So overall as far as gross margins is concerned the entire index totally depends on the inflation going forward okay . So, I think we're calibrating a price increases accordingly to that extent and we are taking price increases only if it becomes a very clear indicator to us that we need to kind of take a price increase to kind of push up the margins to that extent . I feel that the overall gross margin range for some time might be in the band of about 38 -40, as I see it I don't see it kind of really going up to 40 -43 levels immediately to that extent . I think we are sometime away from that as you kind of go forward till the time we see that the macro situation is improved and we are in a normal kind of a situation , crude comes down , raw material

is kind of soft en, I think we are little bit far away from that but I think currently we should kind of leave it in that band of maybe 30-40.5 kind of overall gross margin band.

Mihir Shah: Got it, thank you so much and lastly you know if I can ask on bookkeeping on capex and wish you a speedy recovery sir, that's all from my side.

Amit Syngle: Okay, on capex what is the specific query?

Mihir Shah: So, what is the capex outlay that we have planned for this year and next year?

Amit Syngle: You want to answer that?

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Parag Rane : Yeah , so for the year we are putting a number of close to about Rs. 800 odd crores from capital outlay point of view, most of it going to our brownfield capital expansions .

Mihir Shah: Thank you Parag and wish you a speedy recovery sir, thank you so much.

Amit Syngle: Thank you.

Moderator: Thank you sir we now have our next caller online , Mr. Richard Liu (JM Financial) , who is online with us via zoom . Please unmute yourself and ask your question sir.

Richard Liu: Hi good evening, can you all hear me?

Amit Syngle: Yes, we can hear you.

Richard Liu: Thank you. Sir ...

Amit Syngle: Sorry, sorry your voice is coming . Some echo is there in your voice can you go away from your speaker and speak possibly?

Richard Liu: Okay, is this better?

Amit Syngle: Yeah, little better, yeah.

Richard Liu: Okay, so I was asking about you know what you mentioned about in the outlook slide, that Q2 inflation estimated to be in low single digits. Is this y-o-y or q-o-q.

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Amit Syngle: Okay, so see overall inflation which we were talking of was first of all, we said that if you see Q1 from Q4 was about a 6% kind of an increase in terms of what we saw. In Q4 we saw about 1% increase compared to a Q3 which was there overall to that

extent and overall , what we have seen is increase of almost about close to about 34% overall in terms of what you have seen as inflation from Q4 of last year .

Parag Rane: On your question about Q2 , yes, we have indicated a single digit kind of inflation on Q2 over Q1 current year . Y-o-y would still be in the region of about 25 odd percent , because we had a steep inflation coming in Q3 of last year .

Richard Li u: Parag, if I look at the headline numbers for Ti O2 and Crude ...

Parag Rane: Richard, I think we are losing you in between , but I would still try to answer it. So, while we are saying that T iO2 and other things have softened to an extent, but in our sort of raw material basket what we are seeing is including T iO2 and while crude has dropped a bit of the solvent category has moved up quite significantly , we saw that kind of inflation hitting us even in Q1 of current year . So really the linkage between crude prices the headline c rude prices coming off and some of our consumption prices not showing that kind of a trend, I think that still exists. So, we sort of live with that as we go forward.

Richard Li u: No Parag , I am talk ing the other way round, I am saying that the headline inflation is actually more than ...

Amit Syngle: No, overall see there is always you know the I ag in terms of the overall prices in terms of what we see so currently in terms of whatever softening whi ch you have seen which is there possibly that is indicative of some kind of a lower inflation as we have seen in Q1 over Q4 to that extent . So, I think , what we are saying definitely is that yes there is softening in terms of the overall level , but the inflation is still there to that extent

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in terms of what we are calculating . So, I don't think so you should go by the general overall parameters which we are seen in t erms of, what we are saying that there is a 6% inflation and rutile being a very strong contributor in terms of the overall raw m aterial , you could link that a large part of inflation is also coming from rutile.

Richard Li u: If I go by the fact that you know we are talking about mid-single digi t inflation and your incremental price increase is about 0.5% .

Amit Syngle: About 2 % in Quarter 1 .

Richard Li u: No, in July .

Amit Syngle: Okay .

Richard Li u: Right, so we are talking about a 6%, a low single digit raw material inflation. Are you saying you r gross margins in Q2 will be lower than Q1?

Amit Syngle: So, see the Quarter 2 is still not over in terms of what is going on so we are still kind of monitoring the situation so when we say that we are expecting a lower digit inflation number , we still don't know whether it is going to be at about 1% , 1.5% or 2% kind of a zone . We are estimating all that and the re could be depe nding on what is the kind of inflation , what is the kind of other efficiencies we are getting , we might take more calibrated price increases as we go for ward.

Richard Li u: Okay, okay and second is White Teak turnover of Rs. 20 crore s that is included of consolidated results of this Quarter?

Amit Syngle: That includes what? Sorry?

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Richard Liu: The White Teak sales of Rs. 20 crore s, that's a part of the consolidated sales

Parag Rane : No Richard . So, in White Teak we have a 49% stake Richard , so from a top line perspective it doesn't really get consolidated , but the profit gets consolidate d in our

overall profit s.

Richard Liu: I think that's a part of the associates...

Parag Rane : Correct , correct .

Richard Liu: Okay, got it. Thank you very much, I wish you all the best.

Amit Syngle: Thank You.

Moderator: Thank you sir , we now have Ms. Latika Chopra (JP Morgan) who is online with us through zoom . Please unmute yourself and ask your question.

Latika Chopra: Thank you so much for the opportunity my first question was on the B2B business you know, this has been growing quite strongly for you . So, if you could share , you know , what is the sales of B2B revenues in your standalone decorative business and is there a very big difference in the 4-year CAGR that you shared between B 2C and B2B that was the first question ; and the second question was again just trying to understand the strong demand better . Any thoughts on you know it seems your market share gains have probably accelerated in the last few Quarters . How much of this will you attribute to distribution expansion you know in semi urban, rural areas ? any thoughts there? thank you.

Amit Syngle: So, first of all , if you look at the entire B2B business . Today I think the business varies from anywhere between 15 -20% of the total business in terms of what we

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do in terms of the contribution which kind of comes in and today the business is something which is very well distributed across the country and it comes from various segments , so whether it is the builder or the construction segment which is largely there or it comes from the cooperative housing societies or it is from the direct sales to factories and government and so on so forth to that extent . So overall this business has been growing overall fairly well for us to that extent and largely I think here the key point has been the quality of our products , the propositions what we are able to offer to the various segments and also along with us the entire waterproofing business , we have been able to really give a very very strong proposition to the market in terms of looking at the overall project sales doing extremely well for us overall . So that 's I think the key reason in terms of why the overall project has been growing at a very strong clip. sorry, what was the second question ?

Latika Chopra: Yeah sorry, okay my second question was basically on some flavor on the distribution reach increase .

Amit Syngle: Yeah, okay . So what we see is that over a

ll there has been good performance

due to a virtue of not many reasons one reason what I would say is that overall the brand has done quite well . We have been spending huge amount of money on the marketing in terms of furthering the corporate trend and also looking at in terms of various strong propositions which kind of come in and I think , today we have a decent spend with respect to even the digital in terms of what we are doing in terms of getting the new age customer in a very strong manner . As far as distribution goes , we have been expanding the network very aggressively for years to that extent and I think we have just looked at putting a little bit more aggression on that in the last about 2 -3 years to that extent and overall we feel that , that is an inherent part of our overall strategy in terms of looking at saying that we could kind of reach to every part of the growing country the way India is to that extent . So, I would say that we can't figure out only one factor that it is just because of distribution that today we are doing better , but I think it is a combination of

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factors in terms of looking at better products , innovative products , good marketing , good servicing and the extension of our retailers across the country .

Latika Chopra: Thank you , thank you so much .

Moderator: Thank you we now have Mr. Shrenik Bachhawat (LIC Mutual Fund) through zoom . Request you to unmute yourself and ask your question please .

Shrenik Bachhawat : Hi sir, thanks for the opportunity. My first question is, I would like to understand if there is any major change in the product mix in this Quarter versus the last 2-3 Quarters for us?

Amit Syngle: So, overall , the product mix was much better as we saw it and we had a good quantity of overall emulsions which sold better in terms of mix and these emulsions were both from the economy segment as well as from the premium and the luxury segment in terms of what we were able to do . We also sold good quality of premium and luxury products as far as our overall waterproofing and wood finishes business go. So overall, I would say the product mix was much better.

Shrenik Bachhawat : And sir, is there any specific geography which has been doing very good for us recently and if we take for a longer -term perspective for the next 5 to 10 years, what do we take as a volume CAGR target for our company?

Amit Syngle: So overall, if you look at from a geographical variation when you are growing at almost 50 -60% , I think all geographies has grown very well for us . I can only say that specifically if I look at the geographies of West and South in Quarter One, they have kind of done possible incrementally much better in terms of what we were kind of see overall . As far as the overall , you know today any organization would like to pursue , we would obviously like to pursue very healthy volume growth going forward because that is a

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strong indicator of how the organization is going forward and we are definitely looking at saying that one of the areas we want to kind of continue to kind of keep on looking at double digit volume growth .

Shrenik Bachhawat: Thank You so much sir.

Moderator: Thank you, we now have Mr Tejas h Shah (Spark Capital) through zoom . Request you to unmute yourself and ask your question please .

Tejash Shah: Hi, thanks for the opportunity and congrats on very good set of numbers . Sir couple of questions on first of this extension of an earlier question on dealer additions . So, 5000 dealer addition in a Quarter is a very robust number . Just wanted to get some sense on profile of the se dealers , are they part of the industry , and we are gaining market share against existing brands in the dealership networks or are they virgin dealers getting into the industry from some other larger basket of ho

me building or other adjacent industries ?

Amit Syngle: So overall , you know , when as Asian Paints we look at the entire distribution network , we look at all kind of retailers because today we are dealing with the retailers who are into hardware, we are dealing who are in to electrical s. We deal with people who are in cement and steel. We deal with the people who are in PVC pipes and so and so forth or are in other building material stores to that extent or even our plywood dealers and so and so forth because today it is very difficult to define that you know a retailer will deal in only one category . Normally what we are seeing is that retailers tend to kind of get into multiple categories , if they are in the whole area of building to that extent and therefore what we keep on exploring is that actually opening retailers more from the point of view of reach to the consumers . So, we look at clear clusters which are coming up where possibly our reach to be better this could be in the existing cities, it could be in the suburbs , it would be in the newer towns be in some of the upcountry low population

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towns to that extent and I think the overall range is pretty wide in terms of what we look at. The idea is very clear that as Asian Paints we should be able to give him a profitable kind of venture which kind of really leverages his whole business and kind of really drives us towards growth . So, I think we look at all type of retailers in terms of a choice of extending the distribution.

Tejash Shah: Sir, second question pertains to our 'share of wall' to 'share of space' vision. Now historically lifestyle categories brand, successful brands have not been created without either controlling the retail experience which is retail network or controlling the back end – which is manufacturing. So as of now, our model seems to be devoid or rather not committing capital to either end so as we need to plan for next 5-10 years how are we thinking about this evolution in our business model.

Amit Syngle: Actually, contrary to what you are saying, we are focusing on both the end. We have all the businesses we have gotten to our own manufacturing be it kitchen, be it bath, be it, lighting, be it in terms of no windows and doors, or it is in terms of furnishing to that extent and therefore it is all coming from in-house in terms of what we are making, either it is in terms of acquisition or it is in terms of some alignment which we have done kind of a thing so we are able to control quality, we are able to control design and therefore that is a very strong strength which we have acquired and at the front-end, I think today no other player gives a kind of inspiration and experience as we give to the consumers because we operate through about 31 Beautiful Home stores which are there today across the country. These are state of the art stores and comparable to any international store which you will find in Singapore, Paris or London to that extent. It is totally digital which has a digital journey which kind of comes in, visualization is excellent it is based on 3D and 4D models which are there, and we also offer an execution service which is like a BHS which is there to that extent. So, I think we are offering the customer right from very strong product, which is manufactured in-house, designed by us to an

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experience which is really exemplary which works out so I think we are working on everything in terms of what possibly is right in the category.

Tejash Shah: Thanks, and all the best.

Moderator: Thank you sir, we would now request all participants to introduce ourselves with your name and your company name before asking questions. We now have a next caller Mr. Alok Shah (Ambit Capital) who is with us via teleconferencing.

Alok Shah: Yeah, thank you

and Sir congrats on the good performance. Sir my first question is actually an extension to what Tejash had just asked, so my question is you know at the current juncture, the hardware stores, the PVC pipes, etc. So, they would potentially may not be keeping any paint brands, but in that vicinity, you would already have some dealers, etc. who would be servicing the paint or which is absolutely new geographies that Asian Paints is stepping through this channel, and second question is how is the servicing to this channel of hardware store, etc. happening in terms of the different assortments or the different SKU's that you have.

Amit Syngle: So, I couldn't understand the second part of your question what is the assortment of what they're having at the hardware stores?

Alok Shah: No, so the second question was in terms of the servicing, because I understand they would not be having the tinting machine given the space constraint etc. So how is it that the servicing to those stores happening currently?

Amit Syngle: So, I must say that possibly I think you should take a round of some of the towns and cities to understand how the stores are first of all, but, I think overall when we look at from a point of view of our distribution strategy, we are very clear that we approach the whole strategy in form of a cluster. So if there is already in existing retailer

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who's there we will take care in terms of that we are not really opening someone right next to kind of compete with the retailer to that extent and therefore what we clearly said we look at is we look at extension of suburbs in the existing cities, newer towns which are kind of coming up and really look at clear clusters where possibly our customer reach might not be very good to that extent and therefore we have no problems in terms of looking at possibly a certain reach in terms of what we are able to get. Secondly the stores are not small and in fact if you keep on going deeper into the country, the stores get bigger the stores are only small in cities like Bombay and Delhi, where the real estate

is of a very strong value . As you kind of keep on going in smaller towns you will find people able to offer you even 2000 -3000 Square feet of space which is available and tinting machine doesn't occupy much of a space to that extent and therefore we try that with most of our openings , we try to give them tinting machine so that they get a flavor of tinting and they are able to kind of supply to their customers the best of the colors which they can overall open to that extent and therefore that's a very strong model in terms of looking at opening newer retailers with tinting machines to that extent as they kind of go forward .

Alok Shah: Got it, and sir would there be any numeric target that you can guide us with? Maybe in terms of overall dealers, or the retail network expansion, because I think it is closer to around 1,50,000. Any medium -term target that you can share?

Amit Syngle: So yes , we have about presence of about 1 ,50,000 retail points which are there and we keep on looking at saying that depending on how the country is expanding , how the demographics are panning out that we should be able to add anywhere between 5000 -8000 retailing points every year .

Alok Shah: Okay, okay sure and sir the second question is on the overall dealer incentive structure , etc. Just wanted to check, you know how it has evolved . Has there been taken

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place at the company's end? At the competition's end? Over the last 3 -4 years or it largely remains the same? Your thoughts on that, that's it. Thank you.

Amit Syngle: Sorry, what has evolved?

Alok Shah: No, the dealer incentive structure, etc.

Amit Syngle: Okay. Incentives I think our incentives at the end of the day it is the dealers are quite proficient and clever in t

his . So, I think what really matters to them is the per litre kind of a discount . You can give the discount in 10 ways to the retailer to that extent . It doesn't matter overall , but I think overall the incentive structures have not changed . At points of time in the year it kind of gets aggressive by everyone , sometimes it is a little bit more benign in terms of how it goes but overall , I think the incentive structure are remaining the same .

Alok Shah: Got it sir, thank you very much and best of luck for the next Quarter s.

Amit Syngle: Thank you.

Moderator: Thank you sir , we now have Mr . Shirish Pardeshi (Centrum) through zoom . Request you to unmute yourself sir .

Shirish Pardeshi: Yeah, hi Good Evening Amit . Thanks for the opportunity and I was completely surprised with the kind of volume growth you have shown Quarter on Quarter . So, my first question is pertaining on the volume growth I'm not getting into deeper but if you can help me how this growth has come . I mean I'm not getting into region wise specific but if you can, you have already touched upon the premium emulsions and even the economy has done well, but if you can break that how much it is contributed through the decorative paints side and the waterproofing side?

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Amit Syngle: So overall what we can say is that I think when we look at both retail and projects , I think both businesses have contributed very strongly to the overall volume growth. I would say that the projects has contributed even still higher in terms of looking at the overall business to that extent . The other thing what we see is that the T1 , T2 centers have kind of contributed to higher volume growth which is coming both from the premium and the luxury products and the wood finishes and the waterproofing zones which are there to that extent overall . So I would say that when we kind of look at our overall growth , a large chunk of growths are obviously coming from a lot of our you know premium and luxury products which are lying in emulsions, wood finishes and

waterproofing business but at the same time good growths are also coming from our economy emulsion, the upgradation emulsions which are there to that extent and they have also kind of grown extremely well overall. So, I would say it's a fairly balanced growth in terms of what we would be seeing. Waterproofing would have grown at a slightly higher pitch overall to that extent, but I think it's a fairly overall balanced growth in terms of what we have been able to see.

Shirish Pardeshi: My second question is on the Home Décor. By when, do you think you will start reporting the numbers because what I see in this Quarter you have taken out your reporting on Home Improvement also. So, I think that's a suggestion, but, I am more keen on looking at this 31 stores, what kind of revenue you are doing now and maybe you actually said that you want to have around 8 to 9% 10% contribution, but in the medium-term what is the target or if what is that and what is the run rate you can share?

Amit Syngle: I think it makes sense in terms of reporting when you reach a number which is strong as I said earlier that we are you know really kind of saying that we want to kind of look at the next 3-4 years to kind of look at almost 8-10% contribution of the Decor business going forward. So, I think as you go through this journey we will at the right time possibly look at in terms of putting those numbers out.

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Shirish Pardeshi: Just lost book keeping question on the tax rate Mr. Jeyamurugan if you can help us up what should we factor in for this year and next year?

R.J. Jeyamurugan: Maximum tax rate. Today is 25% plus surcharge it should be around 27%.

Shirish Pardeshi: Okay.

R.J. Jeyamurugan: It is the same rate, there is no change.

Shirish Pardeshi: Okay thank you.

Amit Syngle: You have some news that the rates are changing?

Shirish Pardeshi: I will come and personally tell you anyway Amit, thanks for the opportunity and best of luck and take care.

Amit Syngle: Thank you.

Moderator: Thank you sir. We now have Mr. N Sai Chandu. Please unmute yourself and ask your question sir.

N Sai Chandu: Yeah, so congrats on this great performance that you showed this Quarter. So, my question was on the price increases. One is that you are saying that you are keeping a close watch on the situation and the situation is volatile and you said a mid-single digit price increases is for the forthcoming Quarter is what we are pricing in for the Quarter ahead?

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Amit Syngle: So, what we have done what I said is that in terms of inflation, we are saying that the inflation could be anywhere around 1.5% to 2% in terms of what we are saying currently we have taken almost about a 0.5% increase as on first of August and depending on our exact calculation and how the environment pans out, we will look at possibly taking more increases as we go by.

N Sai Chandu: Okay and one more question sir if you could allow me. How many painting jobs are we doing currently on a monthly basis, let's say when we are going to each of the houses of the customers and getting homes painted. So how is that segment of our vertical doing currently?

Amit Syngle: So, I think that is being quite well . We are now represented in more than 600 towns across the country which is there and overall , you know the number of houses which we do , vary from a month to month and it varies from size very strongly . So, the numbers do not really mean anything what I thi nk is important is the per square feet which we are kind of able to paint every month to that extent and that is something which we evaluate internally but that is a business which has been doing quite well overall to that extent and we feel that the whole Safe Painting service which we are running is one of the best services across the world .

N Sai Chandu: Okay so sir, if you could just tell me the square footage that we are painting on a ballpark basis ?

Amit Syngle: Sorry th at number can 't be disclosed .

N Sai Chandu: Thank you .

Moderator: Thank you everyone may I now request Mr . Amit Syngle to deliver the closing remarks .

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Amit Syngle: Okay great , you know it is wonderful to have all of you with us for the investor conference for the Quarter One of Financial year 2023 and we really hope that possibly we keep the same pace in terms of our delivery as we kind of go forward and keep on giving you the good news as we march forward in this year . Thank you so much .

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Call: Oct 2022

APL/SEC/32/2022-23/50

25th October, 2022

BSE Limited Corporate Relationship Department Phiroze Jeejeebhoy Towers,
25
th Floor, Dalal Street,
Fort, Mumbai – 400 001
Scrip Code: 500820 National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, Block G, Bandra - Kurla Complex,
Bandra (East),
Mumbai – 400 051
Symbol: ASIANPAINT

Sir/Madam,
Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Investor Conference

Please find enclosed the transcript of the investor conference held on 20th October, 2022, with regards to the financial results of the Company for the quarter and half year ended 30th September, 2022 and other acquisition / investment proposals .
The transcript has also been uploaded on the Company's website and can be accessed through the following link:

Investor Conference - Transcript
This is for your information and record.

Thanking you,

Yours truly,

For ASIAN PAINTS LIMITED

R J JEYAMURUGAN
CFO & COMPANY SECRETARY
Encl.: As above

Classification : Public

“Asian Paints Q 2 FY2023 Earnings Conference Call”

October 20 , 2022

Management : Mr. Amit Syngle : MD & CEO
Mr. R.J. Jeyamurugan : CFO & Company Secretary
Mr. Parag Rane : GM – Finance
Mr. Arun Nair : Manager - Corporate Communications

Arun Nair: Good Evening and a very warm welcome to one and all to the Asian Paints investor conference for Q2 FY 2023 results. Today, on the call we have Mr. Amit Syngle, MD & CEO; Mr. R J Jeyamurugan, CFO & Company Secretary and Mr. Parag Rane, GM - Finance. I am Arun Nair from Corporate Communications. May I now request Mr Amit Syngle to take you all through the presentation. Mr. Amit Syngle, over to you.

Amit Syngle: Hi everyone a very very warm welcome to all of you in terms of today's Investors meet and I'm sure we have a interesting conversation ahead.

When we look at overall Asian Paints, this is something which all of you are familiar with almost now 80 years of existence in terms of looking at beautifying, preserving, transforming all spaces and objects, and bringing happiness and joy to the world. That is something which is the core value in terms of what we really stand for.

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Overall, when we look at the business in Quarter 2, I think the overall business has been very very strong from the point of view of the environment, In terms of what was there for the whole quarter. We had an extended monsoon as you are all aware and rains have gone into October across the country in terms of what we are saying, and which has kind of really taken some bit of toll with respect to the exterior's painting market and in terms of the overall projects and construction business which is going on around the country. But overall, despite that, we logged in a strong 10% double digit volume growth which has come in this quarter, which translates to almost value sales, value growth of about 20% which has kind of come in here. If you look at the three-year CAGRs here, and why 3 years because we've seen that 2019-20 was the normal year in terms of from a pre-covid point of view. So today, we had a normal Q2 in 2019-20 and that is why the comparison in the entire presentation we have taken a three-year CAGR kind of a reference. So the volumes are very healthy at about 18% in terms of the CAGR and the value was clearly about 20% which shows the fact that the top-line focus has been ensured in terms of the organisation over a set of quarters, as you have kind of really heard from us. At the H1 level also, if you see, the growths are pretty satisfying in terms of the overall volume at being 22% in terms of what we have been able to achieve overall and if we look at the

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fact that the three years CAGR here is close to 19% and a comparable to the last year where the growth were also pretty high in terms of what we have kind of achieved. So the bases are relatively much much higher as compare to the last year Q2 in terms of what you see or the last year H1 which you kind of see overall. In terms of value, again now it's 20.1% CAGR and almost at 37% value growth. So, I think the H1 trends are pretty staggering in terms of what we have been able to achieve overall and I must remind you that overall, if you see the each quarter is different in terms of the overall contributions in the entire year as well as from the point of view of how the product mix matters from quarter to quarter as we kind of go ahead in the year.

When we look at the overall trend of the top line, it is very clear that the volume index, what is visible right to you on the screen is a very strong double digit number in terms of what you are seeing overall to that extent, and therefore this is representative of the three-year CAGR numbers and Quarter on Quarter you can see that the overall CAGRs in terms of the, you know the double digit growth have been very very strong in terms of what we have seen over a period of time and that is something which is very clearly the

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overall organisation, we are committed that we are able to kind of grow at this kind of volumes, Quarter on Quarter.

Just a brief description as to what really happened over all as I said that there was an extended monsoon and especially what we saw was a larger impact in terms of the West and Southern geographies in terms of what we witnessed but unlike possibly what the commentary we have been hearing in the market, we have grown much better in the T3 - T4 centres which means the rural demand for us has been much better in terms of what we are seeing as compared to possibly the growth which we are seeing in the Metros, T1

and T2 centres . Now this also kind of really impacts the overall kind of a product mix in terms of what we are selling overall in this quarter. But , I think the fact that T3-T4 centres have grown well is kind of auguring well in terms of even future that today I think the rural demand is not kind of really died out, but it is still very live and very good in terms of what we see as we kind of go forward .

Overall, the product mix in Q2. As I said that the product mix varies from quarter to quarter , in Q2 It was dominated more by the economic emulsions , the undercoats to some extent . However , the Premium and Luxury ranges when we look at Wood finishes

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waterproofing and select emulsions did well. We saw some down trading in terms of the Luxury and Premium and some of the Economy products due to the steep prices undertaken in the last about six months on these products to that extent so there is a definitely a trend of downtrading in terms of what is kind of relevant but overall what we see that the mix was a little bit affected but at the same time, it was also having some set of premium and luxury products which were growing for us at a good pace overall .

Today from the point of view of the painting service, we have the biggest painting service today in the world with the presence in more than 628 towns in India and I think this is something which is clearly a strong advantage. The brand has in terms of how we see overall , the trend in terms of the consumption which really happens because you are literally kind of going into so many houses across so many towns to that extent and this service has grown almost at a rate of about hundred percent . So, I think it's been a strong kind of a performance which has come in here .

When we look at the Projects business, the project business obviously has been growing much faster than the retail business in terms of what we have been seeing . Despite the fact that yes, we had monsoons, we got some Exterior painting and some of the construction work came to a standstill , but we had very good kind of sales realisations coming from the government in the factory segment ; And also we did quite well in the flooring segment which is a new emerging segment for us , where we have launched a slew of products on the Epoxy , and the Polyurethane platforms to that extent . As you see one of the key strategies that Asian Paints has been in terms of looking at expanding our footprint with respect to distribution , so that customers all across the country have easy access to Asian Paints products and this is something which we have been pursuing very strongly and we've already added about 8000 new retailing points this year, when we look at the half year which is happened this year . So, I think it's again something which has been going on a very strong path and we believe that this is one of the areas which is also

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giving us very good growths as far as the rural towns are concerned and that is principally one of the reasons how the rural demand is getting ignited .

Going ahead , I think the new products , the Innovation , the Technology has always been the torch bearer at Asian Paints and this is something which we have looked very very strongly and each product comes with possibly a certain attribute which is unmatched by competition to that extent . We spoke about almost you know something like about 40 products in the previous quarter in terms of what we are having which we have a clear kind of advantage in terms of propositions . We launched 4 more very clear things, and these are not all the introductions, these are some of the key introductions which we see . Glitz Ultra Matt, which comes with technology where basically it's a unique self-healing kind of a product which is there . A Tile coat which opens the whole area of waterproofing for tiles in a very big manner . Ace Power+ which is basically looking at elevating the customers from an economy to a premium kind of a category in a strong manner and finally an Enamel which is really differentiated in terms of technology , but a strong source of upgradation from people to come to from an unorganised brand to an organised brand

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to that extent . So clear kind of innovations with technology as the backdrop and very very strong innovation from the point of view of the product quality in terms of how it syncs with the consumer . So that's about a new introduction in terms of what we do .

Coming quickly on to our 'Home Décor' foray. All of you are aware we have been speaking about this for some time now we are transitioning from really the 'Share of surface' to the 'Share of Space' within the homes in a very very strong way and there are certain clear things in terms of what we have taken today. So, all categories is something Asian Paints is kind of now present and as I said earlier, we now have basically a very strong model where we are literally into the manufacturing of lots of categories within the Home Decor space which comes in, which possibly augurs very well from the point of view of our control over design and in terms of what we need to kind of give the consumers, as far as the overall costs are concerned. The engine here is what we call as the beautiful homes.com, which basically is the inspiration to people to kind of come in and we have more than about 60 to 80 Lac people who keep on coming on to this platform in terms of really seeing how people are kind of getting inspired to kind of do up their homes. We have an execution mechanism in terms of the Beautiful Home stores. Last year, we had

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about 29 Stores we have added about 7 more stores this year and we are now 30 store which are functional across the country and this is a one-stop Decor shop which is there to that extent, where the customer is going through almost a phygital journey, which is physical plus a digital journey in terms of what we offer; and a couple d with this we have a 'Beautiful Home Service', which is a personalised Interior design to an execution kind of service which we now offer in 11 cities. So, I think the whole foray is kind of very clear right from inspiration to execution to really turnkey arrangement in terms of making the Beautiful Home come alive at your home is something which is what we look at.

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So as I said, today the beautiful homes house all the categories whether it is lighting, whether it is furniture, whether it is Rugs, whether it is from the point of view of furnishing, so all categories flooring, everything kind of really comes in this category in

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terms of what we offer very strongly; and this is the whole engine which runs the beautiful homes overall as inspiration for people to come in and get inspired in terms of what they want to kind of do with their homes overall. And the 'Beautiful Home Service', which basically helps people to really convert what they are thinking, what their choices are into the actual home, what they want to that extent. So, I think this is something which then augurs very well from a point of completing the loop completely.

In this, you are aware, that we had announced, we had acquired 2 companies - One was 'White Teak' and the other one was 'Weatherseal'. 'White Teak' was a complete lighting solution which is there to that extent in terms of the decorative lighting, which goes in terms of chandlers, pendants and other light which comes. We have introduced some functional lights as well in terms of this thing and Weatherseal was all about the uPVC doors and windows which were there. We have now looked at strong synergies in our 'Beautiful Home stores' and 'Beautiful Home Service', with this and both the businesses, I am pleased to kind of report, have done extremely well when we look at from the point of view, what they had achieved in the full year last year and what they have achieved today overall when we see from the H1 perspective of or even from the Q2 perspective.

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So I think both businesses doing very well both from the point of view of top line as well as bottom line as we kind of look at in terms of going forward.

When we look at the two businesses, which have been there for some time - the kitchen business and the bath business here. Both the businesses, overall, from a top line perspective grew well today. When we see the Q2 in kitchens, we grew at about 14% and bath we grew by 11%. At a half yearly level, we grew at about 35% and 51% which is a strong growth at a half yearly level in terms of what we see overall. In terms of the bottom line as we see, kitchen business was slightly affected because the components business, which is a substantial part of the overall business of kitchen, I think did not do too well to

that extent. But the kitchen business is something which is the full kitchen business is doing extremely well and there is a little bit of a loss which is showing with respect to the bottom line in terms of the kitchen business over all. But I think we are confident that this is something which we should be able to take on when we look at Q3 and Q4 going forward . The bath business overall in Q2 had a break-even kind of a overall delivery, but at half year level, there is a gain or a profit of about Rs. 5 crore s which is kind of come in

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over all. So, I think relatively if you see from the top -line perspective , the businesses have done fairly well overall in terms of how we kind of look at .

Coming on to the whole international business , this is just showing you the countries where we are represented across the globe to that extent, which is there , along with the various brands which we have , across these geographies , when you look at it .

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When we look at the performance, the performance has been very very strong as we see it overall to that extent . If you see the performance coming overall , when you see the Q2 levels , we have grown by almost about 15 .5% which is there and so as well as at the H1 level . So, the businesses have been strong as we look at from the overall perspective of overall growth which has kind of come in. From the graphical point of view , I think all the geographies have done quite well. When we look at obviously the geographies at Africa, kind of stand out to that extent, but overall, even Middle East has done quite well and Asia has done well , despite the fact , that some growths have been pulled off by the Lanka condition which is there as you all are aware , but overall, the geographies have done well . Even from a point of view of overall profitability. It's been a very strong performance where the PBT growths have been strong . We got about Rs. 43.5 crore s against a Rs. 16.7 crore s loss last year to that extent and even at the H1 level , the numbers are very very strong in terms of a PBT of about Rs. 81.4 against a loss of Rs. 28 crore s last year . So, I think the International business has done very well and some of the areas like even Indonesia and all has kind of performed fairly well in terms of both volume and value growth in Quarter 2 in terms of what has come about .

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Going forward , when we look at our industrial business it is divided into 2 JVs which is there and what you see is the range of work which we do for any object or any auto or any surface to that extent in terms of the range which we have.

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This is divided into two JVs, which we have the PPG -AP and the AP-PPG which are the 2 JVs with PPG of US and in both JVs. I think there has been a spectacular performance in the quarter in terms of what we see . As you are able to kind of see that PPG -AP, if from a quarter perspective when we see they have grown at about 25% and at a half yearly level at about 40%. So, I think strong revenues kind of coming in there and similarly if you look at AP-PPG, the growth there also have been fairly substantial with overall , I when we look at from the point of view of Quarter 2 growing at about 25% and from an H1 perspective , we have grown at about 39%. So , if you look at both businesses , comparatively doing fairly well in terms of this and I must say that the AP-PPG business has been doing this kind of a performance consistently for the last about 8 quarters now to that extent . Even from the point of view of today , when we look at the PBTs overall, I think the growths are very good in terms of what we're looking at and substantial increase in terms of gross margins and overall profitability which is kind of coming in the two businesses which you can see from the graphs which is in front of you . So, I think , in all again strong performance coming from the industrial business overall in terms of what we see .

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So, I think just to kind of explain and I'm sure there are going to be a lot of questions with respect to margins and what's really happening there to that extent . When you look at

the trajectory obviously, I think the margins have been doing a little bit of a sinusoidal kind of a thing dependent on in terms of how we are seeing the inflations kind of going in the market. I must point out, saying that price increases have not kept in pace with all the inflation which have been happening on quarter to quarter. Even I think if you go back and look at the Quarter 3 financial year 2021, 45% margin is a little bit of an over delivery which is the re. Normally I think the range which we have seen is about 40% in terms of the overall margins at an average level to that extent and if you see we are at about 35.6 in Quarter 2 and please remember there was inflation of about 6% in Quarter 1 and the larger effects of that have been seen in Quarter 2, because of the fact that we already carry a certain amount of inventory, which is there and the actual effect of any of these inflations actually come in subsequent quarter to some extent which is there. In addition, we had a material inflation of about another 2%, which happened. So, Quarter 1 plus Quarter 2 put together, there is almost like about 8% kind of inflation, which is there against which we have taken increase of relatively about 3%. So, there is clearly a 5% kind of a deficit which is kind of coming into some extent here and even if previously you were to calculate from the overall inflation which has happened, there we have not really taken all the price increases really matching the inflation and there has been a gap of about 3-4% there as well from the last year inflation kind of numbers which is there. So, I think what we are trying to say is that today, what we feel is that as a leader in the market we don't feel justified that we should kind of pass on all the sinusoidal trends of the inflation immediately to the customer. We need to have a considered view and therefore I think the market also has to see it with a certain level of maturity in terms of how the margins are behaving because today traditionally Quarter 2 has been, has been a quarter where basically you have seen a relatively inferior product mix as compared to the other quarters as I said and it all depends in terms of how the Diwali dates are and some of the kind of sales kind of augur according to that, and therefore, the Quarter to Quarter sequentially is not really comparable to that extent and I'm talking of normal quarters as the bases

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here to that extent and not the Covid bases here to that extent. So, in effect what you see is that from the quarter 2 of last year to now actually there is a 0.6% margin improvement, which is there, although sequentially from 37.9, it has come down to about 35.6, but I think going forward what we're very clear is that you know, we are already seeing a trend of a deflation happening and we definitely see that going forward you know 3-4% margin correction would happen by virtue of the fact that there is a deflation which is coming and the fact that the inflation was not so very high in terms of the second quarter but obviously as we see, I think the best effect of this will come in quarter four going forward to that extent as we look at it.

So, I think for us as we see I think the gross margin stories not a worry. We think this is a phenomenon in a time which is happening to that extent and as we go forward possibly, this is going to improve very strongly, and the business is fairly sturdy and very clear in terms of what is the premiums we were enjoying in the market, and this is something which we very clearly feel has no impact in terms of going forward.

When we look at the overall Standalone financials, I think

the story is very strong. If you

look at the net sales going up by 20%, the gross margins going up by about 22%, the PBDIT

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has gone about by 28% and therefore the similar story on PBT and PAT in terms of the overall growth, which we are seeing to that extent and over and above as I said, a double digit volume growth which has kind of come in, which is definitely encouraging from point of view as we see the industry trends overall to that extent. When you look at H1 obviously the numbers are even far higher in terms of what you see as the overall delivery which kind of augurs for us very well, especially when you see the PAT numbers at about almost about a 47% increase overall to that extent. From a point of view of PBDIT margins, you know what we see quarter comparable, possibly in terms of when we look at to last year quarter. So, it has really improved from 14.4 to about 15.2 and similarly at the H1 level there is an improvement. Similarly, when you look at PBT okay, overall, basically the growths are pretty strong in terms of what we're seeing but obviously there is one of other income which kind of comes into that calculation, but as a standalone, the 23% growth is pretty good in terms of what we are seeing.

When you come to consolidated again , the story is the very strong in fact the story . From a bottom line perspective is even stronger because of a very strong performance on the bottom line from the international business which has kind of come in and if you see the top line is 20% here and PAT, is at about 33% growth at the quarter level and a t a half

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year level , obviously the numbers are very very strong with PAT growing at almost about 56% which is really definitely one of the highest number in terms of the PAT growth , which we are seeing here to that extent. So, as I see it, I think the overall sales has been pretty robust to that extent and I think had the rains possibly stopped in September , it would have been definitely much much higher to that extent , but I think overall still delivering a volume growth has been strong . What we are seeing is even in and so even in consolidated , the overall you know gross margins have really improved over the last year by about 1.3% and that has led to a higher PBDIT margins as well at about 1.7%. So, I think that's how the overall business is, and we are pretty happy about the fact that it is still a very strong performance in terms of the way it has kind of come about.

When we look at the dividend we have declared, dividend of about Rs. 4.40 per share and just to kind of remind you last year the pay-out ratio was about 58.6% and the dividend pay-out last year interim dividend was Rs. 3.65 . So, I think the overall interim dividend also is going up to a good thing which is a good signal to the shareholders.

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When we look at the immediate outlook , we think that today while I think it's been raining in October as well but I think there is , we are seeing some good demand which is kind of coming which is the festival demand ; but actually what we do is that we don't rely too much in terms of just this demand because the actual season kicks in after that to that extent . There is a strong wedding season which is coming in , the project business looks very good because a lot of construction is picking up , the real estate is kind of really picking up overall to that extent despite the fact that the interest rates had kind of gone up to that extent . Good monsoon by enlarge some deficits in some states overall but I think which kind of augurs very well for the rural demand which is already good for us and we think that is something which will kind of pick up. Obviously, I think the party spoiler here could be the geopolitical situation in terms of its kind of taking a very different turn to that extent and the other area is that obviously I think the rupee depreciation and the dollar strengthening is kind of really impacting , you know , some of the areas to that extent, and we hope that that is something which should not be a party spoiler as we go ahead. But nonetheless , we think that overall, from a demand point of view , I think it should be a good quarter ahead .

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So this was a business point and now I want to kind of just share some other things which were kind of very very strong and very happy about . First of all, for the core business , Now , we are really strengthening the core business in a very strong manner. We are now looking at acquiring a nano technology player basically Harind, which is a specialty chemicals company and it has the NexGen nanotechnology as its core. This is a technology which is something , which is really kind of growing over all across the world. It has been there for some time, but the innovations are now happening from NexGen level in terms of the properties which were able to kind of bring into that extent and therefore for us , I think it becomes very very strong opportunity and that with this acquisition or R & D will really kind a spiral up in terms of able to offer some NexGen products which can come in the market which can be very very helpful for the consumers and some real new innovation can come in . We are , at the moment , taking about a 51% stake in Harind that about Rs. 12.75 crore s and additional stake of 39% could be acquired over the next five years. So overall , we think this is a very very strong move from the point of bolstering the overall technology at Asian Paints and this will kind of give birth to a lot of innovation coming in emulsions and waterproofing and lots of other products to that extent and this is something which we are very excited about. That's part one .

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Let's look at what else . We are also now looking at a very very strong area of backward integration . Today, some of you would know that Asian Paints always has been making their own emulsions . An emulsion is a very strong binder into the overall formulation which really holds the real formulation together in a very very strong manner and today as part of an extension of that strategy , we decided to possibly really invest into a technology which is absolutely the futuristic new-age technology of the world . This is the technology which is basically what we call as the Vinyl Acetate Ethylene Emulsion which is there to that extent . It is an environment friendly emulsion which is there to that extent . It has a very sweet smell and basically it is something which gives special properties to the paint in a very strong manner. We are already using VAE in our products but at the moment , we have been importing this entire thing from the world players. There are very few players in the world who have both the VAM which is the Vinyl Acetate Monomer which is a raw material which goes in terms of making the Vinyl Acetate Ethylene Emulsion . So I think we are putting a combined plant which is the first , no one in India has this technology to that extent and even world -wide there are only about 3 to 4 players who have this technology which is there and we think that this would be really

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a game changer in the market in terms of what we look at it in terms of what we are offering here. Here the investment is substantial. We're putting almost about Rs. 2100 crores over the next 3 -4 years for setting up an installed capacity of 1.5 Lac tonnes per annum for the Vinyl Acetate Ethylene Emulsion and 1 Lac tonnes for the Vinyl Acetate Monomer which is the key ingredient going into the Vinyl Acetate Emulsion to that extent.

We have done a strategic collaboration here with Kellogg Brown & Root LLC , which is a multibillion -dollar US -based firm with the right kind of technology, licences and so and so forth which is there which is going to help us put up this plant which is going to come up to that extent . We think this is really getting into a very big area which can give us a sustainable competitive advantage for future and that is something which we are investing in and this is the technology of future which will remain for the next 50 -100 years as we kind of go forward . So that's the second area which possibly we are announcing now.

The third area is that now we're looking at another area backward integration where we are getting into the manufacturing of white cement , and this is a joint venture which we are doing in UAE in Middle East to that extent . Now white cement is a very very key

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ingredient in the putty which we make . It is almost about 19 -20% of the putty which , you know where the white cement goes to that extent and that is something becomes a very key thing . The putty has been overall a strong initiative at Asian Paints , and we have been growing strongly in this over the years overall , and we want to be clearly putting a lot of energy in terms of looking at getting the best product to the market, and really looking at incorporating what are the kind of properties , which we can do in terms of really looking at modifying the white cement which kind of comes in.

So, what we are doing here is , we are putting up a JV with 60% majority ownership by Asian Paints to put up almost about 2.65 lac MT, per annum capacity of a white cement and white cement clinker plant in Fujairah in UAE. And this is something which we are doing with Riddhi Siddhi group , which has a good access to the limestone mines and so and so forth, which is a very key input for the white cement per say. So I think overall this gives a very strong advantage into a growing business which is there to that extent and overall what we also see is that today the entire distribution points of paint industry which is into hardware, building material and so on so forth they are also selling white cement as a very key ingredient for repairing , tile fixing , marble repair and so and so forth to that extent and therefore it gives an opportunity to even seed white cement into our network, which is basically buying all the paints from us to that extent, and therefore kind of really plugs in one gap which we had never had over all to that extent . So I think this is a strong backward integration measure in terms of what we are saying as a key ingredient which goes into a putty and I think this will kind of really augur very well in terms of really supporting our overall growth as we kind of go forward . The investment here is about Rs. 550 crores in terms of what we are doing with including some of the clinker, grinding units which we will set in India very close to our putty making units overall so that we have synergy there in terms of the overall cost being minimised as we kind of go ahead in this entire venture .

So, I think this is another great kind of strategic investment in terms of what we are

making , which can give us gains for years ahead as we kind of look at it .

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So, I think this was the overall plan , in terms of the three big businesses which we are putting, and you must be wondering in terms of what are we really planning overall .

So, I would divide our overall investments into two parts. One is the overall expansion of the manufacturing footprint. Today we operate at almost about a 75% kind of a capacity utilisation , ov erall , to that extent . W e are looking at increasing be in the entire manufacturing capacity for more than 30% to about 22.7 l ac KL per annum , which is for our awn manufacturing capacity in terms of what is their other than the outside processing in terms o f what we use ; and this is something which possibly is in line with our overall growth in terms of what we are seeing in the coming next 3 -4 years overall that we will require this kind of capacity to com e in overall to that extent and basically we also lo ok at in terms of from the point of view of the backward integration that it will really help us . So, if you look at the only the capacity announcement part, we are looking at almost about an investment of Rs. 3400 crore s, which possibly includes the investment of the capex in terms of this year and going forward in the next three years . The backward integration two things which I spoke of, which is the VAM VAE and the white cement

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which is there in terms of what we have spoke n and is about another Rs. 2550 crore s and the acquisitions which we have already made earlier in terms of White Teak, Weatherseal and now Nano overall this is about Rs. 800 crore s. So, this is a total outlay of almost about Rs. 6750 crore s in terms of what we are committing for the next three years which would be a big kind of really step in terms of Asian Paints which is taking to really see that we're in line with their overall aggressive growth for the next three years plus the ent ire thing of a sustainable cost advantage which really comes in from the backward integration at the same time, furthering our overall core business and Home Decor business with some key acquisitions, which we are taking to that extent overall to that exte nt. So, I think that's the overall plan, and I think we are pretty excited in terms of taking this ahead as we look at it.

Thank you so much for listening to it and we are now open to questions .

Moderator: Good Evening everyone . Requesting all participants joined by zoom video platform , please use raise hand feature to ask a question to the panel list. Kindly unmute when given a chance to ask a question . Please mention your name and company name before asking your question . Kindly to limit your questions to onl y 2. Partic ipants connecting via zoom video platform can post their questions on the chat box too, and we will ask on your behalf. Participants joined through toll free number, please press *1 to ask quest ions to the panellist. Please mention your name and company name before asking your question . Kindly to limit your questions to only 2.

Our first caller is Mr. Abneesh Roy (Nuvama Wea lth Management) , who has joined us through tele -conferencing . Sir you are now live and can proceed with the question.
Q&A

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Abneesh Roy: Yeah, than ks I have 2 question s this is Abneesh Roy from Nuvama. My first question is on the backward integration big project s, so first is VAE and VAM, does it also mean in adhesive you will get aggressive, because you are mentioning VAM is the raw material for VAE . So wanted that clarification ; and when you say emulsion for future, what is the opportunity ? what exactly is the future? Is it 5 years? 7 years? That time frame and similarly on white cement , why now? Is it because cement players is going to enter paints and what could be the margin improvement because of the white cement Capex. That's the first question.

Amit Syngle: Okay , great Abneesh. Good hearing your voice her e. Now I think when we

are talking of the VAM VAE technology , which is kind of coming . Yes, it would be helpful for us in the entire area of adhesives rightly because the VAM kind of goes into the adhesives in a strong manner . So, it will give us a strong impetus in two ways . One in terms of improving the kind of quality of adhesives which we can give in and second from the point of view of margins which would kind of come in strongly from that point of view. So, I think it makes the entire area far more competitive when you can expect some aggression there coming in from us . The second area which you asked. Yes , it is a futuristic emulsion and this emulsion as I see it holds promise you know even for the next 40 to 50 years as we see it . It's not a question of just a dip for the next three years or five years because this is an emulsion which possibly, we will have to get into expansion after sometime , for sure to that extent given the kind of overall consumption it can happen and take it. What this emulsion does is that one it has very low VOC which is the volatile organic compound , which is there , as compare to any styrene acrylate emulsion which is there overall to that extent . So it offers a very huge leap to the companies who are on the

bandwagon of environment friendly paints in a big way which anyway I think most of the organisation are something which are looking at in a strong manner . The second thing it does is it basically impart some very good properties in the paint in terms of scrub resistance , in terms of stain resistance , and also from the point of view of what you know some other areas which kind of coming which enhances the overall durability of the

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product , when we look at from the overall interior paint's perspective point of view . So, I think as a combination it works very well and not only this as I said that kind of really offers you a strong kind of advantage with respect to the overall margins in terms of what it will improve as we kind of go ahead . Second question on white cement, which you said . Now obviously I think this white cement we have been kind of looking for at some point or sometime in terms of investing because this is not because of any other entry which is happening in to the paint market but more from the point of view of a purist backward integration initiative , where we feel that if we have to really sustain our aggression in terms of going into the under coat space , because please remember that we are into powder products across which are not only from a putty perspective but also in terms of textures , in terms of tile adhesives , and lot many other areas where white cement becomes a key ingredient to that extent and therefore we have been exploring this for a point of time and we think that this is a very good move we are making so that today it kind of offers us a huge advantage which kind of comes in and from an overall perspective we can say that even in terms of some of our products , it can give us a boost in terms of at least about 5 -7% gross margins, overall to that extent going forward.

Abneesh Roy: Sir, there is one follow up on the white cement opportunity, could you discuss that how big will that be . Already in putty you are big, but when you are saying that you will target the tile finishing, tile joining, etc also and white cement, how big is that opportunity for you?

Amit Syngle: So, overall , when we look at the Indian market that I think is close to about 7 to 8 Lac tonnes kind of a market in India in terms of the whole repairing and other segment to that extent and it is going at almost about 15 -20% overall so I think that is also big opportunity and 80% of that sold by our network to that extent . So, it becomes a fairly big opportunity in terms of selling in retail packs and look at possibly taking that market especially when we are also into bath, tiles and sanitary .

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Abneesh Roy: Sir, my last question is on H2 growth . So, 3 things there . In Q1 , you had mentioned down trading in Economy end, and in Q2 , you are mentioning in Luxury also there is some level of down trading. In H2 , you had very high pricing growth starting in Q3 itself last year and of course this time the festive is early. If I put all this together, would you say in H2 , the pricing growth and volume growth in double digits as of now , it is looking very tough?

Amit Syngle: No, I don't think so, because see I think it's a function Abneesh of how the overall product mix kind of augurs . So, to that extent when you look at this quarter as I said largely , you know there is a little bit of inferior product mix in terms of what we have got. As we get into Q3 and Q4 traditionally , the product mix is quite good overall in terms

of what we would kind of see. We also saw that other retail kind of demand got effected because of the monsoon s which were there and also the exterior kind of season got affected in a very very big way . So, I don't think so that that should be the case w e are still looking at possibly going forward. I think the volume growth should be healthy

and

so would be the value growth s coming in this thing... because please remember we have also taken some price increases now , which will start kind of giving us some effect as we kind of go ahead.

Abneesh Roy : Amit , just one last follow up and I'll end there. So, last year Q2 and this year Q2, your margins have been negative surprise and you also mentioned the mix deteriorate in Q2, so is it because exterior paints is a higher margin business? Because that is the only seasonality I see in terms of demand.

Amit Syngle: No, see what happens is that largely , if you look at quarter 2, September is a strong kind of this thing for all th e products , whether it is wood finishes , whether it is emulsions , whether it is kind of water proofing products , where as July and August are largely stocking months which really happened to that extent . So, I think to some extent

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possibly that has kind of a toll with respect to it, but the gross margins over the last year quarter have actually gone up from 35 to 35.6% in Quarter 2.

Abneesh Roy: That's all from my side, thanks a lot!

Moderator: Thank you Sir. Our next caller is Mr. Avi Mehta (Macquarie) joining through zoom video platform.

Avi Mehta : Hi Sir, am I audible?

Amit Syngle: Yes, you are.

Avi Mehta : Thanks sir for the opportunity. First, I just wanted to kind of understand for the integration in the back end that you have kind of contemplated could you share what has triggered this expansion given typically, raw material availability has not been an issue . Also, does this not kind of weigh on return profiles, because typically backward integration has meant return profiles sticking ahead, so would love to hear your comments on these 2 aspects, thank you.

Amit Syngle: So, actually , I think Asian Paints has been into a backward integration earlier as well as you know a lot of emulsions, we are making ourselves for quite some time whereas a lot of companies do purchase all the e mulsions from outside , and to my mind you know the emulsi on making has given us a very big boost with respect to our overall margins and profitability to that extent. So I think for us the backward integration has kind of augured quite well with respect to the overall increase in margins and overall kind of really flexibility in terms of procurement to that extent . The other thing which I see is that this investments are fairly unique and these are not general stic to that extent so the VAE is really kind of a protected technology worldwide in terms o f what is there and it is the technology of future so to that extent which we feel that this is a backward integration

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which really helps us from the point of view of not only increasing our margins substantially but also from the point of view of imparting some new customer facing properties which can give our products a new kind of turn in the market from the point of view of how consumer see it and how they see the performance of the products coming in. Similarly, the white cement one is pretty strategic , because of the fact that today what we see is that , if there is the raw m aterial which is kind of contributing to a significant contribution in the formulation and today, we have a control in that thing we can really vary various properties at the manufacturing sta ge which helps us possibly giving qualities in the finished product. At the same time , I think the marginal gains kind of really change because in some of these pr oducts these are the powder products are fairly low-end products to that extent and any kind of improvement in margins can be really very benefiting for you . So, I think is the strategic and we think that cost and really the differentiation in the ma rket at two very big kind of pillars in terms of what we are riding

as far as the backward integration is concerned .

Avi M

ehta : Okay sir, okay I hear you ask second bit is just a clarification would it be fair understanding that our margins are going to move to around 39.5 - 40.5 % by 4th quarter , is what you indicated . What I wanted to understand , you know because you highlighted down gradation in the painting demand , does that not kind of be a risk. Do you see that as a risk or are you fairly confident about still reaching th at target , in the third quarter and second half of the fourth quarter?

Amit Syngle: No, I don't see any risk because if you have seen that you know we were at 35% last year in quarter two and then we kind of came to about 39% overall as far as quarter one is concerned . So, I don't see anything I think this is just a quarterly phenomenon which is happened more from the point of view of the inflation, which we are kind of seeing in the market and little bit cyclical to that extent . We are very confident in terms of looking at saying that the band possibly going forward would still remain at 39-40% in terms of the overall gross margins as we kind of go ahead. So, I think It is just a

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phenomena of the quarter in terms of what we are saying but going forward , I don't see any areas , this thing where possibly the margins would kind of stay at this level . Second, I think the down trading and so and so forth is possibly just incidental which happens, because you must remember that today , you know some of the price increases which we have taken have an immediate impact but over a period of time, the y normal ise to that extent because this is a consumption market and this is not a market where people have too many alternatives or they could defer their overall demand in definitely to that extent . Even in covid we have seen that people whenever normalcy has come in they have kind of gone and splurged in terms of doing up their homes to that extent. So, I see no reason in terms of why possibly it will not jump back.

Avi Mehta : Got it sir, thank you very much and wish you luck . Thanks a lot sir.

Amit Syngle: Thank you .

Moderator: Joining us through zoom video platform is Mr. Shirish Pardeshi (Centrum) . We request you sir to please mention your name and your company name and proceed with your question. Thank you.

Shirish Pardeshi: Yeah , Good Evening this is Shirish Pardeshi from Centrum . Amit , congratulations for showing that kind of aggression in the market at this time . So, two things , one is that on the Riddhi Siddhi joint venture , what are the timelines ? and do you mean that you will bring the limestone to India and probably to wards near the port and the related question to that, what is the reserve and what are the rights Riddhi Siddhi has for the mines?

Amit Syngle: Okay , so first of all , see the limestone reserves are in Fujairah as I said and Riddhi Siddhi actually has a right for you know very long time and I think over 50 years to 100 years as we see it in terms of the overall limestone market which is there . So, I think

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that is not a concern. We are putting up a clinker manufacturing unit right in Fujairah so that is something which is what we are planning . This would kind of come up in the next about 24 months in terms of what we see in terms of this thing . We are taking aggressive timeline in terms of putting that there . We would put some grinding units in India in terms of getting the product so that we could kind of save with respect to overall cost which would kind of come into that extent and which align with our plant locations overall to that extent. So, I think the whole area is where we are able to conserve cost the maximum , at the same time what we are able to do with the formulations so that we get advantage in the product .

Shirish Pardeshi: Okay , that's helpful. Second question on the capacity

expansion which

you have mentioned . How soon , how quickly which are the locations you have finalised

or if not finalise d... This is primarily going to be on decorative emulsions, or the capacity expansion is going to be related to something else also.

Amit Syngle: Yeah so, the overall capacity expansion is respect to our decorative, because that is the key category which has been growing at a very very strong pitch what I showed you with respect to the overall volume growth, quarter on quarter to that extent and largely with respect to our entire initiative on water-based products to that extent. We are looking at certain brownfield projects as well overall, to that extent. So, our entire Ankleshwar plant is something which we are revamping up and really kind of doing and putting some solvent based additional capacities which are going to come in there to that extent and as we kind of go ahead we have the second phase of our certain investments coming in some of our plants going forward. So, I think these are all coming from the point that we are sitting at a certain capacity utilisation and this will all come in the next as I said about three years in terms of what we want to kind of put, which takes our capacity to a certain level as was pointed.

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Shirish Pardeshi: My last question on the demand side, I think the raw material prices are falling down so is that their growth which is tapered or the inventory by the trade has lowered. Obviously, the rains has prolonged, but generally the sense which I am getting that event trade is also expecting very sharp drop in the prices is that the fear or is that you have already implemented or communicated to the trade?

Amit Syngle: See you know, I'm a firm believer that you can't really play with the prices as if you are playing on a stock exchange. Okay, so this is something which is really a strong imperative that as a leader, you need to have responsibility, that you can't be erratic in your behaviour in terms of just increasing and decreasing the prices at your whims and fancies in terms of the way it kind of comes in. I think we have a larger onus towards the consumers in terms of seeing how demand augurs to that extent. I don't think so we are getting immediately in terms of looking at any decrease in prices despite the fact that there would be a raw material decrease which would kind of happen. We would love to kind of really let things stabilise over a period time and then take a concerted call, in terms of what is there because we are all in favour in terms of seeing to us the consumer demand sacrosanct and would like to continue to kind of really see that we are growing handsomely in the market and overall gaining share.

Shirish Pardeshi: Okay, thank you Amit I could see the bandage on your hand so please take care.

Amit Syngle: Thank you.

Moderator: Thank you Sir. Our next caller is Mr. Percy Panthaki (IIFL Securities) joining us through zoom video platform. Sir, request you to unmute yourself and proceed with your question.

Percy Panthaki: Hi Sir am I audible?

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Amit Syngle: Yes, you are.

Percy Panthaki: Two questions from me. One is, what is the total price increases that has been taken between 31st March of this year versus what it is now. That's the first one. Second one is, your difference between the derived pricing, that is the volume you give versus the sales and the announced price increases, if we add up on a YOY basis, the difference is quite high this quarter may be about 13-14 percentage points. The derived is 10% which is 20 minus 10 and the announced price increase are close to about 24%. So where do you see the stabilising. See we have always had some amount of difference between the derived and announced price increase. This quarter,

It is definitely on the higher side, but would you say that out into the future say FY 2024 or something, we would still have something close to 10% difference in the derived pricing, sorry derived versus the announced pricing. Yeah, those are my 2 questions.

Amit Syngle: No I don't think so it is that simplistic the way you are kind of putting up , but first of all I must tell you that that between 31st of March and now, we have taken about approximately 3% price hike over a total inflation of about close to about 8% in terms of what has happened in quarter 1 and quarter 2 to that extent . So that's in terms of the price increase numbers in terms of what you were asking . The other is from the point of view of this derived number in terms of the volume and the derived value growth in terms of what you are kind of speaking of . See this is a larger function of too many factors which kind of come in to play one is the whole area of the product mix ; in terms of how the product mix is auguring out and which products are doing because the margins on various product categories are very very different in terms of what it kind s of really looks at and the price increases we have taken are also not uniform across the products . The price increases vary from product category to category. In some categories , the price increases have been far higher in some categories the price increases has been strategically kept low overall to that extent , so that we don't kind of really upset the elasticity of pricing a t

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the consumer level to that extent . So, I think going forward , some of this difference will kind of continue. It is very difficult to really kind of put a number saying will it be stabilised at 10% , will stabilise at 8% or 12% ; but I think some variability will look . I think its best kind of really look at this thing stabilising and saying that in terms of where do we settle , in terms of its kind of a derived growth in terms of what you are talking of.

Percy Panthaki : Sir, reason I ask is , even if we assume that volume growth going into FY2024 will remain robust say at around 15% ; but FY2024 will have very little price increases assuming that the materials stay at the current level and then if just implied pricing differential is to the extent of 10% , then we will dip into a single digit value growth in FY 2024. So, is that calculation correct and if not , where am I going wrong in that?

Amit Syngle: No, it's not the correct because you know what can happen is that when the volume growth goes up , what I was explaining to you . If it goes on certain category of products where the possibly , the increases which we have taken are fairly high to that extent , okay , it would kind of really increase the value growth s to that extent in terms of overall to that extent . Now, if it kind of really doesn't kind really get on to those product categories and the growth is coming from some of the other growth categories , then the differential would kind of get maintained overall to that extent . So, I would say that possibly going ahead , you know , our aim would be that possibly the you know the we are able to focus on the right set of products overall , which kind of gives that kind of a value growth and overall gross margin and profitability to that extent. So , as I said, I think the correct way to possibly kind of look at is that you can't put an algorithm or trend on to it that it will remain like this . It kind of really would kind of augur from the point of view of how the product mix kind of shapes up and second please remember that this 3% increase in terms of what is there which is the which will also have some implications going forward to that extent although nominal and not to the tune of what possibly it was last year .

Percy Panthaki : Thanks Sir, very helpful.

ul. Thanks, and all the best .

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Moderator: Thank you sir, we request everyone to kindly limit your questions to only 2. Our next caller is Mr. Jay kumar Doshi (Kotak Securities) , joining us via zoom video platform.

Jaykumar Doshi: Yeah, Hi Good Afternoon , thanks for the opportunity. I want to understand this Rs. 2100 crore investment for backward integration of VAE a little better . You know , if I did some ballpark maths, your overall RM cost COGS is about Rs. 19,000-20,000 crore s. So, I am assuming your Emulsion purchase will not be more than Rs. 7,000 - 8,000 crore s today is that right understanding?

Amit Syngle: No as I said, we don't kind of really purchase too much of emulsion s. We are making a lot of emulsion inside but as I said that there is a clear pricing difference in which comes in from the point of view of what we are using and what this possible technology will kind of offer to that extent. So currently we might be purchasing some quantity of

this emulsion from outside, which we are trying to make, but overall, when it kind of replaces the existing emulsions in terms of what we are using it will also give us a lot of benefit .

Jaykumar Doshi: You talked about 500 to 700 basis point gross margin advantage for , in part because of this white cement backward integration . What is the magnitude of gross margin improvement that this capex can drive for your rest of the decorative portfolio or emulsions portfolio?

Amit Syngle: So, overall , what we see is in terms of the advantages would be much higher as we look at from the point of view of the VAM VAE coming in terms of what it kind of really pegs us at from the point of view of overall margins . What we also have to remember is that we will also kind of see that whether as we kind of use this the emulsion going forward, whether we would like to kind of absorb those margins or we would like

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to also pass some of them in strategic pricing overall, in terms of as you go forward to that extent . But I think the margins here could be even higher

Jaykumar Doshi: Final one, how did this 1.5 lac capacity compare versus decorative paints . So, you are targeting 22.57 Lac tonnes of decorative paints capacity so will this be...

Amit Syngle: Sorry, we lost you in between . Will this be?

Jaykumar Doshi: How does this 1.5 Lac tonnes capacity of backward integration compares versus your overall decorative paints' capacity of 22.7 Lac tonnes that you are targeting.

Amit Syngle: Okay, so I think what it does is that it kind of bolsters our overall water - based emulsions capacity till about I think 2027 or so to that extent . After that might have to go for a further expansion, given the fact that the way we are kind of growing and projecting . So, it would kind of definitely give us an advantage till about 2027-2028 , but we will then have to kind of get into expansion plans over this 1.5 Lac KL capacity which we are talking of .

Jaykumar Doshi: Thank you so much , that's it from my side. Thanks a lot.

Moderator: Thank you Sir, our next is Mr. Varun Singh (IDBI Securities) joining us through teleconferencing . Sir, I request you to please mention your name and your company name and proceed with your question. Thank you.

Varun Singh: Yeah, thank you very much . So, my question is on the new endeavours . So, in the decorative segment sir if you can mention some ballpark number with regards to how much margin accretive, we expect with backward integration overall company level Sir.

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Amit Syngle: Sorry are you saying I couldn't understand your question. Are you saying that because of VAM VAE in terms of this thing because if you are hearing, the previous caller was asking exactly that .

Varun Singh: Yes sir, so white cement, VAE VAM combined both

any ballpark number that

we should expect with regard to overall operating margin improvement for the company.

Amit Syngle: No, as I said that overall basically, I think individually both will affect the gross margins in terms of the product categories differently and therefore we will have to see from the point of their overall contributions in terms of the business , as we kind of grow forward what are you doing ; but overall as I said, in both categories. I think the gross margin improvement easily to about 4 -5% will happen.

Varun Singh: Okay sir, sir my second question is on waterproofing business , so where do we stand as on now? You can give some understanding about the

overall business .

Amit Syngle: So, waterproofing you are asking ... okay , so what we think waterproofing we have been in the business of waterproofing for the last about 8 years now . Overall, the business has been growing substantially over all and is now a significant contributor in terms of our overall business going forward . Both at retail level as well as from the point of view of projects we have been doing extremely well. We think that as we look at from the retail market, we are easily one of the leading players in the market in terms of what we are and our brand 'Smart Care' has done extremely well. We have a slew of really differentiated products which we have offered in the market which are performing very well overall in the market. Even from a project point of view, we have kind of got into the whole backward integration of looking at making bituminous emulsions and bituminous membranes and HDP membranes which are there and specialised range with respect to

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the repair and construction chemicals. So today I think our range is more than 200 odd products which we have which come in the whole area of waterproofing and we think that today our positioning of being an expert solution provider is very very strong and this is the business we think will continue to kind of do well for us.

Varun Singh : Okay Sir, thank you very much and all the best .

Moderator: Thank you Sir, Thank you all for joining . I now request Mr. Amit Syngle to give the closing remarks

Amit Syngle: Okay, I think it was extremely good in terms of taking at least some of the questions from you and I think hopefully we have been able to answer some of your queries which have come into that extent . We look forward in terms of your interest with the brand kind of going up again and again and I can promise you that today , I think the whole area of excellence in terms of taking the brand ahead is something which we kind of really pursue very very strongly.

Wishing you a very happy Diwali and a strong festival ahead.

Thank you so much !

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Call: Jan 2023

APL/SEC/32/2022-23/70

23rd January, 2023

BSE Limited
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street,
Fort, Mumbai – 400 001
Scrip Code: 500820 National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1,
Block G, Bandra - Kurla Complex,
Bandra (East),
Mumbai – 400 051
Symbol: ASIANPAINT

Sir/Madam,

Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Investor Conference

Please find enclosed the transcript of the investor conference held on 19th January, 2023, with regard to the financial results of the Company for the quarter and nine months period ended 31st December, 2022.

The transcript has also been uploaded on the Company's website and can be accessed through the following link:

Investor Conference - Transcript

This is for your information and record.

Thanking you,

Yours truly,

For ASIAN PAINTS LIMITED

R J JEYAMURUGAN
CFO & COMPANY SECRETARY

Encl.: As above

"Asian Paints Q 3 FY2023 Earnings Conference Call"

January 19, 2023

Management : Mr. Amit Syngle : MD & CEO
Mr. R.J. Jeyamurugan : CFO & Company Secretary

Mr. Parag Rane : GM – Finance
Mr. Arun Nair : Manager - Corporate Communications

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Arun Nair: Good Evening and a very warm welcome to one and all to the Asian Paints Investor conference for Q 3 FY 2023 results . This is Arun Nair from Corporate Communications.

Today on the panel , we have Mr. Amit Syngle , MD & CEO ; Mr R .J. Jeyam urugan, CFO & Company Secretary and Mr. Parag Rane, GM - Finance. May I now request Mr. Amit Syngle to take you all through the presentation . Mr Amit Syngle over to you.

Amit Syngle : Thank you, and good evening to all of you for coming to this investor conference for the Quarter 3 Financial year 2023 results. So let me just take you through some of the brief highlights before we really get into the questioning.

As you are aware that it's now almost eight decades of existence in which we have been there for looking at existing to beautify, preserve, transform all spaces and objects, bringing happiness to the world in a big way. So that has been one of the core values in terms of what we have been kind of speaking of and that is what we really imbibe in terms of the core value.

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Just a disclaimer, obviously and going on to in terms of the results.

Obviously, this quarter has been a little bit of a rough quarter, in terms of what we have seen . The overall volumes are a little muted in terms of what we see with almost being a base and a value growth of about 1%. You know, this is obviously coming at the back of last year a very, very high price increase base which we have seen which is a 10% in increase which we had taken on 10th of November and a 5% increase we had taken on 1st of December. So fairly hefty increases in terms of what we have seen

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in the last year which had pre-poned a lot of Q4 volumes into Q3 of last year to that extent and that is why possibly one it is a very heavy base. And secondly, what we have also seen a prolonged monsoon which is kind of caught into the month of October, which has kind of really impacted the October volumes but there was a bounce back which happened in November and December ; and December especially , we have looked at you know, double digit volume growth which is back in terms of what we have got. The other clear thing is that we look at our overall journey the volume growths have been very, very strong if you look back on to the last 6-8 quarters to that extent and therefore if you look at even on that kind of a number, the three year compounded growth rate is close to about 16% on volume and about 17.6% on value.

So those are very strong numbers in line with our overall growth in terms of what we have been pursuing over a period of time. The nine monthly results kind of also gives us a peep in terms of how the overall year has been to that extent and we look at a clear double digit 13% volume growth which is there and a 23% value growth which is coming in , in terms of the overall decorative business. The CAGR numbers here are also very, very strong at volume at 18 and a value of 19.2. So clearly the nine monthly figures are very, very strong from the point of view of the overall growth of the business and the CAGR values kind of reflecting clearly, the fact that it is a consistency in terms of what's coming overall in terms of the overall growth story which has been there.

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This kind of just validates the statement which I was making, you know in the last slide . If you look at that kind of volume growth story, I think it has been very, very strong. Strong double digit numbers all across, and even the number when we see for the quarter 3 of financial year 23, the CAGR number is at about 16%. So clearly showing that this whole impetus of the volume growth have been very strong and this kind of really looks at possibly what would be the way ahead in terms of how we would look at the business going ahead.

Overall as I just qualified that the monsoon took a toll and all the seasonal markets which are the North, Central and the Western markets basically got affected because of the you know, October, you know, the monsoons extending well into the October and you're all aware that Diwali is a slightly high seasonality which kind of comes in and given the fact that the shorter Diwali, it took a larger toll with respect to the month of October to that extent, coupled with obviously the price increases basis in terms of what I have already spoken off. We saw you know, in fact, tepid growth across T 1, T2 and T 3, T4 centers. We don't see too much of a difference between the growth rates which we got in the relatively metros and you know the bigger cities to that extent as compared to the urban market overall in terms of what we see. So, in our case, we don't see too much of a difference, yes there could be a differential of about 1% or so in terms of the overall growths but largely not too much of a difference in terms of saying that the smaller centres have done extremely bad or something like that. So it is I think fairly uniform in terms of what we see here. What we also see is the December recovery, which is clearly a double digit growth coming across market in terms of the overall business which is there. So clearly, I think the larger inventory in the network last quarter, was one of the reasons in terms of possibly that inventory not being there in this quarter, to that extent and that has affected the numbers to some extent, in terms of both volume and value to some extent. We also see that the mix last year was definitely much better given the fact that the price increases were higher on the relatively high cost products in terms of the premium and the luxury products to that extent. And that is why, they got better stocked in last year to that extent which is what possibly has affected even the mix this year in terms of what we have seen, and we have definitely seen some bit of downtrading happening in the premium luxury spaces to economy spaces given the fact that today, there has been a lot of price increases which have happened to that extent, affecting the mix in terms of the Q3 clearly. However, the Project's business has been very, very strong still, and it is continuing to grow higher than the Retail business and we have grown very well in the government, the factories, the cooperative housing sector and in the builder segments and these have been able to propel higher quantum of sales happening across the country to that extent. Our entire foray in terms of looking at you know,

extending our presence across the country continues and we have largely a very strong entire program in terms of opening newer retail points to that extent. We have added about 10,000 new retail points in the nine months which have gone by this is on 10,000, which we added almost last year to that extent and therefore this reach continues to kind of go very, very strongly. We are closer to almost about 1.5 lakh retail points across the country which is kind of giving us very good presence than any other kind of brand in the industry to that extent. Overall, the services area has done also very well we have a painting service which is one a ' Safe Painting Service ', and the other which is called the ' Trusted Contractor Service '. Both doing extremely well and now we have a presence which is large across the country. And this is an unmatched kind of area which no possibly, no other company matches us in India or at global level to that extent with this kind of a service orientation, in terms of painting, which we have. So that's the crux in terms of some of the highlights, in terms of what we see as in terms of what has happened in the Decorative businesses.

Some of the new products which we have launched is also something giving us a very good inroads today. Some of these products are really top of the end products which are there and you look at ' Dynamo ' here which is a top of the end adhesive product, 'Purafin', which is again a strong wood finishes product which is the re, 'Apex' which is an exterior product coming in. So I think all these products come in with a very clear

technology advancement which comes in and something which cannot be matched by competition in a strong manner. Over the last few quarters, I have been showing you such products and today, we feel that we have about almost about 45 to 48 new products. We are basically competition or the industry doesn't have an answer, but it is a very good kind of preposition for the customers to have these kinds of products which basically gives them a large variety of solutions.

We have also launched two new cutting edge products which are there in the

waterproofing which is there, one for interior which is called the 'Hydro Loc Xtreme' and one for exterior, which is called the 'Damp Proof Xtreme'. Both products basically acting on waterproofing and efflorescence in a very very strong manner in terms of the way they give protection and suited to the Indian environment, especially to the coastal markets, where the dampness on the walls is higher to that extent. So, I think again, cutting edge products where possibly, we see that we have the kind of credence of these products being only with us and these products definitely the technology is patented in terms of the way we have kind of looked at launching them and putting them in the market.

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One other thing, which I wanted to highlight, which we have done which is a very strong thing is our partnership with the S+Art Foundation, which we have been working over the last eight years or so. We have done about you know 500 murals today across about across the country. This is our initiative to look at, you know really bringing art to public spaces and beautifying the public spaces in a very strong manner. And this is what we call is a democratization of art, where we take up basically large communities and design districts which we have created across the country, where we do this entire beautifying of the public spaces along with the communities who are there. It's a very large initiative. It gives brand very strong credits which is there to that extent. Recently, we've tied up with the Mumbai urban art festival which is there and which is currently on in Mumbai to that extent till 22nd February. I would urge a lot of you to kind of visit and enjoy this where we have done this entire Sassoon Dock, and really kind of looked at possibly giving the entire Mumbai it's a chance in terms of how basically public spaces can look very, very differently. We've also taken heritage structures and built it up in terms of showcasing the 'Colour of the year' in terms of what we have looked at. So very exciting times in terms of how it is kind of taking the whole brand imagery to another level as we kind of see going forward.

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We look at the home decor for as you remember this is the entire thing of 'Share of Surface' to 'Share of Space' kind of a transition which we are making in a strong manner. We have these stores which are a very big part of our journey in terms of offering decor under one roof, where we have now got about 38 stores which are functional across the you know T1, T2 cities and some of the metros to that extent where we kind of have almost about 15-16 categories being sold under one roof. But they are sold with a very clear proposition, which is technology led and which is led by interior designers and colour consultants which are there in these stores to that extent, a very strong customer proposition. We also have a 'Beautiful Homes Service', which is a personalized interior design to professional execution service, offered in 11 cities and this is also doing extremely well in terms of how we are able to take the full home proposition to a lot of people who are coming, who want to make their homes beautiful and do the entire home instead of just the painting. And I think it fits very clearly along with the current business because we are able to leverage this category of home decor to the people who are painting their homes, who want to kind of do renovation, get into first homes or into second homes to that extent. And therefore it becomes a very, very strong strategy which kind of really aids the core strategy of you know, paint and coatings to that extent.

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We also have a 'beautiful homes.com' which is inspiring portal, which is there which feeds into a lot of digital leads which kind of come in from people who are visiting this beautiful homes.com, and we already have about 150,000 Instagram followers and a lot of buzz on the social media in terms of this entire home decor in terms of what we do through beautiful homes. So if you look at this business, these stores are 38 in number world class stores designed by Fitch, which is an international retailing agency and this is the state-of-the-art stores which are coming and we believe as we kind of go forward, this is something which is going to really look at helping us reach home decor in millions and millions of homes in India very strongly.

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As part of this , we had acquired you know this company called 'White Teak', as you are aware and we have been kind of working around in terms of increasing the distribution footprint, looking at selling more and more of this decorative lighting and you will be happy to know that we've been able to do a lot a business of about Rs. 29 Crores in Q3 and on a nine monthly level we have done about Rs. 73 Crores of business against the last year full year business of about Rs. 58 Crores . So I think the strides we are taking a very, very big and this is clearly a profitable business which is going ahead in a very strong manner. The other company which we had acquired was 'Weatherseal', which makes UPVC Doors and windows. Again Q3, we have done about Rs. 7 Crores here. You know , our total revenue, which is from June to December of about Rs. 15 Crores is what we have done against the last year full revenue of about Rs 14 Crores to that extent. A gain, good strides in this and possibly as we kind of go ahead , we will keep on reporting very healthy numbers there as we kind of go ahead. So I think these are kind of adding to our whole story of the beautiful homes, within the stores on in the home service in terms of what we are running .

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The Kitchen business and the Bath business overall. faced a little bit of a slowdown in Q3 more because of the fact that the retailing was down a little bit and they also had price increases basis overall to that extent even in the last year to that extent. So overall if you look at the Kitchen business was down by about 7% on the top line in Q3 and in the Bath business, if you look at possibly was down by a close to about 11% in terms of the overall revenue. But the nine monthly results for both businesses show clearly double digit growths of 19% and 26% respectively in terms of what we have been able to see. On the PBT front of both businesses, we see that the Bath business for the last five six quarters has been giving us profits this month. This quarter was a little bit of a blip to that extent where we had slight loss in terms of the business, but on a nine monthly level we are clearly looking at about Rs. 4 Crores profit in terms of the overall operations . The Kitchen operations, this year have been challenged a little because of the components business there have not doing too well and the sanware business not performing too well because of the slower retailing to that extent. And overall the Kitchen business on the PBT front , has shown a loss of about Rs 6 Crores and this is something which we are working strongly in terms of what we can do , because even on a overall year basis, there is accumulated loss which is kind of coming onto this business , but I think we are confident of turning this

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around as you kind of go forward because , in the previous quarters we have been able to do a breakeven in terms of this business to that extent.

When we go ahead and look at our international , which is what we call as the ' AP Global ' operation , this is the representation , you'll see on the countries , where we are represented and the down below are the brands in terms of what we operate here.

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I think the markets have done fairly well overall to that extent, although they were a little bit muted market. So it's a mixed result in a way so we've seen overall AP Global doing about a 2% kind of revenue growth this year in the Q3 . However , if we just take out Lanka out of this , where Sri Lanka you're aware in terms of has been not doing too well. The growth rates go up to about 13% in terms of the overall AP Global business. On a nine monthly level , we are at about 11% growth in the global business. As I said, Africa has been doing very well , Middle East has done well. Asia has been a little bit of an issue where we have seen Lanka obviously at a certain level. Bangladesh was facing certain Forex problems to that extent and Nepal saw a little bit of a slowdown in the market in this period to that extent, which has led to Asia kind of coming down a little bit. South Pacific was also marginally down to that extent but on the overall front you know, minus Lanka , we have still kind of done quite well in terms of the overall global business . On the PBT level again , this year has been a very strong year as far as the PBT is concerned we are at almost at about Rs. 37 Crores kind of Profit in Q3 , which is there , which is a huge up on the last year where we are facing a debacle because of the price increases and the inflation which is coming even on a nine monthly basis with the profit is about Rs. 118 Crores . So I think the total profitability in the global has been a big story in terms of what we are seeing which translates to the PBDIT margins as well doing well and overall gross margins also

going up in the overall business to that extent. So, that's the AP Global business in terms of what is there .

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Coming quickly to the industrial business, you know we cater to every kind of surface here, whether it is Auto OE, whether it is in terms of General Industrial or it is in terms of Powder, we cater to all the businesses here .

We have two joint ventures which is there one is called the PPG -AP. This is a venture which kind of caters to the automotive segment. The auto story has been very, very strong. Last 2 quarters , we have seen auto coming back very strongly. In this quarter also, auto was very good, leading to almost about a 24% kind of quarter growth, which

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we have seen and even on a nine month level we have seen , overall business at about 34% kind of growth to that extent. So, very very strong top line which we have seen as far as this business is concerned. When we look at from the point of view of overall bottom line, the bottom line also has been healthy in terms of this business because we have been able to take price increases overall in support the business . We have seen about Rs. 91 Crores kind of profit this quarter and overall profit is at about 194% kind of growth. So I think the business has done extremely well both top line and bottom line. If you look at the General Industrial business, which is AP- PPG. Again, the business here is very strong. We've got a 24% top line kind of a growth which has come in , on a nine monthly level it goes to about 33% kind of growth which is there. So consistently for the last about 10 quarters , this business has been on double digit growth. So very, very strong story on the industrial side which is coming and the profitability has been also very good in terms of what it has come to Rs. 26 Crores in the quarter and about Rs. 51 Crores on a nine monthly basis. So overall, the margins have gone up , the gross margins have gone up and therefore the Industrial story is sounding extremely good in terms of what it is done in the quarter and almost at the nine monthly level as well. So this is basically the overall story amongst the businesses.

Just a trend to kind of show you that from a Standalone gross margins, how the gross margins have moved. Last time , there was a lot of concerns about the margins coming

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down this , this quarter we have got back very, very strongly. So on a sequential basis, we have gone from 35.6 to about 38.7 which is almost about a 3.1% jump in terms of what you see in terms of the gross margins coming over . Material deflation of almost about 7% which we have seen the quarter which is also half realized because of the higher inventory which is there in this quarter. So obviously margins are expected to possibly go even higher as we see the next quarter coming in. Even on a year on year , we see that , we are back to our original kind of profits of about 38 , 38.9% which used to be the gross margin at that point of time earlier. 43.6 is a bit of an aberration, but I think we are back to the overall gross margins in terms of because of the deflation now happening to that extent and this only will get better as we kind of look at it. Even from year-on-year kind of gross margin situation , we have gone from 36.9 to about a 38.7 kind of a this thing which is almost like a 1.8% jump happening on the gross margin. So strong margin kind of scenarios. Which are emerging to that extent.

The overall summary of the business appears like this . Overall, the standalone business there is one per cent kind of top line which is coming the gross margins have gone up the PB DIT margins have up to that extent. Overall if you look at PB T is at about a 6% growth to that extent and so is the PAT to that overall level. On the point of view of nine months this thing , the picture is very healthy. Overall net sales are at about 23% gross margins are also up as I just spoke about it and therefore the PB T and

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PAT numbers are very, very strong from the point of view of almost showing about a 28% growth coming in from those numbers.

When we look at consol pictures , overall, the situation is largely similar in terms of what we see with a 2% top line coming and you know we see basically clear

improvement with respect to the PBDIT margins sequentially going up from basically what 14.6 to about 18.7 in Q3 to that extent. And even here on here there is a very clear kind of increase which has happened of about 0.5% to that extent. So overall PAT is at about 6% growth. On a nine monthly basis, obviously the picture is far far stronger, 22% top line pat of 33%, both PBDIT and PBT numbers also looking fairly healthy. So I think that's something which is the overall picture. So that really completes the financial part of it.

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I wanted to just highlight one or two more areas to you. As we kind of go ahead, we are still kind of quite positive in terms of what we see as a quarter story ahead. We've seen good kind of upturn in terms of December, which has happened. We think it is more the base correction which has happened this quarter. To that extent the overall foray from our sides in terms of growth will continue and that is something which we'll pursue as a growth story in terms of what we have been doing. Overall, what we see is that, in our case, we are still expecting T3, T4 towns to kind of really bounce back as we kind of go ahead. The rains have been good. Overall indications from the rural sector are going forward that in Q4 we will get better results and in Q1 going forward of next year, I think it will be still better. When we look at material prices overall, we are expecting it to soften it further plus we have not taken the full impact of the you know the deflation which is in Q3. So overall I think the prediction obviously is that the margins will get only better in terms of looking at going forward. The B2B business, Projects business will continue to do well. As I said the Industrial businesses are doing well. And I think they should continue in terms of doing so to that extent. Yes, a little bit of a caution in terms of the recessionary fears in terms of what we are seeing, but if the GDP continues to kind of grow at this pace to that extent, we do see no reason in terms of why possibly the Indian markets should not do well. Yes, international markets, there are some African Asian markets where there are

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forex pressures, but that is something I think we will just have to exercise a little bit of caution in terms of how basically it pans out as we look at Q4 and then the Q1 of next year. So, this is about what we see as in terms of the path forward going forward.

Just to kind of update while all these announcements we have made and we have apprised you last time as well. Our total investments, we are going to now look at going forward, is close to about Rs. 8750 Crores. That's a quite a strong kind of punch which we are giving because today we are convinced about the growth story coming in and we've announced a new plant which is coming on the anvil. This is total Greenfield plant which is coming where we've just announced about a Rs. 2000 Crores kind of investment with a 4 Lakh KL kind of capacity which is coming. Currently with some of the Brownfield which was coming our capacity was going to about 22.7 Lakh KL and with this new Greenfield coming, 4 Lakh KL will get added and will go to about 26.7 Lakh KL kind of per annum capacity overall to that extent, with already a huge capacity in terms of what we look at from the point of view of outside processing. So I think, we are preparing ourselves very strongly for the next three years to four years to how we kind of see the overall growths panning out in terms of looking at. In addition, the backward integration initiative we announced in terms of our white cement and the VAM VAE kind of areas which we are putting money and those should be ready in other two years time as we look which would kind of give

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us a further increase in terms of our margins as we kind of go forward. So strong story in terms of looking at profitable growth as we kind of go ahead in a strong manner. So that's what I wanted to share with you. And I'm sure now there are questions and we'll take the questions now. Thank you.

Moderator: Good Evening, everyone. Today we have participants joining via Zoom video platform and via teleconferencing. Requesting all participants joined via zoom video platform, kindly rename yourself with your name and your company name. Please use the raise hand feature to ask a question to the panellists. Kindly unmute when given a chance to ask a question. Please mention your name and your company name before asking your question. Kindly restrict your questions to only 2 due to time constraints. Participants connecting via Zoom video platform can post their questions on the chat box and we will ask on your behalf. Participants joining via teleconference,

please press *1 to ask your question. Our first caller has joined via zoom, Mr. Abneesh Roy (Nuvama).

Abneesh Roy: Yeah Hi, thanks for the opportunity. My first question is on the capacity and the demand in paints. So if I see in Q2, You had sharply increased the capacity guidance and now in Q3 further 4 lakh have been added. Being industry leader, I'm sure you will be tracking the capacity addition announcement by non-paint players, number 2, number 3 paint players also. So one question I had was over the next three four years with your capacity and so much capacity in the market, How do you see overall market share, overall pricing discipline etc. Because of that, because everything seems to be happening at the same time. What would your view be on that?

Amit Syngle: So first of all, as we see it, you know, our capex announcement is not equivalent to sales. I have been maintaining that for a very strong point of point of time. And we see that today when we are looking at an increase in capacity, it is to do with the way we have been growing in the last 10-15 years at a certain CAGR in terms of overall volume. And if we look at the last two years, we have added almost about Rs. 9000 Crores overall in just about two years to that extent. So, our capacity expansions in terms of what we are looking is in line with what we have seen as our

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growth patterns and also what we are putting our strategic direction in terms of growing and expanding our footprint with respect to the emerging Indian market, which we see a lot of potential in terms of going. Today, what I see very clearly is that the market is about Rs. 70,000 Crores to that extent. So we have all the newer players who are coming and they want to kind of do business, maximum I see in another three years' time, they can do a maximum sale of about Rs. 1000 Crores to Rs. 1500 Crores which actually would be miniscule percentage of the total capacity they are talking of in terms of putting. So I can say that for Asian paints that it is a very clear calculated move in terms of what we are making because today we are operating at about 70-75% of our capacity and going forward, we are very clear that we would be able to kind of utilize all these capacities and we are keeping pace with our growth plans to that extent and with respect to how others are kind of putting their capacity, I think it is their only calculation which is there. We do not know in terms of how they justify the capacity additions which they will do over a period of time because we don't see that they will be able to realize the capacities to that extent in terms of the way they are putting the capacities.

Abneesh Roy: Sure Amit, Thanks, one follow up on the demand bit. In Q3, the demand has been volatile. So, when I see the November remarks and December remarks, I wanted to understand the difference there. Is it because

of the base because

in December you have said double-digit growth, November you have set a recovery. So is it just because of base because what is the reason for difference in the commentary and in Q4, would you say that the double-digit sales growth which happened in December, could you be confident of a double-digit growth for the full quarter in Q4.

Amit Syngle: So, I think we are very clear that the commentary which is there for the quarter is that I spoke of two very heavy price increases which we took last year of almost 10 and 5% which has kind of increased the stock into the market and therefore the inventory has kind of had gone up in the network in a very strong manner. So that was clearly one of the reasons which we saw that we saw very, very strong numbers which were there in October and November which came in because of these

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two price increases to that extent. The second reason is that the extended monsoons which went on till almost about 15th October, really kind of effected the shorter Diwali which we had to that extent and therefore that was a double impact on the October volumes in terms of what it took this year to that extent and therefore I think the October is totally understandable in the way it was. And what we clearly saw that there was some impact of the price increase based in November as well. But definitely there was a recovery which happened and I think December we were back to normal in terms of what we could see with respect to the overall market conditions and how we see the secondaries moving in the market. Therefore, what we see is that we are fairly optimistic about the Q4 in terms of going forward. Obviously, the cold wave has been very, very strong in the northern markets in terms of some extent, which also

effects the exterior painting at this point of time. But I think, we are confident that overall that the Q4 volumes should be optimistic in terms of going forward.

Abneesh Roy: Sure, and my second and last question is on the Bath and the Kitchen. So those are a bit more discretionary versus paints and when I see the urban demand in terms of new drivers clearly, we are seeing job losses in the start-ups, tech job addition has been anti multi quarter low. But then I also see that there is a inflation cooling off and the salary hikes also seem to be quite optimistic. So, if I mix all this, how do you see your Bath and Kitchen growth in the coming quarters?

Amit Syngle: So, in fact, I would qualify that question from the point of view of our home decor completely because now it is not the question of only Bath and Kitchen. It's a question of kitchen, furnishing, lighting everything in terms of what we sell. So, as we kind of look at the Q4 yes, these are categories which are slightly more discretionary, but we feel that this should be also in line with the overall economy in terms of the way we go off. The construction is going on at a good rate and there is good real estate equity in the market in terms of people are purchasing new homes and second homes despite the interest rates going up. So I think it is all dependent on this whole area of housing index, new construction, new houses coming up to that extent, but I think we are still optimistic that the overall home decor should kind of continue to do well as we kind of look at Q4 as well.

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Abneesh Roy: So, thanks. That's all for my side, thank you.

Moderator: Thank you very much for your questions, Sir. I request all the participants to kindly limit your questions to only two due to time constraints. Moving ahead, our next caller has joined via Zoom video platform, Mr. Avi Mehta (Macquarie).

Avi Mehta: Hi, sorry, am I audible?

Amit Syngle: Yes, you are.

Avi Mehta: Hi Sir, I just wanted to kind of build it on your comment on the sequential EBITDA margin expansion in fourth quarter, given that

third quarter was already at

around 19-20%. Should the current input environment in terms of costs and if I hear you your demand commentary was also fairly supportive, are we looking at 20% Plus EBITDA margin trajectory going forward? Is that a fair way to read your comments or am I wrong in that assessment?

Amit Syngle: So, if you know, we have already kind of maintained that we would lie in this whole band of about 17-20% band in terms of what we have been speaking about. Obviously, when we look at, you know the PB DIT margins of the last quarter. It has improved by almost about 4.8% as far as the standalone business is concerned, and what we see is the realization in terms of the deflation has not been fully there to that extent. However, what we will see is that I think, we see that there could be marginal increase in terms of the overall margins, which we'll see in Q4. But definitely we are seeing some more deflation to come and full realization of the Q3 deflation to that extent. So therefore, we definitely see the margins to kind of go up.

Avi Mehta: And Sir, would it be fair that the mix also was inferior. The volume growth also was relatively weaker. So you also had, you know those headwinds in terms of margins and all that together still, you know, while steady state might be that range, it could be slightly ahead or more ahead of that. That's why I was coming. That's where I was coming with

Amit Syngle: Yeah, it would definitely be there because the product mix given the fact that last year in the same quarter, the high value products had a higher price increase and therefore the inventory of those products was higher. So as we kind of

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go see that the mix would definitely kind of improve is what we are confident of and obviously as the volume grows improve, the value grows also will improve with a better mix to that extent. So that will also definitely positively impact the margins.

Avi Mehta: Perfect Sir, okay and the second bit I just wanted to just understand the demand comment a little better. While you highlighted December had seen double digit value growth. I just want to understand what gives us confidence because there is also this comment that keeps kind of floating around that the stronger growths in the earlier periods was more an advancement of demand and hence we could probably move to a period of slow volume growth. I would love to hear your thoughts on why you believe that may not be the case.

Amit Syngle: So, what I see is that, you know, going forward, obviously a lot depends

in terms of how the economy behaves and how the overall GDP comes up. We feel that, you know, there is definitely you know, a little bit of a bettering down not very high volatile volume grows to that extent. So, I think the volume growth would continue possibly, the level of volume growth which we have seen in the past would definitely come down to that extent because today the markets are kind of now coming to a certain maturity. They have seen two years of good growth overall to that extent the bases which we all are sitting are at a certain level. So we might not see very explosive volume growths to that extent, but definitely I think we would see good volume growths going forward to that extent because of the overall economy what has been predicted at being a decent level as we kind of go forward. So from that point of view, I think the December double digit was a good indication. But as I said then double digit there is always an 11% and there is always a 20% as well. So I think the double digits also vary from that point of view to that extent. And therefore what we are saying is that we are optimistic, but obviously I think the overall kind of story on volume growths might not be the same as what we have seen in the last two years.

Avi Mehta: Sir, but good would mean still a double digit? Would that

be a fair comment? I think it can be 11 or 20, but still that would be a reasonable range

Amit Syngle: Yes.

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Avi Mehta: Or are we seeing could might be a single digit, that's why I just wanted to clarify that point.

Amit Syngle: No, I will leave that interpretation to you. But for us, I think good can really be definitely in the double digit growths.

Avi Mehta: Perfect sir. That's all from my side. Thank you very much.

Moderator: Thank you very much. So our next caller has joined us via Zoom video platform. Mr. Jaykumar Doshi (Kotak Securities).

Jaykumar Doshi: Hi, thanks for the opportunity. You mentioned that, you know, full impact of 3Q deflation was not reflected in gross margin. And over and above that there is further reduction in RM prices in 4Q. So is it possible to quantify what is the extent of gross margin improvement? Should we expect further from 39% all levels for India business if RM prices stabilize at current levels? And at what point of time would you consider passing on some benefit to customers in the form of end product price reductions and what gross margins would you consider there?

Amit Syngle: So what we see is that see we are still assessing that for Q4 what would be the exact kind of deflation which we would see. As I said that part utilization of the deflation has happened in the Q3, which is there. Now I think it totally depends in terms of how Q4 augurs from the point of view of total RM softening in terms of what we see and I think any decision with respect to price corrections or otherwise we will take only when we are kind of very clear that there are certain kinds of cost reductions which are happening from the point of view of Q4 and they are there to stay in the market because we should not forget that there is still which is a war which is going on to that extent, there is still some volatility, which we see in terms of the variation from up and down in terms of the prices which are happening to that extent. So we will take a call depending on how Q4 finally augurs with respect to the deflation. As far as gross margins are concerned, I think too from existing level of about 39 in terms of 38.6 where we are to that extent, there would be definitely marginal improvement which we'll definitely see as a result of what we have seen from the Q3 kind of deflation which overall has come about.

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Jaykumar Doshi: Just a follow up there, are you still maintaining your band of 39 to 40% as the range you want to be in or is there a possibility of it moving up?

Amit Syngle: So see, it totally depends in terms of the softening of the prices and where they are and when do we kind of if they go up but yes, we would like to maintain overall, the overall band in terms of about that 38 to 40% in terms of what we would like to keep ideally.

Jaykumar Doshi: Perfect, and capacity expansion increase from 17.5 lakhs to 26 point something, so it's roughly about 50% increase. So is this like for like, I know you have some third party contract manufacturing also. Is the mix going to change? This is more of like for like a 50% increase.

Amit Syngle: No, this is our in house capacity in terms of what we are talking of increasing and there we have a mix of increases in capacity which is happening in water-based in terms of so lvent-based in terms of some of the wood finishes

categories, and even in terms of the waterproofing areas . So it kind of really spans across the various kind of overall product range in terms of what we have . As far as the you know the outsource d manufactur ing is concerned , that is something which is in line it is almost equal to about almost about 15 lakh to 16 lakh KL in terms of capacity , which we have to that extent , which possibly is not going up at a very very high pitch as compared to what we are doing at in terms of the in-house kind of i

nvestments.

Jaykumar Doshi : But outsourced is usually different products. set of products right ..

Amit Syngle: So yeah, so that is what I'm saying the outside processing largely would be for some of our powder products and some of the other prim er products in terms of what we have to that extent even some range of sti ff paints which we have to that extent, but ther e is some duplication, which happens in terms of the outside and the inside capacity as well. Depending on how the overall kind of logistics fare out in terms of various regions to that extent. So, as I said that the larger increase in capacities is in overall our water -based our overall solvent -based products and in terms of some wood finishes and waterproofing categories.

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Jaykumar Doshi : Thank you so much.

Moderator: Thank you sir, our next caller is Mr. Shirish Pardeshi (Centrum), joined us via Zoom video platform.

Shirish Pardeshi: Hi Good Evening, Amit a nd team . Thanks for the opportunity.

Two question s.. so you started with the remark that this quarter was rough. And you did explain that the rains were prolonged. But however, December you also mentioned you were very positive. So just wanted to understand in the beginning of rains or October , was the system inventory was cut because maybe the trade was expecting some some amount of price cuts and maybe if you can say what is the inventory level to day happening at the trade level.

Amit Syngle: So as I said that, see when you announce a 10% increase you know the inventory levels across the entire trade will definitely go up, because in our paint industry 10% is too huge kind of you know pricing price increases will happen . If any retailer doesn't pick up any material in this kind of increase then the retailer cannot function in the market to that extent. So there was an all- round inventory increase

across the set of retailers , whether it i s small towns, mid towns, or it is the T 1, T2 or the metro cities to that exten t and therefore, the inventory definitely went up in the month of October and again in the month of November to that extent and therefore, if you sequentially look at it, Q4 was a little bit weaker as compared to the Q3 of last year to that extent. So I think very clearly what we saw was that this inventory impact coupled by the monsoon impact of October, which I spoke of, really did depress October in terms of the way we it kind of came up. There was definitely a recovery in

November, which we saw, but it was not a full recovery because we had another price increase on first of December, which kind of really kept the inventory levels inflated to some extent. And it was only in December that those inventories started liquidating and compared to last quarter this year, we definitely see that the level of inventory in the network would be limited and not to the extent in terms of the way it was in Q3 of last year.

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Shirish Pardeshi: Just one follow up here, I do understand for many years, we ran the annual incentive for the trade partners. Now was it that also was not a driver, or the quantum of incentive was not lucrative for the trade to pick up the inventory.

Amit Syngle: The quantum of incentive can never match the 15% kind of a price increase . So it can never match the price increases.

Shirish Pardeshi: Okay. Second question on the overall capacity expansion. You did mention that the capacity is growing, but can you give us some timelines over the next 8 to 10 months or maybe 12 months, what is the water base capacity which is going to come in the system?

Amit Syngle: So as I said that currently from 17 , we are going to about 22.7 lakh KL which is there. So, you see almost five lakh KL jump which is happening and this five lakh KL jump would happen possibly in the next about two years to two and a half years in terms of what will come out and then we will start

basically actioning the four

lakh capacity in terms of what we have spoken of.

Shirish Pardeshi: Okay, thank you Amit and all the best to you and the team .

Amit Syngle: Thank you.

Moderator: Thank you sir, our next caller has joined us via Zoom video platform, Mr.

Manoj Menon (ICICI Securities).

Manoj Menon: Hi team, this is Manoj from ICICI Securities. Normally, I wouldn't focus too much on the short term but this time given there are just too many moving parts and one off . Just forced to ask a few follow up again on the December quarter.

To start with, you know, given the flatish rupees Crores revenue, largely speaking in standalone, does it kind of imply that paints would have declined significantly given the assumption that the rest of the business would have grown pretty well?

Amit Syngle: No, I think nothing like that. Overall because the larger contribution is from the paints only to that extent. So, overall if you look at from an organization perspective, the other businesses are fairly small from the point of view of the coatings businesses. So, the larger impact has come in from largely the decorative business of

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paints specifically, as I said, the industrial businesses, both Auto and the General Industrial business and coatings have done well. So the larger kind of impact is from the point of view of the Decorative business.

Manoj Menon: Amit my question is, thanks for this was essentially , example do we include adhesives in the definition of decoratives. I am not sure whether I should add up both, whether adhesives should be clubbed with paints , we are trying to analyse. Just unsure.

Parag Rane : In the standalone revenue number , both paints and adhesives is definitely a part of it but the volume numbers are standalone paints , So to that extent, the volume is only for paints

Amit Syngle: And see in terms of the other businesses like even adhesives and all as compared to the overall larger categories, it will still be the larger categories which dominate the overall this thing . So it is reflective of the overall larger interior, exteriors, wood finishes and the waterproofing business which we have .

Manoj Menon : Fair Point and Secondly, it also is looking through the last year call transcripts exactly the same time 12 months back, you know, what we find is, there are questions about inventory, etc. last year and the comment was, it is not a material one, that's one , second, you know, given the as a recall you know, the October, let's say the price , and the price increases in November, which was one of the highest, etc. Essentially, meant that that December would have been a low base month for you, right? I mean, so what I'm trying to understand is the recovery this December, is it an optical one or is it something underlying here?

Amit Syngle: No. So what as I said is that the recovery in December we see measure in terms of more from the point of view of the secondaries, which we see in the market, to that extent, because it's not that the inventory in the market will become zero, there will be some inventory which will still remain in the system to that extent, and what

we would kind of say is that the double digit recovery in terms of what we are seeing is definitely with respect to the secondaries, which have been moving the market and

we have seen that the secondaries have moved both in the T 1, T2 and T 3, T4 cities to

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that extent. So actually the double digit is coming, more from the point of view of watching what the extent the secondaries have kind of come in, and there is no possibly inventory pile up, which is kind of happening in the month of December, which is giving the double digit to the extent. But to the fact that last year, December would have been slightly lesser because of the increased pileup of inventory of October and November. That comment would be right

Manoj Menon: Fair point , Amit thanks for that. Secondly, just on the ESOP plan, which was announced some time back, you know, it's one of the first let's say you're done in a long time. Just could you comment about the people policy attrition particularly in the middle and above, and some more colour on the ESOP etc and, and more importantly, an analysis on let's say, What made the management decide to do this at a particular point in time and how do you see this panning out?

Amit Syngle: So, the ESOP policy was announced in June of 2020, in terms of when we had kind of really announced the whole area. So it was done almost about three years back in terms of what we see. One of the areas which we kind of looked at was that ESOP was now becoming a norm in all, you know, world multinational FMCG

companies to that extent, and when we peg ourselves, we compare ourselves to the best in the world in terms of looking at the kind of people we get from premium campuses, all across India, and even at the lateral level in terms of whatever we take. So I think the whole concept of looking at ESOPs came in from the point of view of saying that this would be a strong area in terms of looking at one, propelling the overall growth in terms of linking it to the actual kind of business growths and therefore the return to the stakeholders, which kind of really happens. And the second area obviously, we looked at, was saying that as we kind of go ahead, the human capital is very, very important and the way we have ambitions in terms of going forward, we needed to kind of also see that we could kind of look at a dual area of both, you know, incentivization and retention of people in the organization to that extent. So I think that was the basis in terms of what we looked at the ESOP strategy and what we have seen in the last three years, actually, that overall, you know, the attrition rates today to that extent, are basically in a certain band in terms of what we

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see overall. The rates have not kind of gone up. In specific cadres it might have kind of increased a little bit here and there to that extent, but as far as the top and middle management is concerned, that is something which is basically in line with the last about seven, eight years in terms of what we have seen as the overall attrition.

Moderator: Thank you sir, our next caller is Mr. Tejash Shah (Aventus Spark) joined us via Zoom video platform.

Tejash Shah: Hi, thanks for the opportunity. Sir, we have been growing aggressively in Projects business for a while. So just wanted to know what will be our current contribution from this vertical and is there any number that you would like to saturate this business and how different is the margin and working capital profile of this vertical versus our core B2C paint business.

Amit Syngle: So overall, from the profile, we really see that this business is pegged at about anywhere close to about 15-20% of the total business in terms of what we see. It varies depending on how the overall retail and the project growth rate really pan out to that extent, but it kind of is in that kind of a band in terms of what we see.

Overall, the growths in this business have been stronger in terms of what we see from a point of view of overall businesses which we have been able to see whether it is a builder segment, the government segment, the cooperative housing sector or the factory segment to that extent, and there is something which is a very strong focus in

terms of what we have maintained. As far as overall working capital is concerned, we really worked through our retailers here and there is not a direct kind of intervention in terms of what we make to that extent.

So therefore, the working capital

requirements are literally similar as compared to the retailing environment. As far as overall returns are concerned from the business. Yes, definitely.

This business is far more competitive to that extent, and it is definitely something which is slightly lower than the retail business in terms of what we make.

Tejash Shah: Sir second and last question. For many years, infact decades, this sector has enjoyed a form of oligopoly. And this question was perhaps not relevant because everybody was growing together. But now we have a attracted competition from various quarters not even from our industry, but from outside also. So do you believe

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that the case for consolidation is very strong now than ever? And if you believe in that, would Asian Paints be willing to participate? In this? Or would you prefer to go organically and then face competition on your own?

Amit Syngle: You're talking about the paints category. I missed the first part of your question.

Tejash Shah: Yeah sir, yeah sir paints category.

Amit Syngle: Okay. So as I see it, I think, given the strengths which we have, from the point of view of our R&D, the strengths which we have in IT, the world class supply engine which we have and the areas of marketing and branding excellence in terms of what we pursue, I think we have been very strong in terms of looking at pursuing the kind of, you know, growths and the returns which we have seen. We have almost have a CAGR of about 12 to 14% in terms of what we have had for the last about 10 to 12 years and it has been a very strong growth rate in terms of we have been able to see. As a leader we have also been growing the market to that extent, and we don't look at competition only from the point of view of acquisition of sales from any other player to that extent. So we were the first pioneers in the exterior market to kind of grow up the market from cement paints to that extent. We have kind of transformed

the French Polish market in terms of entire wood finishes market. We have looked at the bottom of the pyramid to explode the entire distemper market into economy emulsion sales market. So what we see is that we have been taking strategic shifts in terms of increasing the per capita consumption of paint and therefore, we have been channelizing the growth strategy of paint sector in a certain manner to that extent. As we believe we will continue to do that we don't really look at from the point of view of saying that any acquisition of competition is kind of giving us any benefits from the point of view of our strategy to that extent, but having said that, if there is a preposition which is really cutting edge, if it is there is something which comes up, which kind of adds to the organization from the point of view of either technology or from any other strength area, we are open to that in terms of looking at in terms of anything which comes from a consolidation point of view to that extent; but I believe that we have a very strong story of our own, which is very clearly growth rate

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and it has led from a profitable growth perspective. Also, I think, I like to factually correct you that it is not that the competition is coming now. The competition has been coming for the last two decades. We had Sherwin Williams, which came in some time back, tried persisting for a certain point of time. We have had entries of Nippon, Jotun, lot many other players in the market. We have loads of other players which are relatively at a small level. There is already a Kamdhenu and there are other players to that extent. So I think the market is an Indigo, which has come up seven years, eight years back. So I think the market always has seen a lot of players coming into this market to that extent. So therefore, we see that this is a continuous process and I think we anticipate even more players coming as we can go ahead.

Moderator: Thank you Sir. Our last caller of the day is Mr. Mihir Shah (Nomura), joining us via zoom with your platform.

Mihir Shah: Thank

you for taking my question. This is Mihir Shah from Nomura. So I just wanted to get your understanding on the demand environment in the near to medium term and how you see it because you know when we see your 3Q numbers and other discretionary category numbers, it is indicating a slowdown. Can we say that Asian Paints 3Q numbers, you know there was one off in the numbers and volume, you know, like you highlighted for the December month can continue to deliver double digit growth over the next couple of quarters. Is there any trend that you're seeing in rural, of course, you highlighted that the spot there was no trend but any trend that you've seen that in rural or urban demand. Is there slowdown gripping on or are there any green shoots of improvement, any kind of indication or you know even from the unorganized - are you seeing any competitive intensity increasing any of these, You know from the demand front if you can touch upon that would be very helpful sir. Thank you sir.

Amit Syngle: So I've already touched on this question and as I see it that overall, I think we remain pretty optimistic about the coming quarter to that extent in terms of the overall sales. Yes, there has been a little bit of a slowdown and I mentioned that possibly the kind of growths which we have seen in the last two years might start coming down to that extent, but we still see, you know healthy growths which are

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going to happen in the market as far as the paints category is concerned going forward; and therefore as I said that, possibly I don't see any difference with respect to T1, T2 cities or T3, T4 cities. In fact, our anticipation is that some of the T3 T4 cities will start coming up as we reach the middle of the Q4 and Q1 of next year to that extent. So overall, I think we are still kind of very positive about Q4 in terms of looking at how the growths are because I think the last 12 quarters, or last 11 quarters indicate the growth trajectory in terms of what we have been able to deliver and therefore we will see that this quarter definitely was affected given the high bases and the price increases in terms of what we have taken in the past; but we remain positive as far as Q4 is concerned.

Mihir Shah: Good to hear that, sir. Thank you. That's very helpful. So my last question is actually a bit a little bit of a bookkeeping. I just wanted to understand the mixed impact. When you triangulate the value growth and volume growth. You know and we factor in the earlier taken price increases. You know, we're still seeing, you know, price increase would have been in a mid teen range for the 3Q. Of course, it'll slow down further in the 4Q. But the mix impact for the 3Q seems to be quite large, similar to what we've seen in the 2Q, somewhere about you know, 12 to 14% range.

Sir, can this quantum continue, or will it reduce to the, you know, negative 5% levels that we are used to seeing in the earlier years you know, so that's all from my side. Thank you.

Amit Syngle: So, what we see going forward, that the mix will definitely improve. We are kind of predicting that for the Q4 overall the mix as compared to Q3, we have delivered would definitely improve and therefore what we definitely see is that going forward, we will have possibly, you know, a larger focus with respect to the kind of growths which come in from, you know, the high end, premium luxury products in terms of going forward, which will definitely kind of look at in terms of taking the overall volume and value gaps to a certain level in terms of what we have seen in good in some of the times earlier to that extent. So therefore, going forward, we will always see possibly, you know, a gap of about, you know, the 4 to 6% kind of gaps which we see between them the volume and the value as we kind of go forward.

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Mihir Shah: Fantastic. That's very heartening to hear.

And I completely understand the point that you mentioned on the gross margin improvement, so nothing further to add. Just if you can throw one more small little bit of all the other expenses, you know, we've seen some moderation, can this be attributed to lower ad spends? And given that there's a large capex announcement? When will these costs you know start coming in and to what level would they kind of increase the other expense line item? That's all from my side? Thank you.

Amit Syngle: So overall, we don't see any aberration with respect to the overall overheads. The overheads would partially be as a percentage be higher because of the lower volumes to that extent, but overall, from a point of view of whether going forward that it can affect our advertising or marketing expenses or in terms of employee spends or in terms of general overheads, we don't see that there would be any larger curbs or anything which we would kind of place to that extent. The capex funding is very clear that it is coming from a certain section of our reserves which are there to that extent, so I don't see any implications with respect to going forward in terms of a larger containment of any of the overhead spends as we kind of go forward.

Mihir Shah: Thank you, sir, wishing you all the very best.

Amit Syngle: Thank you.

Moderator: Thank you sir and thank you everyone for your questions and for joining us. I now request Mr. Amit Syngle to give us the closing remarks.

Amit Syngle: So thank you, everyone, for joining us for this investor conference. And it was great kind of hearing all your queries and we hope that as we kind of go forward, we look at more buoyant times in future. Thank you.

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Call: Jan 2023

APL/SEC/ 32/2022 -23/68

19th January, 2023

BSE Limited

Phiroze Jeejeebhoy Towers,

25th Floor, Dalal Street,

Fort, Mumbai – 400 001

Scrip Code: 500820 National Stock Exchange of India Limited

Exchange Plaza, Plot No. C/1,

Block G, Bandra - Kurla Complex,

Bandra (East),

Mumbai – 400 051

Symbol: ASIANPAINT

Sir/Madam,

Sub: Investor Presentation for the quarter and nine months period ended

31st December, 2022

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (Listing Regulations), please find enclosed a copy of the presentation made to the investors on the audited standalone and unaudited consolidated financial results of the Company for the quarter and nine months period ended 31st December, 2022.

The audio recording and transcript of the Investors Conference will be uploaded on the website of the Company (www.asianpaints.com) and the Stock Exchanges, as prescribed under the Listing Regulations.

This is for your information and record.

Thanking you,

Yours truly,

For ASIAN PAINTS LIMITED

R J JEYAMURUGAN

CFO & COMPANY SECRETARY

Encl.: As above

Classification: Confidential

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We exist to Beautify, Preserve, Transform all Spaces and Objects,
bringing happiness to the World!

Delivering joy since 1942....

Classification: Confidential

Disclaimer

This communication, except for the historical information, may contain statements which reflect the Management's current views and estimates and could be construed as forward-looking statements. The future involves many risks and uncertainties that could cause actual results to differ materially from the current views being expressed. Potential risks and uncertainties include such factors as general economic conditions, foreign exchange and commodity price fluctuations, competitive product and pricing pressures and regulatory developments.

Classification: Confidential

Flat volume & value sales for the quarter despite multiple headwinds

Strong Business Momentum evident from double digit 3- year compounded growth

Q3'23 and 9M'23 Volume and Value Trend Decorative Business (India)

18% 27%

0% 1%

Volume Gr% Value Gr% Q3 FY'22 Q3 FY'23

40% 43%

13% 23%

Volume Gr% Value Gr% 9M FY'22 9M FY'23 3 Yr Comp. gr 16.0% 3 Yr Comp. gr 17.6%

3 Yr Comp. gr 19.2% 3 Yr Comp. gr 17.9%

Classification: Confidential

Decorative Business (India) Consistent trend of double-digit volume growth

Quarterly representation of Volumes sold on base of Q1 FY19 as 100

*% represents 3 Year Compounded Growth Rate - 50 100 150 200

Q1 FY21 Q2 FY21 Q3 FY21 Q4 FY21 Q1 FY22 Q2 FY22 Q3 FY22 Q4 FY22 Q1 FY23 Q2 FY23 Q3 FY23 Volume Index

*15.2% *15.8% *20.2% *20.3% *20.1% *17.7% *16.0%

Classification: Confidential

Decorative Business (India) ■ Extended monsoon & shorter Diwali season coupled with a high-volume base impacted overall

growth in

Q3'23, especially in North, Central & West markets

■Tepid growth across markets -T1/T2 as well as T3/T4 centers

■However, strong recovery recorded in December with double digit volume growth across markets

■Mix led by Economy & Waterproofing range, with downtrading seen in certain Premium range products.

Luxury Emulsions performed relatively better

■Last year Q3 product mix comparatively better with pre- stocking on price increases in Nov'21 & Dec'21

■Strong foray in Project/Institutional business –gained inroads across segments

■Grew well in Government, Factories, CHS & Builder segments

■Continued expansion of the distribution footprint with harmonious co -existence of Distributor + Direct Dealer model

■Added ~10000 new retail points in 9M; enhancing our Rurban distribution reach

■Improving Customer experience with Safe Painting Service (SPS) & Trusted Contractor Service (TCS) – the largest of its kind painting service in the world, now available across 834 towns

Classification: Confidential

Continued focus on innovation -New

Product Introductions in Q3TruGrip Dynamo

AdvancedApex Createx

Scratch finish

Sparc Exterior

Wall Primer

Woodtech

Purafin PU

Classification: Confidential

Continued focus on innovation -New

Product Introductions in Q3

Cutting edge differentiated products

launched in Waterproofing in Q3

Classification: Confidential

Classification: Confidential

Home Décor Business■Home Décor Foray

■Transitioning from 'Share of Surface' to 'Share of Space' within the Homes

■Beautiful Home Stores –Home Décor under one roof

■38 stores functional now across metros, T1/T2 cities

■Beautiful Homes Service –Personalized Interior Design to Professional Execution – offered in 11 cities

■BeautifulHomes.com –inspiring millions to create their dream homes

Classification: Confidential

Home Décor Business

Classification: Confidential

■White Teak offering Decorative and Designer

Lighting and Weatherseal offering uPVC

Windows and Doors -gaining from the synergies

■White Teak generated revenue of Rs 29 crs

during Q3; 9M revenue of Rs 73 crs against

full year revenue of Rs 58 crs last year

■Weatherseal -Revenue of Rs 7 crs during Q3;

Revenue of Rs 15 crs for Jun'22 to Dec'22

period against full year revenue of Rs 14 crs last year

■Both businesses benefiting from the

integration with the Beautiful Homes Stores networkHome Décor Business

Classification: Confidential

Home Décor Business

(figures in columns in Rs. crs)■Kitchen Business

■Net Sales @ Rs 101 crs in Q3, de -growth of 7%

■Slower demand in retail channel

■Strong integration with BH Store & BH Service

aiding growth in full kitchen business

■Higher Loss compared to LY due to subdued sales

■Loss of Rs. 6 crs in Q3 vs breakeven LY

■Bath Business

■Net Sales @ Rs 90 crs in Q3, de -growth of 11%

■Projects business continues to lead growth amid challenging situation in Retail

■Premium range 'Bath Sense' & Sanitary ware performing well
■Subdued sales and material inflation hurting profitability
■Loss of Rs 1 crs in Q3 (vs Rs 1.3 crs profit in LY)

101 90328 310

Kitchen Business Bath BusinessRevenue

Q3 FY23 9M FY2319%

26%7%

11%

-6-1

-174

Kitchen Business Bath BusinessPBT

Q3 FY23 9M FY23

26%

Classification: Confidential

International Business

Classification: Confidential

International Business■Business conditions remained challenging in Asian markets while improvement seen in other geographies

■Focus on PreLux & Waterproofing categories playing out well

■Overall, International Business revenue: Q3 at Rs. 779 crs (+2%) & 9M at Rs 2,290 crs (+11%)

■Q3growth largely ledbyprice increases

■Significantly improved Profitability onthe back ofprice increases undertaken tonegate inflation and cost efficiency measures

■Q3PBT Rs.37crsagainst Rs11crsinLY(9M

PBT atRs118 crsvsloss of17crsLY)

(figures in columns in Rs. crs)

* PBT is before exceptional items

779

183 240 323 402,290

5106631,033

106

AP Global Overall Africa Middle East Asia South PacificRevenue

Q3 FY'23 9M FY'23 18%

8%48%

27%

17%

20%

4%11%2%

37

10 11

22 7118

21

1095

18

AP Global Overall Africa Middle East Asia South PacificPBT*

Q3 FY'23 9M FY'23

176%

23%34%1%227%

Classification: Confidential

Industrial Business

Classification: Confidential

Industrial Business

(figures in columns in Rs. crs)■PPG -AP

■High double digit value growth led by demand recovery in Automotive segment

■Price realizations helped improve PBT margins for the quarter & 9 months to double digits

■AP-PPG

■Continued to exhibit strong growth trajectory across business segments

■Price increases coupled with improved sales mix helping improvement in PBT margins

5132621,399

729

PPG-AP AP-PPGRevenue

Q3 FY23 9M FY2324%

34%
24%
33%
91
26180
51

PPG-AP AP-PPGPBT
Q3 FY23 9M FY23194%
149%126%
112%

Classification: Confidential

APL Standalone Gross MarginsSoftening material prices resulted in marked improvement in Gross Margins
Gross margin shown here is Gross margins as a % of Net salesMaterial Inflation
~15%

Price Increase
~3%Material Inflation
~6%
Price Increase
~4%Material Inflation
~4%

Price Increase
~15%Material Inflation
~1%Material Inflation
~6%
Price Increase
~2%Material Inflation
~2%

Price Increase
~1%Material Deflation
~7%
43.6%
38.9%

35.0%36.9%39.7%37.9%35.6%38.7%
Q4FY21 Q1FY22 Q2FY22 Q3FY22 Q4FY22 Q1 FY23 Q2 FY23 Q3 FY23

Classification: Confidential

(figures in columns in Rs. crs) Summary –Standalone Financials

■Flat Net sales in Q3 on a high base of LY. Strong double -digit revenue growth for the 9 months
■Deflation in raw material prices resulted in sequential improvement in Gross Margins
■PBDIT Margins sequentially improved from 15.2% in Q2 CY to 20.0% in Q3 CY (Q3 LY @ 19.8%)
■For 9 month period, PBDIT margins at 18.2% vs 17.7% LY
■Q3 PBT growth higher @ 5.5% compared to 2% growth in PBDIT
* PBDIT before Other Income

7,492
2,898
1,495 1,4431,086
Net Sales Gross Margins PBDIT PBT PATQ3
Q3 FY 23 Q3 FY221%

6%
2%
6%
6%
22,364
8,366
4,073 3,8362,866

Net Sales Gross Margins PBDIT PBT PAT9M
9M FY23 9M FY2223%
25%
26%
28%
28%

Classification: Confidential

(figures in columns in Rs. crs) Summary –Consolidated Financials

■Q3 FY23 Net Sales growth of 2% on consolidated basis
■All businesses (excluding both the Industrial business) registered flat value growth
■PBDIT margins sequentially improved from 14.6% in Q2 CY to 18.7% in Q3 CY (Q3 LY @ 18.2%)
■For 9 month period, PBDIT margins at 17.2% vs 16% LY

•PBDIT before Share in profit of Associates & before Other Income

8,607

3,302

1,611 1,478 1,097

Net Sales Gross Margins PBDIT PBT PATQ3

Q3 FY 23 Q3 FY222%

8%

5%

6%

6%

25,617

9,514

4,395 4,0032,937

Net Sales Gross Margins PBDIT PBT PAT9M

9M FY'23 9M FY'2222%

26%

31%

34%

33%

Classification: Confidential

Immediate Outlook – Though uncertain, Positives to look forward

■Demand conditions looking better –recent downturn in inflation as well as the strong recovery seen with double digit volume and value growth in Dec'22

■Good monsoon coupled with expected increases in MSP augurs well for Rural sector

■Material prices expected to further soften in Q4; Will further improve margins

■B2B projects business should continue its growth trajectory with support from demand in Housing, Construction, Auto and Industrial

■Need to be watchful of the recessionary fears on the global front

■Forex pressure persisting in many of the African as well as Asian markets

Classification: Confidential

■Setting up a new water -based manufacturing facility with a capacity of 4 lac KL p.a.

■Approx. investment of Rs. 2000 crs for this facility

■Expected commissioning in 3 years, after acquisition of land

■Already announced investments progressing as planned

■Brownfield expansion across multiple manufacturing facilities in India increasing in -house paint capacity by ~30% to 22.7 lac KL p.a.

■Backward integration in critical & import dependent raw materials

■Expanding our Product Horizon

■Providing wings to our Beautiful Homes aspirations through additional investments in décor propositionPlan Capital expenditure over next 3 yearsRs crs

Capacity Enhancement -Greenfield2000

Capacity Enhancement -Brownfield3400

Backward Integration 2550

Acquisitions already announced –expected outflow800*

TO

TAL 8750Further investments to fortify our Leadership Position

*Includes outflow already made

towards acquisitions

Classification: Confidential

Thank You

Call: May 2023

Classification : Public

APL/SEC/ 32/2023 -24/17

17

th May, 2023

BSE Limited

Phiroze Jeejeebhoy Towers,

25th Floor, Dalal Street,

Fort, Mumbai – 400 001

Scrip Code: 500820 National Stock Exchange of India Limited

Exchange Plaza, Plot No. C/1,

Block G, Bandra - Kurla Complex,

Bandra (East), Mumbai – 400 051

Symbol: ASIANPAINT

Sir/Madam,

Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Investor Conference

Please find enclosed the transcript of the Investor Conference held on 11th May, 2023, with regard to the financial results of the Company for the quarter and financial year ended 31st March, 2023.

The transcript has also been uploaded on the Company's website and can be accessed through the following link:

Investor Conference - Transcript

This is for your information and record.
Thanking you,

Yours truly,
For ASIAN PAINTS LIMITED

R J JEYAMURUGAN
CFO & COMPANY SECRETARY

Encl.: As above

ASIAN PAINTS Q4 FY2023 Earnings Conference

Venue:
Hotel Trident, Bandra Kurla Complex, Mumbai

Date:
May 11, 2023

Management: Mr. Amit Syngle : MD & CEO
Mr. R.J. Jeyamurugan: CFO & Company Secretary
Mr. Parag Rane : Associate Vice President – Finance

Ms. Sunila Martis : Head – Investor Relations
Mr. Arun Nair : Manager - Corporate Communications

Disclaimer: This is a memorandum of the proceedings of the Investor Conference of Asian Paints Limited held on Thursday, 11th May, 2023 at 5:30 pm with regard to the financial results of the Company for the quarter and financial year ended 31st March, 2023. While we have made our best attempt to prepare a verbatim transcript of the proceedings of the meeting, this document has been edited for readability purposes and may not be a word-to-word reproduction.

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Ms. Sunila Martis:

Good evening, all of you, and thanks for joining us to discuss Asian Paints Q4 & FY23 earnings. I am Sunila Mar ■s, from the Investor Rela ■ions team. Together with my colleague, Arun , we are happy to welcome all of you here.

We have on the dais with us today, our MD & CEO, Mr. Amit Syngle. We also have with us, Mr. R. J. Jeyamurugan, our CFO and Company Secretary, and we have with us Mr. Parag Rane, Associate Vice President - Finance. I would now like to invite Amit for his opening comments.

Mr. Amit Syngle:

Good evening to everyone. It's a pleasure to meet you a ■er a long ■me physically, one on one, and we are all here to look at the Q4 and FY2023 results. Just want to take you through a small presenta■ion.

As you are all aware, this is something which is the core value in terms of what we look at. 'Delivering joy since 1942'. We have completed more than 80 years now in terms of looking at Beau■ifying, Preserving, and Transforming all spaces and objects and bringing happiness to the world. And this is something which is the core in terms of what we really believe as we go forward.

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So, when we look at the overall results, I think it's been a strong performance which has come in Q4 and also in the en ■re FY2023. As we look at overall numbers, we had strong double-digit volume growth of about 16% in the quarter, and overall value is closer to about 13% in terms of what we delivered. So strong double-digit numbers coming in there. This translates to the en ■re year, FY2023, when we look a strong number of about 14% in terms of volume. And this is despite the fact that Q3 was a bit ■at in terms of what we saw

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and a very, very strong value number of about 20%, which comes in. While it has some component of price increases which were taken overall, but a strong performance coming in terms of the overall area of product mix. What is heartening here is both Q4 and FY23, if you look at the CAGR numbers, they are very, very healthy in terms of what you see. CAGR numbers both on volume and value are strong healthy numbers. And I think this just shows the fact that the organiza■ion has been focusing very clearly, in terms of not only the value growths but the volume growths over a 3-year period, which have been very, very strong in terms of how they have come in.

This is another chart which re■lects the same thing in terms of looking at the volume growth over three years on a CAGR basis. And if you look at the trajectory, again, very strong double-digit numbers coming from us and this is very clearly focusing on the fact that the whole area of growth, which is led by volumes in a strong manner, comes in there and this translates

obviously to strong value growths as well over a three-year period. And this is quite a consistent performance. If you are able to see the numbers that way, the performance becomes quite consistent in terms of the way we have been growing over a period of time.

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Some of the areas in terms of what have been typically the growth drivers as we kind of see it. In Q4, we looked at both T1, T2 cities and the T3, T4 cities growing almost at the same pace, which is really heartening because what you look at in the environment and when you look at the FMCGs largely, you know, the smaller cities not doing so well over the last 2-3 quarters. But for us, I think the smaller cities also, which is a very, very strong source of our growth, has done quite well over a period of time and there are clearly double-digit CAGR numbers which are coming across both rural and urban centres.

When we look at the mix in the quarter, again, the mix is quite good. Largely, we have grown at double-digit numbers, both with respect to the economy, premium and the luxury set of products. So overall, the double-digit kind of story continues with respect to the product mix. Obviously, some categories have grown even faster in a double-digit mode. So, when we look at some of the upgrade emulsions, when we look at waterproofing, look at some segments of flooring, admixtures, they have really gone very well for us and have outstripped even the kind of double-digit growth which has been across that category.

As I said, the premium and luxury products have been also growing quite well. And today we have really gained inroads in the premium luxury segment of wood finishes in a very strong

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manner. And that is something which is a strong footprint which has come in across our sales this quarter.

From a point of view of our expansion, the distribution keeps on expanding at a very, very strong pace. And overall, we are speaking of our distribution expansion to about almost 1.5 lakh retail points which are there, which is literally comparable to any FMCG kind of representation which takes place across the network. And we are very clear that this is something which is a strategy which continues so that we are making the product available to more and more customers easily across various clusters in various cities.

One of the other big differentiators which we see ourselves from the competition is the whole servicing footprint. We have something which is called the 'Safe Priming Service' and a related service which is called the 'Trusted Contractor Service'. And these two services put together have been doing exceedingly well. We are touching about 1.7 lakh customers throughout the country with more than 600 towns enabling this service across. We feel this is globally the world's largest service footprint, any coatings company has. So, it's decidedly a very, very big kind of a differentiator in terms of what we see. And you must remember that it is very difficult to kind of really match the servicing footprint of the company, for any competition to kind of come in to take it, and this kind of really gets us in the homes of the customers in a very, very strong manner.

When we look at Projects / Institutions, as it is the B2B business, this again, has been growing at a very, very strong pace. And we find ourselves not only growing in the builder and the cooperative housing sector, which is there, but very strongly in two sectors where we're focused, which is the factories and the government sector. The government sector has been really exponentially growing for us, because of the government spending on infrastructure which is taking place. Our entire waterproofing range, which consists of membranes and admixtures and some of the other waterproofing kind of products which come in, which are in the repair range, have really kind of straddled very strongly in this sector, giving us really unprecedented growths in terms of what we have seen over the last three years and these growths really continue to kind of give us a very, very strong footprint. So much so that now, Asian Paints is

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the number one player in terms of waterproofing as far as we look at from a retail point of view, in a very strong manner.

Overall, we see that innovation has been a very, very strong footprint in terms of how the company has been driving the sales. Over the last seven years, we have launched about 250 new products in the market. And these are not products which are just variants which are coming. These are products which are really getting in a new customer proposition, which is very clear and today strongly going ahead. We have applied for almost 106 patents over some

of these products which we are launching in the market. So, a very, very strong innovation pillar which is invoked. And today these products kind of contribute to more than 10% to the total revenue, which is a very healthy figure in terms of what we see and just showcases the innovation potential, in terms of what we are harnessing as we are going ahead.

In addition, all of you are aware and we have been making you aware of the strong work happening in respect of capacity expansion, in terms of what we have taken. We have already committed very, very strong Capex, some brownfield, some new projects and also to backward integration projects which we have announced with respect to cement or our VAM VAE emulsion facilities which have been announced.

So, I think in all the very, very strong indicators which give the health of the organization in terms of the way we are proceeding and looking at going ahead.

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In addition, we continue to kind of really be the voice of the industry with respect to our color and material trends which we introduce. We reach out to more than 7,500 architectural firms across the country, and we talk of this proposition, which is very, very strong with respect to what are the kind of trends which we see are coming. And these trends are based on socio economic movements which are happening, which reflect on lifestyle trends and therefore the whole area of décor and color trends strongly. We have introduced this year, almost four stories which are strong in trends and the color of the year is called 'Silver Escapade', in terms of our launch, which is there.

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We also have lots of campaigns as part of our marketing initiatives, in terms of what we launch and the bottom of the pyramid is a strong area in terms of where we keep on working, in terms of really converting the customer from the unorganized to branded smart emulsions in a very strong manner. And some campaigns like this, you would have been able to see which are very, very strong, which are coming. But not only this, our campaigns with respect to our LUX categories, which are Royale Glitz, and some of the other premium products which we launched have also done very, very well in terms of what we have been kind of taking in. Today, we can easily say that the share of voice in media is something which outstrips the competition and therefore we don't shy away from really spending good amount of money from an advertising mix point of view. And even in Q4, you would see that our spends in advertising, marketing has been much higher in terms of looking at really propelling the business as we kind of go ahead.

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Our forte into Home Décor is something which is doing extremely well. And today we operate in so many categories apart from Bath, Kitchen. We have introduced the whole area of doors, windows, furnishing and furniture and so many other categories, rugs and so and so forth, which have come so that we have become almost, you know, an integrated player in terms of Home Décor offerings. We have now literally by April end, about 50 stores operational across the country. And this is something, which is a very, very strong initiative which is kind of coming and today this business is about 4 - 4.5% of our total business. And we have already announced that by March of FY26, we will look at this Home Décor business contributing to about 8 - 10% of our total architectural business going forward. So, this is a substantial kind of investment and strong focus with respect to Home Décor because this literally complements the painting category in a very strong manner, because it is all about the same home where you are selling and entering from a point of view of the décor life cycle of the customer in a strong manner.

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We've also kind of looked at partnering the customer in terms of making a beautiful home for the customer in a strong manner and we have an end to end design and execution service, which is called the 'Beautiful Home Service'. Now, this service is a first of a kind experience

coupled with digital visualizations and professional execution, which kind of comes in and in its own way, it is something which is doing extremely well. We are today, very strongly focusing on this service. This service is now the number 3 service at an India level in terms of what we look at as an end-to-end kind of service. In the paint sector, you don't have any other company which offers this kind of service and this is another differentiator over the 'Safe Painting Service', which I had highlighted earlier.

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As one part of it, Kitchen and Bath is a strong business today. This is about Rs. 800 crores overall as a business in terms of Kitchen plus Bath. Q4 has not been very, very strong with respect to the Kitchen and Bath performance because of the sluggish market demand overall in terms of what we saw in the category. However, when we look at the year, Bath has done relatively well at about 15% growth and also registered a small profit in terms of what has come in, looking at the bottom-line. As far as Kitchen is concerned, the kitchen market is consisting of two things. One is a modular kitchen, which has done extremely well for us, and other is a components and hardware business, which has not done too well, and that has contributed to possibly a negative kind of de-growth happening in terms of the Q4. Also, at a yearly level, the Kitchen business because of the components, has not done well and also registered a small loss. But we are very confident that this is something which we should be able to overcome as we go ahead because the whole demand for this category seems to be definitely on and this is something which we are focusing very, very strongly.

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If you remember, we acquired two companies, one was White Teak, which was in the decorative lighting business and the other was Weatherseal, which was into uPVC doors and windows. Both the businesses this year have really taken off very, very strongly. Q4 has done very well in both categories. At a yearly level, we have literally kind of doubled the numbers to Rs. 109 crores in lighting with a very strong profitability coming there and also, in terms of the uPVC doors and windows, where we have taken that category almost from about Rs. 12 crores to about Rs. 25 crores. And therefore, both categories seem to be doing very well. In lighting, we are now the Number 1 player in terms of the decorative lighting as it has panned out for us. And therefore, these two categories are doing extremely well in Home Décor.

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Coming quickly to the overall internal business, this is the footprint in terms of what you see, where we are represented all across in terms of how we have been functioning over the years.

And today, when we look at the global environment, there have been, as you are aware, some challenges which are there in Lanka. We also have a lot of challenges with respect to devaluation of currency, which is happening in areas like Egypt, Bangladesh, Lanka and so on, so forth. So, if I look at basically Q4, what has stood out is performances in Middle East and

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Africa, where the markets have done well. And Asia has been a little bit down because of Lanka and secondly, Nepal because of the political environment has not been doing too well in terms of what we see. Overall, while it shows a de-growth in the global business, but if you look at constant currency terms, the growth is about 9 - 10%. It's only because of the devaluation of the currency that you see a de-growth which is there of 3%. Overall, it has done quite well from on constant currency terms. The profitability has been the highlight in global. If you look from an overall yearly perspective, the profits have been very, very strong in terms of almost registering profits of about Rs. 158 crores. And therefore, we see that this is something which is strong in terms of the way we have bounced back in terms of the overall global environment this year, how it has panned out. So that's the global business for you.

Coming to the Industrial Business, this has been really a strong kind of performance in terms of what we see of both the businesses. One is what we call the Auto OE business, which is a PPGAP business, and the other is basically the General Industrial business, which is APPPG business. So, if you look at from a revenues point of view, Q4 has done quite well in terms of

both the businesses. But the highlight has been the yearly performance which you look at is in double-digit growth in terms of almost 27% growth, which are there in terms of the top line.

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So, both businesses have done very well. And so also in the area of PBT. If you see, the PBT margins have been very, very strong in terms of the growths which have come in.

So Industrial Business is a highlight. In APPPG, we have crossed Rs. 1,000 crores for the first time and the business has doubled in about three years. So, it's been a very, very strong performance in terms of overall Industrial Business, in terms of how we have performed this year, both from top line and bottom line. This is really a category which has done extremely well.

If you look at gross margins, the gross margins have been going up steadily thanks to basically the fact that there has been a softening of the prices and there has been a little bit of deflation in terms of looking at prices across coming down and material costs are a very, very strong component of our business. So, when you look at possibly the gross margins in Q4, we are at about 43%, which is one of the highest gross margins in terms of what we are registering. And this is a very strong movement which you are seeing. And I think there was a worry amongst a lot of you in terms of saying where are the margins going and I think it is clearly dependent on inflation which we saw in the past. A very, very strong recovery with respect to gross margins in Q4 is something which you see is clearly reflected here. And what we saw in this Q4 was about a 4% kind of a deflation, which was seen in this quarter overall.

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Coming to the standalone results, as I said, for Q4, the numbers are very clear where the value growth is about 12%, the volume growth is about 16% overall. The PBDIT numbers and the PBT numbers are very, very strong. Both quarter on quarter and year on year, the margins have substantially improved overall. The PAT growths are pretty healthy in Q4 about 37% on a standalone business, in terms of what we see. On a yearly level, again if you look at it overall, a 20% kind of a top line revenue growth which comes in with a 14% volume growth and PBDIT margins have gone up. PBT margins have also gone up from a point of view of a yearly perspective. And the PAT growth is about 31% overall. So, strong numbers for both Q4 as well as for the entire year. And that is something which is really quite positive for the overall business as we see it.

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When we look at the consolidated numbers, obviously the consolidated numbers get dominated by the standalone numbers. We see that at consolidated level again, the overall top line number for Q4 is about 11% compared to a 13% of a standalone. But I think again, the good point is that the PBDIT margins have gone up in Q4 and the PAT is a very healthy 44% kind of increase, aided to some extent by the global profitability, which has come in in Q4 as well as in the year.

When we look at on a yearly basis, again, the top line numbers are very healthy to about 19%. So just about a percentage down from the standalone numbers of 20% in terms of what you saw. But again, I think the PBDIT and the PBT margins have grown on, as we compare with year on year basis. And the PAT is again a very healthy 36% in terms of what you see overall coming in. So, I think both set of numbers are pretty healthy in terms of what we see, and I think the heartening part is that the overall margins now are in the range of what we have been talking about in terms of where we wanted to be as we go ahead. So, I think that is something which is very, very strong in terms of how it has all come in.

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There are some Exceptional Items in terms of the overall list, and this is something which we wanted to highlight. The expenses which are kind of really coming because of the ongoing problem in Sri Lanka, in terms of the economic crisis and there is something which we have taken an Impairment loss. The numbers are not too big, but that is something which we have taken. These are the two numbers which have come as an Exception which we thought we'll just highlight for you.

So, in summary, we look at some of the highlights. It is very clear that we have now touched Rs. 30,000 crore mark in terms of Net Sales at standalone level, which is a very, very strong number and this is 3 times the nearest competitor in India. So that generally shows the size which is there. And I must remind you that today the overall market size of paints is closer to about Rs. 70,000 - 75,000 crores, out of which, this becomes a substantial segment in terms of what we are operating in.

We are seeing double-digit volume and value growth for decor business for the year, and that is something which is very strong because you can easily see that the base numbers are not small numbers. The base is very, very strong numbers, which are coming in there. And to grow on that with double-digits is no mean task in terms of what we have kind of taken on.

Overall, committed to the Home Décor revenue, we have said that 8 - 10% will take a very clear focus on this category. As I said, this business complements the existing coatings business in a very, very strong manner.

The non-auto industrial business, which is a General Industrial business for Protective coatings is something which has crossed a landmark Rs. 1,000 crores. It has doubled the business in three years with very strong profitability also rising, which is a very good and positive sign in terms of showing the ingress of Asian Paints, not only from an architectural point of view, but also from an industrial point of view in a strong manner.

In global, as I said, while the numbers were looking weak, but if you look at it from constant currency terms, we still have a double-digit growth which we have been able to take. And this is because of the fact that there are devaluations of the currency happening in Egypt, Bangladesh and Sri Lanka, as you are aware of. But I think, the overall growth trajectory on constant currency terms is pretty strong in terms of what we see.

And the other thing which is there is that, one definitely there has been some softening of prices. But as an organization, we focus on operational efficiencies very, very strongly and also look at formulae and sourcing efficiencies, which is a large component, which we try to bring a strong efficiency in our overall input costs. And that has also contributed to our margin

increase, which is both quarter on quarter as well as what we see from a point of view of on a year on year basis. So, these are strong signals which are possibly coming in terms of giving a hint in terms of what lies ahead.

In terms of dividend pay-out, there has been a constant strong upward journey. And I think, if you look at from an industry standard, the pay-outs are very, very strong in terms of what we are making. And this time the pay-out is almost 60% kind of a pay-out which shows the direction in the sense that we would like to reward the shareholders in terms of the good performance which has come in from a profitability point of view, as we see this year folding up.

The other thing which is very clear is we are deeply intertwined with ESG this year. We've started this process of sustainability long back, but we have now taken the ESG road very, very strongly. In all these areas of Environment, Social and Governance, I think there are very, very strong initiatives and imperatives which have been put, so that we are able to kind of really, as a leader, take a very clear lead in the market. For a lot of you who do not know, we today have RE which is the energy which comes in, almost about close to 60-65% is what is generated by us for our plants. And we are water positive, which means that the amount of water we take from the ground, we generate more water per say and I think this goes as part of our ESG framework. I think Governance is of the highest standards which we try to build in. And therefore, today you will see that as the annual report comes in, that all these elements are intertwined with the business in terms of going ahead. And it's not like it's a separate initiative. So, if you are able to turn ESG to kind of show you the way of profitability, I think that is something which really matters in terms of looking at what we want to do.

As I said, freshwater replenishment in terms of the numbers are very strong. Similarly, the

renewable electricity, the numbers are very clear and our targets which we have taken for 2030 are pretty aggressive.

The new initiative of recycled material and packaging is another strong initiative which is being taken, which kind of shows that as a leader, we are willing to really put our money behind in terms of these issues and look at relaying into the business growth as we go ahead.

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Obviously, I'm sure a lot of questions will come in terms of how we see the outlook overall, in terms of looking at how we want to grow.

I think the GDP numbers which have come out are pretty strong in terms of what is there. And we are all aware that when we look at paint, we speak of 1 – 1.5 times the growth of GDP as an indicative direction in terms of what is there. So, we feel for the year, definitely, I think the growth numbers look strong. We are focused on growth in a very, very strong manner as an organization to move forward. And this growth comes not only from the point of view of just competition or the unorganized sector. It also comes from overall increasing the per capita consumption of paint in the industry which as a leader we have taken on ourselves. Also getting into newer categories, like we have fuelled the whole story in waterproofing in a very big manner. So, I think our focus on growth, will remain and we are looking positive with respect to how the year would pan out from a point of view of overall growth.

Obviously, in terms of the monsoon forecast, there have been some questions raised in terms of the El Nino and so on, so forth. Now that is clearly what affects the agrarian economy in terms of initiating the rural demand. So, we will look at possibly coming to a more definitive analysis on that as the year progresses and we would know shortly in June and July what's

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happening to monsoons. But I think overall, we don't see an outlier here in terms of something which can upset the apple cart going forward.

Inflation, overall, raw material prices appear stable. We might not see too many high peaks or lows coming and therefore largely they might remain benign with some spurts here and there, depending on some geopolitical conditions which might develop overall, but fairly kind of appears stable as a structure in terms of going forward.

We focus our energies on architecture business, which anyway is the core, but along with that, growing the Home Décor business, growing the Industrial Business have been strong objectives with whatever we can do with respect to even the global business. So, I think focusing on all around work as an organization in terms of what we want to really target and grow, especially geographies of Sri Lanka, Bangladesh and Egypt is something which we would look at in terms of our international footprint going forward.

So that's all. And thank you very much for listening intently to this. We are now open to questions. Thank you.

Moderator:

We now begin the Q&A session.

Mr. Abneesh Roy (Nuvama) :

This is Abneesh here from Nuvama. Two questions. First is on Home Décor. So, when I see the strong performance of the real estate and I see that that's extremely strong. But when I see your numbers in Ess Ess and Sleek, you've pointed out that the retail demand is weak. So where is the disconnect there? And second, after so many years, the margins in both businesses are extremely weak, almost no profitability. So, what is the reason and what can change in three years? Because your guidance of doubling from 4 - 5% to 8 - 10% means that it would be extremely strong growth in terms of revenues because your core business is also growing in double digits. So where is the confidence coming from because if I see Ess Ess and Sleek, we are not getting the confidence. Of course, you have now diversified far beyond that. So is the confidence coming from those segments.

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Mr. Amit Syngle:

So, you are right. What we have seen definitely is strong activity in the housing sector overall, which is there, which is reflected from a point of view of even the Projects B2B business which is coming in. If you look at closely, the last two years, the Kitchen and the Bath business has

done well. It has grown at almost about 30% overall growth, which is there. This year, the Bath business overall is grown at about 15% and has given us almost about Rs. 4 crores profit over that number. Yes, the profits are lesser, but you must appreciate the fact that today, our share in the business of Bath is in single digits overall in terms of what we see. We are competing with a larger number of giants there in terms of what's working, be it a Jaquar, a Parry, a Cera, Hindustan, Kohler, kind of companies which are operating in terms of that segment. And therefore, today, I think we are kind of testing out various strategies in terms of what can take us there.

Similarly, in Kitchen, the Kitchen business has grown by about 17%, which is the modular kitchen business. It's the components business, which has a certain percentage in the broader business which has come down because it's like a hardware business in terms of what you see. And the modular kitchen business is in profits to that extent. It's the components which has come down.

How we see these two businesses coming up and what is our confidence coming from is our chain of stores, which we have put up now. This chain of stores has come in the last three years, and this is called the 'Beautiful Home's' stores. As you spoke of, about 50 stores are there now operating in April. And we kind of want to take this number to about 100 stores over a period of next two years. We think that this is going to be a very big galvanizing factor, where we are able to offer décor under one roof

very strongly and able to attract the customer in a strong manner and really make the customer aware of the Asian Paints prowess and together in terms of the overall Home Décor area. So, I think we believe that given the fact that we are the Challenger brand with respect to both the Bath and the Kitchen business, we are now looking more in control in terms of going forward and our basis of growing from 4 to 8% contribution arises from the fact that we definitely look at our chain of stores contribution in a sizable manner, along with categories of fabrics, lighting, furniture, modular furniture, also coming in very, very strongly to kind of amp up the volumes overall.

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Mr. Abneesh Roy (Nuvama) :

My second question is on waterproofing. You have become Number 1 in the retail waterproofing. So, I want to understand when you entered this space 6-7 years back, that time, what was the construct of the industry or who were the key players? What have you done different and who would have lost market share if you could clarify that?

Second is when I see B2B, obviously Pidilite is a big daddy there. So now that you've have cracked the retail part, would you go onto B2B also in a significant manner over the next 5 years and Pidilite has now entered paints, more interior paints. Would you see that as a big long-term competition? And is it a bigger competition than Grasim from a structural point of view, because Grasim currently is not present in most of the adjacencies.

Mr. Amit Syngle:

I think when we look at from the point of view of waterproofing, we started this initiative about 7 years back and we started from literally scratch and we developed indigenous technology in terms of looking at developing this business very, very strongly. In retail, the larger players which were there in the market was Rochem, Sika, Fosroc and Pidilite. And over a period of time, what we see, it's not about just the share in terms of what we have gained from them. We have really enlarged the overall market by reaching out to more homes, making the awareness of waterproofing very, very strong. And the whole waterproofing area has been a boon for us, because earlier the complaints on paint was related to the paint. But now, what is very clearly happening is that we are able to take care of the dampness and the leakages because the waterproofing coming in. And therefore, what we see is that we have really exploded the retail market and left the existing players far behind in retail, because they were just servicing the demand and they were not doing anything in terms of increasing the demand. And therefore, we think that we are now far, far ahead of any other player in the retail market for sure. And that has also given credence because of our very, very strong distribution footprint we have used effectively in terms of really reaching out with waterproofing to every small town in the country. Our prowess in retail is more than any other brand because they operate through a distributor structure. We operate directly with the

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retailers and therefore we are able to train and teach our retailers to do much more business in a very strong manner.

As far as projects is concerned, I want to tell you that we are almost the number 3 player in

projects as well because there are very different players in terms of projects. There are some multinationalals there in terms of what is there overall. But, I would say that we are now a very significant player in projects as well. As I said, we have entered admixtures, we have entered the repair range, we have entered the membranes range and today we offer every other product. There are almost about 200 products which we are offering in the waterproofing category, which are technical products in the project regime. And I would say that it is another matter of 2 years, we would become tops in the project sales market as well. So that's the overall waterproofing answer

The second area is with respect to Pidilite's entry, in terms of the overall paint market. As I see it, you know overall, while they were in some segments of paint, some of the exterior segments they were present in wood finishes as form of ICA so and so forth. I think, this is a more range competition exercise which I see from them coming in. The products are at a very, very price economy level. There is nothing outstanding about the products which kind of comes in and what we feel is that it's just range competition which is happening, where they want to touch the market much before others do in terms of the new players coming in. Actually, we don't see any threat happening there at all because that segment is something which possibly we are entrenched very, very strongly in and we don't see any disruption coming in. So, we feel that possibly they might disrupt some of the unorganized sector, which is there because the price parity in terms of what they're offering is at a very low level and they want to utilize their distribution structure to kind of really reach out to some of the dealers who would ask for paint. I don't see it's a very significant kind of initiative which could kind of really rule the paint market anyways.

Mr. Percy Panthaky (IIFL) :

Percy Panthaky from IIFL. Two questions from my side. This quarter, margins have already exceeded 21%. Your earlier guidance was that you would try and maintain around 18-20%. So, do you think in light of these results, your guidance is conservative and actually you will do more than that going ahead?

Mr. Amit Syngle:

I think we are still maintaining the same guidance. We are not kind of really looking at saying that the margins can go up or whatever, because we still feel that the environment is not fully stabilized. Today, there is an element of large amount of inflation happening across the world. The demand conditions are all topsy turvy in terms of what we are seeing. So, we do not know in terms of from a point of view of overall price stability. While we have said that we are apprehending, at least for the first half of the year, some price stability should happen. We really do not know in terms of which way the overall raw material prices can go because you have seen the amount of jumps that we are seeing in crude. It kind of varies from something like 74 to 82 kind of a thing in 2-3 days' time. So, we do not really know in terms of which way it goes. We would like to kind of still see it for another 6 months in terms of how the energy thing moves before we kind of really look at changing our guidance overall. But we are very confident that we should remain in this bracket as we kind of go ahead.

Mr. Percy Panthaky (IIFL) :

If I assume hypothetically, if the input prices remain stable where they are, will the EBITDA margins also remain at Q4 levels? Or do you think that they would still sort of go down towards your 18-20% band because you would probably increase rebates, or you would pass on prices or increase ad spend or whatever other reason?

Mr. Amit Syngle:

As I see it, it is very clear that we want to look at seeing that we continuously inflate demand in the market. So today, the kind of overall price increases taken over the last one and a half years have been very, very high. We will still observe the market in terms of saying that if we need to pass on some and take decrease in certain prices and really rationalize some of the areas as we go ahead which can really affect possibly from the margin level in Q4. And that is why I said we would like to remain in that 18-20% band as a guidance overall. We are also looking at really taking on the area overall in terms of our marketing and advertising, in terms of what we want to do in some of the newer segments in terms of what we are doing. Therefore, I think on a safer side we should kind of really look at being in that 18-20 range a

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we go ahead.

Mr. Percy Panthaky (IIFL) :

Second question is as you have given some sort of guidance on the Home Décor business that it's around 4%. You want to take it to about 8.5%. Can you give some similar kind of idea on waterproofing? What percentage of sales currently is waterproofing and how much it can be 3 years down the line?

Mr. Amit Syngle:

So overall, we started waterproofing from a zero base. Just for your information, as I said. Today, if you look at from the size of the overall waterproofing market, when we looked at possibly the size of the waterproofing market was just about something like about Rs. 6,000 to 7,000 crores in terms of what is there. We feel that now the size of the waterproofing market has literally gone up, given our ingress in the market in a very, very strong manner. And therefore, what we see is definitely from a point of view of retail, we are very, very strongly contributing to the overall business, which comes in retail in a very strong manner and also in projects. It is very difficult to put a percentage to that because the overall segment growth is very very strong going forward.

Mr. Percy Panthaky (IIFL) :

But currently would waterproofing be close to a double-digit kind of contribution to your own sales?

Mr. Amit Syngle:

Definitely.

Mr. Parag Rane:

Percy, just one clarification. I heard you mentioning 21% odd margin. So, the band of 18-20% that we state as our targeted range. The way we look at it is PBDIT before Other Income, as a percentage of sales and not sales plus operating income. So, that is the expectation that we are saying.

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Mr. Mihir Shah (Nomura):

This is Mihir from Nomura. So, my first question is on 4Q. Is there any element of postponed sales from earlier quarters that were weak in the 4Q? And if you can give any colour on how April and May are shaping up. Is the strong volume growth that we've seen in 4Q continuing in the April-May months?

Mr. Amit Syngle:

So how we see it is that there is no element of postponement definitely. I think Q4 is pure sales of Q4 in terms of what we see come in. And as we had said earlier, Q3, given the fact that it was a longer base which was there and that is why possibly the Q3 growths were a little bit lesser because of the shorter Diwali season this year and the demand not really picking up. But Diwali sales literally dies at that point of time. It doesn't really carry into the next quarter. As we look at the current environment, I think overall the demand conditions are good in terms of what we are seeing and we see that going forward possibly for this quarter, definitely. I think in terms of we are really aiming at a double-digit volume growth going forward.

Mr. Mihir Shah (Nomura):

My second question is little medium to longer term on distribution. Actually, you know, I recollect that in the nine months call, you had mentioned that, you know, you added a similar number of dealers or distributors or reach in what you had done in the previous year in FY22. In nine months, you added the similar number. So, can you share what you've done for the full year and what is the kind of distribution or dealer reach that we are thinking about for the next year and year after?

Mr. Amit Syngle:

So, what we see is that I think in the year gone by, we would have added almost about anywhere between 15,000–20,000 dealer points. And going forward, we are aiming at anywhere between 10,000-15,000 retail points coming up in the coming year as well. And that is going to be a strong aim in terms of what we would like to do. And the larger focus still remains on the smaller cities and the suburbs of the bigger cities, because we truly look at that from a little bit of a cluster approach in terms of where we would like to have an outlet going forward. So therefore, possibly another 10,000-15,000 retail outlets, definitely, we are

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looking at.

Mr. Mihir Shah (Nomura):

I believe that over the period of last couple of years, we've seen a lot of formalization happening. We've seen very strong volume growth coming. We see that volume growth continuing. Can you talk a bit on the unorganized players, the regional players? How much have they shrunk? You know, to what extent are they pained or do you expect them to come back with raw metal prices now getting better or, you know, your raw material prices cooling off, your gross margins getting better? Can one expect the unorganized players to come back in in a big way?

Mr. Amit Syngle:

I think what we have seen is in the first two years that the unorganized players had their volumes compressed because of their supply chains being not so efficient as the bigger players. And the raw material scenario was also causing quite a bit of havoc with the inflation that we were seeing. In the last year, what we have seen is that there is some stabilization happening with respect to their supply chains and people are no longer regional. They are sort of becoming national because of the ease of their supply chains now happening. We have seen possibly, you know, we used to divide the unorganized sector as 30% and 70% as organized. Maybe I think in the last years, we would have seen some movement of 4 or 5% kind of decrease, which is there. Our belief is that possibly given the price advantage they still have and the fact that there are strong regional entities and are expanding, possibly I think the ratio will come back literally to what it was earlier in terms of they covering the ground to the 3 - 5%, which they have lost out.

Ms. Sheela Rath (Morgan Stanley):

This is Sheela Rath from Morgan Stanley. Thanks for giving the idea on the total size for industry, which is at Rs. 70,000 crores. How should we think of the growth rate over the next five years for the industry? And you just alluded to the fact that unorganized could go back to 33 | Page 35% in the near term. But how should we think of that number in the next five years?

Mr. Amit Syngle

So, we are pegging the number going to almost like about Rs. 1 lakh crores over the five years. So, the growth rates are definitely ranging between 10 - 12% kind of a zone as we kind of go ahead. So, I think this is an industry which will definitely grow. Given the fact that we see possibly a stable government, we see government spending strongly, we also see a GDP of anywhere between 6 - 7%. And to that extent, which will continue to fuel this market going forward. In terms of shares, I think the shares would kind of remain in this zone because the smaller players, MSMEs come with their own strengths. And I think it is always good to have the regional players possibly catering to the market in a strong manner. They have large government support also in terms of some of the pricing tax concession structures which kind of come in. Therefore, we see that from a point of view of economy products in that kind of segment, they will continue to be in that market. But, we definitely see this industry going to about 1 lakh crore, as we kind of go forward.

Ms. Sheela Rath (Morgan Stanley):

With respect to your presentation, where you have mentioned that we will pursue an aggressive strategy. So, I just wanted to understand the definition of aggressive. Is it around expanding into adjacencies? Is it around being more aggressive with respect to distribution, or do we expect some price cuts coming through because we are getting into a deflationary mode. So, if you could just expand on that.

Mr. Amit Syngle

So aggressive means everything what you said. It's not only architectural, we are looking at seeing that we have different local strategies to grow across the country. Whether it is in distribution, whether it is with the supply chain, whether it is with respect to our new products or whether it is in terms of looking at the pre-

mium luxury segment, in terms of what we are launching or even waterproofing segment. When it comes to industrial, I have already spoken that there has been very big aggression, which we have been taking, both from a General Industrial and the Automotive Industrial kind of a zone. Home Décor, I have indicated the kind of trajectory, we want to follow from where we are to where we want to go to by FY26.

Similarly, I think in Global, we would like to see that it's not only in terms of the existing countries. If there is any opportunity which comes, we will be in aggressive terms of going into a new country as well going forward. Our aggression continues from a point of view of even the whole area of really putting strengths in the organization, so that we are able to supplement and retain our margins strongly. That is why our backward integration strategy is very important. So that possibly as we go ahead, we are able to take recourse from the fact that we are adding more and more margins to our material consumption story in a very big way. So, I think aggressive literally means that it is in all areas.

Mr. Shirish Pardeshi (Centrum):

Hi Amit and team, thanks for the opportunity and congratulations for good set of numbers. Just two observations. In this quarter you have reported a 16% volume growth and also margins have expanded. So, if I give the benefit and I just wanted to understand. Is this margin expansion primarily because of the falling raw material prices and packaging material or there is a mix improvement because if your volume growth is higher, than your revenue growth, I was suspecting the volume growth is driven by the more economic emulsions. So therefore, the question. There are two questions What is the quality of margin which you are trying to gather? And second, therefore, if you can give a broad number for domestic decorative in terms of premium emulsions, economy emulsions and low-end emulsions. The broad number - I know you will be hesitant to give me the exact number, but if you can help me on that.

Mr. Amit Syngle:

So overall, when we look at the margin story. It really revolves around 3 areas. One is the material prices so meaning, which is very clear. We have seen a 4% kind of a deflation in prices, which we have seen in Q4 very clearly. The second is a strong imperative on formula and sourcing efficiencies, which is also giving us a strength in terms of really making our material prices lower, given the fact that we are working on formula and efficiencies and sourcing efficiencies.

The third area is the overall mix has been decent because while the premium and the luxury segments have also grown by double-digits, we have seen some of the other segments which have grown far higher than that double-digit on an outlier kind of perspective overall. So, I think it's a combination of the mix being good, but some of the other products really being an outlier kind of products coming in. So, from a point of view of premium luxury, we see that possibly premium luxury is in double-digits, but the smart emulsions, economy emulsions would be slightly higher than the premium luxury in terms of what they would have contributed into the margins.

Mr. Shirish Pardeshi (Centrum):

Would you comment on FY23, what would be the broad mix? If I check with you on the luxury premium?

Mr. Amit Syngle:

Our intention obviously is that we stay ahead on a very healthy product mix going forward because the whole game of getting the margins in that band is dependent on the product mix in terms of the way you operate. Obviously, it depends on inflation, in terms of prices very strongly because the material prices contribute to a substantial chunk in terms of our overall kind of price structure. So, going forward, I think we are very clear that we are going on a very, very balanced kind of a growth, where we look at furthering the luxury and the premium

sectors very, very strongly. But what you must understand is that if you look at the entire structure of the product portfolio, the bottom of the pyramid and the middle segment premium is a large contributor in terms of the overall structure, in terms of consumption, which really happens. So, while you would like to continue to grow at the luxury and the premium level, you can't ignore the premium and the bottom end in terms of growth. So, as I said, we will try to balance in terms of seeing that we are able to take a very, very structured, balanced approach where we grow possibly in a balanced manner across the luxury premium and the economy segments.

Mr. Shirish Pardeshi (Centrum):

My second question on the industrial part. The growth rates were lower. However, you have shown good margin expansion. Is it a function that it's a competitive business? You have not dropped the prices and now will be forced to drop the prices in industrial and the growth will come back.

Mr. Amit Syngle:

So, we have not dropped the prices. If you see the profitability, the profitability has improved of both the businesses, In fact, we have been one of the strong proponents in terms of taking the price increases very, very strongly, whenever we felt that we need to take price increases because of inflation. I think where the kind of imperative has come in is that we have looked at increasing our reach from a point of view of some key account customers.

We have looked at the depth of going to the customers and focused in terms of the technical servicing part in a very, very strong manner. We have also invoked our entire JV with PPG Industries and introduced some very, very superior products in the market, which are actually at the high end of the market. But they give very, very strong performance when it comes to the technical features they offer. Whether it is from a point of view of say a heat resistant paint or whether it is from point of view of epoxy or a chlorinated rubber in terms of what we offer in the market. So, I think it is a combination of superior technical service, the reach, the depth of quality of customers in terms of what we are doing and also very, very strong differentiated products which we are now invoking in the market in a very strong way.

Mr. Shirish Pardeshi (Centrum):

My last question on the capex and capacity, can you outline the next 15 months, which are the capacity which will get operational and what capex we are looking at FY24?

Mr. Parag Rane:

Next year, our capex plan in terms of spends should be in the region of about Rs. 2,000 -2,300 odd crores. The utilization on the way we see it today, we are somewhere around the 75 -78% mark. The brownfield expansions which are ongoing. And we have a host of them ongoing, I think a couple of them will definitely come on stream as we go into FY24. Then the balance spends beyond that year, that's how we are seeing it.

Mr. Shirish Pardeshi (Centrum):

Parag, just you can help me what KL capacity will get added in FY24.

Mr. Parag Rane:

So, in a FY24, we would add roughly about 2.2 - 2.5 lakh KL to the capacity.

Mr. Avi Mehta (Macquarie):

Avi here from Macquarie. I wanted just to be clearer understand the margin comment. Now, was there any one off in this quarter in terms of inventory? Because there's no low cost inventory. And really logically, it seems that you've done a change in formula. Volume growth remains healthy. So, demand environment doesn't seem to be the concern, even your comments. Is this more a comment from a medium-term perspective, that over time demand might come off and hence we need to pass on? Is that why you're arguing for margins to come down from current levels? What exactly is the driver for that?

Mr. Amit Syngle:

Overall, what we see is that we had taken certain price increases over a period of time. And what has happened is that we have not looked

at decreasing any prices in this quarter. So, the higher price increases continued and we had a scenario of material prices so meaning of about 4%. Coupled with that, we had this whole area of the operational efficiencies and also the purchase sourcing efficiencies really coming in strongly. You must appreciate that when you look at the overall environment, the suppliers themselves are quite confused in terms of what's happening because the US and China economies, which are big consumption hubs, they are going northwards from the point of view of not knowing and the overall inventories are coming down.

So therefore, the whole area of negotiation with the large vendors is becoming very strong in terms of procuring some efficiencies, in terms of what you are able to kind do. And given the fact that we never lowered our prices and our product mix is quite decent in terms of what we've been able to achieve, that has really supplemented in terms of the margins, which you see. Which is why I commented earlier, that we would not bank in terms of just saying that this thing will stay forever, because one, you do not know in terms of what are the material specific movements. For example, today we find that TiO2 is kind of going higher and some

other solvents are coming possibly lower. So, you do not know the exact mix of the raw
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materials in terms of which way they will move. Also, the fact that we are sensing that if today there are certain segments where customers are finding it a little bit more expensive to buy that product and there is some downtrading happening, we might look at possibly really adjusting some prices going forward. But the impact of this quarter is very clearly because of the price increases that you have gotten and the material prices going down, better negotiation of prices, all that has given us this kind of margin and the product mix being so strong.

Mr Avi Mehta (Macquarie):

In your framework, if I understand it correctly, the way you are saying is, I will essentially ensure a particular revenue growth should be there and we will not necessarily focus on margins. Margins will be maintained in that band. But I would look to drive as much revenue growth as I can and that would be the thought process. The flow through the EBITDA may not be margin but will be more in revenue.

Mr. Amit Syngle:

See, we believe in balanced growth. If you have seen last three years also when I showed you the volume trajectory, we believe in not only driving only value, but we think that volume is a very, very essential kind of parameter which gives help to the market in a very, very strong way in terms of how you want to look at growing the market, because the only value component can come because of price increases as well. So, volume is a true indicator in terms of the health, in terms of how the overall product profiles are going. We believe in a balanced, profitable growth. I would not like to compromise one on the other side, and I think that's the right way to look at it, because in a growing market, possibly, you know, you can't be siding with one and saying that I don't want to look at the other side. Therefore, I think the way to go is a balanced, profitable growth in terms of what we are looking at.

Mr Avi Mehta (Macquarie):

The second bit is on the VAE project in particular. Now, you know, if you could give us some internal examples where VAE is used because one of the pushbacks that tends to come in is that this can be similar to at some point of time. If you remember, there was something called nanotechnology, which was being argued that could be a new thing in paints. You know,
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how do we understand the way, whether it's a fad? Why do think it's a very big change. So, any internal examples you could share on where VAE is being used or give us to better appreciate this technology.

Mr. Amit Syngle:

Today, if you look VAE is used across

the world. If you take even in a company like Sherwin-Williams, which is the largest paint player in the world today, they have a substantial usage of VAE, which they use because VAE is essentially a very progressive emulsion. It is one - environment friendly, it is low on VOC, it has literally no offensive smell, which comes in and therefore it is the emulsion of the future in terms of what we see. Today large quantities of this emulsion are imported into India because there are only four or five players across the world who make it. Where our game comes in very strongly is that the moment, we look at making this emulsion in India, it kind of gives us very, very strong leverage from the point of view of costs and margins, which we are able to derive in our products. This gives us the capability of really pricing our products very, very strongly from a point of view of what we want to do in the market going forward, which we think, today that the other players would be definitely forced to use this emulsion, but they have to import this emulsion otherwise and there is an import duty component, there is a freight component which comes in.

And therefore, the kind of efficiencies it does offers us is very strong because people cannot escape using this emulsion because it is one of those areas which also imparts some special properties to the paint, which you are able to get at a very cost effective manner, when you use this emulsion. And given the fact that this emulsion is progressive environment friendly and literally no offensive smell, it is definitely an emulsion where people can't really find an alternate in terms of just using it because that alternate will come at a higher cost.

Mr. Tejash Shah (Avendus Spark):

Hi, Tejash from Avendus Spark. The kind of ramp up that we have seen on our retail touch points, how what kind of ramp up we need on the backend in terms of depot network, in terms of feet on the street also. And does it mean that our depot network also would actually

go up or would have gone up in the last two, three years in the same pace? So, has it actually expanded in the same way that we have expanded the frontend? And how what was it for

example, this year we're targeting 10% retail touch point increase. Does it mean that the feet on the street that we have also needs to increase in the same proportion?

Mr. Amit Syngle:

So, what we have done is that over the last three years, the overall hiring of the company has been fairly aggressive. We even looked at the same thing during COVID times and this year itself, we would be recruiting more than 1,000 people in terms of what we are doing, both from the campuses all across, as well as the front liners, which would come in. And this is almost 3 times what we would generally recruit in every year. So, you're right, because with such a large retail network, there has to be a ramp up in terms of the people which are also happening. And therefore, I think we are definitely using large amount of technologies to kind of see that the productivity element remains in terms of our overall foray. But yes, the number of people are being ramped up and they are ramped up because of also the backward integration, the Home Décor and other areas coming in. So, it's an all-around ramp up which is kind of taking place.

Mr. Tejash Shah (Aventus Spark):

On depot network, what will be the count, if you can share and what was it 3 years back?

Mr. Amit Syngle:

I think we would have added about 40 odd warehouses over the last 3 years as we see it. But I think more importantly, what we have done is that the size of the warehouses has doubled to now almost like 1 lakh square feet to about 1.2 - 1.5 lakh square feet. So, both things in terms of expanding the size of our warehouses, the mechanization of the warehouses and the number of warehouses. So, all around there is expansion which is happening with respect

to
the distribution structure.

Ms. Lakshmi Chopra (JP Morgan):

This is Lakshmi from JP Morgan. My question was, you know, on this volume value differential of 3% in the quarter. If I go by your comments, probably we are looking at industry deco volume growth of 10 to 12%, one and a half to two times GDP. Do you anticipate for the coming year given you know, you mentioned that the economy emulsions are growing at a

little faster pace? And then, of course, you have Home Décor contribution as well coming in. Would this volume value differential stay stable in your view, or it could expand for the coming year or reduce?

Mr. Amit Syngle:

It's very difficult to say because for each quarter, the mix also varies. It's not one mix which is there because when you come to Q2, there is also a stocking pressure which comes in which people stock for the season. And when we look at Q3, this time we are looking at a longer Diwali which comes in. So typically, during a Diwali season, what happens, the mix kind of varies from Q1 and Q4 in terms of what we you look at. So therefore, very difficult to say in terms of how the mix would augur going ahead. But I think, we have reason to believe that it should be a certain band in terms of what we should kind of follow. So, it could be possibly anywhere between plus minus 2-3% in terms of what we look at going forward, unless obviously there is some other disruption in the market which takes place. It is also a function of sometimes that if you are able to gain share from some of the unorganized, then it fuels the volume part to slightly more than the value parts sometimes. So, I think it is very difficult to say that what would be the real guidance to kind of see the value volume kind of a stroke there. But I think from our point of view, the guidance very clearly remains from a margin perspective. Clearly that we would really like to retain that margin. At the same time, we would like to be, as I said, aggressive in all segments so that we are also looking at broadening the market and gaining share.

Ms. Lakshmi Chopra (JP Morgan):

And any favour on, you know, Home Décor segment other than Bath and Kitchen. You know, how do they track on gross margins, operating margins? You know, because you have given a FY 26 revenue target, but any thoughts on how the profitability will basically play out over medium term here?

Mr. Amit Syngle:

I think for each category, it kind of really varies. You've seen the Bath and the Kitchen in terms of the way it is kind of unfolding in terms of this thing. Typically, what we see is that when we have acquired the lighting category, you know, the margins there with EDITDA close to about 42 | Page

18 - 20% zone. And when you look at possibly the furnishing business, that would be in the range of about 10 - 14%. So, you know, it would vary from category to category depending on one, the innovation, the spread, the kind of range in terms of what you are kind of dwelling into. But I think over a period of time, definitely we would see that this category should be selling anywhere between 10 - 14% kind of a zone.

Ms. Lakshmi Chopra (JP Morgan):

Can I just check for our FY23, on a standalone basis, what was advertising to revenue ratio for the full year? Is it possible to share?

Mr. Parag Rane:

It should be about three and a half percent.

Mr. Chirag Shah (CLSA):

This is Chirag Shah from CLSA. My question is going back to the Home Décor business, as we scale up this business and the business becomes far bigger, is there a merit in simplifying the corporate structure over here and what is the kind of capital that you need to deploy to scale up the ambition that we have? Are we also expecting more categories to get launched here? Also, a little bit, if you can, share the growth plans in the White Teak business in particular and on Beautiful Homes. We are right now catering only to 11 cities, but as we plan

to double the number of stores, how many cities do we plan to sell in? Just trying to get a sense of where the market goes in terms of the geographical expansion.

Mr. Amit Syngle:

Just to factually correct you, the Beautiful Homes service platform is in 11 cities. The Beautiful Homes stores are in much number of cities, almost about 30 odd cities. So, I think both the framework will keep on expanding as we kind of go ahead and as I spoke of going from 50 to 75 to 100 stores, I think we will definitely have a footprint of about being about 50- 60 cities where the Beautiful Homes store network is going to be there.

So, when we look at this thing in terms of categories especially, I think we are very buoyant in terms of categories like the fabrics, the lighting, the doors and windows, uPVC business. We are looking at literally exponential growth, upwards of 50% in some of these categories, which 43 | Page

we will focus on as we go ahead. And as I said, some of these categories are also very, very profitable, and very strong from a point of view of design, commanding a certain price as you go ahead. We have already added categories like rugs, flooring, bedsheets in terms of the overall business going forward. We are working on a very big category, which is called the modular furniture, which is there apart from the furniture which is there. And in future we will not mind adding any other categories which could kind of really be a franchise overall.

But, we think that today we have harnessed actually most of the categories in terms of the Home Décor business, which are there and therefore we think currently we would like to have some consolidation. We have also launched brands which are there, which is part of the Home Décor segment. But we are not going for very aggressive volumes in terms of the brands, but we are looking more the designer and the high-end brands, which are coming in as a range completion in terms of our overall Home Décor business. So, I think that is something which is the intention in terms of how we would like to grow this.

As a structure, right now, we have put all this under a particular Home Décor structure, so that we can leverage all our skills in design, designers, structure who operate and our own leveraging of the architects, the designers in a very, very strong manner. So currently it is a structure which is possibly we are trying to put where there is some overlap of the paint business. But as we move forward, the structure will possibly see, whether we merge this structure into the full structure or whether we make it sharper, is something which we are seeing as the business progresses.

Mr. Chirag Shah (CLSA):

On the White Teak part and the furnishing business, what is the expansion that we expect on White Teak and in furnishing will it be largely distribution led business, and if that is the case, is there a scope to significantly expand faster?

Mr. Amit Syngle:

When we see from a point of view of furnishing, when we took over the business, it had only about 100 retail points. Now we have 900 retail points in two years. So that is the way we have expanded the business and it is just not a distribution story. It is also a story of design where

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you give a very designer stuff. So, we have a Sabyasachi range of furnishing which is there. There is a 'Pure' concept range of furnishing which comes at even a price of Rs. 6,000 a meter to about Rs. 9,000 a meter, which is really the high end of the market. So therefore, we are looking at segments within that kind of market in a strong manner, and it's not a pure play distribution in terms of what we are looking at. But as I said, we are now in the furnishing market become number two player already in the market in the short span of two years. We will continue the imperative of saying that not only we look at distribution, but we look at possibly the design, the

quality of the cloth and other parameters which come in so that we can offer a very, very strong range to the customer in India in terms of what possibly the customer demands.

As far as lighting is concerned, we have ended this year at Rs. 109 crores. We are angling for definitely a 50% plus growth kind of a thing in terms of what we want to take on this segment. The segment, according to us, is about closer to about Rs. 1,100 crores as a market in terms of the overall segment. And therefore, we think that there is enough scope to grow profitably in this segment, because a lot of this lighting is imported from China today in the Indian market, which is of a certain quality. And therefore, there is enough scope to grow in the White Teak lighting segment as well.

Mr. Chirag Shah (CLSA):

My last question is on the backward integration. If you can just give an update on the backward integration facilities that we are expecting, in white cement, VAE and Monomer. And Parag, does the Rs. 2,300 crore number include this backward integration related capex as well and how much?

Mr. Amit Syngle:

Yes, that number includes because you must appreciate that the funding takes place over the next 2 to 3 years' timeframe. So, this funding, which Parag spoke of includes that kind of funding which is happening both from a VAM VAE perspective, which is a plant, which is coming up and also the cement plant which is coming up in Dubai, Fujairah. Apart from that, we have anyway expanded some other elements of backward integration as well, which is already implemented in our plants at the moment.

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Mr. Manoj Menon (ICICI Securities):

Hi Amit and team, excellent performance given the market context. This is Manoj Menon from ICICI Securities. Sir, actually my questions are not really pertaining to the quarter. One question which investors do highlight to us or rather ask us how do you actually define volumes? You know, is it tonnage or is there a formula which you apply?

Mr. Amit Syngle:

So, the volume basically is a conversion in terms of the specific gravity of the material, in terms of which we look at converting it into litres. So today, whatever we sell in value terms, there's a conversion which takes place into defining it as a litre. And that kind of constitutes what we see as a volume. So therefore, in a way, the volume is linked to the value in a strong manner in terms of how it emanates.

Mr. Manoj Menon (ICICI Securities):

Understood, so is it fair to say that let's say when you sell a Pulley at Rs. 20 per kilo, versus the top end of, let's say, paint that, you know, maybe Rs. 800, you know, per litre. I mean, give, or take, Kilo Vs Litre is like maybe 0.9. You know, is it fair to say that, you know, the formula which you use takes care of this, you know, significant, let's say delta in terms of 40 X in terms of low end to the high-end product, which you sell.

Mr. Amit Syngle:

No, see each volume, which comes in is basically related to the value in that sense; because what will happen in terms of, say, a category like distemper. When we look at distemper, basically it has a certain specific gravity ratio which kind of comes which qualifies it in certain volume zone. There is no formula which is used to bring everything to the same base. If there is a waterproofing product, it has a certain volume which is coming in because of the overall

thing and it will have a certain value contribution which will be possibly lesser than the value contribution of a luxury product. So, there is no one formula which binds everyone to bring it into a certain zone that the same formula is applied towards that. It is a pure play volume which comes of that category, which adds to the overall volume in terms of what we project at the overall level. And why, we feel it is comparable because each company has the same product range today in the paint industry. So, the

there is no company in the paint industry, which does not have a putty, does not have a primer, does not have a distemper, or does not have waterproofing. So therefore, I think when people speak of volumes overall, it is by and large comparable in terms of what really people are speaking of in the industry.

Mr. Manoj Menon (ICICI Securities):

That's very fair. So basically, what I understood is it's not necessarily a value weighted volume, it's actually a volumetric volume understood sir.

Mr. Amit Syngle:

That's right.

Mr. Manoj Menon (ICICI Securities):

It's a brilliant work you have done in waterproofing. And I think there was no question on adhesives. Maybe some comments on adhesives also, would be helpful on some good work you have done there. You know, on building lot many more businesses outside of paints. 2 questions Amit, actually the quantitative part is there for all of us to see, qualitatively let's say how would you managing complexity. I know that's like an omnibus question but so many categories. And secondly, with some of the new businesses which you have, looking to ramp up also a lot of retail linkage to it right. Now you've been a product company for a long time, how are you managing the transition, at least in some of the businesses from, let's say, product to retail?

Mr. Amit Syngle:

So, we started waterproofing about seven years, eight years back now and because of our indigenous technology, we really grew the waterproofing business. Because waterproofing business is a very, very technical business where historically people like Sika, Fosroc and some of these companies have been as multinationals at the helm of affairs. Similarly, when we look at a category like adhesives, which we started about six years back and now we are clearly the number 2 player with respect to the adhesives category. Or we look at possibly, we started the whole zone of wallpapers or the painting tools which have kind of come in. In each of these categories, what we have clearly see is that, these are not like standalone categories where we will have to put a separate structure to take care of it. We have largely tried an integration approach that the current business is able to sustain that kind of new category, which we are introducing with possibly the same set of people, who are catering and reaching the same places where possibly paint is reaching.

So, the area, what we have looked at possibly going forward in terms of the new categories is largely an integration, where either the integration takes place at the retail point or the integration takes place at the consumer point. And therefore, possibly from a structure point of view, it has not added principally to the structural cost which possibly any new category would have added, and therefore possibly the resilience in terms of why we are able to grow these categories very strongly.

Mr. Manoj Menon (ICICI Securities):

One request actually, you know, which I would be doing with all the listed paint companies, you know from this quarter onwards. You know, will it be feasible to follow the template, let's say which Indigo started a couple of years back, you know reporting segmental at least the revenue part, if not the profits. It's a request which has come from consensus investing side.

Mr. R J Jeyamurugan:

Manoj, will come back on that

Mr. Abneesh Roy (Nuvama):

A few follow up questions. The first is on the Non-Deco India business. So, when I see your auto paints and industrial paints, last year your margins were fairly similar at 6%. But this year the gap is almost 450 bps, which was difficult to understand if you could explain that. Second is given the size of industrial at around Rs. 1,000 crores, how much would be the auto paints also. Third, as the leader in auto paint Kansai, two days back said that they have gained market

share in all the verticals of auto paints - four-wheeler, two-wheeler

for EVs and the commercial

vehicles also. So, if you could tell us with your relationship or partnership with PPG, what has been the gains in the last 6-7 years post the relationship being more formalized?

Mr. Amit Syngle:

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One of the reasons I explained earlier, why the margins have really increased here is the fact that we have become very, very strong with respect to taking certain price increases in the market, which we were not possibly taking earlier. And this has come on the behest of our superior offerings which are there in the market from a point of view of differentiated offerings which we are able to give the market. As I explained, that if I am giving a floor coating, the floor coating will come with some additional parameters and therefore it will be of a certain higher price as compared to competition in terms of what we are able to put up. And this is also led by our technology which comes from PPG, what we have been kind of doing.

So, from an overall point of view, both businesses, whether it is the Auto OE business or it is the General Industrial businesses, we have been able to one, take very, very progressive price increases with respect to our range. Second, I think the differentiated products are giving us a very good opportunity to price and differentiate certain products much higher than competition, which has led to this kind of overall profitability. And third, I think there has been a strong amount of work at the R&D level in terms of looking at really working around the formulations to see that we are able to kind of increase our margins in a very, very strong manner. So, I think these are the components which possibly have increased the Industrial volumes for us in a very strong manner.

Mr. Abneesh Roy (Nuvama) :

Your Auto paints, the margins are better because those are 450 bps ahead of Industrial. So, when you are saying R&D has helped or whatever differentiated, is it only in Auto that you are doing differentiated?

Mr. Parag Rane:

So Abneesh, another part of that question is also the fact that Auto margins were always better than the General Industrial. In the previous year, given the nature of the business, which is more B2B, the price increases actually come with a significant lag in the Auto business and therefore you had a much larger inflationary impact on the Auto business.

Mr. Abneesh Roy (Nuvama) :

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And size of auto business, and if you could talk about the market share gains in the last seven years.

Mr. Parag Rane:

So, the Rs. 1,000 crores that we reported is on the non-auto business purely. It doesn't include any auto. The auto business is the JV, where about 1/3rd of the business is from the four-wheeler OEMs. Another 1/3rd is from the two wheelers and other commercial vehicles, and 1/3rd is from the re-manufactured segment.

Mr. Abneesh Roy (Nuvama) :

So last question on Indonesia. 6 to 7 years back, there were big plans. Would you say where you are currently, you'll be hugely disappointed? And is there disappointment because of the GDP, because most companies in Indonesia are disappointed, or would you be saying that you are in the right path, because of the COVID or whatever issues, things got a bit derailed?

Mr. Amit Syngle:

No, definitely. I think Indonesia has been a disappointment for sure. I think the trajectory in the last three years has not been good at all in terms of what we anticipated in the market. I think, we see ourselves very clearly that when you are at single digit market share, and we have not been able to grow the market very aggressively. So, we are putting adequate measures in terms of saying that we give ourselves some time in terms of seeing how we need to galvanize that business and take it ahead. I don't think I have to blame the economy for doing it because when you are at a low market share, then it is not the economy, but it is your own strength in terms of doing

what we can do in that market. So, I think there is a way to go in that market definitely. What we have been definitely able to do is prune the losses a little

bit in terms of what we were earning there. But having said that, I think the larger growth strategy has to kick in in terms of possibly, seeing that that business becomes worthwhile as we ahead.

Mr. Abneesh Roy (Nuvama) :

As of now, you don't think you have to model right, because you don't talk about it and you are still saying that you have cut the losses rather than you have the strategy to scale up.

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Mr. Amit Syngle:

There is a strategy which is in place. It's just that some parts of the strategy have not gone in the way in terms of how we would have liked. For example, we tried to possibly see the entire lay of the land, because in Indonesia, if you see there are islands which are spread all across the country. We decided on approaching everything at one shot which possibly did not give us the leeway, now we are looking at a far more concentrated strategy in terms of key strategic places in Indonesia, and that's something which will follow now. But there is definitely a strategy in place because without strategy, then we would have winded up far earlier.

Moderator:

Due to time constraints, will be ending the Q&A session right now. We thank all the audience for all their questions. May I now request Mr. Amit Syngle for his closing remarks?

Mr. Amit Syngle:

Okay, great. I think it was a good session. I think after a long time we had a physical session with all of you. So, thank you for coming and I hope we added some value in terms of answering some queries of yours. I look forward to meeting you in future and seeing how we can make this session far stronger and more interactive as we go by. Thank you.

Call: Jul 2023

A

PL/SEC/32/2023-24/43

31st July, 2023

BSE Limited

Phiroze Jeejeebhoy Towers,

25th Floor, Dalal Street,

Fort, Mumbai – 400 001

Scrip Code: 500820 National Stock Exchange of India Limited Exchange Plaza, Plot No. C/1,

Block G, Bandra - Kurla Complex,

Bandra (East), Mumbai – 400 051 Symbol: ASIANPAINT

Sir/Madam,

Sub:

Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Investor Conference

P

ursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor Conference held on Tuesday, 25th July, 2023, with regard to the financial results of the Company for the quarter ended 30th June, 2023.

The transcript has also been uploaded on the Company's website and can be accessed through the following link:

Investor Conference - Transcript

Y

ou are requested to take the above information on record.

Thanking you, Yours truly, For ASIAN PAINTS LIMITED

R J JEYAMURUGAN

CFO & COMPANY SECRETARY

Encl.: As above

ASIAN PAINTS

Q1 FY2024 Earnings Conference Call

Date : July 25, 2023

Management: Mr. Amit Syngle : MD & CEO

Mr. R.J. Jeyamurugan : CFO & Company Secretary

Mr. Parag Rane : AVP – Finance

Ms. Sunila Martis : Head – Investor Relations

Mr. Arun Nair : Manager - Corporate Communications

Disclaimer: This is a memorandum of the proceedings of the Investor Conference of Asian Paints Limited held on Tuesday, 25th July, 2023 at

5:30 pm with regard to the financial results of the Company for the First quarter ended 30th June, 2023. While we have made our best attempt

to prepare a verbatim transcript of the proceedings of the meeting, this document has been edited for readability purposes and may not be

a word -to-word reproduction

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Sunila Martis :

Good evening, all of you and thanks for joining us to discuss Asian Paints Q1 FY24 earnings. I am Sunila Ma rtis from Investor Relations. And I'm happy to welcome all of you her e.

Today , we have with us our MD & CEO, Mr. Amit Syngle. We also have with us Mr. R. J. Jeyamurugan , our CFO and Company Secretary. And we have Mr. Parag Rane, AVP-Finance joining us. I would now like to welcome Amit for his opening comments.

Amit Syngl e:

Hello, everyone. Welcome to the Investor Conference for Q1 FY24. It's a pleasure to be with all of you.

We have always spoken about delivering joy since 1942. And as a brand, we exist to Beautify , Preserve and Transform all the spac es and object s, bringing happiness to the world. This is our core value and we have been speaking about it in terms of where our brand is and where we want to take the brand as we go forward.

3 | P a g e

Overall, when we look at Q1 FY24, it has been a strong quarter from the point of view of overall volume growth which we have been able to deliver . This has also been a consistent promise and what we have been pursuing for the last 12 quarters. We registered double digit 10% volume growth . Over a four -year period , this was clearly a strong double -digit 17 .5% CAGR . Even the value number was relatively strong at about 8%. Please remember, that this was over a very high base last year where we had grown by value of about 59%. It was also a price increase base and growing over a lower covid base of previous year , 8% on t hat is a still a relatively healthy number delivered this quarter.

Similarly, the volume base was strong at 37% over which 10% growth has come in. We see that across geographies , this is broad base d growth giving us confidence that it was a strong quarter .

4 | P a g e

When we look at the last few quarters , you will see that the result is consistent in terms of looking at the volume base to growth. The 4-year CAGR over the various quarters have been in the band of about 15 -20%. This shows our commitment to overall g rowth , and we have been keeping pace with the same over previous quarters .

Going ahead , let's take a look at some of the parameters on how we would qualify the quarter . First of all, I think the good part is that compared to Q3, Q4 of FY23, we saw rural growth definitely improving and coming closer to the urban markets, which was a good sign.

5 | P a g e

We saw almost similar growth between the two . Over a period of time , we are seeing that the 4-year CAGR across rural urban areas are kind of same. The overall product mix was led by the economy and premium range growing. The luxury range was a bit down, but both economy and premium range did well .

In terms of specifics , we saw Smart Care waterproofing, which has been on a strong growth path over the previous qua rters continue to maintain growth. The wood finishes, which is a strong area with lots of premium finishes also grew quite well . Enamels again which has a premium component , grew well and the economy emulsions which get into the bottom of the pyramid in te rms of people coming in from the unorganized sector to the organized sector , did quite well.

Our distribution expansion in terms of increasing our footprint continued in a strong manner. We had reported about 1.5 lakh retail points earlier till the end o f last year. We have added good numbers of about 6 ,000-10,000 retail points in Q1 which is a signal to the market that we would like to keep up our presence in every geography as we go ahead, even with respect to the T3 -T4 towns.

Services has been on a strong pitch , and I think this is something which differentiates Asian Paints . Our Safe Painting Service (SPS) , which comprises of the Trusted Contractor Service (TCS) has done extremely well and now we are present in more than 650 to wns with revenue almost doubling in Q1 . This signifi es that today the trust levels of service are very high , and we speak of a fairly high NPS score. Overall , from the point of view of retail versus projects business, the projects /institutional business grew faster , and it was led by good construction

activity which propelled the builder sector. We saw good spending from government and also factories did quite well. This B2B part of the business has been spearheading growth in a very strong manner for us .

From a point of view of innovation , new products have been fairly consistent , and we have been speaking about the band of 11 -13% contribution to the overall revenues This quarter , also we saw about an 11% contribution . We have already announced that there are various expenditures which we have committed in terms of going forward. We had spoken of about

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Rs. 8,750 crores to be spent over the next three years. And today the overall capacity expansion has been going on pretty well and we are on schedule.

This slide gives a brief of the larger areas at work. I spoke about innovation and being a leader . This is called Nilaya Naturals. This is a super luxury product at the highest point. This is something which is a n organic emulsion packed with 90% organic materials which are earth - safe with more than 200 shades . It's got a very good vintage matte look and is very popular amongst architect designers and therefore this is our attempt to take on the super luxury space and offer an organic and green product .

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We look at really enhancing décor on the walls in a very strong manner. These are a large set of Italian finishes which we have introduced in the market and is very popular amongst the AID segment. Some of these finishes are very expensive and in the super luxury category , at the top -end of the market.

Some clear innovation products which have strong propositions . We are talking in terms of luxury exterior paint, which comes with a 15 +15+15 warranty, which is for durability, for algae and for the waterproofing. We are looking at 'Hydroloc Xtreme ' , which can be applied on almost 70% damp walls, a technological innovation. And lastly, an 'Anti Insect ' paint that keeps common insects away. So, a lot of things which are really world class, including 'Purafin ' , which is one of the PU finishes looking at the mid-premium segment of wood finishes, which for the first time is coming in this range. So, as I said, every product here is in the premium and the luxury range .

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Shifting from the 'share of surface ' to the 'share of space ' business, which is our Home Décor. This has been a journey which we have been pursuing over the last few years and we see today we are at about 4% of our decorative revenue. And this is what we are steadily increasing as we are going forward . Today , we have become clearly the number one integrated home player in terms of offering customers décor under one roof through our 44 Beautiful Homes (BH) stores which we have put across geographies in India. And this makes us very strong in terms of catering to the customer, because as we said , Home Décor complements the coatings business because you are part of the consumer décor lifecycle.

We have become number two in the fabric and the furnishing business . We have a co -branding arrangement with 'Pure' brand. We have got into areas like wallpaper through collaborations with ace designers like Sabyasachi, Sarita Handa and have also done collaborations with partners like Jaipur Rugs. We introduced the area of lighting and flooring and also the doors and windows with uPVC. We are number one in wall coverings and texture. So , what you see is that literally in terms of most of the categories, you are becoming amongst the top two players in the market, including becoming the number one player in the integrated décor area .

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We already have a Kitchen and Bath business which has been there . The Kitchen business has been doing well. We experienced a growth in the F&D business , but the components business was slow. We had a high price increase base last year and therefore from that point of view , we had a 12% de -growth in terms of our revenue . As far as the PBT is concerned, we improved our margins in the Kitchen business , and we were at about a minus Rs. 2 crores, kind of an overall PBT . As far as Bath is concerned , again Bath was affected by a strong price increase base , and we almost have a breakeven here against a Rs. 4 crores profit which we had last year.

So, I think we were quite affected given the fact that the bases were high because of the price increase. We feel that next quarter would be much better in terms of the two businesses going forward .

Luxury kitchens, which are being launched under the 'Crest' brand by Sleek, is something in the range of about Rs. 12-15 Lacs per kitchen. Again, a lot of work happening at the luxury end here.

We also have now our 'Nilaya' furniture, which is having European sensibilities with Indian comfort.

Strong introductions which have been made at our BH stores and are getting very popular.

We have also launched fitted furniture, which consists of vanity units in terms of crockery, entertainment units and so on, so forth. This is a new launch along with the wardrobes in terms of our BH stores. It completes the various areas of aspiration of a consumer.

As far as the two new acquisitions are concerned - White Teak did extremely well at almost about 28.4% growth. We also had good profitability in terms of PBDIT from this business. We have added more stores, both company owned and franchise owned stores, apart from the fact that the 44 BH stores are selling White Teak. We have acquired another 11% additional stake in June 23, taking our share to about 60% now. So, it has become our subsidiary. As I said earlier, we are number one in terms of decorative lighting here.

As far as we look at Weatherseal, last year we had doubled the sale and this year also we are doing quite well. We have already registered about Rs.9.8 crores of net sales and therefore expanding these businesses. Both the businesses have done very well in Q1 and we have strong hopes in terms of taking it ahead in terms of what we want to do.

Some snaps of a new format of Beautiful Homes store, called the Beautiful Homes Studio. This is the next frontier of our journey on home décor. This store has come in Chennai in Anna Nagar and it's about 17,000 square feet. This store is comparable to a store which would be in Paris, London or New York and very high-end luxury. It has really taken Chennai by storm. It is really high-end from the point of view offering - decorative lighting, furnishing, furniture and lots of other areas. So, I think this is our journey towards taking the luxury end again, in a strong manner as we go ahead.

When we look at the International business, it comprises of our operations in Asia, Middle East, Africa largely.

It was a mixed bag in terms of the International business. If we look at the businesses in Middle East and in Africa, we did quite well, including South Pacific. I think where we were hit was Asia, largely in the case of Nepal, where there is a little bit of an economic crisis going on. There's a liquidity crunch and I think that is where we degrew and this had a quiet effect on the overall Asia business, and it also had an effect on the overall global business. In fact, what we have been seeing is that in some of the markets like Bangladesh, Lanka and Egypt, there has been devaluation of currency. So, if you were to see this degrowth of 1%, but you were to convert it into constant currency terms, it comes to about 4% growth. So, in that sense, I think the overall business is still about 4% positive.

As far as profitability goes, a large part of profitability comes from Nepal. And as I said, the Nepal market has been down. Overall, we registered lesser profits from last year, but there was still overall profits of about Rs. 27 crores in this year. PBT levels have dropped down, but we are hopeful that Asia recovers as we go forward because a lot of business comes from Nepal, Bangladesh and Lanka in our international foray.

Going ahead, our Industrial business has been the star business in Q1. Very strong top line growth coming in. The PPGAP business, which is the business which caters to auto OEM and refinishes market has done extremely well at about 13% top line growth with both auto OEM and refinishes segment doing quite well. We have got good realizations in the market from the point of view of our prices, which we had with our B2B customers. There has been an effect of the softening of the raw material prices a little bit, which has led to a strong number coming

in terms of PBT. The number is heartening and augurs well for us .

When we look at the other business which is the General Industrial business, which is APPPG , I think the growth has been consistent. If you look at the last 10 to 12 quarters, it has been growing in double digits and we delivered almost Rs. 300 crores here with 22% growth . The profitability numbers were also strong which was aided by the softening of the raw material prices and a lot of work in terms of improving margins. Both businesses are growing from strength to strength and this is really adding to the brand in a big way.

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So, if you look at gross margins - we are looking at almost a 9-quarter high . We have seen deflation in Q4 FY23 and we have seen deflation of about 2% in the current Q1 of FY24. We see that the overall gross margins have gone up to about 43.4%. And this has been also aided by a lot of work which we have been doing with respect to the formulation and sourcing efficiencies. So , this is a strong number as far as the overall gross margins are concerned.

In totality, with respect to the financials at a standalone level , if we look at the top line, it's about 7% growth led by double -digit almost 10% volume growth . As far as the gross margins

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are concerned, we are almost up by 550 bps. If we were to look the point of view of last year, same quarter I think very strong 43.4% margin. If we look at PBDIT margins, they have gone to 24.7% from 19.4% in Q1 last year. And sequentially also, they have gone up by about 170 - 200 bps. So stronger growth happening with respect to margins aided by some softening in terms of the prices. But this has obviously given a lot of impetus with respect to PAT numbers in terms of what you are seeing on screen .

At a consolidated level , the numbers are not too different. Obviously, top line is more or less close to the standalone number of 7%. Again, gross margins are strong at about 42.8% , a 530 bps improvement . At PBDIT compared to last year Q1 at 23.2 against an 18.1 number and even on a sequential last year quarter, we see a gain of about 190 bps. PAT has been fairly strong in terms of what we have been able to see. There has been a one-time adjustment which we have indicated as a note in the financials. But overall, even if we were to take that one-time kind of benefits out, the growth in terms of both PBDIT as well as the overall numbers has been quite strong.

So, what we are saying overall is we have had a good start as far as FY24 is concerned . Our foray of double -digit volume growth continues, which gives us confidence in terms of our performance. Home Décor, while Kitchen and Bath have been a little bit sluggish, but overall, a plethora of other categories like fabrics, lighting, uPVC, all kind of giving us good growth and

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we think as a combined business this is something which is galvanizing us and giving us strength with respect to our core business. As I said, it is making us part of the consumer life décor journey. The Industrial business on a clear uptick, giving us double -digit revenue growth and this is a business which has been growing at this rate for the last few quarters and therefore clearly the journey has been strong in terms of what we see going ahead . International , a little bit less up to our expectations , but I think the forex tightness, the devaluation and so on, so forth are a bit of a challenge, but we still see that if we are able to kind of overcome Asia business, I think it will give us good growth and good profit as we go ahead.

Overall, from the point of view of operational efficiencies, a lot of work is happening both from the point of view of sourcing and formulation and I think this is adding to the softening of the raw material prices and giving us benefits. So net net, a great start .

On to ESG , I think all of you would have seen our annual report, which has a strong component of intertwining business with ESG numbers. I think strong progress with respect to the three areas of Environmental, Social and Governance in terms of what we have taken up and I think these areas are something which we are steadfastly pursuing within the organization .

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If you look whether from the point of view of water replenishment, or with respect to energy, which is renewable electricity or with respect to the certain areas typical to the chemical industry in terms of hazardous waste or effluent generation or in terms of Scope 1 & 2 emissions , I think the progress has been very strong. What you see is what we have achieved

in FY23 and then we have looked at two buckets, which is the 2025 bucket which you see in grey, and the pink bucket, which is the 2030 bucket. So overall it's the audacity of the brand that we are committing upfront to the ESG framework. On the Social front also, a lot of work is being done in terms of being water positive and we are getting into a lot of areas which generate some water in the environment. We are also looking at the area of health care initiatives and training people from the point of view of making them win livelihoods. This is a strong area of focus for the organization as we go ahead.

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Lastly, I think all of you would be quite eager in terms of knowing our outlook. The Indian economy is still pretty good as compared to what we are seeing in terms of the world economy, whether it is Europe or US or even China and we will continuously push for aggressive growth. Our growth focus definitely would remain. As I said, the rural demand has been good in Q1 and we see that given the fact that the monsoons today are appearing to be quite good, we would be banking on rural growth going forward.

Raw material prices, while I think they have been going down, we are seeing some increases. Crude is at an all-time high in terms of what we see. We do not know what trajectory the dollar and the rupee take as we go ahead. So, we are watching the environment and seeing where is the raw material stabilizing, and then we will take a call on our pricing going ahead.

As far as the festive season is concerned, we are looking at it very, very strongly because this time we have a longer season and therefore we think it should be a good season.

Our Home Décor initiatives are strong, and I think they will keep multiplying going ahead and the Industrial business will keep on adding to the overall décor business.

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As I said, I think we are a little bit watchful on the International geographies because unless for us, Nepal and Bangladesh, kick off strongly, I think the Asia business would remain suspect. But I think we are hoping that they also turn around the corner and it should be good going forward.

So overall, we have a good outlook going forward in terms of how we are looking at the coming quarter and therefore looking at the performance in H2 in a strong way. Thank you so much.

Moderator:

We now begin the Q&A session.

Abneesh Roy (Nuvama):

My first question is when I see your gross margin that is at a 9-quarter high and when I see other FMCG categories like soaps and detergent, wherein also the gross margin expansion has happened, local and regional players have come back strongly in terms of either pricing or in terms of local marketing. So, could you take us through what is happening in the 30% local market share, which is there. Are you seeing players cutting prices, for example, and are they also starting more of advertising and what is your response to that? Because that's a large market and you are equally aggressive in the lower end of the market.

Amit Syngle:

For us, the bottom of the pyramid is a very strong market, and we look at getting the unorganized customer into the organized brand. Our work emanates in two manners. One is in terms of expanding our footprint so that we are able to reach out to smaller towns. Second, we have a very strong program in terms of below the line marketing initiatives, in terms of what we place in the market. So, whether it is work around influencers, whether it is the work around wooing the consumer, or it is with respect to even the work in terms of looking at brand displays at the shops, I think we do a huge amount of work there too, so a large expenditure possibly goes. Similarly, I think the differential schemes to woo the retailers to stock the material and sell them at a strong incentive to the customers is what we do. So, our concentration has been led by below the line initiatives and topped with a focus on 'Above the line' advertising.

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Going forward, we are looking at giving an impetus to our advertising and looking at these below the line initiatives. What we see very clearly, is the strength of the brand where we are able to command a premium with respect to selling prices and despite the fact that we see some discounting by local players and in some cases also advertising. Today our Q1 results also

indicate in that segment we are able to really get good numbers and good response. So , I think net net our initiative of 'Above the line ' and 'Below the line ' will continue in a strong manner . We would be strong with respect to our initiatives in terms of what we want to put to woo the consumer and we might even look in terms of saying that as we go forward, depending on how the raw material prices fare out, we will look if we need any price corrections.

Shirish Pardes hi (Centrum) :

I do understand on a base of 37% volume growth, the volume is about 10% growth. But just wanted to understand, because you made some remark, that the premium luxury segment is not to the expectation in the middle and lower end is grown faster. Is this the industry trend because the local competition has picked up very well and I think there is a pressure and obviously the demand is high at the lower end. And in that context, I think I do understand you have prioritised the gross margin and do you think in the medium term we have a pressure to drop the prices?

Amit Syngle:

There is no middle and lower end premium and luxury . There are only three segments : economy segment, premium segment and luxury segment. What I said was that the economy and the premium segments are doing well , and the luxury is a little bit down. If you look at the market constraints,

the economy segment is the biggest segment which is there, followed by premium and luxury. And therefore , you will have to perform in the economy segment if you are looking at overall volume and value growth in terms of turning the tables. I think the premium segment has also done fairly well , riding on wood finishes , riding on adhesives and riding on enamels.

Overall, we think the premium segment has been strong. I think the decision with respect to pricing is totally related to how the whole area of raw material prices pan out. We are now

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seeing some resurgence in crude prices, they are at an all-time high in terms of what we see. Some parts of the raw materials are also going northwards. So, we are watching it carefully and if the trends are clear, we would look at price correction in that case . Having said that, we are not seeing local companies, at least in the paint industry, doing very well. Possibly we would have gained from some of the local competition in terms of the overall economy segment.

Shirish Pardeshi (Centrum) :

On the non-decor part, the Industrial business and Home Improvement , The Industrial business has shown momentum . So, in your sense, is it completely normalized because auto OEM and auto refinish business has done exceedingly well, despite the high base. In that context , is there further recovery expected or this is the normalized base and we can build on this. And second, on the Home Improvement, exactly what has gone wrong, because both Slek and Ess Ess have declined very sharply.

Amit Syngle:

When we look at the Industrial business, I don't think it has reached a place where it cannot grow and we did not have any price increase bases there . I think they were normal bases in terms of what we saw last year. The General Industrial business comprising of Protective paints and Powder coating is something which is on the rise , and I think what we see is that not many industries are coming up. Players are expanding and we see a lot of opportunity in the government infrastructure business, which is also seeing a lot of money getting pumped in. As far as auto is concerned, I think both two-wheeler and four-wheeler , we are seeing strong growth with the additional lines, the whole area of EV coming up and so on and so forth. Both businesses are promising that the uptick should continue in terms of the overall demand as we go ahead.

As far as the overall Home Décor business is concerned, four categories have grown and two categories are down. So, I don't think things are terribly wrong there . In the two businesses, which have degrown a little, we had very high bases because of price increases and that could possibly get corrected as we go ahead in Q2 and Q3.

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As far as the Kitchen F&D business is concerned, we are buoyant because we are number one in terms of that F&D business. And even with respect to the Bath business, I think it will definitely come up going forward. So overall, I think net net , four categories have done well very clearly in terms of what is there and two categories have gone down. Overall , Home Décor, had a fairly good growth.

Shirish Pardeshi (Centrum) :

So, you think second half is going to be better as compared to the Q1 weakness ?

Amit Syngle:

We think the business would definitely improve because the weakness was coming also because of a little bit of a base which was very high. So definitely there will be an improvement.

Avi Mehta (Macquarie) :

I just wanted to build on the margin point a little. Basically, are there any one-offs in the other expenses that we saw this quarter? And the second also related is because you are pointing towards resurgence of input costs, would you suggest that the current gross margin performance is something that could be at risk?

Amit Syngle:

If you take the two one-offs which were there,

one is in terms of some dividend income which we got from our industrial JV and the second has been a provision reversal with respect to sick leave entitlement in terms of the positive change for our employees going forward. I think if you take out the one-offs, the margin position is still healthy. So, I don't think the one-offs are really influencing the numbers in a strong manner. And secondly, the overall margin numbers are also closely governed by how raw material prices pan out in the market. You have seen that during the whole period of inflation, when the inflation levels had gone to about 20 - 25-30% levels, despite taking price increases, the PBDIT margins had gone almost to about 15 - 16% levels. Today the raw material prices and the environment makes a huge impact with respect to that. We feel that for the year, our commitment to the overall band of the PBDIT 25 | Page remaining between 18 -20%, should be sacrosanct. That is something which we are committing for the year, and which should remain.

Avi Mehta (Macquarie) :

I was just trying to push the bubble by saying that given one does not have a material one time, what we saw almost about 23% margin, that logically one does not see any risk to that continuing and hence there could be possibly an upside risk to your guidance ?

Amit Syngle:

You are right as it depends also in terms of if we really look at some changes with respect to pricing in other areas, then possibly it would come down and might not remain in this level. I mean if there is going forward in H2, we see a larger inflation kind of coming back. But I think we are in a good positive band in terms of what we are looking for the year.

Avi Mehta (Macquarie) :

Just a clarification. The festive demand strength should reflect in the next quarter because the channel gets filled. So, the longer festive period benefit should flow through in the second quarter. Is that understanding correct?

Amit Syngle:

What happens is that retail season is about at least about 45 days before the festival. So, if Diwali is in the first week of November or in the first ten days of November, normally what happens is that the period from 15 September to October end would be a strong retailing season. We feel that the larger impact would come into Q3, but impact should come into Q2 as well because there is a retailing period which gets impacted by the festive area. So, we would see that both quarters show an uptick with respect to the long festive season.

Sheela Rathi (Morgan Stanley) :

My first question was with respect to the distribution, the dealer network, which we have added this quarter about 6,000 dealer points and this year we have guided to about 10,000 - 15,000 dealer points. Just wanted to understand we are looking to get more into smaller cities. So here what I wanted to understand is do we have a number in mind in terms of how many

26 | Page Asian Paints dealers, a small town could have? And in general, how long does it take for the dealer to generate the requisite ROI? And has there been any change in terms of the timing on generating the ROI; because, companies like yours and other competition are also talking about being more aggressive with respect to adding the dealer points.

Amit Syngle :

What we see is that today the opportunities obviously in terms of the dealer and retail points is that we keep on looking at not only the smaller towns which are coming up, but we are also looking at a lot of suburbs of the bigger cities, which are expanding. So, it's a combination of looking at retail points coming at both these points. What we also feel is that today, it's a journey in terms of how the retailers start. They might do a certain amount of business in a year and they kind of keep on growing progressively over the next 3-5 years and therefore the drop out of a dealer, from the point of

view of year one dealing with us to kind of going to

year three, year four is not very high because we look at putting in a tinting mechanism, which gives them the flexibility of earning more money given the fact that the retailer is able to cater to a larger range of SKUs which he can offer to the customer.

In our experience, what we feel is that this is a kind of journey which will continue given the vastness of our country and given the opportunities of now the larger road network, government infrastructure, the way it is developing. I think the opportunities are fairly huge. For example, if you look at the entire J&K portion today and the opportunities that have opened are very big. Similarly, look at North East, given the connectivity of roads which is coming. So, I think these areas of expansion are going to continue and we feel that right from year one onwards, people get their ROI because at Asian Paints, we offer them a very, very high rotation of inventory and they keep on growing as the years go by. Some 5% of the retail network might drop out because of some liquidity crunch or some other personal problems which might come in. But overall, I think the business model is pretty strong.

Sheela Rathi (Morgan Stanley) :

And we have not seen any change in terms of the pattern it was say three years ago in terms of, you know the competitive intensity among the dealers.

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Amit Syngle:

No, I don't think so, because the expansion really continues only because of the fact that, overall connectivity, the whole economic activity is only increasing. I think the consumption is also going higher given housing, which is coming, and I think we will not see any change in this for the next 5-10 years.

Rishi Mody (Marcellus) :

My first question is we have seen the Kitchen and Bath business kind of struggle to scale up immensely. If you could take us through the journey, what have been the challenges? What are the bottlenecks today. How are we solving it and where are we in the journey before we can push the pedal on the gas to scale this up massively?

Amit Syngle:

When you look at the last three years of journey, first year in Kitchen and Bath, we grew almost about 35%. Second year again, we would have grown at about 30-35%. Last year we grew almost about 10-15%. So last year was a bit slow and this year in the first quarter, we are seeing to some extent the business slowing down because of the large base.

So, I would not say that the business has not grown. I think last three years, the combined business of the two entities is close to about Rs. 830 crores. Therefore, this business has grown from about Rs. 500 crores to about Rs. 830 crores, and I think that's a good increase, which we have seen in the last three years.

As we go ahead, we should be able to add good overall growth. Kitchen also has a hardware business to it, which is called the components business, which also contributes to about 40% of the total Kitchen plus components business. This is the business that just kind of slowed down in the market because of certain price changes we implemented. And also, as I said, that these price changes were done in the last year, first quarter. So overall, I think for both categories, we are still fairly buoyant in terms of what we see and more buoyant towards Kitchen because it is in sync with our strategy on Home Décor, when we look at our Beautiful Home stores. 44 stores today across the country, and these stores are going to about 65-70 stores this year.

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And therefore, we feel that these stores will also give an impetus to both categories, along with the projects B2B business. Overall, we still see that these two businesses from a trajectory are going to be strong because the opportunity is huge.

Rishi Mody (Marcellus):

So just wanted to get the clarification. You are happy w

ith 30% growth rate for this Kitchen

and Bath business? You don't have aspirations for doubling of business year on year. Like, if you have those aspirations, what are the bottlenecks for doubling or multi fold growth in this category?

Amit Syngle:

Happiness is a relative state of mind. I might be happy with tripling business also going forward, but you need to be practical in terms of the way you want to grow and not really strain the system. We have just put additional capacity for both the Kitchen and the Bath which has come up in Maharashtra so that we are able to really put a strong impetus. Going forward, we are happy if we are able to grow the business by about 25 -30% each year. That's a fairly healthy rate in terms of growth. In terms of what we see. I think the idea here is that you look at strong consumer positions and you look at possibly equipping your stores in terms of really carving a niche for yourself. So, I think we are taking really measured calls in terms of the way we want to kind of go. And as I said, I think we should be happy in terms of getting about 25 -30% growth in this segment, which should be a good indicator in terms of our overall growth. We have always said that going forward, the whole Home Décor segment should be closer to about 7 -8% of our decorative sales as we look at FY26. So, at the end of FY26, that's the number we are gunning for. And I think that would be a strong number if we are able to reach that.

Rishi Mody (Marcellus):

Secondly, there have been a bit of changes at the Board level. We have a new Chairman and we also have a new member joining the board. So just wanted to get your understanding on what are both of these guys bringing to the respective roles, that they've been assigned? How are you viewing this appointment?

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Amit Syngle:

This is in regular course. We have Mr. Deepak Satwalekar, who was the Chairman. His term comes to an end in September end and therefore we had to announce the new Chairman and we have Mr. R. Seshasayee who takes the Chair. He comes with a rich background in terms of heading Ashok Leyland earlier and being at the helm of lot many other companies, including Infosys. He comes with a very strong area of expertise and I think has been a strong directional leader at Asian Paints in terms of his contribution to the Board. So, I think that's the kind of transition in terms of what we are seeing, which is a natural transition and a strong one to o.

Second is that we have one of our Directors who we had completed his term, Dr. S Sivaram, and in place of him, we are taking Mrs. Ireena Vittal. She comes in again with strong experience. She has been with HDFC and other boards like Wipro. She brings in a strong area of capital to really energize us from the point of view of our thought with respect to newer businesses, technologies and also with respect to the overall financial kind of management. So, I think that's the thought in terms of looking at these two people.

Rishi Mody (Marcellus):

Alright, and finally, just a bookkeeping question. When we say NPD contribution, is 11% of sales, how do you define the NPD? Like, what period of launch were these products launched within?

Amit Syngle:

So normally it takes us almost about 1 -2 years to kind of launch the product and then sustain it. So, we normally define it as NPD over 3 years. So that's how a new product is defined.

Amit Rustagi (UBS):

I have a question relating to margins. If you look at the Q1 margins, they were pretty strong vs. of a guided range of 18 -20%. So, what do you think is the best utilization of margin from here? Would it be more channel discounting or reinvestment? Or you think the price cuts? So, what do you think is the status quo. What do you like to achieve from the excess margins you have?

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Amit Syngle:

We don't

really act on quarter to quarter in terms of the margins you get, because you have seen the last two years, given the inflation, I think the margins had gone even lower than that band. We take a considered view in terms of how the margins are emanating and whether they are stable from a point of view of overall business and environment. We would obviously be aggressive with respect to our 'Above the line' and 'Below the line' programs. In terms of what we do in marketing and our share of voice in the market, our media spends and our other marketing activities, including, various measures on really exciting the market through various schemes and discounting mechanisms. I think that is first and foremost because we are committing ourselves to growth and we will not let that growth go away. And we are pretty aggressive about that in terms of our thought.

Overall, as we go ahead, depending on how the raw material prices pan out, how the rupee dollar parity pans out, we might look at even pricing corrections. But I think we will really be watchful in terms of seeing what is there and just not react quarter to quarter. I think we take a considered call in terms of going forward. And that is something which possibly is the right mechanism, as we see from the Asian Paints point of view.

Amit Rustagi (UBS):

My second question is, if we have to resort to a price pass to the consumers, we have seen in some of the consumer companies, the channel inventories get impacted and the channel inventory comes down impacting the primary sales. What do you think in our case, how the price cuts will be implemented and how would the channel react to those price cuts?

Amit Syngle:

So as far as Asian Paints is concerned, I think we don't depend on channel inventories a lot because our channel inventories are to a minimum level because of the fact that we are able to service the retailer at least almost about two times in a day. And therefore, I think we don't really encourage too much loading the retailer in terms of inventories. However, in some months, if there are stocking months and if there is any price corrections, we are willing to give concession to the retailer in terms of a back linkage, which happens on certain stocks. I think it is something which goes in conjunction in terms of really seeing that both the

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organization, the brand and the retailer, all benefit from what we are doing. So, I think the considered call is very clearly that we take them along with us so that even if they have stocked for some time, they should not be at a loss in terms of that stocking.

Moderator:

Thank you so much for all your questions. Requesting Mr. Amit Syngle to please give his closing remarks.

Amit Syngle:

It was good hearing questions coming from your side. It's been a good quarter. I think we are fairly satisfied with respect to the kind of overall numbers which have come in. We are looking forward to the long, festive season. And we feel that today the Indian story is still live in terms of the overall demand conditions. Good monsoons coming is also a positive indicator. The coming period should be a good one, as far as overall business goes. Thank you so much for coming and being with us today.

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Call: Oct 2023

APL/SEC/32/2023-24/59
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th October 2023

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001 Security Code: 500820 National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051 Symbol: ASIANPAINT
Sir/Madam,

Sub:
Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure
Requirements) Regulations, 2015 – Transcript of the Investor Conference

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations
and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the
Investor Conference held on Thursday, 26th October 2023, with regard to the financial results
of the Company for the quarter and half-year ended 30th September 2023.

The transcript has also been uploaded on the Company's website and can be accessed
through the following link:
Investor Conference - Transcript

You are requested to take the above information on record.

Thanking you,

Yours truly, For ASIAN PAINTS LIMITED

R J JEYAMURUGAN
CFO & COMPANY SECRETARY

Encl.: As above

ASIAN PAINTS
Q2 FY2024 Earnings Conference
Call

Date : October 26, 2023

Management: Mr. Amit Syngle : MD & CEO
Mr. R.J. Jeyamurugan : CFO & Company Secretary
Mr. Parag Rane : AVP – Finance
Ms. Sunila Martis : Head – Investor Relations
Mr. Arun Nair : Manager - Corporate Communications

Disclaimer: This is a memorandum of the proceedings of the Investor Conference Call of Asian Paints Limited held on Thursday, 26th October, 2023 at 5: 00 pm with regard to the financial results of the Company for the Second Quarter and Half Year ended 30th

September , 2023. While

we have made our best attempt to prepare a verbatim transcript of the proceedings of the meeting, this document has been edited for readability purposes and may not be a word -to-word reproduction

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Sunila Martis :

Good evening and welcome everyone to Asian Paints Q 2 FY24 Earnings Call. I am Sunila Martis from Investor Relations. We also have with us today our MD & CEO , Mr. Amit Syngle, Mr. R. J. Jeyamurugan, our CFO and Company Secretary, and Mr. Parag Rane , AVP - Finance. I would now like to invite Amit for his opening comments.

Amit Syngle:

A very good evening to all of you and welcome to the Investor Conference for Q2 FY24 .

To reiterate, the bigger area which we have been looking at is delivering joy and happiness and clearly , we exist to beautify, preserve, transform all spaces and objects bringing happiness to the world. This has been the core area across businesses in terms of what we have been talking about and therefore the whole movement of 'Share of Surface' to 'Share of Space' which we have invoked going forward.

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When we look at this quarter, there has been moderation in the top line, which has been seen in terms of the market and a weak consumer sentiment . I think progressively we have seen improvement ; July was extremely weak, we saw August improving and I think it was a healthy exit in September. Overall, the bright spark , the volume growth has been 6% over double -digit in terms of what was there in Q2 FY23 .

From a point of view of value, it has been flat, but there was a healthy growth last year in the same quarter of about 20%. The CAGR has been very strong at about 15% over a four -year period.

When you look at the half yearly results, they are slightly better . 8% volume growth, which is closer to the double -digit in terms of what we have been speaking about . And value has been a little lower at about 4.2 % over a fairly healthy base. So, that's how the figures pan out , but CAGR levels here are also quite strong at about 16%, both on volume and value, which we see overall.

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One of the areas which we wanted to bring in line is that if we look at just the paint s and the coatings area, which is if you include the decorative sales and the industrial sales in terms of what we do, the volume growth is about 6% and the value growth is about 1.1%. So , it improves marginally given the fact that industrial sales have done well . The half yearly numbers also improve in terms of value to about 4.8% and in both these cases you can see the CAGR numbers are pretty strong on both volume and value . Both at the quarterly level as well as at the half yearly level. From the coatings point of view , we are able to see growth , which has come in both on value and volumes .

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We have been speaking about this and you have been seeing this graph , our double -digit volume trajectory. And if you see , this is something which is still being maintained over a four -year CAGR basis and this is something as an organization , we are committed to going forward . Several imperatives which are working to see that we continue to really look at maintenance of this.

Some of the growth drivers to look at in terms of what really has happened overall . One of the differences which we have seen in this quarter is the rural and urban centres have been

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behaving slightly differently and especially, we have seen that there is a change from Q1 to Q2. Today the urban centres have done better than the rural centres and that somewhere is a difference which is causing some of the dip in terms of demand.

We are also seeing that today , the current mix is led by a larger Economy range, although the

Luxury range has also got reasonable traction. And we have seen some changes in terms of how September has behaved, possibly a larger traction on Premium and Luxury products.

Overall, Waterproofing has been a bright spark, strong growths, which we are seeing both in the Retail and the Projects segment. The whole area of our distribution footprint continues unabated. And today we cater to over about 1.6 lakh retail touchpoints. We have added about 2,500 touchpoints in Q2 itself. The overall additions, from a point of view of half year is closer to over 5,000.

We look at the entire area of our painting service, which is the Safe Painting Service (SPS) and the Trusted Contractor Service (TCS), which itself stands out as a big differentiator. It has really grown exponentially and doubled in its size, with some very, very good customer experiences measured through an NPS parameter. We can easily say that now globally, this is the largest painting service which is run by any painting company and therefore that's a clear edge in terms of the growth which we are achieving here.

From a point of view of Projects and Institutions, the business has been stronger despite the fact that there is some disruption because of the monsoons. We are seeing good growth coming from the government, the factories and the builder segment, which are growing at a fairly decent pitch in this quarter.

Our focus on innovation continues. You have been seeing a slew of new products which we have been launching over a period of time, and our new products contribution, even in this quarter, at 11% in terms of the overall revenue. So, I think this is a strong parameter which keeps on driving the sales.

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We had announced huge Cap ex in terms of what we are taking, both from the point of view of capacity expansion and also from the point of view of backward integration. All these measures are going on pretty well, and we are definitely looking at achieving the numbers in terms of both Cap ex as well as the backward integration measures in the coming 2 to 3 years. So that's the overall scorecard on how we see some of the various areas behaving for us for this quarter.

New products have been something which have been the strong point. Earlier, we had spoken about the 'Nilaya Naturals' Top-Coat. Now we have completed the entire range with the Primer, Putty coming in and this is really number one in terms of the paint industry. We are talking of something which is 90% organic, based on natural content which comes in and also something which in packaging is a revolution, because it is made of ocean recycled plastic. So, this is really a stellar product and it is one of its kind across the globe. At the Luxury end, it's something which is really appealing to the architects and designers.

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Not only this, if you see, we are reinvigorating our offerings with respect to a certain consumer segmentation. We find that people who are above a certain level in terms of the SEC-A are preferring a lot of pastel and whites and to kind of cater to that we have launched what we call as the Whites and Ivories collection. It is called 'Shvet' and this is a designer palette, one of its kind, just got launched and is something which this season I think will do really well.

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Not only this, a slew of promotions, which are 360 degrees, whether it is in terms of 'Royale Glitz', what we have launched. It has been a mega starter in terms of what we have been able to put into the market and has got an extremely good response in the field. We have looked at various promotions based on integration in terms of media, whether it is 'Kaun Banega Crorepati' or whether it is in terms of cricket. We have looked at a lot of integrations which have come in terms of other products as well. 'All Protek' is the other product where we have looked at various media campaigns coming in.

Digital has been a very, very strong story and a lot of this is even marketed in various events which might happen in various places. For example, 'The Boat Makers' in terms of what we have done in Kerala, or looking at appropriating various occasions, even the 'Chandrayaan'. Asian Paints has celebrated everything in terms of looking at reaching out to our customers. A lot of work happening around digital so that the campaigns are holistic in nature in terms of being able to reach out to our customers.

One of the big things which we keep doing is , looking at training people and increasing their livelihood by skilling them. These are various people across the country . We have a campaign which is called 'Kaamyabi Ke Rang', which looks at instilling skill, skill levels and therefore increasing the livelihood of people. And that is something which is very, very strong. We look at the training almost more than 500,000 people last year and this year also , this is going strong with almost the 300,000 training s mark breached. So , this is a strong program which is really galvanizing the influencers to do something which is very different and to inculcate their loyalty towards Asian Paints.

Overall, when we look at various events and festivals, I think 'Sharad Shamman ' at 'Kolkata' has been very strong. Just to give you an idea that the way we looked at the trams in Kolkata City, which we decked up specifically with respect to the culture in West Bengal . Whether it is the 'Howrah Bridge ', whether it is in terms of talking of the nuances of the local culture, or in terms of even doing the inside of the trams in a strong way. So , 'Sharad Shamman ' has become the 'Oscars ' for West Bengal. And that is something which we celebrate every year. This is all to give you an idea of things which have been done in this whole area.

In the case of Home Décor, I think we have seen a little bit of a weaker demand this entire three months. But I think the organization's foray in this is very, very strong. Our investments , our work which we are doing in this area is something which is very clear in terms of our approach . Today , we have become the number one integrated Home Décor player overall. We have now 50 'Beautiful H ome s' (BH) stores which are there across the country, and we are adding these stores steadily . Our 'White Teak ' investment has taken us to a number one position in decorative lighting. In Fabrics, we are number two , in wall coverings we are number one . And lots of collaborations with 'Sarita Handa ' and 'Sabhyasachi ' and so on, so forth. Currently , the overall revenue is 4% of our Decorative R evenue, but we are committed that we would like to grow this exponentially as we really go in this Home Décor journey going forward.

So, when we look at this, we have been launching newer things. So , this is the new wallpapers which have come at the Smart Economy end.

At the same time, at the high -end Luxury end, we have launched some collections which we have worked with certain designers . The first kind of mural range which we have launched done by the 'Tilla Studio ' . So again, to give you variability in terms of work happening at the

Economy, Premium and Luxury end . We are continuously looking at customers who are basically straddling these spheres as we look at the market.

This quarter, I think definitely the Kitchen and Bath business has been much, much slower in terms of what we have seen. Kitchen business had a price increase base last year and therefore we had larger bookings which were there by the consumers and that has impacted the sales there. I think the demand conditions have been weaker and therefore it has affected the top line numbers. However, we had our focus with respect to how we are looking at building our overall profitability here and we had done strong w ork in terms of operational efficiencies to maintain a certain kind of bottom line here.

Bath has been again, slower than Kitchens in terms of what we are seeing . So, I think while the BH network is kind of giving some energy to this, overall the business has been a little bit down. But I think that are strong plans on how we kind of prop up Kitchen and Bath as go forward for the balance part of the year.

'White Teak ' and 'Weatherseal ', both are doing extremely well. Overall, top line is growing and we are really expanding the network across the country, along with Beautiful Homes being there . 'Weatherseal ', which is the UPVC windows and doors again, business has doubled in terms of the value. We are introducing newer products here. We have just introduced system

aluminium as well, which has come in and in the Projects business it is also doing well. So, I think these two would be the flagship kind of businesses which will lead Home Décor as we go forward strongly. So, I think these businesses are doing quite well in terms of how we see it.

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Coming to AP Global - This is the footprint, as you are all aware of in terms of where we operate - Asia, Africa and Middle East.

Overall, there has been a mixed performance as we see it. There have been various challenges which we have seen. Largely in terms of the overall numbers, while we have seen de -growth, but in terms of constant currency terms, there would be a growth of about 2% in this quarter. I think the bigger areas of performance has been Middle East, which has done very well with

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the double -digit kind of growth which has come in. Parts of Africa, which includes Ethiopia, has done decent. Sri Lanka, is something which is really improving in terms of the overall business. The whole impact largely has come in from Asia, where Nepal and Bangladesh have been a little bit more affected. We also see a large depreciation happening in Egypt, which is really disrupting the business in terms of both growth and bottom line.

So, some of these factors have really led to some disruption. However, we have been able to improve our PBDIT margins in terms of focus, obviously helped by some deflation, which is there. But, I think overall this business has been also on a slightly lower side as we see it, especially in some of the markets of Asia and Egypt. So that's how the AP Global Business looks like.

The Industrial Business, continued to maintain its strong growth trajectory. Overall, when we look at the PPGAP business, which is all about the auto refinishes business, I think both businesses have done relatively well, supported by good growth happening in the auto sector, especially passenger vehicles. I think there is good growth happening, which is reflected in terms of the topline numbers growing by about 6% and there is a strong growth with respect to even the PBT levels over the healthy growth which is there in the base. So, I think overall this business has done well.

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If we look at even the APPPG business, which is about Protective paints and Powder coatings, this business also has grown in very healthy double -digit s and their profitability has also been fairly good. Both segments have grown very well for us, and this is almost now a journey of the last 3.5 years that the business has been consistently growing. So overall, I think the Industrial Business does well and that is why in the overall coatings in Q2, we have registered 1.1% growth aided by the industrial performance coming in strongly.

When we look at deflation which is happening over the quarters, especially the last two quarters, we have a material deflation of about 2%, which happened in Q1 FY24. And now, we have had about 4% kind of deflation in the quarter, which has just gone by. I think that is something which is clearly helping us in terms of looking at strong margins. If you see the gross margins, we are at about 43.9%, which is definitely in terms of trajectory, one of the higher gross margins in the last ten quarters.

As we go forward, we will have to look at larger macroeconomic things which are happening in other areas of the world, and we are closely watching this as we go ahead.

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When we look at an overall summary in terms of the standalone numbers, obviously, as I said, the Net Sales is flat. But if you look at all of the parameters, whether it is the gross margins or the PBDIT margins or even in terms of PBT growth, I think very, very healthy in terms of what we are seeing. PBT growth is almost about 52% and PBDIT margins, from a previous comparable quarter of last year have really gone up almost by 550 bps to about 21.7%.

Even if we look at from the half yearly level, the trend is same. The Net Sales is up by about 3.6% and both gross margins, where we see 680 bps improvement and PBDIT margins again, the improvement is close to almost about 600 bps. So, I think the bottom -line story has been still very strong. Yes, some weaknesses in the top line, in terms of what we have seen in this quarter.

Consolidated financials, again, the story is similar with slight variations. Net Sales is closer to flat at the quarter level. Improvement with respect to gross margins, PBDIT, PBT margins overall. Gross margins have gone up by 770 b ps. PBDIT margins are closer to about 20.3 %, much above the 14.6% we saw last year in the same quarter. Overall, all parameters from the point of view of profitability look fairly healthy.

On a half year level similar to the standalone, I think Net Sales is up by about 3.5%. Again, improvements in margins, gross margins have gone up and now stand at 43% and the PBDIT margins stand at about 21.8%. So, that's how it stacks up in terms of all businesses coming together.

Dividend has been declared. I think it's a healthy dividend, which we have declared of Rs. 5.15 per share, and this is something which we are maintaining as a strong indication in terms of how the organization has done.

I remember in FY2022-23, the pay-out ratio was very strong at 60%. So, that's a very good sign in terms of how shareholders are benefiting from the point of view of overall performance.

When we look at Outlook, I'm sure this is something which is on everyone's mind in terms of what's really happening. One very clear thing which has happened is that while there was erratic and sporadic rainfall in Q2, which took a toll with respect to the overall demand, it was very clear that we saw a shift towards possibly a longer festive season and therefore what we are seeing that right from 15 September onwards, there has been healthy ticking of overall sales. The exit of September was strong and therefore we are looking at a good 40 days of October and the first ten days of November, being very, very strong, which is happening because of the overall festive demand.

We also are seeing a strong wedding season, which is coming in November and December. So, I think we have the confidence that today going forward, we should see fairly healthy demand as an offtake which would come in led by the larger festive season which we are seeing currently. So, we are confident of that. Monsoons, though, I think have been uneven overall, but I think the deficit has been covered largely. So, no real kind of things which are coming as disturbance in this area. And I think overall, this should kind of favour the rural growth coming up, especially towards the end of Q3 and Q4 in the hope of a good harvest and good agrarian economy, kind of picking up.

Government spending, I think has been good. It has given a fillip to the rural demand also in support. Obviously, we'll have to see this in the context of the elections, which are coming up in terms of how it really behaves. As we see Industrial Businesses are doing quite well. Home Décor, we are quite confident that with the demand in terms of the real estate, which is picking up after the monsoon is over, I think it should really give a fillip to the overall Home Décor business going forward. As far as international geographies are concerned, I think the key concern is still Asia, where Nepal contributes to a larger chunk of our business. I think Nepal and Bangladesh, we have to see from what's happening and what is really the improvement which happens in Egypt. There is a little bit of uncertainty there. We are not very sure in terms of how things will shape up going forward. Let's see and hope for the best that how businesses recover in these places.

Overall, from the point of view of input prices, inflation, the second war which has started, is not something which is giving a very good sign. But we see that there would be some impact

on crude and all the derivatives around it, which might lead to some kind of inflation is what we are thinking in terms of the material prices going forward. But that is something which we like to really see and watch out in terms of what really happens. But in all, I think overall demand still seems to be positive and we are looking forward possibly to a good quarter as we go ahead.

Sustainability has been the core, and you would have seen that the way we have invoked the whole area of ESG has been very strong. I think it reflects on the kind of work which is happening. We are water positive first of all, I think that's a very big point. So, whether it is from the point of view of freshwater replenishment or with respect to either the effluent generation or it is about specific hazardous waste, large quantum of reduction in terms of what basically we have promised and are achieving in terms of what you see here very clearly.

Similarly, in terms of scope one and two emissions, I think there's very good work which is there where we see such strong reductions coming in . Everywhere RE has been a strong area with us almost at about 67% level . And this is something which is not purchased RE through certificates , this is something which we have actually achieved in a strong manner. Overall, I think the work in recycled material, a

gain, very, very strong . The whole area of social, again very strong in terms of the work which we are doing on skilling , improving the livelihoods of

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people or even working around health care initiatives. So, I think this strong body of work is something which is really the core in terms of bringing joy to people's lives.

And therefore, I think we continue in terms of spending on democratizing décor and really creating joy and happiness for various communities and people across the country . And also creating something what we call the Art Districts . We have about 7 Art Districts now across the country, and that is something which we are strongly taking going forward. Thank you so much.

Moderator:

Thank you, Mr. Syngle, with that, we now proceed to the Q&A session.

Abneesh Roy (Nuvama):

When I see your non -paint diversification , I see very good performance in adjacencies which are very close to paints. So very good performance in waterproofing, construction chemicals, putty over many years. But when I see your more diversified forays, for example, Ess Ess and Sleek , it's been a consistent challenge . When I see the real estate sales last year and this year , almost every company has seen very good sales. So, if there is a lag impact , it should have shown now. So, my questions here are essentially, is there a big festival impact which has impacted Ess Ess and Sleek because both have seen double -digit sales declines ? Second , is

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when you said you would be taking lot of concrete actions to recover sales in the balance of the year, my question is more on the structural thought from a longer term . How do you see this going much faster ? Because when you say that you are the largest integrated Home Décor company, ideally these parts of business would have benefited more rather than paints, which is anyway doing extremely well from the existing dealer network rather than the Home Décor network. So how do you measure your Home Décor network is performing as per expectation because it could be a key differentiator.

Amit Syngle:

I think I would like to just clarify that if we look at the overall Home Décor foray, I think it's not only the adjacencies of waterproofing and construction chemicals and other areas that you're seeing . If you see , we have started putting focus on the recent buys of White Teak and Weatherseal and there we are seeing responses which are coming . Specifically , if you look at Kitchen and Bath business, if I talk of FY21 and FY22, two years, I think we had done exceptionally well, almost about 30% growth in both the businesses. Last year the growths were in double -digits.

So I think from that point of view, the trajectory has been good in the last three years in terms of what we have been able to do . Only this year and starting from Q4 of possibly last year, we are seeing weakness which is coming in , in terms of the overall demand . And what we are seeing is that our imperatives with respect to the Beautiful Home s stores, I spoke of our 50 stores which have come in , a large chunk of these stores have come in the last one and a half years. So, I would say that from the point of view of going ahead, yes, you're right that we are seeing some of the weaknesses in the last about three quarters, definitely . But we still see a very, very high potential with respect to both the businesses . Because in Kitchen , we are the number one player in terms of the F&B business and we still think that the modular kitchen is a very, very strong bet.

We have been really conscious in terms of looking at our bottom line and not going and splurging in projects in a very big way where the real estate has kind of really gone in . Therefore specifically , we are not very strong with the builder segment, but we are strong from a point of view of retail demand, which comes in terms of renovations and other things

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which people do in their homes in terms of replacing their regular kitchens with modular kitchens.

So, I think going forward, Kitchen, we are very confident that today we should do well because the last three years, we have grown at a good rate both from the point of view of kitchens and components. Bath again, last three quarters, it has got really effected in terms of the overall growth. There are some network challenges in terms of what we are facing from a point of view of overall distribution. But the whole area of Beautiful Homes, are really propping up the sales very strongly for Bath as well. There is some work which we need to do in terms of brand building as well. So, given these areas of focus, I think they still are very much in the reckoning. The organization is behind them and what we see is that we would revert back to the growth which we saw three quarters earlier and the trajectory which we were maintaining as part of the overall imperative of the number one integrated player in terms of Home Décor.

Abneesh Roy (Nuvama):

You mentioned that in retail you have high focus and real estate where the growth is much higher. I understand the margins will be much lower, given current lifecycle of Ess Ess and Sleek, won't it make sense to cross subsidize from the paints business because the amount of subsidy needed will be lower. It also addresses your earlier point that you need brand building here, so if you have that as a

aptive brand in the new home, won't it also help in terms of brand equity of both the businesses.

Amit Syngle:

No, it is there. So, the umbrella branding of Asian Paints is definitely helping us in both the businesses. I was talking more of the fact that today the awareness of people that we are in the Kitchen and the Bath category as well. I was talking more in terms of building that space as we go forward. It's not that we are totally out of real estate. We do participate in some real estate, but especially we are looking at a little bit of the mid-end, high-end builder's space and not looking at the lower end, which is there. So, as I said, we are looking at calibrating our margins there and looking at what products we could kind of really offer there.

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So, it's not a segment which is left forever, but I think we are being a little bit more cautious with respect to how we want to achieve our bottom-line as well as grow this business of Kitchen and Bath going forward.

Abneesh Roy (Nuvama):

I think the last question is on your core business. You mentioned weaker sentiments, downtrading which is being seen in almost all forms of consumption currently. You take FMCG, you take QSR, all companies currently are suffering. Wanted to understand given this is a new trend at least in paints, what are the proactive steps you are taking in terms of increasing market share at the lower end so that the downtrading benefits you? Second, in Q3, you mentioned because of the festival demand and marriage season, some of the things might reverse. You see this as a Q3 phenomenon, given it started this quarter or you think this is a one quarter phenomena only and will get to know Q4 later but what's your sense?

Amit Syngle:

So, as we see it, I think this quarter has definitely been an anomaly in terms of what we see. You have been seeing the trajectory across the last 13 quarters in terms of what we have been able to do overall. What we see very clearly is that, if we look at the entire quarter, you know, July was the weakest and it picked up. July was weaker because of the rains, which were very, very high and strong and then I think progressively we have seen some improvement in August, and September. As I said, the exit rates in September has been very good. In terms of even the product mix, we are looking at, September is coming back strongly.

We feel that going ahead, given the larger festival and how we are seeing possibly the current October, this seems to be a little bit of a one-time phenomenon. But having said that, I think overall, if on an analysis of how last year was, in terms of the overall sales, which was high double-digit growth; in terms of overall volume, also how it is auguring; definitely what we see this year in the first half is that demand has been a little bit slower. More egged by the fact that the smaller tier towns are doing lesser or giving lesser kind of sales. But I think that apart, we would say that the phenomenon of really kind of looking at saying that we are looking strongly at the coming quarter I think remains and this quarter has been a little bit of an anomaly there from a point of view of sales.

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Avi Mehta (Macquarie):

I just wanted kind of pick up on the demand environment bit. What I am trying to appreciate

is, is it fair to argue and what I read between the lines is that the moderation in 2Q was largely because of festive timing and hence, would it be fair to say that if I were to add 2Q and 3Q and look at that growth momentum, that should be similar to the momentum that you were say witnessing at 1Q or probably prior to that? Is that the way I should look at demand or how would you look at it?

Amit Syngle:

Definitely, I think when we look at combining both the quarters and look at a Q2 plus Q3 kind of growth, I think that is something which definitely gives

us a leeway in terms of saying that

it should be closer to how we would have looked at our Q1 growth, which has kind of come in. So, I think that is the correct analysis in terms of what we see overall going forward from the point of view of how demand will augur given the larger festival season. Because what is very clear that last year Diwali was around 18th October or so, and this year it is around 12th November. So, there is a clear time period in terms of what you are kind of getting.

The other factor, which we must look at is that the whole pattern of rainfall has been very, very sporadic. If we look at from the point of view of this quarter. July - it was very heavy, August it was absent. And then in September, it kind of came back, which has also kind of killed the sentiment in terms of whatever demand would have kind of built up. Especially, the whole exterior segment has got affected in a very strong manner. So, we would definitely see some deferment of this demand which is going to come into that quarter apart from the festive thing which is there. And third, what we see is very clearly a very, very strong wedding season, which is coming in November and December. And that, I think, augurs quite well for our industry because typically there is a lot of painting which happens around wedding time. So, I think when we look at all these factors, possibly that Q2, Q3 is something which we are looking at, you know, in terms of the growth kind of really balancing out.

Avi Mehta (Macquarie):

So not a demand issue, more a timing issue is how I should kind of look at it. The second bit was on your comment on input cost. I wasn't quite clear. Is it the current level of input that 29 | Page

you are worried about and hence you need to take price increases on that? Is it more of crude rising? And related to that, just from a near-term perspective, this quarter had a mix impact, clearly Economy did well. If you are seeing bullishness coming in on growth, if you're seeing input costs, we don't know where it will be. But assuming stable, would it be fair to say that margin at the EBITDA level should also move up from 2Q levels just because the mix normalizes?

Amit Syngle:

So, what we see is very clearly that the larger geopolitical situation has kind of put pressure on crude. We are seeing increasing crude in the last about 10-15 days. And earlier also we had seen some upward movement which is there. Plus, I think going forward from a point of view of currency, also we don't know which way it is going. As a result, what we are looking at is that possibly in the coming quarter, you will definitely see some upswing in terms of the material prices, especially where crude derivatives are concerned, solvents are concerned. I think we will definitely see an upswing. What I was mentioning was very clearly is that the kind of deflation which we have seen in Q1 and Q2, that is something which we don't see any deflation. In fact, we see going forward, there will be some inflation and therefore I was not talking of a price increase. I was just saying that we might have to look at prices in terms of what we might have to do depending on how the inflation takes place going forward. So, I think from that point of view, there is some balancing which is happening with the material prices going up and this is a trend which I see in Q3 and Q4 going forward. So, from the point of view, I think the PBDIT margins and so on so forth, we have always kind of maintained that we would remain in that band of 18-20%. That's a very strong and steady way in terms of looking at how we perceive our margins going up, in terms of both calibrating prices or calibrating discounts and overall spends as we go forward.

Jay Doshi (Kotak Securities):

Could you comment on competitive intensity from local players and unorganised players? You mentioned that rural growth was

much slower. Do you see more competition from local players in this environment.

Amit Syngle:

As we see it, I think the unorganized sector definitely has got affected post COVID . First, it was the whole disruption in terms of the supply chain. Now , we are also seeing a very clear shift towards brands, which is happening from the customer point of view. And what we have seen is that the price elasticity also which was there earlier has kind of really decreased , Overall, from that point of view, I think it is very clear that the unorganized sector is not growing at par with possibly the organized sector and that is something which we have seen in the last two years as well . Therefore , one of the areas from where we are gaining share is especially the unorganized sector which is there, given the gains which we have been able to achieve in about the last three years .

We see very clearly that the unorganized customer who is sitting at the fringe is kind of looking to buy into an organized brand. And therefore , what we see is that there is a lot of traction coming towards the emulsions which are the smart or the economy emulsions and people are looking at brands to really upgrade to because the price difference is not very high and they get the comfort of the assurance from a brand which comes in. So , I think the trend which is appearing is very clear that the organized industry is growing faster than the unorganized industry in terms of overall growth which is happening in terms of the products which are quite relevant to the paint industry.

Shirish Pardeshi (Centrum) :

I think you said that the rains were uneven or sporadic . My understanding , this would have affected a larger exterior business. So , I'm more curious that generally typically what is this split in the rainy season between the exterior and interior in terms of decorative?

Amit Syngle:

There are two parts of it as we see it. While the exterior business gets affected. But, you know, I was largely talking of the painting segment because, you know, when it rains to a lot of customers, they would avoid doing interiors as well. So , it's not like just the exterior business is affected. So , I think what we have seen is that a lot of times, you know both, if the rains are sporadic and there are not kind of really clear periods which have been coming in, both interiors and exteriors will get affected. Also, from the point of view of B 2B projects, I think

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the larger builders also look at those free times which come in between in terms of as they start painting the buildings. So overall, what we see is that the more erratic the rainfall, the more demand it will affect, the more predictable the rainfall, I think the lesser demand it will affect. So , I think from that point of pattern, it is not only the exterior, but yes, the extent of exterior is higher. But interior also gets affected because of the overall sentiment. Having said that, the other areas of this, which can also take a toll, is the retail sentiment . It also gets affected from the point of view of overall stocking, how they would be kind of looking at stocking during this point of time. So, there are multiple factors at work and just kind of ascertaining the exterior percentage would not be the right way of assessing in terms of how demand would have got affected.

Shirish Pardeshi (Centrum):

To follow up here, so what you just said, if I understand. So , this delay or the postponement of the demand is always there, and that's why you are positive saying that September you have got that demand, is that the understanding Correct ?

Amit Syngle:

So, it is as I said, what we have seen in general that whenever there is a longer Diwali, okay, definitely we find that the longer Diwali helps the period of about 45 -60 days, which are there starting from second fortnight of September onwards

wards. And therefore , you get a larger play

because please remember that monsoons do continue in larger parts of the country till September end. And if you have a shorter Diwali, it basically gets affected because the season will not typically start from first September onwards. When you have a longer Diwali, you get the benefit of the fact that even if the monsoons end by September end you get a clear possibly 40 days in terms of that higher retail which comes in. So that's the shift which you must recognize, which is relative to the monsoons and therefore in the larger patterns which we have seen over the years . We have seen longer Diwali helps in terms of really a larger demand and therefore the respective quarter gets affected.

Shirish Pardeshi (Centrum):

You have been guiding double -digit volume growth . Given the first half is over , do you re -look

at this guidance or you maintain that guidance?

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Amit Syngle:

Overall, as I said for Q3, we definitely are looking at the same guidance. Now how in terms of this will come in is something we'll have to see how the demand augurs, but we are hopeful that for this quarter, we will maintain the same guidance.

Shirish Pardeshi (Centrum):

My second and last question on the projects, what you have announced over VAM and other projects. What is the current update and where and at what stage we are and maybe if you can give us what is the Cap ex already happened? What is more to come and when these projects will get completed and we will start get commercial production?

Amit Syngle:

When we look at the white cement project which is happening in Fujairah in Dubai, I think we are absolutely in line in terms of getting our permissions, the land acquisition and all the agreements in place. We are ordering equipment for our entire project. What we are seeing very clearly that if we look at the project, should we definitely be over by December of 2025. We will see if we are able to prepone the overall project, but it looks like it should be definitely be over by then.

If you look at the VAM VAE project, I think the basic work with respect to consultants in terms of overall larger layouts and looking at some of the various permissions, some of those applications are gone and we are looking at Q4 FY26 in terms of where we would be able to kind of complete those plans.

With respect to the brownfield investments, we have been able to complete our investments with respect to our plant, which is in the north in Kasna. We have been able to complete our expansions in Khandala, which is the Maharashtra plant and our expansion in the Ankleshwar plant, is expected to be over by about December of this year.

So, I think all those are in line in terms of what we have kind of put in. In terms of overall Capex, which we had committed, we would have kind of spent almost, I think about 50 -60% of that Cap ex going into some of these projects.

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Parag Rane:

For the brownfield expansions, out of the Rs. 3,400 crores we had announced for brownfield, we have already spent close to around Rs. 1,500 crores.

Tejash Shah (Aventus Spark):

As we entered last quarter, there was a lot of enthusiasm from industry because of the build-up period that we had got this time because of Adhik Maas to festive season. Now, do you think that that advantage has got negated because of erratic monsoon and now we are actually as good as any other normal year or you think that that pent-up demand can still reflect the surface in 3Q?

Amit Syngle:

I think for the exact culmination of that excitement, you have to wait till Q3 to kind of finish. We are still kind of looking at the fact that the festive demand is kind of good. We have exited, as I said, September at a good kind of rate and we are seeing some of those things happening in October as well. So, I think for us, possibly yes, there

has been a dip in terms of what we

have seen in Q2, which is disappointing for sure. But I think what we are looking forward is still that Q3 should kind of really make up for whatever is the deficit of Q2 going forward in some way or the other as we kind of look at it. So, I think from the point of view of estimation which we do, the industry should grow at one and a half times the GDP. I think that should still hold in terms of going forward as we look at it.

Tejash Shah (Aventus Spark):

If I see our distribution footprint expansion in the last 3-4 years, it has been reasonably aggressive, at least north of mid-teens number. And now, if I see the guidance for this year, 10,000 on a base of 1.6 lakh that we have it is it comes to somewhere around mid-single digit or high single digit. So just wanted to know, is this the number that will continue from here on or we have an opportunity to accelerate as we go along this year? And associated question, what would be the number of Colour World installations that we would have done in H1 FY24?

Amit Syngle:

When we look at the overall expansion, I don't think so it has been nominal. It has been very, very aggressive and I think when we look at absolute numbers very clearly rather than a percentage kind of increase over that because that is something which really matters. Overall, what we see is that we are already at a number which is if you look at a half yearly level, more than 5 ,000. So , I think we are well in line in terms of taking the number going to what we had kind of really looked at from our earlier mentions. So, I think from that point of view, the network expansion continues to be fairly aggressive and that will continue in the next half of the year or so. And therefore , what we are definitely looking is that we should be closer to about 8 ,000-10,000 points this year, as well our distribution.

Moderator:

With that, we conclude with the Q&A session. Thank you, everyone for your questions. Mr. Syngle, we now request you for your closing remarks.

Amit Syngle:

Okay. Thank you, everyone. It was great having you for this investor conference. Thank you for coming and joining us. Look forward to meeting you in the next quarter conference for sure. Thank you.

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Call: Jan 2024

APL/SEC/32/2023-24/74

22nd January 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
Security Code: 500820 National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051
Symbol: ASIANPAINT
Sir/Madam,

Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Investor Conference

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor Conference held on Wednesday, 17th January 2024, with regard to the financial performance of the Company for the quarter and nine months period ended 31st December 2023.

The transcript has also been uploaded on the Company's website and can be accessed through the following link:

Investor Conference – Transcript

You are requested to take the above information on record.

Thanking you,

Yours truly,

For ASIAN PAINTS LIMITED

R J JEYAMURUGAN CFO & COMPANY SECRETARY

Encl.: As above

1 ASIAN PAINTS
Q3 FY2024 Earnings Conference
Call

Date : January 17, 2024

Management: Mr. Amit Syngle : MD & CEO
Mr. R.J. Jeyamurugan : CFO & Company Secretary
Ms. Sunila Martis : Head – Investor Relations
Mr. Arun Nair : Manager - Corporate Communications

Disclaimer: This is a memorandum of the proceedings of the Investor Conference Call of Asian Paints Limited held on Wednesday, 17th January

2024 at 5:00 pm with regards to the financial results of the Company for the Third Quarter and Nine Months ended 31st December, 2023.

While we have made our best attempt to prepare a verbatim transcript of the proceedings of the meeting, this document has been edited for readability purposes and may not be a word-to-word reproduction

2 Sunila Martis :

Good evening all of you, and thanks for joining us to discuss Asian Paints Q3FY24 earnings. I'm Sunila Martis from the Investor Relations team. Today we have with us, our MD & CEO, Mr. Amit Syngle. We also have with us, Mr. R.J. Jeyamurugan, our CFO & Company Secretary. I would now like to invite Amit for his opening comments.

Amit Syngle:

Thank you, Sunila, Welcome to our Q3FY24 results. I am sure all of you would have seen the highlights. I will just take you through certain specifics.

You are all aware of the legacy of Asian Paints since 1942. We exist to beautify, preserve, transform all spaces and objects bringing joy and happiness to the world. That is our core value in terms of what we have been speaking for a while.

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And when we look at the results for Q3 from a point of view of volume, the results are very strong. 12% volume growth and 5.5% value growth in the Decorative business. CAGR numbers are very strong because this is something which we have been pursuing from about the last 14-15 quarters and this has been a story which has been fairly consistent.

On a nine-monthly level, if you look from the point of view of overall volume since Q2, it was a little depressed. So, we are sitting at about 9% volume growth and 4.6% value growth. But here also, CAGR numbers are very healthy, upwards of 15%.

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This slide shows clearly that when you look at the overall coatings' growth in India, where we have combined Industrial with Decorative, it has really grown very well for us. Both businesses in Industrial have grown quite well, whether it is the Auto OE business or the Protective paints, which is the General Industrial business. The volume number is the same because for Industrial, we don't look at volume and therefore it is about 12% growth. On value, there's a clear upsurge from 5.5%, which you saw on the previous graph to about 6.1% because the Industrial business has done far better in terms of overall numbers and CAGR numbers are over 14%.

From the nine-monthly part, again, a bit similar, except for the fact that the value growth here has gone up to 5.3% given the fact that the Industrial on a nine-monthly level has also done well. Volume growth remains the same. Interesting point there is that the CAGR is over 15%.

So, I think the net take away is that the volume growth has been pretty healthy. And if we look at the overall coatings' growth, that is pretty healthy and this has to be seen from the perspective that in the year, we have taken a price decrease of about 1.3% already, which has to be factored in value growth number.

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If you look from the point of view of our performance across the various quarters, I think the story has been one which is very consistent. That is something which really matters, in terms of the compounded growth rates. This double-digit trajectory is very clear in terms of what we are seeing in the Decorative business.

6 When we look at the area of urban and rural, we classify them in terms of T1, T2 cities and the T3, T4 cities. If you look from a 4-year point of view, these numbers are pretty much the same. If you remember, last quarter we had said that rural was showing some stress. But this quarter, we have seen that some of the T3, T4 markets have recovered, and we are seeing possibly early signs of recovery as far as our growth rates are concerned. We see almost equivalent growth rates happening in T1, T2, and T3, T4 tier cities.

The other highlight is that, because of the fact that, there's a recovery in T3, T4, there has

been definitely a surge on the growth of the economy range of products. But I think the heartening thing is that the luxury products have also done fairly well , and we see a double - digit volume growth on even the luxury products.

So therefore, I think it's a mixed bag where the premium products possibly have grown at a little bit of a slower pace . When we see from the point of view of the distribution footprint, this is again been a very consistent kind of rally which we have been seeing over a period of time. We have added almost about 2 ,000 touch points in Q3 as well, taking our overall retail footprint to about 1.62 lakh retailers across the country.

Waterproofing has been really the lighthouse brand . It has been doing pretty well overall and we have been seeing consistent growth , both coming from the retail and B2B segment. This is something which is really giving us a lot of strength in terms of various markets, which is also propelling some of the growth which we are seeing in terms of the overall coatings market.

The Projects Institutional business has again done fairly well . The good performance continues and is definitely significantly higher than the retail growth rates we see . Largely sectors which have done well are the builder segment, the factories , and the government sector, which are the three big contributors to the overall Projects Institutional B2B business .

From the point of view of innovation, I think there is something which we have pursued very strongly over a period of time . We have now more than 120 patents in the last about 6-7 years . 60 patents have been granted, 30 are commercialized. And therefore, when we look at this whole area of new products, it's something which is a differentiated story in terms what we get from competition. And today , the heartening part is that the new products contribute to double -digit numbers as compared to the revenue contribution which comes in. Almost 12% contribution to the revenue, which is very healthy in terms of the whole area of innovation .

We have committed huge capital expenditure for not only brownfield expansion, but even backward integration initiatives . All are progressing quite well . By the end of the year, we would have committed about Rs. 2,000 crores of our Cap ex into all these initiatives. Khandala (Maharashtra) and Kasna (Uttar Pradesh) brownfield expansion have been completed , augmenting the overall capacity by another about 1,20,000 KL/annum . So, these are some of the key features which are there.

The bigger story here is of the innovation and that continues in the area of our painting services as well. This has been really the star service from our side in terms of what we are pursuing. We are globally the largest painting service which is offered by any player across the globe . Today , we have the pride of literally operating the Beautiful Homes Painting Services across 650 cities in India. We have just rechristened the entire service from a 'Safe Painting Service ' , which was more during the COVID time, given the environment that was there , to a 8 larger platform of 'Beautiful Homes ' ; and now it is called the 'Beautiful Home s Painting Service ' .

One of the big hallmarks of this service is that we talk of mechanized painting service, where we use all the mechanization from the point of view of sanding and spraying and so on and so forth . This is really a first from Asian Paints that not only we invoke international brands in terms of getting spraying equipment, We are now talking of some of the Indian sprayers coming . Therefore , really looking at democratizing this entire process of mechanization so that we can talk of higher productivity. So , we feel that as a leader , this is a task we need to take where we evolve from the brushing and rolling technology to a spraying technology . This is something which we are actively doing in our Beautiful Home s Painting Service. But outside that also there is a fair bit of ingress in terms of what we are making , so that the larger set of consumers also benefit from this kind of initiative.

I spoke of the innovation journey, and I think one of the things which we are really committed to is that today we give to the market differentiated products . I spoke about patents in terms of what we are building. One of the big areas we work is that we get chemistries which are new to the world, not only new to India, and that's been a hallmark in terms of our some of

9 our new products . Over the last 7 years , close to about 280 new products we have put in the market and as I said, their contribution to revenue has been very strong. All the products which you see on screen are, again, products with chemistries which are very different, and the competition does not have any equivalent products.

We have just introduced this product called 'Flash ' , which takes care of the entire French Polish market, which is the manual 'lakh dana' spirit kind of market which exist s, which is like an untapped ocean. And therefore, I think one part of being a leader is that we continuously look at getting the unorganized customer to the organized market from the bottom of the pyramid. So as a leader, I think that's a very strong role we play.

The other area which is very important for us, is looking at building the brand and this is something which has really held us up in high esteem over a period of time . Given the kind of mindshare we speak of , we are very confident that today , when you have really looked at the customers mind and you have good mindshare, this is something which will always be with Asian Paints as we look at the future, irrespective of the competition which might come in.

10 We have been constantly reinforcing our proposition, which is the "Har Ghar Kuch Kehta Hai" . You would have seen the whole campaign on "Where the heart is " , which is a very strong campaign . We are taking to millions of people across the country in terms of saying that every house has a personality of its own and Asian Paints today owns that kind of emotion as we go ahead.

When we look at the area of innovative propositions, almost 30 -40% of the portfolio has properties which is differentiated from what competition offer s. We can clearly claim that this is something which competition is not able to offer. Like anti -crack - Royale Glitz, which is a campaign in which we talk of the anti -crack coating. We are talking of waterproofing for damp surfaces . We are looking at really talking of textures and bringing décor into the game in a strong manner and we are now the largest player in terms of the wallpapers as well in the country. So , I think some propositions which clearly are differentiated from competition . The world of digital , the whole social marketing is now pretty big and sizable part of our overall media money , and we are proud that today the kind of numbers we attract at an overall level is pretty big in terms of influencing the younger population across the country.

We also look at democratizing decor in a big way and we practice a lot of areas where across some 25 cities in India , there are almost about 250 murals which we have made and that is an initiative which is ongoing . And this time we have given it a very different edge, which I will just tell you.

11

This is the "Where the heart is " and this really connects with the people where we are able to get various profiles of celebrities talking about their homes, done up by Asian Paints. And therefore, this becomes a very good connect for people looking at home décor and the whole proposition of "Har Ghar Kuch Kehta Hai" , in a very strong manner.

12

This time, we came out with a very innovative campaign during the Diwali period, which was about graduating from the "Mera wala color " to about to "Mera wala mood " in the whole construct of "Har Ghar..." in a very strong manner . We had a face scan kind of technology which could determine your mood and therefore your colour in terms of what you would choose . So, this is something which was really met with a very strong reception from a certain target audience , and this is something which again, speaks of the innovation which we bring along with the products and also with the technology.

This was a very strong initiative, which we did along with the S t-art Foundation, where on the World Braille Day , we aligned with them to look at creating a one of its kind of museum where we got a lot of visually impaired people to start looking at creating their emotions, their expressions on the wall . The whole area came alive in terms of what they could do , in their expression and their happiness was really unlimited. So , a touching initiative which looked at invigorating this profile for the first time in terms of something which any brand would have done in this space .

13

Going on to the Home Décor business , this is a very strong business . I had spoken about earlier, also i s a very clear focus of the company . One of the big reasons of getting in here is that we want to be part of the consumer home décor lifecycle. So right from the point when the customer rents out a place to purchasing the first house, to renovation of the first house to the second home, which kind of comes in and then kids home . W e are talking of a full consumer décor lifecycle which we want to be a part of, and therefore this really complements the coatings business.

We are literally talking of paints people getting into Home Décor and Home Décor people getting into the coating's world . So, it is something which we think is really amazing from the point of view of an overall strategy . We have seen that there is no other competition in terms of the paint industry who has followed suit. This is a difficult path ahead, but it is something which is a s ure path in terms of what we can really look at getting this country to align in terms of beautiful homes.

14

This is something we have been pursuing and I think last three years journey has been very strong. We are now the number one decorative lighting brand. We are the number one integrated Home Décor player . Please remember this place is very segmented and you don't have larger national level players , you have regional and category players. We have now got 54 Beautiful Home s stores across the country , and this is a one stop Home Décor shop , which has really been very strong. We are now number one in wallpapers and textures ; number two in terms of the fabric s and furnishing s and our collaborations with designers are definitely giving us a very strong upshot in the market ; especially our entire work which we have done with Sabyasachi in terms of looking at propping up the brand in a very big way.

15

So, I think this is a for ay where good energy is coming. And just for your information, now, we are literally in all kind s of Home Décor offerings. You think of something which completes your home , and we have something which is right there for you. Along with that, we also have a turnkey service, which is the Beautiful Home s Service, which is now in about 11 cities. And today, to complement this, we have a source which is called the beautifulhomes .com , where we get in more than 50 lakhs visitors over the years and a huge amount of insta followers looking at it.

So, I think this is something which is very strong . Rig ht now , this business is about 4% of the over all Decorative turnover. We want to take it to about 8 -10% as we go ahead in terms of looking at giving it a definite shape in terms of really growing this category strongly.

16

I spoke of the Beautiful Homes Service - very aspirational in terms of the work which we are able to do. And it is something which is supervisory and end -to-end kind of service . Again, a first from Asian Paints from the point of view of really holding the customer's hand and delivering celebratory experience for the customer in terms of what they can get while making their homes.

17 The other is that we continuously do new launches here. It's like a fashion brand. We have a fall collection, we have a winter collection, and it is something which keeps on coming in terms of new things. For example, in the area of Bath, we introduce d 'Lotus 25 ' - a Hydrophobic kind of coating, which doesn't allow water to stay on the tap o r the faucet and thus prevents corrosion , giving life to the product for a very long time . Then we have the 'Royale Wardrobes ' . This is something which is a new launch in terms of giving people something with different sensibilities at a very affordable price . So, I think launches here are also something which is in the off ering, which will continue.

Now, obviously, I think you guys have seen that in the last two quarters the Kitchen and Bath business has not done too well . In this quarter , we have really propped it up . The good part is that , in terms of the Kitchen business, while the quarter was flat, I think we have got some energy going in terms of looking at taking it to some surge as we look at the coming quarters. And I think the great part here was that for the first time , we got a PBT which was neutral in terms of making a little money here . I think, i t is a go od sign overall . From the Bath business , you know, we have been logging negative growth of about 10 - 15% in the previous quarters . This time at least we brought the de-growth lower to about 5% . But there is still a lot of work

18 to be done in terms of looking at really propping up this category and aligning it with our Beautiful Home s stores far more strongly in terms of the work we can do to prop it up.

The clear heartening part is that the newer categories are growing very well in terms of the overall growth . Especially White Teak has been accepted by architects and designers in a very strong manner , integrated with the Beautiful Home s stores initiative very strongly and is something which is now a desired category making us Number One in terms of the lighting. Similarly, the whole area of uPVC windows and doors has been doubling. And I think this is something again, which has done very well .

So right now , we are in the expansion stage for both and are therefore deploying a lot of money from the point of view of overheads, people . It has to be looked from an expansion initiative in terms of where we are headed . So, that's about Home Décor.

19

Coming to the AP Global business, this is the map that shows where all we are represented in terms of South Asia, Middle East, GCC and so on, so forth.

20 And in this business, again, last two quarters have not been good . This quarter at least, we got a flat growth in terms of the overall growth which has come in. But I think the part to recognize there is depreciation which is happening in countries like Egypt and Bangladesh very strongly. And if you were to see from constant currency term, we have grown by about 5.2% . Performances across has been good . Asia has been still weak , and I think there are major kind of headwinds in Nepal which is there. So , if I look at the business ex of Nepal, then in terms of Indian currency, we are at about 7% growth in global and in constant currency terms, we are at about 13% growth. I think overall the situation is improving. Nepal is definitely something , which we are hoping to see that the macro environment kind of turn around. But this is one area we are looking .

Profitability has been good here. If you can see overall , we have been able to get good growth in PBT, given the fact that margins have gone up and also the fact that there is part deflation. I think that's something which is good, which is happening from the point of view of overall profitability of the businesses.

When we look at our two Industrial businesses, both businesses have done fantastically well . Overall , the Auto OE business, which is the PPGAP (PPG Asian Paints) business has registered

21 a double -digit number - almost at 12% value growth, and over a nine -month period, it is almost about 10% kind of growth. The great part is obviously I think the raw material prices have had an impact on the profitability and we've been able to get good prices from our B2B customers. If you look at very healthy increases in terms of PBT, which we have got . Overall numbers in the zone of about 40% up and on a nine -month level, also numbers which are 50% plus. So, a very strong performance , which has come in and the PBT margins are almost at their highest levels at about 22.2% vis a vis about 17.8 % last year .

APPPG (Asian Paints PPG Business) - On the front of General Industrial business , again, this business has been doing extremely well for us in the last three years . We have almost doubled the business in three years . If you recall, and here again we have got a double -digit growth , and this is a business which talks of Protective , Powder paints , and so on, so forth . Overall , if you look at for the quarter, there is a 10% kind of value growth and on a nine -month level, we have got a 14% growth. But again, the heartening part here is that we have really improved the profitability thanks to obviously the prices. But I think there is also a strategic intervention from technology point of view, which is giving us strength. So , the PBT has definitely gone up by almost 1.7% over last year. So again, I think a strong performance coming from both businesses.

22

Since I've been speaking of the material prices, I think in this quarter itself we saw a deflation of about 0.2%. We also took a price decrease of 1% in this quarter. We had taken earlier a price decrease of 0.3%. So , the total price decrease actually works out to about 1.3%, which possibly is explaining some part of the value -volume difference which you are seeing . The gross margins are at one of their highest in terms of what we see in the last about 4 years. So , I think that is a very strong picture, which is coming from the point of view of overall gross margins as well.

In summary, when we look from a Standalone financials point of view, I explained that a 12% volume growth, a 5.2% value growth, gross margins are up. The greatest part is that the PB DIT has improved to about 24.1 %, which is again one of the highest versus the 20% which we saw in Q3 last year. And I think that's heartening, which has contributed PAT growth of almost about 32 -33% . From a point of view of nine-monthly, I think almost similar thing in terms of results . 4.1% in terms of the overall value growth. But I think PBDIT margins are very strong at about 23.5% vis a vis 18.2 % last year. So clearly, you know, a differential of more than 500 bps in terms of what we are able to see and ditto in terms of the overall PAT growth, which has been also very strong. So that's the position for the standalone .

23

When we look at the Consolidated financials , here again pretty much replica of the Standalone numbers of 5.4% value increase is there. The PB DIT numbers moved again to one of its highest, about 22.7 % versus the 18.7 % of last year. PAT growths, again very strong. On a nine - monthly level, again, something which is similar to Standalone numbers for about 4.2% value and PBDIT moving to about 22.1 %. I think the position is looking good , overall .

24

When we look at the outlook , and I know that a lot of you are going to ask me about this. I think one thing is very clear is that we expect to sustain the volume momentum in terms of what we have built. Because of the elections coming , there would be excess money coming into the market. There would also be a little bit of lethargy in terms of painting your homes and some deferment, which could come in . So, I think this would be true for Q4FY24 and Q1FY25. But I think the good point is that the T3, T4 cities are showing an uptick, which kind of indicates that, we are talking of possibly a good growth coming from that side. We expect the raw material prices to be coming down further, despite all the geopolitical and other things which are happening , and we expect that trend of the material deflation to continue to some extent in Q4 FY24 as well .

Industrial business - Auto business is doing extremely well , and we think that that is something which the builds will continue. And overall, in terms of the General Industrial business also is good because a lot of money is coming into India, a lot of investments are taking place, a lot of factories are coming up, a lot of expansion is there to that extent and the overall mood is buoyant.

25 Global is a little bit of a doubt in terms of what comes in, especially South Asia has been not really doing well. But now Bangladesh elections are over ; Let's see if possibly we have a higher growth coming in Bangladesh . Sri Lanka has recovered to some extent, but Nepal continues to be a worry and we don't see possibly Nepal turning around in Q4. Egypt, we have an issue in terms of the depreciation, which is there and you know, issues like forex availability and other things . But I think from a growth perspective on constant currency terms it should give us that growth.

So overall, I think we need to be vigilant in terms of the overall geopolitical situation which can really make the crude prices go haywire to some extent. We have seen some of the oscillations in the past, but I think overall they should stay in a certain bracket and that would give stability . As I said that possibly a deflation in terms of the environment.

Thank you so much.

Moderator:

Thank you, Mr. Syngle, with that, we now proceed to the Q&A session.

26 Avi Mehta (Macquarie) :

To understand the outlook a little better. When you say you expect to sustain the Q3 volume momentum, are you calling for double -digit volume growth on YoY basis to sustain or could you give us the metric on which you are arguing for this momentum to sustain? Or what is the metric that we should be looking at? YoY growth rate , 4-year CAGR , 3-year CAGR?

You are arguing about the softer raw material price trend to continue. Does that mean also that margins are something that would imply where we are currently could probably sustain or how should we look at that ?

Amit Syngle:

We are definitely seeing some recovery in terms of the T3, T4 cities across the country. We are also seeing certain geographies doing extremely well and the Projects business also being good. We also feel that the Industrial growth, both Auto and General Industrial should be good. So overall when I said sustainable volumes, we are still looking at a double-digit volume growth in terms of what we would like to sustain. From a point of view of CAGR, would be healthy CAGR s in terms of what you have been seeing from us. Unless the election plays spoilsport because the dates have not come in and it's very difficult to really comment when the whole activity will begin. But in general, I think this is the outlook.

The second part is that when we look at prices, we are going more by the trends in terms of what we are seeing. Because if you look at the US markets or the Chinese markets, we are not seeing consumption going up to that extent. While there are geopolitical situations, I think given the fact that the larger economies are not growing, there are two wars which are going on, we feel that from a point of view of consumption at a global level, the consumption would decrease, which would kick off deflation, in terms of the prices. This is our estimate in terms of what is going to happen.

And as a fallout, what we are doing is we are very critically observing the deflation which we will see. It is not very easy to really just look at calculations at this stage unless we look at in terms of crude derivatives, we look at additives, we look at certain kind of monomers and so on so forth as to how they are getting affected. We are trading at a good gross margin overall. We will look at possibly decisions which could be whether we want to retain, whether we want to really look at any price decreases which would come. But that decision would come in once we know exactly what the kind of trend is, we are seeing in this quarter.

Avi Mehta (Macquarie) :

You had pointed in the release that there is some weakness seen towards the latter half. Just wanted to get your sense, do you believe that price cuts can spur demand in this category? Because I was always under the impression that pricing is not a very material driver.

Amit Syngle:

I think the upsurge which we saw during the festive season was very good. So, when we spoke of saying that the latter part of the quarter was not so great, it was relative to that. So, it just an element of relativity which comes in. But I think that doesn't take away from the point of view of the double-digit growth in volume in terms of what we are gunning at. On the pricing part, see you are right that pricing sometimes really helps us in terms of some of the smaller towns because there is a bit of downtrading which starts happening and the price increases we have taken earlier is also to some extent in terms of premium and luxury kind of products, so it helps people to really counter that downtrading. I think it has got a little bit of a psychological impact. Also, I think it matters in terms of how you take the pricing. If your pricing is across the products, possibly the impact is not high; but if your pricing tomorrow is on only specific products, then it could be possibly a higher impact

which could come in, which would definitely impact demand to some extent.

Mihir Shah (Nomura):

I wanted to understand your view on the strategy with respect to the negative mix that we have. As we understand the pricing led growth has vanished now, since quite few quarters. Now we have entered into a price cut type of a scenario and with your outlook of further price cut, we will have another negative pricing lever that is going to act on the overall value growth numbers. How would you think about the negative mix that happens? Would you think that in FY25, you shift gears into lowering the negative mix impact and focus more on volume? Because unless and until we get at least a mid-teen kind of volume growth, we will continue to have very anaemic kind of overall top line growth of 2-4% over the next, 5 odd quarters.

28 Amit Syngle :

I don't think we are talking of only negative indicators to invigorate the growth. I spoke of fairly positive ones in terms of looking at T3, T4 tiers really coming alive from the point of view of rekindling demand. Also, you know, a 1%, 1.3% kind of a cut can't be a big strategy to really just invigorate the demand so much that it kind of goes into this kind of a paradigm. The third area is that we have seen luxury products also doing quite well in this quarter. Fourth is, we have seen demand coming from the B2B projects business also quite well. Fifth is the Industrial demand, which is looking quite good in terms of the both the Auto and the General Industrial. I think a combination of these factors is something we are looking to drive growth. I don't think we are looking at any price decreases as demand creator. I think sometimes

slightly more psychological, some areas of downgrading which you see to that extent. But I think what we are seeing is definitely that some of these areas are big from the point of view of growth. Also, as I said, we at Asian Paints always had a very strong kind of focus in terms of looking at differentiated products and looking at the bottom of the pyramid. And we have now a lot of newer products which are coming to invigorate that unorganized customer to come into the organized sector along with the products in the waterproofing zone, which are also giving us a very good growth.

So, I think there are a lot of positive indicators which are coming, which would really continue. And even if you look at the value growth which has come in this quarter, as I said, if you were to net out the price decrease and other things, you are still close to about 7.5-8% kind of value growth.

Mihir Shah (Nomura):

On margins, when can one expect the backward integration benefits to kick in? Will it be in FY25 or it will only come in FY26 or later?

Amit Syngle :

Backward integration is still some time away as we see it, because whether it is our cement or whether it is the VAM VAE and so on, so forth, some of those will come possibly towards the end of next year. We don't see some of those kinds of benefits coming in handy at this point of time. But as I said, I think deflation would be very strong in terms of what we are seeing 29 from this quarter perspective which would definitely come in handy in terms of helping you to maintain your margins.

Mihir Shah (Nomura):

Would you want to revisit your margin band that you had indicated on gross margins and operating margins? You have done a phenomenal job in flying back all the gross margins. Do you think that its scope with the premiumization that is happening in the luxury end, or it kind of inching up a little further or do you think because of the economy doing well, it will remain in the similar range?

Amit Syngle :

I think as we go ahead, we would like to maintain the same guidance in terms of PBDIT numbers of 18 -20% band. We are looking forward to deploying higher moneys from the point of view

of marketing and above -the-line spends from getting a good share of voice as we go ahead. I think the whole area of brand building is something which we will focus on and look at in terms of seeing how we can possibly add value to the market in terms of taking the brand to a higher level.

Mihir Shah (Nomura):

This Qatar entity, that you set up, it is a trading entity? What are we planning to do out there?

Amit Syngle :

It is just that earlier we were supplying to Qatar. We were already doing business in Qatar, but we were doing through our distributor. Now we are setting up our own operation which will look at the whole area of distribution and supplying paints to the market. So, it's not a trading firm which we are opening. It is basically a mechanism to supply and service the entire market much better.

Abneesh Roy (Nuvama):

I know you focus very aggressively on the government related paint demand. My question is a bit different. If I see there is a huge infrastructure being created across many cities. We are seeing metro projects, we are seeing the MTHL between Bombay, New Bombay. Similarly in 30 Ayodhya for example next 5 years, 10 years, huge infrastructure, hotels, and roads, etc will be created. How do you monitor your rightful market share in these kind of projects, because not everything will be government. Second is, in this kind of very competitive market, how are margins and how the market share has moved in the last 5-10 years in these kind of marquee projects? I am not asking on overall B2B paints. I am asking on more about marquee projects, for example, MTHL, Metro, big hotels and all that. Because I am sure those would be extremely important demand driver, and as largest paint company, you would have a rightful market share in that. Could you talk about margins and market share, how things have moved in the last 5-10 years?

Amit Syngle :

From the point of view of the Projects business, which is the B2B business for us, the growth has been pretty strong over the last six, seven years. We have been doing extremely well. Government is only one sector, but I think for us factories, builders are also two very important sectors where we have been able to do well. In fact, we are part of literally majority of the marquee projects which are being done. So, whether it is the Ayodhya which is coming up or whether it is the parliament, whether it is the NHAI or the metro business. I think we are part of all the businesses because today we have a one consumer initiative. The consumer, whether they are coming from an Industrial or they are coming from Decorative or a Waterproofing range, we offer the customer from a single window in terms of what we are able to do and that is something which is really working very well for us. So, if you see, a large part of the airport expansions across the country, we have been part of that, from both, waterproofing window as well as in terms of Decorative paints. I think from that point of view, literally we can pick up all the marquee projects and we can say that at least about 80% representation is happening in those. And to that extent, what is very clear is that is giving us the growth.

The other thing is that, yes, the overall margins in the Projects business would be lesser than the margins we would get in Retail. But I think today, that also depends on project to project, where we have seen that some of the premium luxury projects, you are able to derive a higher set of margin. Also, when you are able to offer technical solutions, whether it is solutions with respect to waterproofing or it is with respect to certain other areas, you tend to take out a slightly higher margin given the fact that you have expertise from where you are coming, and 31 I am referring to all the projects like airport or metro where they are wanting a specialized product to

come in.

So overall, what I would say is that we do monitor our share in terms of each of these categories. We look at some reconciliations from the published results of all the companies, we look at what is our share, look at the segment-wise share and in general, look in terms of ways and means, how we can really look at increasing the margins as this is a growing area.

Abneesh Roy (Nuvama):

Bath and Kitchen contribute 2% of your quarterly revenue, and obviously zero on profit. So why do this kind of business. My specific question is when it hardly adds anything to profit and 2% to topline. Why should such a large company do this and 5 years down the line, where do you see this kind of Rs. 85 crore's run rate or Rs. 100 crore's run rate in terms of revenue for these two businesses, because already many years have gone. If I see your initial comments, you are saying some growth, you are saying some profit. Ideally, these businesses should have grown much faster, irrespective of the real estate cycle. Why should such a large company do such a small business? And what is the way forward from a 5-year perspective?

Amit Syngle :

We had taken these businesses way back in 2013-14 and your question is right. We have not been able to grow these businesses at the rate we should have grown those businesses. I think we have looked at a little bit of a revamping of the overall strategy in terms of what we have seen for the last about two years or so in terms of saying that we are now not talking of these as standalone businesses, but as a part of our integrated Home Décor strategy which we want to bring.

We are looking at the whole area of décor under one roof as a very big strategy, as part of which Beautiful Homes is becoming a vehicle in terms of how we want to deliver this entire area going forward. And today, as you know, that if you look at some of the categories, we are number one in terms of the full Kitchens; but in Bath category, we are pretty small in terms of as an overall player when you look at the larger players in the market. So, we feel that today as we go forward, some of these standalone initiatives in these categories are not working unless we bring them under an umbrella, and that is something which is Beautiful Homes for us. We are looking at really revamping and getting some growth in terms of as we go ahead. Essentially, we feel that from a point of view of our business, this business complements the paint and the coatings segment which we have already. Which is the whole area of moving from 'share of the surface' to 'share of space' within the home. And as we go forward, this could be a differentiated strategy which would come. It might contribute to only about 7%, 8% or 10% of the overall business, but it would be an important contributor in terms of really having a big place from the point of view of the brand and the consumer mindset in terms of what we would gain. Because we will then stand for overall décor and not for only paint, which is what all the other companies are standing for. So largely, I think strategically we are looking at possibly gaining a larger share of the consumer mind, which possibly also kind of has a good effect in terms of our overall coatings and paint business.

Abneesh Roy (Nuvama):

So last quick question is on the repeat business and cross -sell. So, in last ten years , you have hugely diversified your business and my question was more on paint and adjacencies . So, when I see paints, putty, construction and water proofing , those are all very adjacent to each other. So, I wanted to understand from a repeat business and cross -sell, how are you monitoring how successful you are in this , because a lot of these may not be pan -India. A lot of these may not happen at the same time. For example, waterproofing, especially in terms of the old society, that may happen

much later than when the customer has used paint . So, I wanted to understand how you monitor, how successful you are in terms of cross -sell and repeat businesses.

Amit Syngle :

I spoke of the overall Beautiful Home s Painting service. Today, when we pitch to the customer, we pitch to the customer an overall solution. The overall solution is in terms of possibly putty, waterproofing and top coating with paint. It's a complete solution when you approach a customer at any point of time . If you look from a per house perspective, the wallet size is something , which possibly we are able to take higher share given the fact that all these products are coming a t one go. Even in normal painting now, putty and waterproofing are largely integrated in the process because today some of those products are giving so much of 33 benefit in terms of either cracks or dampness not coming , in the market that we are able to largely convert the customer. I would not call it an adjacency , I would call it something which is integral to paint.

I think why it has happened is that you see competition also following very clearly in this area and everyone has now a range of waterproofing. I would say that we should not look at calling the waterproofing as adjacency , but looking at possibly saying that all th ese are integrated . Even in Projects, what we are seeing today is that when we go to a large site , we pitch waterproofing first, which is at the foundation stage and then we look at possibly converting the site completely from the point of view o f topcoat . I think the whole area is integrated much more strongly from the point of view of offering a complete solution to the customer.

Amit Rustagi (UBS):

I just wanted to understand that if we go ahead with this current metrics of double -digit volume growth, where do we see our revenue growth? Because a few years back, our value growth used to track the volume growth. Then we started to see value growth coming at a maybe 2 -3% discount. And now we have start ed to see value growth at about 5 -7% gap to volume growth. If we continue with a double -digit volume growth, where do you see value growth and can we start to see a reversal in some of these trends ? Maybe when you have more value -added products and then you have more integration with VAM and VAE.

Amit Syngle :

From a company's point of view, the premiumization objective will always continue in terms of really saying how can I look at upgrading the customer to high value products and I think that's a constant strategy, which is at force in terms of what we are looking at, even if you look at this quarter . Overall, I think if you net out the price decrease and so on and so forth, as I was saying, you are still talking of about 4-4.5% kind of a gap, which is existing today between the volume and the value . As we se e it, I think going forward, possibly some part of this gap might come down. But largely, I think the gap will remain because of the sheer fact that if you look at the country size and segments which are there, overall , the economy and the premium segments are very big segments as compared to just the luxury segment . And therefore, from a point of view of overall growth, when you grow in some of these areas the gap tends to be. 34 But what we are also seeing is that with high end waterproofing products, high end technological solutions, which are coming in , in terms of textures and some other areas which are there , there is definitely an upgrade which is happening. But I feel that today this kind of a lag of about 3-4% would kind of continue for some time.

Amit Rustagi (UBS) :

When do we see the VAM and VAE projects coming up and when we do we start to see the benefits of backward integration in the margins?

Amit Syngle :

Cement project should be on by December of 2025 and the VAM would come in about 4-5 months later . I

think it will take 1.5-2 years more for some of those investments coming alive.

Shirish Pardeshi (Centrum):

I have two readings from the report. When I look back at Rs. 7,800 crore s domestic revenue, you had 12% volume growth. You also mentioned that T3, T4 markets has done well , and you said the Economy Emul sions has done better. So, I know this is little stretch, but if you can split out of that Rs. 7,800 crore s, what would be the Econom y Emulsion contribution in the quarter or maybe some ballpark number ?

Amit Syngle :

If you look at from the point of view of emulsions, there is definitely a larger contribution which comes from economy and premium and then there's the luxury. I think between the economy and the premium, you can take that the contribution comes to about almost 80% out of the 100% emulsions, which are being sold. I think that's something which we look at in terms of how we are going forward. And therefore , the entire effort is to convert the economy to premium and then premium to luxury.

Shirish Pardeshi (Centrum) :

I don't think there is a margin story which is going to pan down. I mean, it will continue. That's my inference. On the Home Décor part, can you give some quantitative numbers because in the last four quarters , you have been saying that you are expecting 8 -10% contribution by 35 FY26. So, though we gather that we have 54 stores, but in terms of metric, so how many stores, what kind of ROI or whether we are using the franchise route or how that scale up will happen and maybe if you can give some profitability numbers on that. That's really from the modelling perspective, because 8 -10% contribution is a big number.

Amit Syngle :

Currently, as we maintain that Home Décor is contributing to about 4% of our total Deco rative business and as we look at it, there are various parts of it today. One is the overall businesses which you are able to see, whether it is White Teak , whether it is Weather Seal or in terms of categories like fabric and other things which we have got , which basically gets sold either through Beautiful Homes or they also get sold through independent stores. When I look at the Beautiful Homes stores, we have a model in terms of ROI which we run . After we put up the store , where the retailer invests into the entire store from the point of view of propert y and looking at inventory and doing up the store, we look at the ROI of almost about 2.5-3 years by which he is able to get his investment back. So, we have been doing this activity for the last about 4-4.5 years. And out of the 54 stores, almost about 35 -40 stores would have got their investment back. And therefore , all these stores are profitable stores , both from the point of view of the organization as well as from the point of view of the retailer.

Moderator :

Thank you. I now call upon Mr. Amit Syngle to give the closing remarks.

Amit Syngle :

It's been good listening to all the questions which you have been raising . I think it's been overall a good quarter , and we are conscious of the fact that we were the first FMC G coming on the plate. So, we better have good numbers to give you. I think it's been great meeting all of you, and I look forward to interacting with you in the next quarter. Thank you so much.

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Call: May 2024

APL/SEC/32/2024 -25/9

13th May 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
Security Code: 500820 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051
Symbol: ASIANPAINT
Sir/Madam,

Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Investor Conference
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor Conference held on Thursday , 9
th May 2024 , with regard to the business and
financial performance of the Company for the quarter and financial year ended 31st March
2024.

The transcript has also been uploaded on the Company's website and can be accessed
through the following link:

Investor Conference – Transcript

You are requested to take the above information on record.
Thanking you,
Yours truly,

For ASIAN PAINTS LIMITED

R J JEYAMURUGAN
CFO & COMPANY SECRETARY

Encl.: As above

ASIAN PAINTS
Q4 FY2024 Earnings Conference

Date : May 9, 2024

Management: Mr. Amit Syngle : MD & CEO
Mr. R.J. Jeyamurugan : CFO & Company Secretary
Mr. Parag Rane : AVP - Finance
Ms. Sunila Martis : Head – Investor Relations
Mr. Arun Nair : Manager - Corporate Communications

Disclaimer: This is a memorandum of the proceedings of the Investor Conference of Asian Paints Limited held on Thursday 9th May 2024 at 5:00 pm in Mumbai with regards to the financial results of the Company for the Fourth Quarter and Twelve Months ended 31st March, 2024. While we have made our best attempt to prepare a verbatim transcript of the proceedings of the meeting, this document has been edited for readability purposes and may not be a word-to-word reproduction .

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Sunila Martis:

Good evening, all of you. And thank you so much for joining us today to discuss Asian Paints Q4 and full year 2024 earnings. I am Sunila Martis from the Investor Relations team. It's great to welcome all of you here today. We also have with us our MD & CEO - Mr. Amit Syngle, our CFO and Company Secretary - Mr. R J Jeyamurugan, and Mr. Parag Rane, AVP - Finance.

I would now like to invite Amit for his opening comments.

Amit Syngle:

Very good evening to all of you.

You are all familiar with the fact that, we started our journey way back in 1942 and today, we are very clear that we exist to beautify, preserve, transform all spaces and objects, bringing happiness to the world.

So, the whole area of bringing joy and happiness to people's lives is a strong area , as a core value of the brand, which we really pursue quite strongly across all our initiatives .

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If you look at the numbers, obviously this quarter was a little bit slow from the point of view of overall value delivery . But we have still seen very strong double - digit volume growth, which was the promise I made last quarter as I was presenting , saying that we will look at double - digit volume growth to come in, which is something we have maintained over a period of time very strongly .

However, you are aware of the fact , that we have taken a total price decrease of close to about 3.7%, which impacted the volume value gap which you have been traditionally seeing, and therefore, the overall value was a little bit depressed below the base at -1.8%.

Overall, for the financial year, the value growth was closer to about 3% with a volume growth of 9% . Both from a point of view of Q4 as well as FY24 , if you look at the CAGR numbers over the last about four years, they have been very strong high double -digit numbers. And that is something which gives you an idea of the kind of growth which we have been pursuing over the years.

So, I think that's the overall area in terms of looking at how the top line has translated for both Q4 and FY24.

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The Industrial business, as you are aware, for the last three years , has been doing very strong. And both the Industrial JVs - APPPG and PPGAP, which is the joint venture with PPG of U.S, have been really performing very strongly. If you look at the growth, the Industrial sales by itself has really grown very strongly , for both volume and value . And today for Q4, if we take those numbers, the value trajectory from that -1.8% comes down to about -0.7% and for the F Y24, the growth rates go from about 3% to about 4%. The volume growth goes up to about 10% on an annualized level.

So, I think the important part is to look at the full year because, quarterly, there have been some variations . But the important point is that you' ve still registered double-digit growth for the entire year . And the value possibly is a little bit depressed because of the 3.6% price decrease that I have indicated to you, with a little bit of downtrading that has happened, especially in Q4 .

When we look at this chart and some of you who have been tracking, are familiar with the fact that over the last almost 8, 9, 12 quarters, literally, if you see the trajectory, the double-digit volume growth has been a very strong story. We feel that the volume trajectory gives us a boost, more from the point of view of saying, that is something which is a strong sustainable business, which is happening, quarter on quarter, which kind of comes in. And the numbers are very clear from a compounded average growth rate level, the double-digit numbers are on higher digit levels, especially if you look at Q4. The number is even higher than the normal 15 -16%. So that's the story of how we overall see growth.

Some highlights in terms what has happened. While I think there has been a lot said about the rural markets kind of coming back and so on and so forth, we find that for us, the urban centres grew a tad faster than the rural markets. But the difference is not too much on how the performance has been, and therefore, I think our concentration and focus has been on both sides of the markets. In fact, we see now, in April itself, there is some more resurgence happening in the rural markets, which is a good positive sign.

The product mix has got affected a little in Q4. But if you speak about the entire year, I think two segments where we have gained strongly. One is the Economy smart end of the market, which is a strong area of growth that has come in and that itself is a higher contribution in terms of the overall market also. The second area which has done well is the Luxury market where the Luxury products have done well overall. But the Premium market has been a little bit slow for us and we have seen that there is possibly some kind of downtrading which is happening especially in rural centres, prima facie in terms of people going from Premium to Economy segment. But I must remind you that if you look at the overall structure, the Eco market is close to still about 70% of the total market and whether it is Eco, Premium or Luxury, today Asian Paints, talks of stronger share in all the three areas.

If you look at from the point of view of distribution, that has been very strong strength which Asian Paints has always been driving. And, today we feel that, in the last about 3 years, we have been able to drive additionally about 40,000 -45,000 retail points. In the current year itself also, there is a very big push looking at almost about 10,000 retail points more, taking our tally to more than about 1.63 lakh retail points. This is 3-4 times higher than any other competitor, which gives us a very strong sense of representation across the large tracts of the country, and this is something which is comparable to possibly any large FM CG player as well. So therefore, I think this has been our strength and this is something, which we feel is a very strong support for us and we have seen that this kind of network also keeps on growing very well for us over a period of time.

When you look at Projects, which is the B2B business, that also has been fairly strong story over a period of time. In Q4 specifically, we felt that there was a little bit of a slowdown. More from the point of view of the government business slowing down because of the impending election code striking in and therefore witnessed a little bit of a slowdown especially in the latter half of February and March. And we feel that possibly there is some postponement of demand which is taking place, which would kind of come in June and July.

Overall, I think waterproofing business, which is the brand Smartcare has been a hallmark. Eight years back when we launched the product and today, we speak of being Number One in the retail market in terms of our overall presence across the various regions across the country. Today, the entire range is represented by more than 280 products, which are all indigenously developed by us through our technology. So, I think this is a very big area, and the projects area has really prospered due to this, because now you are talking of admixtures for the foundation of a building. So, you can just imagine that in a B2B business, you are right there, at the foundation to the topcoats, and therefore the full area is something which we cover very strongly with our admixtures, membranes, repair, chemicals and construction chemicals, which come in as part of the total range.

The whole area of innovation has been a strong story and we have got more than 126 patents over the last about six years, and out of these patents, almost 60 have been granted to us and, more than about 30 patents have been commercialized. Now, that's the strength which the brand brings on to the table in terms of looking at patenting not only the products, but also the process with respect to manufacturing, which becomes difficult for any competition to really ape the products. Today new products form a sizable part of the overall revenue, almost about 11 -12% of the top line, which is a very strong story going forward, because it puts excitement in the market. It also gives higher profitability to the network.

We have announced these investments some time back. With respect to our greenfield venture in Madhya Pradesh, we are talking of 4,00,000 KL/annum capacity, which again, would be one of the biggest automated capacities globally. We have done the land acquisition and the statutory approvals on environment are WIP. We think we should complete this project by 2028 and that would really be a surge in capacity.

We had initiated a lot of brownfield projects at our existing plants at Kasna, Khandala, Ankleshwar and Mysuru. That has given us good lift from almost about 17 lakh KL/annum to about 22.7 lakh KL/annum capacity boost. Out of this, Kasna and Khandala have been

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completed, Ankleshwar and Mysuru are underway, and we should be able to complete that in this year. So overall, the capacity really surges in a big way.

Our backward integration initiatives are also in line. The white cement plant in Fujairah, in Dubai is in line and we should be able to commission the plant early next year. The machinery has been ordered and pace is right, in terms of where we are proceeding with the entire white cement facility.

For VAM VAE plant, we announced our partnership with GCP L for ethylene supply, which will kind of come in. We are looking at 2026, by when you should look at that getting kicked off which would kind of give us a very strong capability from a point of view of offering environment friendly emulsions, which would be available at the lowest price as compared to any other player in India.

The one big announcement, which we did was that we are now looking at revolutionizing the bottom of the pyramid. We still feel that the bottom of the pyramid is a very huge market, estimated at about Rs. 5000 crores. We have a product called distempers and some low-cost emulsions there. We have come out with this new absolutely strong technology, which is called the latex technology from our stable. It is a new technology

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which offers the capability of, for the first time, a product at the cost of the distemper. This is much better from the point of view of durability, coverage and price has been matched to the distemper product strongly. We launched this product in January 2024, and we are seeing volumes really building up with strong growth, which is boosting the whole Economy set. And this is a revolution because this actually gives us the whole area of saying - bringing joy and happiness to every home. And therefore, this is something which will have impact both on some of the urban centres, but more strongly on all the rural centres.

So that's a very big launch and because it is so big, we thought that it kind of really needs someone with stature, someone with a lot of respect, someone who has possibly grown on his own kind of work and perseverance and therefore, we have taken Virat Kohli as the brand ambassador. But first of all, we are really leveraging him from the point of view of this NeoBharat and the whole preposition here is of, Har Ghar Khelega and Har Ghar Khilega. So basically 'Every house is going to play with this, and every house is going to bloom' as we kind of go forward with this preposition which comes in. And not only this, but we have also really given a very big incentive in the market with respect to looking at promoting kids across a lot of households who could be selected as part of the cricket scholarship, which we are offering. So about 200 kids will be selected, and we are talking about expenditure of Rs. 2,00,000 per kid, at least, which would come in. And that's the larger part of the brand that what will play. But that's the impact in terms of what we want to do over a period of time. In terms of looking at really taking on the large area of the

bottom of the pyramid and I think it should kind of really give us a boost from the unorganized sector as well. So, the idea is that as a leader, you keep on expanding the market and that's where the play is, going forward.

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Along with that, I think the innovation really continues in terms of what we keep on doing around the festivals. What we keep on doing around our initiatives to democratize art overall across the country and we have seen that the whole area of the propensity of a person to buy Asian Paints is something which we have been able to increase given the work which we do around with the brand. And that is a story which we keep on continuing, whether it is innovative packaging, whether it is innovative ads, which we bring on to the table. But more importantly, I think, what we have done is that the whole area of 'Beautiful Homes Painting Service', which is a very large service for us now. I think it has really bloomed for us. It is globally now the largest painting service which is offered by any brand, and it is literally growing at the rate of about 70 -80% for us, year on year. It's a sizable kind of zone, which comes with a very strong NPS, which is a service parameter of almost about 77% which we offer. So, I think it's a very valuable property, it's something which is growing and it's something which aids the consumer for getting the best painting experience overall, in terms of what they can manage.

Along with that, I think a host of initiatives which are there around taking the stakeholders, so whether it be the painter, contractor or it is the architect, designer and so on and so forth, I think that is something which we have kind of worked strongly on. We have now about 23 colour academies across the country, and last year we trained about 6.8 lakh painters, plumbers, carpenters across that, upskilling their levels and increasing their

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livelihood in a very strong manner. And this year we are literally aiming for about 8,00,000 -9,00,000 training numbers, which would give us very strong pan -India penetration in terms of this community, which is working around us and aiding the overall product growth.

So that's some of the work which is happening around the brand.

The important part as I spoke of the AIDs, we speak of this whole parameter of colour and material intelligence. We have a property called the 'Colour Next', which we started in 2003. And more than two decades of work around in this area has propelled us in terms of really aligning with the best of the architect designers across the various towns in the country, which gives you a very big flavour of the recommendation of Asian Paints as a brand first, from all the designers. And I think this is an area which kind of propels the Premium and the Luxury end of the market in a very strong manner. Because the sites which the designers do are possibly more the Premium to Luxury kind of sites. And that's a big propellant for our Premium to Luxury finishes in terms of what we work on. There is no other player who would do this kind of work, which is happening with the AIDs. So, I think this is a big boost going forward.

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Just coming quickly to the Home Décor business and I think this is something which we have been discussing. This has been a strong area of passion and growth in terms of what we have been pursuing overall. So, if you look at the last 3 - 4 years energy which has been put in, it has resulted in making us the Number One integrated home decor player. When I say integrated home decor player today, this industry is really diversified with a lot of smaller players across various regions with very less national players. We have really brought everything together. Now we talk of 60 BH stores, which is the Beautiful Homes Stores across the country, and we are expanding these stores fairly rapidly. The stores are almost growing at almost about 50 -60% and they offer categories which are all across, whether it is fabric, whether it is furnishing, whether it is furniture, lighting, bath, kitchen, so you name it, flooring, everything is something which is subsumed under that. And these stores are Phygital stores, which is physical plus digital stores, doing very well. But if you look at the other categories, whether it is the whole area of decorative lighting, we are Number One there or you look at the area of fabrics which are up close, we are a strong Number Two. Our wall coverings and textures, we are Number One there. We have aligned strongly with Sabyasachi and Sarita Handa and Jaipur Rugs and lots of other brands to bring in the best for the customer. And I think this is something which we feel is a strong foray and we are finding that the retailers who are getting into this BH kind of a

framework are growing much faster in the coatings business as well.

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So, it has a clear correlation in terms of completing the product for the customer. And therefore, the larger strategy is that can we be part of the home decor cycle of the customer so that we are able to assist him not only from the point of view of painting, but also renovating and making new homes really come alive. So, I think that's the for ay, which is doing fairly well.

Kitchen and Bath have not done well, to be upfront with you. Q4 has been down and for the full year, you have seen that the business has not done well overall. I think in Bath, our share in the market is very small at the moment. And therefore, we face some headwinds in terms of the demand being on a very low side. The pressure also comes in both from the unorganized segment as well as from the organized players. And therefore, that is a business which we need to kind of really pick up and work strongly in terms of really taking it ahead.

Kitchen was okay, but not so great in terms of what we see overall for the year. PBT is negative, but the good part is in Q4, we have still registered positive numbers in terms of the overall revenue. You are aware that we are talking of now, looking at Bath and Kitchen becoming integral with the Asian Paints business so that we can really talk of the same service standard, same servicing and therefore the merging is kind of giving us a big stroke for next year in terms of what we want to do, both with Kitchen and Bath, so that we are able to take this business and make it big as part of our overall dec or initiative.

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Both White Teak and the Weatherseal, which is the uPVC doors windows businesses, these businesses in Q4 have done well with respect to top line for the full year also. If you see, the numbers are fairly strong in terms of what we are doing, and as I said in decorative lighting, you are number one. And therefore, I think these businesses will continue to grow with us. The idea here is to make these businesses large, spread across the country, use the muscle of our distribution to see that we are able to go ahead in the market and really become the number one national player in terms of operating in both those areas. So that's the Lighting and the uPVC business for you.

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As I said, we have a partnership with Sabyasachi, and we just launched our new edition of the Sabyasachi wallpapers, and this is something which is a fairly exciting part. These wallpapers are one of the most expensive wallpapers in the world. Largely they go up to over ₹200 to ₹500 per square feet on a wall and you can just imagine that a 10 x 10 wall would be almost about 1.5 – 2 Lakhs kind of expenditure. And that's the whole area in terms of really upgrading and looking at, making the brand very premium in terms of going, where we have Nilaya as a brand.

Global, we are present across these markets.

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In terms of the overall numbers, International business is negative. When you look in INR terms, -1% is how it looks. Q4 was still positive in terms of the numbers. But if you look from a constant currency point of view, I think we are still good with respect to the overall growth. And if we take ex-Asia numbers or ex-Nepal numbers because Nepal has been a market which has been really suffering for the last about two years and we are number One in the Nepal market. And that is why if I take Net of Nepal, I think the growth is in double digits for the global business.

So, with respect to various geographies, Lanka is now back. Ethiopia and Egypt have started doing well. The whole UAE market is doing well for us. This is something which we will continue to focus as we go ahead from a point of view of our global business.

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I think, what we have seen in last two, three years, the Industrial market, has become strong for us with very good business coming in. The kind of growth which you are seeing are also very strong. In Q4 itself, we saw one of the businesses, which is the auto

business, growing in double -digit numbers. The other business was also closer to the double-digit numbers. But for the full year if you see , both businesses have done extremely well in terms of the growth. The good part is that the profits are also very strong, and we are investing more and more in these businesses going forward in terms of propping up the Industrial sales. So that is something which is adding to our overall muscle in a very strong manner.

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Overall, when you look at from the point of view of gross margins, it's been a bright year. The gross margins have in fact gone up in terms of what you see from the last quarter and even from the point of view of last year . It's a big increase vis a vis last year . Obviously, it is aided by some of the deflation which we have seen in the raw material prices. But a strong part has been also the work on sourcing and formulation efficiencies, which we have been putting in , combined giving us this overall gross margin improvement.

In a nutshell, when I look from a summary point of view, overall, when we look at Q4, the top line in terms of value is about -2%. But, if you take the industrial sales, it comes down

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to almost at base . In terms of volume, it is in double-digit, where it comes in to about 10% overall. Numbers on PBDIT, PBT has been weaker , given the value sales have not kind of come in Q4. But I think on the whole, it is important to look at the entire FY24 standalone numbers . These clearly show that, whether it is PBDIT, whether it is PBT, PAT, all cases vis a vis last year, the overall margin improvement has happened strongly. And even in terms of the top line, the 10% top line from volume point of view remains , the value is about 3% after that 3.6% price decrease.

So overall, I think, gross margin improvement, PBDIT margin improvement vis a vis last year in terms of the full year is what we are seeing very strongly . Obviously, in Q4, the PBDIT margins have come down, vis a vis the last year, and sequentially , but that is more because of the fact that we have seen the value sales not really coming in, which has impacted the PBDIT margins for Q4. But overall, I think the picture looks very healthy from the FY24 point of view in terms of all the margins going up for us and the profits being strong.

The consolidated numbers are similar. In fact, if you look at from Q4 point of view, the consolidated PAT is up. Even the top line is about -1%. In terms of the FY24, the numbers are similar , the PAT is almost up by 32% , the PBDIT margins are up from last year, almost about 220 basis points. And similarly in Consolidated, as you compare for Q4, the PBDIT

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margins are lower both from last year and sequentially. So , still a very strong year, I would say, given the conditions of the market. And to login about double -digit number for the entire year, I think, is a strong performance coming with strong PBDIT margin improvements.

We declared a 60% dividend pay-out, which in terms of absolute value is high and that's been the story , which is strong dividend percentage and how we have been rewarding the shareholders .

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As we enter into the next year, obviously, I think, this year there has been a little bit of this blip because of elections, the heat wave and so on and so forth. But we have started seeing some movement in the market. In fact, the rural markets are now responding much better, as we see in the month of April and the starting of May. So, we are still positive on the overall quarter and looking at really aiming for still strong double-digit volume growth for the quarter going forward and also for the year , because of 2-3 factors which are coming across . One, I think the monsoons predictions till now has been good, which is always a strong area of improving the sentiment, both from the point of view of rural markets and that is something which we are hoping. Second, we have a decent Diwali period, the festival period, which is coming, which would aid both Q2 and Q3 for us going forward. So that's another positive thing which we are witnessing .

We are also seeing a little bit of a deferred demand from Q4, which is now going to come both in retail and the B2B business. We also see a resurgence, with respect to the B2B business with the government continuing to spend money with respect to their

development areas, the infrastructure areas and these are very strong areas .

Even in Industrial, we see both the Protective paint market as well as the Auto market continue to grow as we see auto players build up their builds and newer players entering with newer models and so on and so forth. The whole electric car revolution is also kind of becoming strong. So , we think Industrial business would continue to grow.

On International, in Asia, we are not seeing too much recovery in Nepal, but we are still buoyant in terms of the overall UAE business, which is there . Ethiopia, Lanka and some other countries which are there , so therefore I think that market is strong.

The deco r market is something which we will continue to focus. And we feel that one of the big focus areas which we are taking is the Bath and the Kitchen business in terms of what we want to put back on a growth trajectory , as we go forward.

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So overall, I think fairly, strong in terms of the next year . Fairly optimistic about where we are, and the promise of volume growth still remains intact in terms of what we want to put in.

ESG again, very strong kind of commitment. And as a leader is something which we are setting new trends here. So, whether it is from the point of view of looking at Product Stewardship in terms of the environment or looking at the whole Governance standards what we spoke of, or the whole area of Social in terms of building a certain safety culture , building an d energizing people around it. I think that's a big area we are looking at.

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If you look at the commitments which we are looking at, going forward till 2030 are very strong in terms of, what we are putting upfront as numbers going forward. And this is reflected in the kind of work which we are doing. We are almost looking forward to a scenario where today, Asian Paints puts up a plant and we don't require water, we don't require electricity, we would require only land. So that's something which we kind of look at strongly in terms of our commitment to sustainability and green as we go forward.

Democratizing art , as we look at going ahead and bringing joy and happiness to all your lives, Thank you.

Moderator:

Thank you Mr. Syngle . We now proceed to the Q&A session.

Mihir Shah (Nomura) :

How should we look at volumes for FY25 and 1Q . Will it be in double digits ? Can they accelerate from +10% levels to early mid-teens levels, especially for two reasons or few reasons, rather. You are starting to cycle a moderate volume base unlike last year. Second, rural recovery is quite ripe because of monsoons, etc. Third, this new launch about NeoBharat that you've done, and tapping an untapped market versus earlier and increasing your total addressable market. So, can volumes potentially be 12 -15 plus % range rather than being just about 10+ % range?

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Amit Syngle:

Most of the points you mentioned are right, because these are the movements which we are seeing . Especially , I think the rural uptick would be a very strong point in terms of what could come in. I think the whole area of Har Ghar Latex is a very strong point , what we want to bring to the stable in terms of looking at that segment, giving us very strong growth. Apart from the fact that, a whole lot of initiatives which are lined up from the point of view of both, Premium and Luxury markets as well, because we would like to really look at growth in those segments also coming very strongly. So , I think, while we are putting ourselves at double -digit, it's very difficult to say whether it will be just about double -digit or it would be in mid-teens, but the endeavour obviously would be to really take this and see if we can explode the market with all these initiatives.

I think the confidence which we are getting with respect to our new launch, which is NeoBharat , is very strong and we will have to just see how things augur . I think the real test would be possibly, the Q2, Q3 quarters, which will really establish and show where are we headed . If you remember that, from a point of view of volume, always the CAGRs have been very strong. In fact, the CAGR s have been in the area of about 14 %,15% overall

in the last four years. So, the endeavour is definitely to go towards that kind of a zone. But I think, what we are looking at underwriting definitely strongly is that you should get into a double-digit volume growth definitely for next year.

Mihir Shah (Nomura) :

One ancillary question is on the difference between the value and volumes. Given that there's another very sharp, equal to distemper price point launch, and rural can also probably deteriorate the mix further, should one revisit our assumptions on the difference between value, volume or can the sales from primary and the other segments take care of that and mix may not deteriorate further from here on?

Amit Syngle:

So, I think, while we have spoken about NeoBharat very strongly, we have launched a lot of differentiated products in each category. We have a product called 'All Protek', which is in the Premium segment, which is by itself a patented product in terms of what is there and similarly, we have 'Royale Glitz' which is there in the Luxury segment. So, I think the amount of work which we are looking to do with all the stakeholders, looking at architects, designers, the endeavour there is that we should really look at balancing the Economy growth, which is coming with some good growth happening both in the Premium and the Luxury sector also. So, the entire effort and the endeavour would be that we balance the numbers, and kind of really operate still in that gap of about 5 -6% between value and volume, which has been possibly the area which we would like to look at. I think this quarter has been a bit of an anomaly because of the price decreases taken by the company. But I think going forward, we would like to maintain that kind of gap going forward in value and volume.

Mihir Shah (Nomura) :

Despite a price cut, despite down trading witnessed in the quarter your sequential gross margins were held up. So, we have done very well on that part as well. How should one think about gross margins going forward? Do you see that margins can sustain at the current levels for some time. We understand the medium-term guidance that you had shared with us earlier, and I am sure that you're not changing that. But maybe, for the near term, for the next four quarters of FY25, can we sustain such margins that we are holding up currently?

Amit Syngle:

So obviously, I think, our guidance for both PBDIT margins and overall gross margins would remain the same. We are not changing the guidance, going forward. But I think importantly, maintainin

g the PBDIT margin between 18-20% is very important for us in terms of our various initiatives. The current geopolitical situations are a little bit worrying and the whole area of crude behaving slightly differently, when we see in terms of up and down which is happening, would decide as to what really happens to the overall gross margins. But I think we will have to react accordingly, depending on how the raw material prices behave, as we go into Q2 and Q3. So that remains to be seen. But having said that, I think the commitment to get the PBDIT margins maintaining in the same guidance range of 18 -20% remain.

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Mihir Shah (Nomura) :

Any one-offs in employee cost or other expenses in this quarter ?

Amit Syngle:

So, in Q4, we have increased our marketing spends and that is something, which we have consciously done. I think the whole area of brand building is something which is very close to us. We feel that the equity of the brand has to be really supported and has to be leveraged much more in terms of what is there, because that is something which will propel us, both in the Premium and Luxury segment and also retain the kind of possibly recall or the consideration to buy which people have for Asian Paints. So, I think marketing spends, we have upped the ante and that will continue in Q1 and Q2 as well.

Amit Sachdeva (HSBC) :

Given that obviously new competition has finally come to our doors, and we have been anticipating it for a while. Now the question is that everybody interprets it differently. People in this room interpret it differently. You probably interpret it differently and other

participants in the paint industry would also have a view. And we may have a different view, right. So, I just wanted to ask you that given initial pricing is in place, and I'm sure a lot of people who joined that company have come from the same ecosystem and there's some familiarity and some unknowns. How you are reading the situation in terms of pricing, the aggression level or signalling that you have been put already in the marketplace? Is it disruptive to you? Is it normal to you, or is it, something that is still evolving, and you want to watch out for? I just want your initial reaction to it, because it's an event that, which is already happened now.

Amit Syngle:

I would say that it is just copy paste, which is happening in the market. There is nothing which is unusual. There is nothing, which is innovative that is happening. Just because, one can put pricing pressure, or one can put muscle in terms of looking at saying that I want to do a launch all across. I think it doesn't really impact the market because the market is pretty seasoned and they have seen so many new players in the last two decades, which have kind of come and gone. But having said that, I think it's too early to

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say anything really, because they've just come in and launched. And as I said, all competition is welcome because I think it brings the best out of the existing players in terms of what we will do and how we can kind of take on to the market. And also, given the fact that as a leader, I think we believe that it is important to really increase the overall pie rather than keep on fighting on the same pie. So, I think, our objective is something which is very different, and therefore we are not really perturbed. We are not really amazed by anything which has happened till now.

Amit Sachdeva (HSBC):

You are suggesting that the industry structure is likely to be rational, and the response from you is not going to be anything unusual, rather than just a normal competitive response, typically in a cycle that happens. But I want to ask, what sort of signalling, industry has already given to them, signalling by which your pricing decisions that you have taken in the last two years? Has the industry conveyed to them as to how

you guys

will think if they were to do XYZ? I just want to understand, what's the behaviour shaping that has already happened? Is there some reading you get?

Amit Syngle:

There's nothing which is shaping, because, how we see the market is that the market operates on MRP less. It doesn't operate on in terms of, what is the discounted value to the dealer. And the idea is that today Asian Paints has been commanding premium in the market by least 5-10% to the overall prices. We have had so many competitors who have come, who have priced themselves 10%, 15%, 20% lower. But I think the customer is very clear when they are buying into a brand. They are buying into a trust, they are buying into an equity, they are buying into something which is a warranty, which kind of comes in and a quality. So currently, from even the pricing levels we see, actually there is nothing which the market is seeing because vis a vis the existing players, they feel that the pricing is the same.

Amit Sachdeva (HSBC):

I want to understand the pricing outlook, as you see evolve, for the next year, given where the input prices are and given where the demand environment is and you have some hope

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that demand will pick up, in Premium which is, not so strong right now? But given where we are, do you see pricing to plateau like a zero or it would still be deflationary as assuming things are as is, as we stand.

Amit Syngle:

See, currently what we see is that crude has been going in a certain band, some of the crude derivatives, like monomers and all have shown some signs of pick up. But the key raw material, which is TiO₂ is still stable in terms of the overall value. So, I think for the coming quarter, we don't see any big kind of changes with respect to the raw material prices. I think prices would remain benign. We don't see any disturbances which would happen to the price going forward. And I think as a strategy, what we are very clear is that going forward, I think it is better to really invest in terms of taking the brand further into the equity and so on, so forth, rather than kind of putting pressure in the market in terms of pricing, because that pricing is something which sometimes is never sustainable. Because any competitor who wants to sell vis a vis you, would always keep that gap,

which is already there. So, I don't think that it really helps anyone in the industry. So, we are very clear that today we are looking at more investing into the brand as go forward, unless there is a big change with respect to the geopolitical collapse happening in some geography of the world, which causes mayhem, which would really mean that we would react accordingly in terms of seeing what has to be done on pricing.

Amit Sachdeva (HSBC) :

Can I just assume that pricing would not be deflationary?

Amit Syngle:

If I looked at it from Q1, we see that basically it will be benign and as we go forward, I think we only expect some inflation to take place in terms of pricing.

Tejash Shah (Aventus Spark)

The chapters of this competition have been unfolding gradually. So last two years, talent loyalty was put to test. In six months, perhaps customer loyalty will be put to test. And as we stand today, dealer loyalty will be put to test. So just wanted to understand that, as

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the landfall is happening as we speak now of the competition, what is your understanding from past experiences? How do you retain dealers' loyalty and just, an additional point over here, the expansion that we have done on dealers count last three, four years, 10,000 dealers again this year. One grievance that we are picking up in our channel check is that the dealers are complaining about the territory getting smaller and smaller. So how should we think of this paradox of, as at one point we want to expand distribution and then grievances is also now building up.

Amit S

ynge:

Some of these loyalty issues you spoke of, I think it is too early. Some of them we are already seeing fracturing happening even at this stage. As a clear kind of strategy, Asian Paints has only used consumer as a very strong tool in influencing the network, influencing the stakeholders which are involved. And today, we believe strongly that one of the big areas, which puts pressure on the network, on the influencers, is the consumers consideration to buy. And that is something which we would really put a heavy muscle in terms of ensuring that today the mindshare Asian Paints has, we would continue to invest that, we get that mindshare, very clear and we feel that if you are able to work on the brand and with your supply chain efficiencies in terms of what you have put in, with the innovation which you kind of bring in terms of differentiation, I think today the dealer loyalties are very difficult to shift because dealer also understands the environment. They understand the pressures in terms of what comes in from a demand scenario. So therefore, it is difficult to go and change the market very easily in terms of the structure of the market. Whatever you do, whether you copy the formulations, whether you take the people, whether you copy the plants, it's not so easy and we have seen it in the past with so many new companies coming into the fore. Five years back when there was another competitor which entered, I think all of you were asking the same questions, and now no one asks about that competitor at all. So, we don't know what happens in the next two years.

Tejash Shah (Aventus Spark) :

The muscle that you spoke about, one visible muscle that we have on our P&L this year is versus your long-term guidance on margins versus where we are exiting this year. There

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is a gap of 200 bps or 250 bps as you take the band. Do you think this as an ammunition that you will use this year to protect or gain market share if need be?

Amit Syngle:

Whatever is the ammunition we will put behind, as I hinted, that we are putting a lot of muscle behind our marketing and that is something which we will continue to do. We have a new brand ambassador. These brand ambassadors don't come in cheap and today, as we look at, we are putting our muscle, whether it is IPL as a media or any other hot properties which are coming, we think that's a strong imperative and this ammunition will help us do that.

Amit Rustagi (UBS) :

My question relates to the VAM VAE which we have discussed in the past. One of the competitors reiterating again that there is no benefit of manufacturing VAM here in India.

So could you give us a perspective on what exactly the margin benefit we are looking at and how that benefit will flow to us in terms of manufacturing versus importing from the international markets.

Amit Syngle:

When we got into this business, and we are looking at investing more than Rs. 2,100 crores in terms of setting up a plant, we would not do that if there was no cost benefit. When we look at the benefit, which will come in, vis a vis any import which comes in, the advantage is not only with respect to the cost, but in terms of the innovation in the emulsion properties, which we will be able to get, which no one is able to do with direct imports. And this will add some unique properties to the paint at a cost which is unimaginable by maintaining possibly the same or higher margins. Depending on how we really rapidly increase the utilization of the plant, I think with respect to margins, it will definitely aid at least about 1-1.5% in terms of boosting the margins at the company level.

Amit Rustagi (UBS):

My second question relates to the segmentation of the market you described, like Eco, Premium and Luxury and you mentioned that there are pressures in the Luxury segment.

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So, could you give us a broader mar

ket differentiation. How these three markets have grown in FY24, and how do you expect these markets to grow and what is our play in each of the market? We understand NeoBharat but what is our play in the segment like Luxury and the Premium markets.

Amit Syngle:

So, in each of the markets, whether it is Economy, Premium or Luxury, I think the share Asian Paints enjoys is very strong. So therefore, it is not that the share is higher in one and lower in another. In fact, progressively, if you go to Premium to Luxury the shares get only higher, that is one. Secondly, what we see is that, as the market construct is today, Luxury is coming in very strongly whether we see luxury apartment sale, which is happening, second homes, second villas, which are kind of coming, we see people upgrading strongly. So, we are banking very strongly that the Premium and the Luxury segments will fight back because there is nothing which is, a worry of loss of share there. It is only in terms of the propensity of the people to really upgrade and get into that kind of a segment. We also feel that the downtrading would be much lesser in the coming year, which would kind of really prop up that Premium segment, which we have felt in terms of a slow movement this year. So given that fact, that this year, we have done fairly well in the Economy and Luxury, Premium was slow, next year we are looking at definitely taking Economy with the NeoBharat coming in in a very big way. But we are putting a lot of energy, both in Premium and Luxury, to match the growth rates which we can get in Economy even there.

Sheela Rath (Morgan Stanley) :

Sir, my first question was with respect to our distribution strategy this year. What is the plan in terms of expansion and is there any differentiation we are trying to bring to the table this year in terms of what we are doing on the distribution side, because there's a lot of catch up, which is being done by even the existing competition in terms of their market strategy now on distribution.

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Amit Syngle:

See, the entire game on distribution is basically seeing as to how we can look at really aiding the retailer from the perspective of ROI. And I think that is a very big factor in terms of what really governs, how the retailer gets loyal to you. So, I think the parameters which I just spoke of, one of the bigger parameters is that are you able to generate demand. Are you able to see that whatever you are giving to the retailer, is he able to liquidate and rotate that capital in a certain manner and what we are aiming is that, can we improve that rotation so that possibly the whole ROI number really jacks up. It is not easy for any other player to do that, because it requires a whole lot of investment, not only from a point of view of just the supply chain engine, which really works, but it also requires a lot of investment with respect to your forecasting abilities. And therefore, what we are doing is, we are also invoking a lot of AI and other algorithm models, which will look at improving our forecasting ability and our ability to increase the order fill rates, and therefore,

parallelly, given the marketing spend on consumer, looking at saying that equally the liquidation also gets very strong going forward. We have a very strong painting service which is going on. We are looking at a very strong digital program in terms of how we look at customers behaviour. We have almost about 4 crore customers coming on our website and today, we are looking at really seeing that we are able to get these customers converted into demand for our retailers in a strong manner.

So, the entire perspective, which we are bringing, which is very different from competition, is to really re-energize the ROI which goes up, which will basically mean revamping of the supply chain model. It would mean getting AI to really look at better

prediction and third, in terms of looking at a marketing capability to energize the whole area of demand and the whole compulsion of the customer to really buy into Asian Paints.

Sheela Rath (Morgan Stanley):

And any guidance on the growth rate on distribution?

Amit Syngle:

So, at an average, we have been adding almost about 10,000 retail points every year. It is not that the dealer's business is decreasing because of the numbers coming in. I think 34 | Page

this country is huge and the way it is expanding, the way the demand is going, way the cities, suburbs are expanding, I don't think there is any saturation, which we are seeing in terms of clusters which are opening, especially when we look at the rural segments. So, I think the area of about 10,000 retail points would kind of really remain.

Sheela Rath (Morgan Stanley):

My second question is, with respect to EBITDA margins. You said that we maintain the guidance of 18-20%. Sir just wanted to understand from you that what are the levers for us to maintain these margins because you talked about media investments. So, I just wanted to get your perspective there.

Amit Syngle:

There is the whole area of the world class supply chain model what we run, which ensures that the overheads, the cost per tonne, which we work across our plants is something which gives us a very big advantage in terms of what we are able to get of our overall cost. The second area is in terms of our efficiency in dealing with overheads, with the kind of economies of scale which come in is something which is a second big imperative. The third area is the whole area of sourcing and formulation efficiencies, which work as a very big lever because, in the paint industry, almost about 58-60% cost is the raw material cost and therefore any work which happens in this framework will only give you more and more margins. And the fact that you are a fairly strong player, I think you do get economies of scale. Today if you look at the EBITDA percentage margin difference between us and any other player, it's a significant difference which really exists and therefore we feel that some of these initiatives, which we are looking at, will give us far more leverage in terms of looking at maintaining this kind of a guidance in terms of what we are putting up. And not only that, once we kick off our backward integration initiatives in terms of the white cement and VAM VAE, that itself will give a boost in terms of maintaining this guidance going forward.

Jay Doshi (Kotak):

Downtrading from Premium to Economy is a trend that we are seeing across most consumption categories, partly due to inflationary pressure that consumers are facing. 35 | Page

As a market leader, what are the steps you are taking to arrest this decline to the extent possible?

Amit Syngle:

I think it is a natural propensity of the people that the Value for Money (VFM) equation is something which is very important to the Indian consumer and therefore I think, where we are working very strongly is to improve the VFM equations for the customer. So, for instance, to give you an example, if there is a premium product which is priced at a certain point, we are looking at saying, can the customer get higher coverage out of that product, which basically means that the per square feet cost for the customer at a premium level becomes very attractive without decreasing the price of the product. So, there are initiatives like that where we are looking at saying that at a certain price point, the kind of

value which you can give to the consumer is so strong that possibly the downtrading attraction is something which becomes lower because the moment the customer down trades, what the person gets out of that product is not similar to what he has left at a certain price point.

Jay Doshi (Kotak):

You generally talk about 3% price reduction, but we don't

know whether it's 5-7% at

Premium level and negligible at Luxury level or something.

Amit Syngle:

There is some balancing of costing which we will keep on doing depending on possibly what you feel as some bit of pressure which comes to the market. But essentially what is being seen is from the point of view of the affordability at a consumer level. We don't really benchmark ourselves in terms of looking, because today what we feel is that we are the first ones who would kind of really regulate a certain price in the market in terms of what we want to do. We don't really look at X YZ in terms of what the y're offering, because whatever is the pricing, people adjust their discounting accordingly. So, the pricing model has to be seen along with the discounting model. Unfortunately, a 2-3% increase in price in the market doesn't do anything because the discounting is much more than that which is happening. So therefore, I feel that today pricing is not the right

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way to really look at it. Whatever kind of corrections which we are taking is more because you have seen the kind of inflationary levels which we have seen in the years gone by and there is some correction in terms of what we are doing because of that. And the deflationary environment, which is giving us some buffer in terms of saying that you can't look at possibly increasing your margins to a little bit beyond the point, because then the consumer starts downtrading, which is what we spoke of.

Jay Doshi (Kotak):

You know, there is about 15% price gap between Birla Opus and Asian Paints today if you consider their extra gram mage. Should we expect this to narrow down during FY25?

Amit Syngle:

I don't think so because, today there are already other players who are less than 15% than us and it has been there for years. It is not something which is extraordinary in terms of what is there. So, all the new players, basically they even go down to 20% lower. So, this is not an extraordinary strategy in terms of looking at pricing lower. In fact, what really happens is that, over a period of time, the pricing literally for the other players dips and they start competing with some of the smaller players in the market. So, I think each player finds its own level of pricing. And I think what you need to be very clear is the elasticity in your pricing, which is there in the market.

Shirish Pardeshi (Centrum) :

In the beginning, you mentioned that 70% market is Economy. So just one clarification, this includes putty and distemper or it's only Economy emulsions?

Amit Syngle:

It includes putty and distemper.

Shirish Pardeshi (Centrum) :

What was this 70% number five years before and will it be the main source of growth for this quarter or going forward for us?

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Amit Syngle:

So, I don't think the structure of the market has changed much. In fact, what I would say is that the Premium and Luxury segments have grown bigger only over a period of time. So, the Economy segments have only reduced, because what we find is that the unorganized companies, which were very largely into powder distemper, cement paints and so on and so forth, all have graduated to possibly some emulsion paints or low-cost emulsions. So therefore, the overall segment in terms of looking at is that the Premium and Luxury has grown a little bit more as compared to the previous years.

Shirish Pardeshi (Centrum) :

The Ess Ess and Bath business have been struggling. I am using word struggling because

last ten years , we have done many rounds of changes front and back. And now you're saying that there is a synergy and you are going to integrate this business. What is missing here? Are you really confident that this business after integration will start throwing a positive number?

Amit Syngle:

I think, one of the things which we have not been able to do in the two businesses is branding

building and that has been the core strength of Asian Paints brands overall in terms of what we bring. I spoke about generation of consumer demand, the fact that, you become first default choice for the consumer . I think in both of businesses, we have not been able to build the businesses very strongly . As a result, we are changing, taking a significant change and now bringing everything under 'Beautiful Homes' as umbrella brand and therefore, we feel that going forward, start building the umbrella brand Beautiful Homes. So, it is Beautiful Homes kitchen, Beautiful Homes bath , as you go forward. And that is something which becomes a resonance with the consumer, because I think the brand consciousness today is going very high and we find people graduating to more and more brands. Currently, I think Asian Paints was just an underlier there. It was not upfront in terms of what was there because we had 'Sleek by Asian Paints' or 'Ess Ess by Asian Paints'. Now, we are trying to bring it in upfront in terms of what we want to do, and we feel that given that strategy , if tomorrow, we are looking at doing any corporate campaigns in terms of BH and others , it would give a very strong impetus in these two areas . Because

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we think at the back end in terms of factories, production, premium products, there is nothing which is lacking. We have the quality which is really paramount and very good . It just needs basically a nudge and a push in terms of the overall brand, which is what we are taking this year very strongly in terms of building that synergy.

Shirish Pardeshi (Centrum) :

This last question is related to home decor. Can you give us an idea where these 60 stores will be five years from now ? Because somewhere you mentioned that you are at least targeting 10% contribution from this business. So , where we are this on the journey? Will it happen in three years? Will it happen in more than four years? Five years? Maybe some more colour if you can share.

Amit Syngle:

As we see it in terms of growing, the decor business, we have spoken of about 60 BH stores. We are looking at going to 85-90 stores in this year . Over a period of five years , I think the trajectory we would like to build is anywhere between 150 -200 stores. We are not only looking at the number of stores, but we are also looking at the per square feet size of the stores going up, which is the largest strategy, going from about a 6 ,000 square feet store to more than 10,000 to more than 15,000 square feet kind of stores. We have recently put up a store in Chennai, which is in Anna Nagar, which is over 14,000 square feet. So, I think the strategy is to look at the per square feet space in terms of the locations, and not only looking at the number of stores . So, while we are looking at the 150-200 number, I am also looking at the per square feet space going almost to about 2X to 3X.

Avi Mehta (Macquarie) :

We have always conditioned ourselves to look at paint industry as a growth as a percentage of GDP. And when we look at the current year in terms of value growth , and I'm taking you as a benchmark for the industry, the relationship seems to have fallen out of place. Could you give us an understanding of why this year if it is different or do you see the relationship has to be revisited?

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Amit Syngle:

You are correct that the GDP correlation has really gone for a toss , in the current year. I also feel that today, I am not very sure as to how the GDP numbers are coming. You guys are better wizards in terms of really understanding in terms of how those numbers are coming and so on and so forth. And sometimes you feel that there is such a variation happening across industries . How does that GDP really correlate to the actual GDP what we are kind of talking of . So, even if you look at the core sectors, whether it is steel, cement, so on and so forth,

no where it is correlating with the kind of possibly overall GDP growth in terms of what we are kind of talking of. So therefore, I feel that we need to look at from a minimalization of this GDP growth to find out more realistically, if we are talking of a 7% growth; whether that 7% really translates to a real time of 5% or 4% GDP for a certain sector, and therefore look at extrapolating data in terms of seeing how the correlation works out. So currently, as you rightly said, even we are not kind of really correlating to the GDP in terms of looking at it, because hypothetically, if you look at a 7% kind of a GDP or a 6.5% GDP, you would call it almost about 9-10% of a value growth, which would come, which possibly is a correlation, which is spoiled. So, we are also looking at ways and means in terms of finding out what is the real GDP.

Avi Mehta (Macquarie) :

So, you believe that the relationship still would be sustaining.

Amit Syngle:

Yeah, but the correct GDP in terms of what would really be applied to a certain sector is something which I think we need to work and find out. Because the GDP is also varying from region to region. If you look at possibly certain regions in the country, some regions are growing faster, some regions are growing slower, but when you get the GDP number overall, that's a conglomeration of a full number. So, I think, maybe some more work needs to happen in terms of really dissecting that.

Avi Mehta (Macquarie) :

I just had some basic bookkeeping questions. Would you be able to give us a sense on the advertisement spend for FY24, as either a percentage of sales or from a percentage

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growth perspective? And if you could give us a sense on tinting machine count, where do we stand and what is the outlook there?

Amit Syngle:

In terms of the tinting machines, the rough way to look at is that we are almost about 3 - 3.5 times higher than any nearest player. Since you know the numbers of the others, you can extrapolate the data anyway. From a point of view of advertising, I think it's a band what we keep on looking at. So basically, the band can go to 3-4%, it can go to 5%. It is a band in terms of what we kind of look at, because there are strong components around it. There is something which is happening which is more 'Below the Line', which is more disruptive work. For example, the work which we do in terms of St+art, that is very different work which happens in terms of the attributable spend we do. But that's the kind of band in terms of what we operate on.

Avi Mehta (Macquarie) :

So, 3-5% roughly.

Amit Syngle:

Yeah.

Avi Mehta (Macquarie) :

I wanted to clarify the 5-6% that you said is the difference in value and volume that you expect, right?

Amit Syngle:

That's right.

Moderator:

Thank you everyone. We now invite Mr. Amit Syngle to give the closing remarks.

Amit Syngle:

I think it's lovely to interact physically with all of you. Thank you.

Call: Jul 2024

APL/SEC/32/2024-25/22

22nd July 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
Security Code: 500820 National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051
Symbol: ASIANPAINT
Sir/Madam,

Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Investor Conference

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor Conference held on Wednesday, 17th July 2024, with regard to the business and financial performance of the Company for the quarter ended 30th June 2024.

The transcript has also been uploaded on the Company's website and can be accessed through the following link:

Investor Conference – Transcript

You are requested to take the above information on record.

Thanking you,

Yours truly,

For ASIAN PAINTS LIMITED

R J JEYAMURUGAN CFO & COMPANY SECRETARY

Encl.: As above

ASIAN PAINTS
Q1 FY2025 Earnings Conference Call

Date: July 17, 2024

Management: Mr. Amit Syngle : MD & CEO
Mr. R.J. Jeyamurugan : CFO & Company Secretary
Mr. Parag Rane : AVP - Finance
Ms. Sunila Martis : Head – Investor Relations

Disclaimer: This is a memorandum of the proceedings of the Investor Conference Call of Asian Paints Limited held on Wednesday 17th

July 2024 at 4:00 pm with regards to the financial results of the Company for the First Quarter ended 30th June, 2024. While we have

made our best attempt to prepare a verbatim transcript of the proceedings of the meeting, this document has been edited for readability purposes and may not be a word-to-word reproduction .

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Sunila Martis:

Good evening all of you and thanks so much for joining us today to discuss Asian Paints Q1-FY25 earnings. I am Sunila Martis from Investor Relations, and I am happy to welcome all of you here today. Today we have with us from the management team - Mr. Amit Syngle , MD & CEO ; Mr. R.J. Jeyamurugan , CFO and Company Secretary, Mr. Parag Rane, AVP - Finance.

I would now like to invite Amit to give us his opening comments.

Amit Syngle:

Hello. Good evening to everyone and welcome to the Investor Conference for Q1 -FY25.

We will start with our whole journey of 'delivering joy since 1942 ' and I think all of you are now familiar with it . This is the core of why we exist, which is to 'beautify, preserve, transform all spaces and objects, and bringing joy and happiness to the world !'. What you see are some of the newer initiatives in terms of what we have done in all the spaces, whether it is Decorative, whether it is from the point of view of Home Decor or it is from the Industrial business .

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Let's start with the overall top line numbers . The quarter has been tough and overall , I think the demand conditions have been fairly challenging because of a host of reasons. So, the volume growth has been still fairly healthy. We were gunning for double digit volume , we have landed at about 7%, which is still healthy over a big base of 10%, we reported in Q1-FY24. The heartening thing which we see is the CAGR volume numbers are still very strong, even if you look over a five -year perspective at about 15.3%.

Overall, we see the value growth has been under real pressure at about -3% as compared to 7.8% in Q1-FY24. So obviously I think value has experienced the pressure as we have said, 2-3 areas coming very strongly which have been impacted . One is the fact that the product mix was a little inferior. Second, we had also inflation in the market and given the demand conditions, I think value was something which has been on the lower side as we see it.

If we look at the Industrial growth, the Industrial growth has been much better in terms of what we see on the backdrop of good auto sales . In terms of even some level of sales, which have been seen in the overall Industrial sector.

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So, if you look at the combined growth of Decorative plus Industrial, the value degrowth comes to about 2.2% compared to growth of 8.5% in Q1-FY24. The volume is at 7% as compared to 10% in Q1 -FY24. In both these cases also, if you see the CAGR levels are pretty healthy when we see with the industrial sales as well.

Going further, I think this is a slide which you are familiar with, and we have been talking about this . Volume growth is something which the company has been relentlessly following, and that has been the story for the last many quarters in terms of what we have delivered. So, the CAGR is still very good in terms of what we are looking at, about 15.3 % over a five -year period. This quarter volume has been a little lower, at about 7% as I said .

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As we look at further growth indicators in terms of what have come in. So overall, as we said, it was impacted by the heatwave and to some extent by the general elections, where we see especially both the retail as well as the Institutional business getting affected.

April and May were not very good months in terms of what we saw . There was recovery in the month of June which we saw post the elections . This was also a quarter where we saw some shoots of recovery in the rural demand also. In fact, we saw that the T3-T4 cities were growing at a slightly higher pace as compared to the T1 -T2 cities in this quarter. So, I think that's a good sign in terms of what we see for going into the future.

Q1 mix was impacted overall , where we had higher growth coming from Smartcare, which is our waterproofing range, the whole area of Distempers and Wood Finishes. So, I think these were the general product categories where we did well . Economy Emulsions did not do well and that is where we struggled to get the numbers. Prelux, as a category did relatively much better in terms of what we saw, which is a good sign because there has been a clear focus on this category, and this has done well.

When we look at the distribution footprint, this continues to expand. Now we are at about 1.65 lakh retail touchpoints. The Projects institutional business saw a bit of deceleration

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in terms of the overall numbers because, I think due to the whole general elections . I think the market was a little bit slow and especially when we saw the infrastructure sector was definitely on a slower side. But overall, we relatively still did well. And I think the B2B sector has done much better as compared to the retail sector in terms of the overall analysis.

From the point of view of all our Home Decor initiatives, that is something which has done well. Particularly when we come to the Beautiful Homes Painting Service, which is a service which has been going very strong. It has two constituents, which are the Beautiful Homes Painting Service and the Trusted Contractor Service, both have done very well. The parameters on NPS and the overall growth have been very strong and this quarter also the performance has been good.

From an innovation point of view, the new products continued to contribute to about 12% of our top line and that is something which has done well. We spoke about in the last meet, one of our newer launches, NeoBharat Latex paint, which has been launched at the bottom of the pyramid level, to kind of really upgrade the unorganized distemper consumer into organized kind of brand , has done extremely well. We are very happy that we have been able to widen the moat and increase the overall potential in terms of what we have access to the entire bottom of the pyramid now with this product coming in. So, it has really kind of given us a very good kick in this quarter as we have seen . Now we have products in Interiors as well as Exteriors under NeoBharat.

Capacity expansion has been the other bit in terms of what we have been doing. Last time I told you that we have done brownfield expansions in terms of our existing plants, which is Kasna, Khandala and Ankleshwar . Now, we have increased the installed capacity of Mysuru from 300,000 KL to 600,000 KL, which overall takes the capacity to about 2200,000 KL at the organization level. So, I think this is a very big boost in terms of what we have in the overall capacity coming for us, which is available from the point of view of growth.

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So, these are some of the indicators I spoke about the NeoBharat , which has done extremely well with our new brand ambassador Virat, I think, it's got a fillip. We have spent a good amount of money in terms of promoting this on various media channels. This has given us a very strong surge in creating a new avenue of growth from the point of view of the bottom of the pyramid, as I said earlier.

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We have also been running a lot of videos which basically showcase the relationship of Asian Paints with our dealer partners. This is an important initiative because it kind of reinforces the overall years and decades of relationship with Asian Paints. We have now been working with almost the third generation of people and that shows the trust in Asian Paints as a brand. And that is something which is amplified by some of these videos

which have come up in terms of looking at showcasing this entire relationship.

We have also launched something for our wood finishes what is called the Woodtech Emporio, which is premium, almost a luxury brand and we are looking at facilitating architects very strongly in terms of how we kind of really bring esthetics in the brand and so on and so forth. This is our absolutely premium luxe kind of initiative, which really gives everyone an idea of what this product category is capable of creating as part of the whole digital series, which has come in.

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The whole Home Decor foray has been extremely strong, and this is something which we have been pursuing and we've been speaking about, for the last about 4 years. We are happy to report that these overall categories have done very well. We are, as I said last time as well, Number One integrated Home Decor player, Number One in various categories including decorative lighting. It is also from the point of view of modular kitchens, wall coverings and textures, and also the fact that, we are now Number Two in the Fabrics and the Furnishing zones as well and our collaborations with lots of brands continue, whether it is Sabyasachi, Jaipur Rugs, Sarita Handa, and this is something which is a strong source which is kind of taking the Asian Paints' equity and also our partnership with our retailers forward in a very strong way. We are putting up Beautiful Home Stores across the country. Now we have more than 61 stores and a lot of them are WIP which are coming in the next quarter. So, I think strong performance at these stores also, which have grown in a very big way.

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Our collections, as I said, are all in the Premium to Luxury ranges. What you are seeing is the 'Paris Calcutta' Collection from Sabyasachi along with that we have launched collections in fabrics as well as wallpapers. This is moving very well and the response from the market has been great in terms of what we are able to do. This kind of puts the brand into the luxury space in a very strong manner.

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This is another thing which wanted to introduce to you. We have opened our second BH studio in Guwahati. The first one is in Anand Nagar in Chennai. This one is more than 16,000 square feet. It is a store which is definitely par excellence. It gives the customer a phygital journey into the store with all premium to high end, kind of decor products including lighting, fabric, wallpaper, furniture, very strongly done and it's something which is really a masterpiece. So, I think these are strong forays which are happening in Home Decor as we look at it.

The modular Kitchen business has picked up finally and we've got a 5% growth in terms of the overall numbers. We have had a positive PBDIT for the last six quarters and that is something which is strong, in terms of what we have been pursuing here. Even the Bath business, which was down for the last 2 - 3 quarters has got a 10% revenue upshift and both the Kitchen and Bath business are getting very well supported by our Beautiful Homes network. In the Bath business, we had a bit of a loss, but I think this is part of the growth journey, we will definitely see the bottom lines also picking up as we are seeing the top lines now coming in terms of this overall category.

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When we look at the other categories of Home Decor, both these categories were our acquisitions. White Teak and Weatherseal have grown in double-digits, and we are setting up more and more stores. In White Teak, both FOCO and COCO stores are coming up. The Beautiful Homes stores are also promoting both Weatherseal and White Teak in a strong way.

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When we look at our international operations, this is how we are represented across the globe in parts of Asia, the Middle East, Africa and some parts of the South Pacific Islands.

Here, I think there has been a challenge in terms of the overall business. The top line has been under constraint. We have had a de -growth of about 2%, although in terms of constant currency, we would have grown by about 1.8%, given the fact we have had depreciation of currency in Ethiopia, Egypt and Bangladesh and that is something which has contributed to the difference between the INR and the constant currency. However, some, bright sparks which are coming - Ethiopia has done quite well. Sri Lanka has now picked up in a strong way . Little bit of slowdown in Middle East . One of the areas which has been obviously troubling us in the Asian markets is Nepal where the economic situation for the last 7 -8 quarters has not been good. So overall, both top line and bottom line are affected there and that is something which possibly we are looking at in terms of how the situation recovers. As I said, both Egypt and Bangladesh were affected by the currency devaluation and there have been overall growth issues as well. I think subdued kind of show as far as the international markets are concerned, in terms of constant currency of about 1.8%. The profitability has also therefore consequently got affected. So, the numbers are lower in terms of what we have delivered on the overall profitability

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and that is something which we are looking forward in terms of how-to kind of really reverse as we look at this quarter going forward.

As far as the Industrial business is concerned, this business has done well, especially when we look at our Auto Refinishes and the Auto OE business. I think the overall builds in auto in the first quarter have been good. We have seen strong double-digit revenue growth in this business . Even the profitability numbers have been strong. We see that the PBT margins have also gone up. So, I think, auto has definitely given us a trend in terms of really looking at a good business happening.

When we look at the General Industrial business (APPPG), we have seen a flattish revenue and even the profits have been a little bit subdued. We have taken some price decisions here because the pricing pressure has been strong. So that has taken a little bit of a toll on overall profitability .

Overall, the Industrial business is almost at about 5.8% value growth , if you look from a combined business point of view.

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Gross margins, if you look, basically on a material price inflation which have happened and also in terms of a lower mix . Today some bit of our work, which is around the sourcing formulation efficiencies have given us some reprieve here , but still, we see that the gross margins are at about 42.9% . They have come down from what were there in Q4, but I think still fairly healthy in terms of where they are staying, if we take the effect of the material inflation, which has kind of come in.

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So, in summary, when we look at the overall financials, topline on a Standalone level was at -3%, and when we look at even a Consol level, it is -2%. The PBT margins are lower than Q1-FY24 but on a sequential basis, we see that they have come down by about 50 basis points. So, from about possibly 20.8 % to about 20.3 % in standalone and similar story, what we see in the consolidated where the PBDIT margins have come down over the last year by about 420 basis points , but sequentially, about 50 points down.

So, I think, we are in our overall PBDIT zone of about 18-20% and that is something which we will continue to strive for in terms of going forward , so that we remain in our overall margin band. I would like to kind of really say that it's largely inflation, the whole area of the mix which has kind of really affected the numbers. By and large , we don't think so that there is any competitive activity which is giving this performance.

From a point of view of overall sustainability in terms of what has been done, I think governance has been very strong . The organization is really committed to a very sustainable performance. So even from the perspective of ESG, we have got it all very

strongly going well. So, whether it is from the point of view of renewable energy , where we are at a very strong level in terms of where we are at about 66%, or from the point of view of a freshwater replenishment . I think the numbers are very strong in FY24 and where we

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are going towards in FY25. So, the numbers, whether it is the Specific Effluent Generation or it is from the point of view of Scope 1 or 2 emissions, or it is with respect to the overall work which is done in the social framework of training people or taking care of health care. I think those have been very strong. In fact, at the Color Academy last year, we were able to train almost 6.8 lakh people. So, it has been a strong initiative. So, I think overall it's been a strong foray with respect to some of these initiatives.

Something which I think all of you are looking at, in terms of what is the kind of forecast as we go ahead . I think there are some green shoots which are happening in the market. We see the rural markets definitely coming up . That is something which is being spoken about by other companies as well that they are seeing some shoots . As I said, for us, the T3-T4 markets grew a shade higher than the T1 -T2 markets, which is a good sign .

Overall, we are now seeing an up kick in terms of the monsoons. And we hope that, today, whatever is the deficiency at the country level, that kind of really gets into a smaller zone. And I think this will really improve rural sentiments.

We also have the upcoming festive season. We have a full month of October, Diwali being 31st. So, I think, we have a full season of festive demand, which is there. So, I think these

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are all factors which are looking good in terms of driving and now we will have a quarter which is free of any elections and other things. So, I think this is something which will definitely even kick off the B2B institutional business, which we expect to definitely grow much better as compared to what we have seen in Q1.

We have seen inflation, which is there to about 1.8% in Q1. We have also taken a price increase of about 1%. We see further challenges which are going to happen, in terms of looking at further inflation, which we expect could be in the range of about 1.4 -1.5%. And therefore, possibly we could see further price increases as we go forward. So, I think that is something which we are seeing in the environment, and that is something which we will keep a watch on .

The Industrial business is on a good stream right now and we think that this is something which we are now focusing on growing and we will continue to do that.

The Home Decor business in terms of all categories have done well in the quarter one . This is our commitment in terms of really forging Asian Paints into the decor area because this is really aiding the paint category in a very strong manner as we go ahead.

Global, we believe that some challenges will continue in terms of some of the Asian markets. But we think that Middle East and the African markets would pick up as we kind of go forward. And that is something which we are looking at. So, on the whole, we are definitely looking that there should be an uptick in terms of the overall demand as we go forward both from a point of view of Indian markets and international markets as well as Industrial.

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Moderator:

Thank you Mr. Syngle . We now proceed to the Q&A session.

Abneesh Roy (Nuvama) :

In some of the south markets, Pidilite has the ambition to scale up in the rural part of those states. Plus , Birla Opus has also opened franchise stores in Hyderabad, 2 stores and maybe some more cities. So, when I join this with the sharp increase in the staff cost, it is up 23% Y-o-Y and 9% Q-o-Q. Wanted to understand any effect of these players on the broader market contours and on the staff cost , how much is a normal increase, plus expansion? How much is it because of your company being the poaching ground for all

these new players ? How much is the impact because of that?

Amit Syngle:

I think overall industry has been down in terms of the demand scenario we have seen. So, I don't think, it is really impacted by any larger competitive activity in terms of what is there. Even the newer brands, which are kind of coming in , are trying to stabilize and see what they can do. We don't think that they have really impacted anything overall. From an employee cost perspective, the employee costs have been higher . There were some corrections we had taken as part of our sick leave policy . If you take that out, the increase

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would be lesser in terms of what you see today. But having said that, we have also invested in higher number of people this year . Given our imperative that we want to increase our distribution and have a larger footprint in terms of our overall retailing points, and that is something which has gone to really increase the numbers, which have also impacted the cost . These numbers are aiding us from the point of view of increasing rural footprint, increasing our activity with respect to the categories of water proofing, the whole bottom of the pyramid segment and so on and so forth. And therefore, I would say the larger increase in terms of the employee cost has happened because of the new people additions. Otherwise, a normal addition is just the inflation in terms of the salary which takes place .

Abneesh Roy (Nuvama) :

There has been some sales growth improvement in the Kitchen and Bath business. Now my questions are on the real estate side, new projects, new building sites. Of course, last few years for the real estate industry has been very good. We are getting some initial signs that there could be some slowdown in this. Very early days because Q1 of course, as you also highlighted many one-off factors were there. What's your sense on real estate overall demand side, because that does impact all your businesses. Also, from Kitchen and Bath topline, what were the structural improvements done . So, these are still very small number in terms of growth coming back, but would you say that most of the issues are now resolved in terms of strong growth metrics , tough decisions made, all those have been taken now in these two businesses?

Amit Syngle:

So overall, if you look at the Kitchen and the Bath business, we have put a lot of focus with respect to the whole area of servicing, which is there. We have also looked at possibly augmenting our overall range in terms of what we are supplying. We are introducing more newer design concepts which have come in. We have looked at premiumization coming with more expensive kitchens which are targeted at the premium customers. So, I think, today we are getting that benefit, which comes from the point of view of the work which is done. The second area is our Beautiful Home Stores, which are now spread across the country, 61 stores. They are also giving a fillip to both, Kitchen and Bath in a strong way in

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terms of what we are getting. We have also new factories which have come in, which are basically aiding the whole supply and the servicing conditions for these two businesses going forward.

So, we have not been very strong players in the projects segment. We are stronger players as far as retail is concerned, in both the Kitchen and the Bath categories . Even in Bath we are involved more in terms of some of the smaller projects which are there. As we see it, I think, the builder segment, the construction segment has definitely been a little bit slow in terms of what we have witnessed in the last about six months as compared to earlier, while real estate has been on the high because there has been also a lot of existing inventory, which is getting now sold overall. We still feel that the housing sector is an important sector and I think the premium luxury sector is something which is doing quite well which will keep on aiding our B2B business. As I said, we are expecting much stronger growth to happen in our B2B business going ahead and real estate would be one big indicator which will come out of it. We think it will be still decent in terms of the market. But more impetus we see coming from the government infrastructure projects, which are going to be there, plus the segment of factories where a lot of companies are expanding, new companies coming in. I think that all aids the B2B business in a very strong manner.

Aditya Soman (CLSA):

On volume growth, during the analyst meet you h

ad indicated double-digit volume, sort of guidance for FY25. Does that remain for the remaining three quarters, given that you expect an improvement? And second question on the price increases that you have taken in July and that you indicated that there might be affordable price increases to offset the material cost increases, will that transmission lead to the gap between volumes and value decreasing?

Amit Syngle:

If you see today, we have delivered 7% volume and if you net out from the point of view of inflation or the price decrease which we have taken earlier, which was to the tune of about 4% odd, we would have actually landed at about 1.5% kind of value. So, I think what we

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see is that we are still watching the second quarter in terms of how it kind of really opens. I think what we are seeing is that the month of June has been good in terms of the demand pickup. As I said, rural demand is showing some signs, the sentiment because of monsoons is increasing. We also have a festive kind of season ahead. So definitely we are looking at double -digit kind of a volume growth for this quarter, going ahead hoping that the demand conditions will be better.

As far as the value and the volume gap is concerned. Last time also , we said the endeavor is that it would be in the zone of about 5 -6% in terms of the gap. And as we look at some of the price increases which are coming, which are enabled because of the inflation, which is happening, I think this gap definitely should be in th is zone as we go ahead.

Aditya Soman (CLSA):

The price increase will have nothing to do with competition.

Amit Syngle:

I think given the price elasticity which we have from the point of view of the brand and the equity what is there, we feel that our pricing anyway is at a premium in the market and there is a significant gap between any of the players which exist in the ma rket. So, we feel that we go by the pricing decisions which are more from the point of view of looking at our overall margins , given the inflation which is there. So, I think, it is irrespective of what the competition is really doing in terms of the pric e because there I think the trajectory is very, very different in terms of what we see.

Avi Mehta (Macquarie):

So, while you pointed to some recovery in June, are you revisiting or are you still planning to achieve what you're targeting that double -digit volume growth for FY 25 with probably 5-6% pricing decline? Is that still on? Is that the right way to read that last answer?

Amit Syngle:

So, what we have seen in terms of June, I think, there has been the uptick in demand and the June conditions have been definitely much better in terms of what we have seen .

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Basis that, I think, this overall sentiment improving what we see today and what we look at from the point of view of even, stocking for the coming festive season. I think both indicators are that we should really be able to gun for that double -digit in terms of going forward. So, I think those are the indications which we are getting from the market overall . Hopefully, the whole bottleneck we had due to elections, and everything is over now, which really affected the months of April and May in this quarter . Otherwise, this quarter also could have been much closer to the double-digit volume growth . I think what we need to really look at is the value growth in terms of where we need to really get in and that is something which we are looking at pursuing as to how do we really galvanize the growth and look at improving the overall mix as we go forward.

Avi Mehta (Macquarie):

Just continuing on that 1% price increase that we had taken , would that be enough to get gross margins closer to what we saw in fourth quarter versus where we are right now in the first quarter?

Amit Syngle:

So, we are anticipating about 1.5% i nflation i n the second quarter as

well. So given the

fact that we've already had about 1.8 % and 1.5% is something what we are seeing, we may have to take further price increases as we go ahead.

Avi Mehta (Macquarie):

You would probably need to take more price increases to take care the future inflation ?
This price increase is okay for the existing inflation. Is that the right understanding ?

Amit Syngle:

So, I think the increase is clearly linked to the overall inflation, which we are seeing. So, as you see, it is not really matched to the overall percentage levels of inflation. We never do that because we look at overall balancing in terms of what possibly is the right thing for the market in terms of going forward. So, we would like to look at balancing the increase in terms of going forward and it might not be exactly matched to the inflation in terms of what it is taking place.

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Mihir Shah (Nomura) :

I just wanted to check on the employee cost and the other expenses . I have adjusted for the one-off that you had called out last year for the employee cost and despite that, there is a 15% increase in employee cost and other expenditures have also gone up by 14%. So, I understand the gross margin or the gross profit part, that is not a major surprise. But I believe the surprise is coming on higher cost, which is dragging down the EBITDA materially.

Amit Syngle:

As I said earlier, I think we have definitely taken some increase in terms of adding the numbers with respect to where the overall employees are concerned. We are looking at expanding our footprint with respect to some of the newer categories. We are looking at increasing the number of retail points, as we have already stated, as part of our distribution policy. We are looking at a larger kind of focus with respect to certain span of controls for some of our people, especially when it comes to areas of sales and marketing . We hope to kind of really balance this with the value growth s going forward. So, from that point of view , percentage to sales, we get into a reasonable band in terms of what we have been following over the years. The intention is very clear that we are looking to account for the kind of growth strategy in terms of what we are taking, because the growth strategy would be to look at the medium term in terms of how we want to grow.

Mihir Shah (Nomura):

It would be okay to assume that the costs that we are seeing in the first quarter are likely to continue for the remaining part of the year, for other expenditures and staff costs ?

Amit Syngle:

Some of the cost will continue. There are other cost measures with respect to general overheads, where possibly we will look at what are the cost measures we can take, whether it is with respect to the general expenditures which kind of take s place. So, some of those will come under some optimization as we go ahead. So, as we go forward, some costs would remain, which are possibly fixed in nature, but some of those cost s is something which we will definitely put a focus on .

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Mihir Shah (Nomura):

I wanted to just deep dive on the gross margin bit. The new launch that you made in the Latex Paint seems to be doing quite well. And that is also dragging down the overall mix this quarter. You had earlier mentioned that the negative mix will be around 5 -6%. Of course, we are seeing it at the higher end of the band, maybe 7% this quarter. Going forward, given that Economy Emulsions can continue to grow well. Also, you've taken some price cuts in the lower end in the distemper , in the putty and the primer s egments, rather than all these paints that we have seen. So, do you think that can have a bearing on the gross margin bit also, should we revisit that assumption?

Amit Syngle:

No, we have not taken any price cuts. So, the only price cutting we have done was in the last financial year in terms of what was there, which was ea

rlier to quarter four. So right

now, we have only taken a price increase and as I said that we had spoken about a 5 -6% band. If you net out the price decreases which were taken far earlier, you will see that the actual value would have come to about 1.5 -1.6%, which is in that 5 -6% band for the 7% growth in terms of what we have spoken of. And therefore , I think, we are still targeting that kind of a band between the volume and the value going forward, but definitely we have not taken any cuts in terms of our prices.

Ashish Kanodia (Citigroup) :

Just on the 5% to 6% that value gap you are talking about. So, you know, the price cuts which you took last year that will also have some impact in the next two quarters and then, when you look at the rural kind of growing much faster, the product mix could even get slightly adverse in the next 1 or 2 quarters. So, is it fair to say that the 5 -6% gap between volume and value which you are targeting, is more like an exit run rate rather than a yearly average?

Amit Syngle:

The attempt here is to look at improving the mix in terms of going ahead and also kind of focus on the value going forward. I think that is the point which we are looking in terms of bridging the gap overall from the point of view of volume and value . Because currently the

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mix, if you look at it, some of the Economy ranges have done much better as compared to the Premium Luxury part. Plus , I think, some of the price increases which are being taken will also help us in terms of looking at bridging that gap going forward. So, I think the endeavor is that we kind of remain in that bracket. But as, as you rightly said, I think we will have to put a lot of focus in terms of our premium products to kind of see that we are able to get closer to that range.

Shirish Pardeshi (Centrum) :

This is regarding the 7% volume growth you achieved. So, three reference points. One, we have said that our NPD contribution is about 12%, we have also launched the NeoBharat paint in the market. And third, you also mentioned in the beginning that there's some Economy Emulsions has not done well. So just wanted to understand which segment has declined within that . I mean, putty primer would have grown. You also said waterproofing has grown . So maybe some more qualitative comments on that.

Amit Syngle:

As we said the whole segment of the bottom of the pyramid, which is the entire distempers segment which basically gets combined with NeoBharat, I think that is a segment which has done extremely well for us. And as you rightly said, segments of Smartcare, waterproofing, wood finishes, textures, some of those zones have done quite well for us, in terms of the growths which have come in. I think the segments where possibly there is stress , is the segment of the Economy Emulsions per say . Overall, some the segments of certain undercoats like primers and all have not done very well for us . Some of the premium ranges in terms of the waterproofing possibly have not gone to a desired level. And the Premium Luxury emulsions, while they have grown relatively at a decent level, possibly, I think the overall value could be much higher in terms of what we see of the overall product mix. So, I think that's the story where possibly the Economy story comes out in some of these products which I have mentioned, but the Economy emulsions out of the whole lot of emulsions is the one which is not doing well.

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Shirish Pardeshi (Centrum) :

So, we have now 61 Beautiful Homes. So, when I look back two years, we have taken a lot of steps to improve throughput. We have launched many new categories. What stops us, is the model still under reconstruction or getting the unit economics right or do you think that the economic conditions are not right and that's why we are going slow?

Amit Syngle:

We are adding about 18-20 stores every year

. Our model is very different in terms of

where we align with the retailer . It's a unique model we have launched. So, it takes a certain amount of time to really add the real estate and add to the entire store in terms of the design, because it's the phygital design with lots of technology. So, I think the endeavor is that we keep on looking at about 15 -20 stores that we put every year and look at the newer categories which we can add. We have just added a category which is automated blinds which is a new factory which has come up in Chennai in terms of what is there to kind of focus on that category of Home Decor. So, I think we are firmly entrenched in the Home Decor endeavor because we feel that from a consumer decor life cycle, it really enhances the core category of paint, because you start owning the homes far more strongly. So, I think we are pretty strong and bullish on this category as we want to go ahead, and we are putting the adequate pace in terms of what we want to.

Shirish Pardeshi (Centrum) :

What kind of gross margin or burn we would be having quarterly on this business?

Amit Syngle:

I think the total business is diverse today in terms of lot many categories which are there . Some categories are in a nascent stage, some categories like kitchen and bath are at a larger stage. So , the gross margin is a big band and for some categories take some time to come to a certain level. So difficult to really put one number in terms of putting it, saying what they will be at. So, I think it's a band which is there, which is pretty good from the point of view of overall realizations as we go forward.

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Moderator:

I would now request Mr. Amit Syngle for his closing remarks.

Amit Syngle

I think we have been able to address some of the questions . We are looking forward to a much better quarter as we go forward. Thank you all for coming and joining us.

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Call: Nov 2024

APL/SEC/31/2024-25/13

14th November 2024

BSE Limited Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
Security Code: 500820 National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051
Symbol: ASIANPAINT
Sir/Madam,
Sub:
Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Investor Conference

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor Conference held on Monday, 11th November 2024, with regard to the business and financial performance of the Company for the quarter and half year ended 30th September 2024.

The transcript has also been uploaded on the Company's website and can be accessed through the following link:

Investor Conference – Transcript

You are requested to take the above information on record.

Thanking you,
Yours truly,

For ASIAN PAINTS LIMITED

R J JEYAMURUGAN
CFO & COMPANY SECRETARY

Encl.: As above

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ASIAN PAINTS
Q2 FY2025 Earnings Conference
Call

Date: November 11, 2024

Management: Mr. Amit Syngle : MD & CEO
Mr. R.J. Jeyamurugan : CFO & Company Secretary
Mr. Parag Rane : AVP - Finance
Ms. Sunila Martis : Head – Investor Relations

Disclaimer: This is a memorandum of the proceedings of the Investor Conference Call of Asian Paints Limited held on Monday 11th November 2024 at 5:00 pm with regards to the financial results of the Company for the Second Quarter ended 30th September 2024. While we have made our best attempt to prepare a verbatim transcript of the proceedings of the meeting, this document has been edited for readability purposes and may not be a word-to-word reproduction .

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Sunila Martis:

Good evening all of you and thanks so much for joining us to discuss Asian Paints Q2 FY25 earnings. I am Sunila Martis from the Investor Relations team. And we have with us today Mr. Amit Syngle, MD & CEO; Mr. R.J. Jeyamurugan, CFO and Company Secretary, Mr. Parag Rane, AVP -Finance. I will now invite Amit to give his comments.

Amit Syngle:

Good evening. Welcome to the Q2 earnings conference.

I will start with some of the areas we have been delivering as a brand since the last more than eight decades. We exist to beautify, preserve, transform all spaces and objects, bringing happiness to the world. And that is something which we have been pursuing, as a core value over a period of time.

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This is the disclaimer .

Let me start straightaway with how the overall performance has been. We saw a real muted quarter for us in terms of the overall demand conditions, which were impacted. We looked at achieving base volumes . We were just about the base in terms of the overall volume achievement . But I think the effect was more at the value level where we were negative of about 6.7%. I think that is a big impact which came in . The larger impact was coming in, as we see, compared to the price reductions we have taken earlier, we also

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saw change in terms of the mix, with the mix being slightly more inferior. We saw a little bit of intense competitor activity in terms of the existing competition where the discounting levels were higher. And I think all that kind of really added to -6.7% growth .

If you were to look at just the CAGR levels on a Q2 level, the CAGR numbers are still double-digit, lower than the CAGR numbers we have been showing you for the earlier quarters. At H1 level, the volumes are still at about 3.3% growth. Given the fact that in Q2, the value was impacted, we are at about -4.8% in terms of the H1 . This has been an exceptional quarter where we have seen degrowth happening at the top line.

If you look at the Industrial Business , the Industrial Business has done relatively much better. The Industrial Business when it gets added on to the decorative business, the -6.7% value comes down to about -5.5%. We have seen almost about 6% growth in terms of the Industrial Business, which helps us bring down the overall top line to about -5.5% for Q2.

When we look at H1, there is some effect here as well. At H1 level -3.8% is the overall value. The CAGR is strong in terms of the double -digit. One of the things which is very clearly apparent is that we have seen this trend of industrial which is comprising of the auto, PC, marine, doing well in Q1 and now in Q2 as well and therefore we see difference

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at an industry level . Given the quantum of Industrial Business contribution to our total business, this is something which is very different from the competition, where it varies between 20% contribution to as high as about 40 % to 45%.

So overall, if you look from this kind of analysis, I think from a decorative perspective, the overall industry for Q2, would be in the range of somewhere around -3% to about -4% in terms of what they have done.

This is something which we have been showing you for the last almost 10 to 12 quarters. I think the double-digit story in terms of the CAGR over a five-year period has been something which has been very, very strongly intact. Obviously, in Q2, this has come down. It still remains double-digit, but it has definitely come down from the 14 % to 15% mark and higher, which we have been attaining in the past and that is something which is now evident from the Q2 growth.

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So, what really happened, during this quarter? First, as I said, we have been seeing a very weak consumer sentiment. And I think the real demand has been affected. And I think this is something which is borne by a lot of consumer industries in terms of what we have been seeing of a weaker demand. This got accentuated by the effect of the extended monsoon especially in the month of August. We saw floods in some part of the country, and this has affected the overall demand conditions, which we have seen in the month of August and September.

Overall, if you were to dissect the performance of the urban centres, definitely we are seeing more stress in case of our business. We saw that the rural areas to some extent have performed relatively better. And I think that's good news that the rural areas are recovering, and we think now with the ongoing monsoon being good, I think this should have a better effect going forward. But urban centres are definitely seeing stress. One of the other things that we saw was that seasonal markets were really impacted more in this quarter because of the demand conditions being low. And that is something which we have seen that the overall Diwali season did not go the way we would have anticipated it.

Our foray in terms of expansion continues very strongly. And we continue to open more retailers in terms of suburbs, urban centres and in terms of newer towns. Overall, now

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talking of almost about 1.67 lakh retail touchpoints which is very strong, and we are looking at continuance of this market footprint.

One of the big things in terms of what we have taken is the whole area of services, as you are aware, we have this painting service, which is called the Beautiful Home Painting Service, which has a variant called the Trusted Contractor Service. This continues to gain big traction and we have seen very high growth coming in terms of this service this quarter as well.

When we have seen the projects institutional business, which is the decorative B2B business, we have seen that this segment has done relatively better than retail. Overall, however, it has not done its usual kind of growth in terms of what we have seen, but still better than retail. The factories and the builder segment is something which registered some growth. But what we saw was that construction was a little bit slow, government sector was also slower and therefore overall growth was not what we expected.

The whole innovation story has been a very strong ingredient of our story. And that is something which we focused on, and we see that today 12% of the revenue contribution still comes from new products and this is something which we are continuing taking forward in a very strong way.

Most of the capex which we had committed for brownfield expansion projects is now complete. Now we are looking at all our backward integration projects, which seem to be online. Whether it was the VAM-VAE which we are doing at Dahej in Gujarat or the white cement in Fujairah, Dubai. I think these projects are also well on track.

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Here are some of the things which we have done given the element of a very strong, corporate brand in terms of what Asian Paints stands for. We got a very strong impetus on our corporate branding, which is the Har Ghar Kuch Kehta Hai and that is something which we rejuvenated and got back in a very strong manner, given the fact that the entire strength of the brand comes from the overall corporate brand, and this is something which has been a good focus. We have got good traction from it and good recalls coming in terms of this classic, overall ad, which we revisited in the market. And I think this is something which has really done well for us.

We have also looked at innovation, a first of its kind in the industry in terms of looking at the regional packs. We have brought the regional packs cue into the culture of the region which comes in very strongly. And these are basically packs which you can interface with through the QR mechanism. And this is something which we have done in Kerala, Maharashtra and Gujarat and got good excitement from the market.

In addition, we have revamped both the quality of our products and looking at a new packaging. And this packaging spans right from the economy range to the premium and

to the luxury range. And I think this is something which is a very critical change, which kind of ups the imagery of the brand very strongly and at the same time gives it a look which is upmarket .

The same changes which are done in other ranges just to sample something for you in terms of our waterproofing range under SmartCare, where again, we have looked at very good, attractive packaging which is something that is doing well for us.

The other area which we have looked at is really strengthening the proposition so that people are able to earn higher profitability. And we have looked at basically a full Advance range where we are talking of better products in terms of higher coverage, better hiding , whiteness and other ingredients, which we have put so that the overall product is something which is very good. This range spans from the real economy segment to the premium luxury segment as well and is given to basically a certain qualification of the network but it really propels the overall profitability of the network in a strong way .

We have now added more ranges to this and are really taking in some of the critical products which we had not attempted earlier . This adds both at the economy range and particularly kind of really arching the whole area of shine and sheen, which has become very important for the Indian customer. And that is something which we have introduced as a new variant which is coming in the market to keep the excitement going in these products , a very strong ingredient to really build the whole brand story forward.

We have looked at adding quality to the existing brands, which are in the premium and the luxury spaces, and added a story of an ingredient which is for the first time talking of an element like graphene, PU serum and looking at nano block coming as a story in the premium set . This is a new communication which we are releasing selectively now. First, we are looking at Ultima Protek, which is going to come on screens in November. And this is something which is going to be a big story where it is not only a new packaging, but also upgraded quality, which comes at a larger warranty interface in terms of what the consumer sees.

Other than that, we are launching now the world's largest repository of colour. This is called Chroma Cosm and we are offering more than 5 ,300 shades, a colour system which is unparalleled in terms of the world and this basically becomes a big attraction in the luxury segment as well as the AID segment, which is the architect interior designers in a strong way.

We continue our innovation looking at some very innovative products. And we have looked at something which possibly i n the first time in the world looking at waterproofing

system, which is talking of almost about 25 year s warranty. This is the first time someone is introducing suc h a product for terraces. Very strong in terms of crack bridging, durability and a strong coating for the future.

In addition, if you remember we had spoken about NeoBharat for first time going at the

bottom of the pyramid and looking at something which has great traction. We have been working around this . Q1 we got a very strong result on NeoBharat. In Q2, because of the muted demand, I think the effect was lesser , but now we are taking this again very strongly as we come to Q3.

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Some of the things which we have been doing with the whole painter contractor community . We have a very strong program called the Kaamyabi ke Rang and we keep on recognizing people from across regions very strongly in the whole area of skill upgradation, bringing mechanization into the painting process. These are larger initiatives as an industry leader we have taken .

Going to the Home Decor foray, you have been hearing about this and we have upped the ante in terms of really positioning the brand very strongly from a point of view of Home

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Decor. Today, as we see we are the number one integrated home decor player. With respect to looking at various categories, we are number one in lighting , number one in modular kitchens , number one in wall coverings, number two in fabric and furnishing. And we are looking at some collaborations which we have done with some strong brands overall. As I see, while this business again, was affected this year in terms of both Q1 and Q2 a little bit, but it did relatively better as compared to the core coatings business, in terms of the top line . However, we see that as we go ahead, we will have to consistently keep on looking for the next 2-3 years to build this very strongly, which gives us a very big differentiation in terms of positioning and really aligning the customer in a very strong way through the whole décor life cycle in a big way. So that's something which is the décor strategy.

Here, if you look in Q2, both Kitchen and Bath have done relatively better as we see from the core paint category . Kitchen - we are number one as the modular kitchen leaders . We have got almost 9% growth in Q2 and that is something which is very strong and almost about 7% in H1. In the Bath category, we have got a little bit lesser in Q2, but at H1 level, we are still at about 6% overall growth. It would have been better because I think the sentiment was not so great overall. One of the challenging things has been that overall gross margins have been hit a little bit. And that has contributed to a bit of a loss, which is coming on the bottom line for both categories.

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When we look at the two newer categories which we acquired two years back, we are building the categories, expanding the categories . At the top line level, first two years were very good where they were at plan . This year while the growths are good at the quarter level and therefore we see on a H1 level also the growths are good. But I think the growth is a little bit lesser than what we had really planned for ourselves going ahead. And that is something which we are trying to pursue and see that as and when the sentiment improves , the overall growth should go up to that extent in both categories . This will give us rejuvenation at the bottom line in both categories, which is currently feeling a little bit challenged from the plan. So that is the four big categories in Home Decor.

Some of the new things which we have introduced - our whole fabrics, rugs initiatives, the wallpapers and the areas in terms of what we have brought of newer furniture , coverings, bed coverings and so on and so forth we have introduced various categories .

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Coming on to the global business. This is where our representations are in Asia, Middle East and Africa along with some of the islands.

When you look at the performance here, from constant currency terms, was still quite good. It was almost about 8.7%. However, it got impacted very strongly. Given the fact that we saw a currency devaluation in Ethiopia, which was a big kind of impact which came in at about ₹ 56 crores in terms of forex loss. However, if you look at the various regions, I think Middle East was the star performing with a double -digit growth. However,

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Asia was muted given the fact that Bangladesh saw a little bit of turmoil along with weather elements also coming in and problems in the country which is going on. So, Bangladesh did bring it down. However, we saw Lanka and Nepal on an improved performance relatively. Nepal, if you remember, has been struggling for the last about two years because of a liquidity crunch in the country. But this month, this quarter was much better as compared to the previous quarters .

So overall, I think we have been focusing on newer categories. Waterproofing is a very strong category along with prelux emulsions , and that has been a foray across various countries .

Industrial business , as I said earlier, both JVs did quite well in terms of top line. If you see from the point of view of PPGAP, which is the auto OEM and the refinish es business which we have, we got almost about 6% overall growth at the quarter level and about 8% at the H1 level. Profitability has also been fairly good. We have maintained stable margins, and the PBT is quite high overall at about 15.7% . In the other JV, which is about the protective paints business , here we have also seen 6% kind of growth on the top line in the quarter . On H1, given the fact that Q1 was a little bit slow, we got about 3% growth. Profits were a little bit impacted given the tightness in the overall pricing environment which led to a decline of PBT margins from 11.3 % to about 7%. But I think both businesses overall

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continue to do well. As I said this overall Industrial Business contributes to about 6 to 7% of our total business, in contradiction to some of the other companies in the paint industry where the contributions are much higher.

Just a sneak preview in terms of what's really happened on material prices. I think it's an important slide to understand what's really happened on the overall margin front which has impacted the gross margins very strongly . If you see Q2FY24, we had deflation of about almost 4%. If you look at the current quarter, we had a n inflation of about 1.5%. The combined effect of those two have really impacted the gross margins very strongly and therefore impacted the PBDIT margins as well to that extent . Overall, we have taken a price increase of 1.2% in this quarter. But I think the full realization of this price increase will come in Q3. I think this is something which we are clearly seeing going forward. We are expecting that there should be some deflation. But it all depends on how the crude prices behave given the geopolitical situation which is underway.

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In summary, when we look at the standalone financials, there has been an impact in terms of the top line 6% degrowth, almost at base volume. If you look at gross margins, there is 280 points decline over Q2 of the last year, given the fact that we had taken a price decrease last year . Also, the product mix this year has been weaker and we have seen material inflation in the current year. Similarly, the PB DIT margins have come down and this is a concern area for us. Come down to 16.4%, almost a dip of about 530 points. And this is something which has got a little bit accentuated. Because what we have seen is that there has been a little bit of a higher employee e cost. If you remember, in Q1, we spoke about it, that we have increased our manning . But given the fact that the value growth has been lesser in Q2, basically that is where the percentage of the employee cost has gone up. Also, we have had larger sales expenses in terms of discounting we have looked at, given the intensity in the market. And that has impacted the PBDIT margins in Q2.

If you see at an H1 level, the sales is at a degrowth of about 5%, all the volumes are at about 3% upwards. However, we see similar decline in terms of the gross margins . At PBDIT levels also, we see basically almost 480 bps points, which is coming in from a larger quantum of Q2. The good part is that in terms of the PBDIT margins, we are still in that range of about 18.5%. And this is something which we are working on in terms of how we want to take it forward in two quarters of this year.

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At the Consol level, it follows a similar line, given the fact that the standalone numbers contribute to a larger quantum of the overall business. Numbers are similar. Overall, 5% top line decline. There is 260 points decline in gross margins. And similar on PBDIT margins which we see at Q2 and what we see from an H1 perspective on the overall top line and the bottom line.

We have an exceptional item in this quarter. We had taken White Teak and Weatherseal

two years back. What we have seen in the two years that we were able to get to the

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planned top line numbers. However, this year has been a larger impact. While we have grown in both segments, in terms of double digits, but it is not as per the plan we have. And we have also seen some erosion in terms of the bottom line. Therefore, I think we have taken an impairment, which is totalling up to almost about ₹ 200 crores. And this is also covering the fair valuation loss on the derivative contracts for future stake purchases in White Teak and Weatherseal which are in the offing.

From consolidated financials, there is an impairment on the goodwill on consolidation on White Teak which is about ₹ 124 crores. But we are committed to the business. We know that this year there has been a slowdown. We see that this is a very important part of our overall decor offering and that is something which we will see for the next 2 to 3 years in terms of how to build it up.

Another exceptional item is the forex loss in Ethiopia, where we are seeing almost about ₹ 56 crores impact which has come in given the significant currency devaluation which has happened. And this is something which has affected the consolidated financials in terms of an exception item which has come in.

We have looked at really calibrating the overall dividend for the year. We have got a dividend of about ₹ 4.25. This is a little bit lower than what we gave as an interim dividend

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last year, but this is in line with the reduced profits in the first half of the year. And we will see how the final dividend accrues as we go forward.

Coming to the outlook in terms of the demand conditions. Right now, you know we are sitting on a higher base of Q3 overall, given the fact that last year there was a late Diwali and October was a full month. So October has been also a little bit challenging and therefore we are not seeing too much immediate recovery in Q3, but there is a good wedding season in the offing and we will have to see how the demand really goes up from the third week of November.

The good part is that we have had good monsoons, and we are also seeing government spending go up with respect to the overall infrastructure market. Therefore, coupled with this, these two factors should really start aiding the overall demand, both in Q3 and Q4. We continue to invest in the core brand and strengthening the brand. We spoke about bringing the core corporate positioning back very strongly from a communication angle and today I think these are very strong imperatives. But there are challenges in the market. This is something which we will continue to build as we go forward.

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Industrial Business is doing well overall, and we have seen this as a trend. We want to increase the scale of our Industrial Business, both in the auto OE and the protective paint segment and that is something which we will continue to work on as we look forward.

From a global market, I think Asia and Africa are the focus markets. And that is something which we are looking forward, especially the Asia market, where the contribution to our business is higher. We are hoping that Bangladesh recovers a little bit to give overall numbers which are strong.

From a raw material point of view, as I said earlier, there is a whole element of volatility in crude. We are anticipating part deflation, but we will have to keep our fingers crossed in terms of seeing what really happens with the geopolitical scenario and how the crude prices behave as we move forward. So that's the overall outlook for the coming quarters.

Just a brief slide in terms of very strong work which we have been doing in the whole area of sustainability, governance, and social areas. Our very strong focus comes in from freshwater replenishment where if you look at the numbers, they are very strong in terms of what we have been able to achieve in H1 FY25. These numbers are strong on all these facts, whether it is the hazardous waste or it is from an effluent generation, or even from the point of view of scope of emission reduction. I think one of the stars has been the

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renewable energy which is a very strong component which we have been able to take. And that is something which is giving us very strong help in terms of looking not only at sustainability but also at cost.

Some of the strong areas from a social perspective - health care initiatives and the whole training, which is a very strong imperative. We are looking at really upping the number in a very strong manner. We are looking at upping the ante in terms of the total number of trainings which we would like to do.

And finally, we have been very strong in the street art area. We approach this new war memorial, which is near the China border, where we did celebrate our 78th Independence Day by creating a frontier which was very strong and really dedicated to the bravery and dedication of our armed forces. I think that's part of the overall adding happiness to people's lives. Thank you so much.

Moderator:

Thank you Mr. Syngle. We now proceed to the Q&A session.

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Abneesh Roy (Nuvama):

My first question is on the competitive dynamics. I understand demand is challenging. On paints and putty on the competition side. When I compare your volume growth with the number two player Berger, past few quarters they seem to be growing faster by a few percentage points on both volume and value. Is it now that they have reached a respectable critical threshold size of say 20% market share so now it has become difficult for you to grow faster than them? Second is in terms of outlook. Their commentary on H2 seems more positive. They have said that in Q3, Q4 mostly 7 to 9% or maybe 10% volume growth is possible for them. You have been more guarded in terms of your comments. You have said October some recovery is there. So, if you could also comment on outlook on why there is a gap? And on putty if you could tell have you or the other players lowered the gross margin profile to possibly even negative in Q2 and it is it going to continue?

Amit Syngle:

When you look from the point of view of whether a certain player in the industry has got a certain kind of share where they can feel easy to compete, what we see is the possibility that if there is movement in a particular industry by 1 to 2 percentage points over a period of possibly two years or so - I don't think that affects the overall dynamics too much in terms of looking at what they can do in the market. But what we feel is that it is also something where the intensity of competition overall has gone up across and given the fact that when demand conditions are bit low and what we saw in Q2 was definitely higher seasonal market impact. It literally impinges with respect to the industry leader getting impacted a little bit more.

So overall, I think the intensity of competition from the existing players, not only one of them, but a lot of them, we have seen the intensity has gone up. And I don't think so that today just an increase of share that possibly gives someone more leverage in terms of really fighting out in the market because to some extent the increase is not so much that there is something which possibly affects the leader so strongly. But yes, the competitive intensity has been fairly strong. And that is something which we have seen, we have also reacted in terms of looking at larger spends from the point of view of sales activity.

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Second, from a point of view of outlook, we are a little bit more cautious in terms of what we are seeing. Given the larger impact of October, which is the longer Diwali, that was a very big growth last year that came in, in our overall game. We also have a higher base last year because last year, we had recorded a double-digit volume growth in terms of what had come in the previous Q3 FY 24. And therefore, we are being a little bit cautious in terms of how demand emanates because we still feel like in other consumer industries that the demand conditions would be definitely challenging. There is a wedding season which is coming, but we will have to see in terms of how demand comes in. Having said that, we will look at seeing that we are able to get some volume growth for this quarter as well.

Abneesh Roy (Nuvama):

And on putty? Gross margins?

Amit Syngle:

On putty, I think the intensity again has gone up and the intensity comes in from the non-conventional paint players as well. And that is something which we are seeing where people are introducing variants, people are looking at a little bit of higher discounting. But as we see it, from our point of view, a little bit it would have impacted from the margins point of view given the higher competitive intensity and higher discounting we would have done. But I think on the gross margins front we are still comfortable.

Abneesh Roy (Nuvama) :

One very quick follow up on the competition in paints. So, demand is challenging.

Sec

and, new player has come and now almost five, six months has happened. In the Diwali season, we did not see too much of competitive activity in terms of activation or advertising from them. Third is, the number four player clearly seems to be kind of exiting. Would you say that the competitive intensity could ease off at some stage? Not asking for this month, next month, but logically would you expect that?

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Amit Syngle:

We are not very sure in terms of what is going to happen to the fourth player. In terms of what is the plan they have from a point of view of a strategic review in terms of what they have been speaking of. We see that possibly till now as you rightly said, we have not seen any kind of disruption or any differentiation from the new players who have come in. Therefore, what we see is that there would definitely be a lot of intensity which they will keep on putting in the market in terms of seeing whether they can really start impacting the market. Because there is a very clear investment they have into the market. And I'm sure we will see more action coming in the future months. I don't think as of now, in the medium short term, that there appears to be a very clear case in terms of the competitive intensity coming down.

Abneesh Roy (Nuvama) :

On the consol EBITDA margins - if you see Trump has come in US and overall geopolitical seems to be easing off plus global there is a slowdown. Crude and titanium dioxide seem to be in a quite comfortable range. And now that pricing also growth should come back in Q4 hopefully. Operating leverage also should come back. Is the 18 to 20% EBITDA margin in H2 possible for year? Because that has been the general guidance which you have expected. In H2 given the demand scenario which is still challenging, but rest of the factors seem to be coming in place, 18% - 20%, Will it be possible?

Amit Syngle:

If you look at H1 we ended up at about 18.5%. We are still within the overall guidance which is there. The attempt is that in the coming quarter definitely the full impact of the price increase we have taken will come in. And we are hoping that if there is definitely some stability in the crude prices and we see some amount of deflation, I think we would definitely aim that we are in that band for H2 as well.

Avi Mehta (Macquarie) :

I just wanted to understand the market share aspect a little more. You pointed towards the festive being the reason for your performance being weaker than the year this quarter.

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How do you see this changing going forward? Do you expect to be ahead of the market as we go forward? And what would drive it?

Amit Syngle:

Given the fact that we have a certain share in the market, what really happens when there are lower demand conditions, which we have been seeing for almost now 2 to 3 quarters. Definitely, what happens is that the competitive intensity goes up. And I see that if in this competitive intensity, there is a variation of share in terms of about anywhere between 1% to 1.5%, that is something which possibly happens all the time in terms of the larger player in the industry getting impacted. So, I think it is not only about Q2 in terms of what I am referring to, but also Q2. It got accentuated by the seasonality which came in to that extent. But what we are seeing is that given the fact that demand conditions have been challenging, the impact of that band of share will always remain.

You must remember that if you look at the previous three years, we have gained almost

about 2.5% market share. I think this amount of variation is something which possibly can be expected. We are only looking at saying that as we go forward, if the demand conditions definitely improve, they come back, we would really look at possibly working on gaining share.

Avi Mehta (Macquarie) :

If I understand you correctly, if conditions remain weak

, we might continue to grow lower than the industry?

Amit Syngle:

Very difficult to say because I mentioned two parameters. One is the contribution of industrial sale to the overall business. If you look today, our contribution is about 6%, whereas in some case of competition it goes from 20% to about 45%. I think it also depends other than what I said earlier in terms of how the business pans out. Till now the trend which we have seen for the last three quarters has been that the Industrial Business has been doing much better both from a point of view of protective, refinishes or the automotive business to that extent. If that trend continues, possibly it will definitely impact the overall numbers a little bit as we go forward.

Avi Mehta (Macquarie) :

The second bit is you know for FY25 we had shared the focus on double-digit volume growth and a 5% to 6% realization decline. Could you update us on how should we look at these targets or expectations given what has happened in H1?

Amit Syngle:

If you look at H2 level, we are sitting at almost about 3% volume growth. When we look at H2 - Q3 as I said earlier is looking a little bit challenging in terms of the overall numbers. We will have to see how it pans out. But I think overall as we go into Q4, we should see definitely some improvement happening. Based on that, I think we should really maintain single digit volume growth numbers for the year.

Avi Mehta (Macquarie) :

And realization decline should be remaining 5% to 6%? So low single digit mid-single-digit?

Amit Syngle:

As I said that we would like to stick to that band. As we spoke, we are at 18.5%. Last year, given the deflation and given everything which happened, we saw a surge with respect to the realizations. But I think we are still aiming that we should lie in that band at the end of the year.

Mihir Shah (Nomura) :

On volumes, apart from the weather conditions and weak consumer demand, higher rebates were mentioned in the release. Can you share any signs of disruption seen and which areas did you see any sharper competitive intensity? Was it more on product pricing, dealer margins or which segment are you seeing the competition playing out for you? Also is there any structural shift in dealer margins that we should keep in mind? Second thing is on volume growth. On the medium term over the next two, three years, what is the volume growth that one should think about for the industry? What range should we think about?

Amit Syngle:

From a point of view of the kind of competitive intensity happening on segments, we see it almost across segments. Whether it is the area of waterproofing or it is the area of emulsions, we are seeing it possibly across the economy and the premium set as well. As well as on ancillaries like putty and primers and so on and so forth. However, if you look at it differentially, the larger play has come into the economy segment, very, very strongly where we are seeing possibly not only the existing players, but some of the new players also playing out in a very strong manner. I think that is one segment which is obviously one of the largest segments where we are seeing more play, and this play is happening both at the organized and the unorganized segment.

Second, from a point of view of a structural shift in terms of dealer margins, today, I think

the dealer margins are a function of the selling rates in the market. And according to us, it is not the margin which is important. What is important is the ROI game. So how much are the ROI which the dealers are earning. And that is a combination of two things. One is the margins they earn and second, how much are they able to rotate their working capital. On our side, we have been very strong that we want to kind of really hold the area of ROI very strongly because just margins with your capital blocked is not a very

good idea

from a dealer point of view. I think that is something which will remain strong as we go forward.

And finally, from a point of view of future direction, as you are aware, we are investing in capacity increase. I think from an India story point of view, we are still very strong and hopeful. But I think we have to first really look at this year in terms of where it is going, how do we really look at demand conditions panning out and then possibly take a look in terms of what would be the growth, in terms of volumes, which will come for the next couple of years.

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Mihir Shah (Nomura) :

My second question was on tinting machines. Usually, a dealer has a limitation of keeping maybe one, maybe two tinting machines. Can you share any market intelligence and how that is shaping up with the rest of the competition? Any reduction in dealers or shift in dealers you seeing or within the industry any change in the tinting machine the dealer is keeping that is that is being witnessed ? Not really only for you, but for the industry as well.

Amit Syngle:

I think today the tinting machine has become a necessary ingredient of business . So very difficult for any kind of retailer to do a very strong business unless they have a tinting machine. What we are seeing, definitely as a trend is that there is a multiplicity of tinting machines happening at retailer end. And today, you know, the retailers are struggling with multiple machines which are coming to it because the newer trend, which we see, with some of the competition which has come in is that these machines are given free of cost . Given the fact that it is free of cost they are really sent to possibly all the dealers who are there in the market and that is what we have seen with newer competition. Given this impact, what we are seeing is that the machine requirements will always remain buoyant for the next, maybe 2 to 3 years. And with newer competition coming with more intensity coming, we will see more ingress of tinting machines happening at various counters. I think what will determine the success of the machine is basically how is the consumer demand going through various brands and what is basically the ROI of each machine which is coming at the counter.

Mihir Shah (Nomura) :

Lastly on the business expense. So , staff cost has been meaningfully stepped up across all players. Is this more a number of more sales force being added or is it that overall cost structure is going up to prevent exits? And should one see the increase in staff cost as a precursor to higher ad spends maybe in coming years? We are not seeing that in the numbers yet. What is the kind of margin for the next few years . I heard the point you mentioned that you will try and maintain 18.5 %, but over the next 2 to 3 years, what is the margin range you think should be a fair assumption for you ?

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Amit Syngle:

As far as employee costs are concerned, as I mentioned in Q1 as well, I think the numbers have gone up because we are looking at possibly, in the front line catering to our dealers very strongly . We are adding almost about 5,000 to 8,000 retailers easily every year. And to that extent, we require numbers because given the fact that the larger model is direct to retail, we require more and more people to cater to the entire dealers. And given that today, if you see in Q2, the employee costs are also looking higher given the fact that we have a depressed top line, which is not in league in terms of what we had planned. And that is why the employee cost is looking higher in terms of what we see. But I think the moment the value growth comes back; I think it would fall in line. In fact, Q1 absolute cost of employees is the same as what was there in Q2. I think it is the percentage which has increased given the depressed top line.

On the second point, given the competitive intensity

, last year if you see that we were almost at PBDIT levels of almost 21 -22% and even higher given the higher deflation we saw. In this environment today, we have seen not only increase competitive intensity, but also seen inflation, which has come in the market. And given the product mix, which has also suffered, and the top line not being in line in terms of what we planned, I think it's taken a hit from that perspective. But I think the endeavour is definitely that we should kind of really keep it in that range.

Jaykumar Doshi (Kotak)

My question is are you carrying out channel inventory correction? That is perhaps resulted in weaker growth relative to peers in Q2 and your caution on Q3 as well . So are you consciously reducing channel inventory?

Amit Syngle:

I mentioned about the ROI. We have to be very conscious about that today . If you are pumping a larger inventory into the network, you will always land up weakening the ROI for the dealer to that extent, given the fact that working capital will get blocked. We are also seeing some amount of liquidity crunch which is happening in the market. We are very cautious in terms of what is the right inventory which should be there in the market

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with the dealer from point of view of ROI, we basically don't dilute that attraction of the business for the dealer . Given the fact we are seeing little bit of challenge in terms of demand conditions , we keep on calibrating the kind of inventory we need to push into the network. At the end of it, we are looking at that maintenance of ROI. And I think this is definitely a call which is with every competition in terms of how they see it. But for us, I think a very critical call on that inventory relationship is the ROI.

Jaykumar Doshi (Kotak):

Any colour you can give on primary versus secondary sales ?

Amit Syngle:

We balance the primary and the secondary. The secondary has been weaker to that extent. And therefore, we are trying to calibrate the primary according to that.

Jaykumar Doshi (Kotak):

This Advance range that you talked about; what percentage of your portfolio will have Advance rates? What is the pricing premium Advance range would have on the regular portfolio base variant? And will both the ranges be available across dealer networks, or you will have Advance in metros and base variants will gradually be phased out of metros. How should you think about this?

Amit Syngle:

The Advance range is definitely a big propellant from a point of view of giving additional margins to a certain set of network. Normally what we see is that the increased margins which come in are in the range of about 2 % to 3% in terms of what we get on the Advance range for a particular dealer . This is based on a certain qualification of a retailer which is open to all. And that is how some retailers qualify for it. Therefore the entire network will not get it. It is based on the qualification that a certain part of the network will get that Advance range. Normally what we see is that it ranges across the economy to premium to luxury ranges. It's not limited to a category or a segment. And what we see is that basically as a contribution, we try to see that the Advance range comes in the range of

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anywhere between 15 % to about 30% as we go ahead in terms of that dealer's contribution in the overall products .

Jaykumar Doshi (Kotak):

What would be the price premium of Advance range versus base variant ?

Amit Syngle:

2% to 3% would be the incremental margins you will get in Advance range.

Jaykumar Doshi (Kotak):

And these will be margins for dealers ?

Amit Syngle:

That's right.

Aditya Soman (CLSA):

With this Advance variant, you've recently launched and you're talking about a higher dealer ROI. I just wanted to understand the mechanism. How does that work for the dealer and how will it lead to better ROI?

Ami

t Syngle:

As I said, based on a certain qualification criterion, which spans across in terms of qualitative factors like customer orientation. It also spans across in terms of how the dealer is overall participating in the business, how the dealer really supports in terms of the new products. This is an open qualification for everyone to qualify into it. Also, retailers who are supporting us in terms of the painting service. I think these are various qualifications we look at for people taking the Advance range. This is a range which is comparative to the mainline range which is there but with a much better operating quality which comes in both from a point of view of coverage, hiding, brightness and so on and so forth, even the overall durability of the product to that extent.

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And we really look at possibly that this will give the retailer another additional 2% to 3% margins over the normal range. And therefore, the rotation of this if it is equivalent to a normal kind of product which comes in, the ROI will get increased by that percentage which goes up in terms of the margin. And to correct you, the Advance range was there earlier. We have now really accentuated the entire range by introducing more and more kind of variants so that we can cover the entire range for a retailer.

Aditya Soman (CLSA):

Just to follow up on this, so would the price of the product also go up or it's the same price but the dealer gets a higher incentive because they're doing more services to qualify for a certain criteria.

Amit Syngle:

The price of the product, given the fact that, you know that the quality is better, the whiteness is better, hiding is better, goes up to some extent with a small differential. The idea is that our margins also should remain intact in terms of what we see from an Advance range point of view.

But basically, the proposition is that at a slightly higher price, you are giving a product which, is possibly not available across the network. It gives the advantage to the person, and it has a higher linkage in terms of even the contractors and the attraction for the consumer to get a better quality.

Shirish Pardeshi (Centrum):

When we look at the housing data in the luxury and premium segment in the metros which has done well, while your commentary was saying that across all segments, we have seen the pain and also the builder segment has not done to the expectations. So just got curious, because this time you have not spoken specifically about the growth in the metros and T2, T3 markets because you used to always write about the growth. I was more curious the growth versus urban and rural growth.

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Amit Syngle:

I covered it part of my presentation. We have seen definitely that the urban centres are a little bit lagging as compared to the T3, T4 cities. I think that's a trend which we are seeing because there is a little bit of an uptick which is there from a point of view of T3, T4 cities which we basically qualify a little bit indicative of the rural demand. And as far as the whole B2B projects segment is concerned, it has done definitely much better than the retail segment. So whatever uptick which we see in terms of real estate, I think that is something giving it that differential which comes in. But at the same time, you must also see that this time the rainfall has been pretty irregular and in spurts and there have been floods across the country, which has really taken a little bit of a toll with respect to the whole exterior painting, relative to possibly in the previous years.

The second big impact in B2B which has come in is I think the government spending has been definitely a little bit muted, given the fact that I think after the elections, it took some time for the government to unfold in terms of looking at all the infrastructure projects and

so on and so forth. That is a big c

ontribution in terms of our B2B sales that has been a little bit muted. We are hoping for Q3, Q4 to go up.

On the whole if you look the metros have done a little bit lower as compared to the rural cities, T3 and T4 and especially with B2B. Relatively B2B has done better, but I think it has suffered this time because of the seasonality which has come in in terms of the overall rains and some of the government part of the spending which I mentioned.

Shirish Pardeshi (Centrum) :

My second question on Chroma Cosm, how this is going to work? I mean are you going to get it through the traditional dealer network or it's a separate network which is going to get and maybe something more, how it is going to get executed to the builders, the AID segment?

Amit Syngle:

We have a certain qualification which is there. Largely if you see, it is the architect, designer who is looking for a very large choice of shades. And as I said, this is the world's largest colour ecosystem we are introducing in the market. We have had other systems operating in the market. This system basically opens the world for the architects, interior designers in a very strong fashion because it's literally that you think of a colour and we provide that colour. I think in the segmentation of architects also where we see that there are the masters, there are some connoisseurs. I think it works very strongly in that segmentation of the architect interior designers. As far as even retailers are concerned, some of the bigger retailers, we have a chain which is called the Colour Idea stores. We have the Beautiful Home stores. Some of those retailers which are more consumer oriented is something which we will look at, possibly giving a larger access to this new colour system, because we need to cater to a certain consumer segment in retail who can really make a better choice with respect to taking this colour system as well.

That is the approach we are using both from a consumer segment, the architect segment and ditto with the contractor segment, in terms of looking at a little bit more evolved part of these three communities as we go ahead.

Shirish Pardeshi (Centrum) :

On the 10% contribution from the new product. So say for example, Ultima Protek, what we have done or NeoBharat we have upgraded. So is it fair to assume that all the new products are actually helping them in the respective segment to improve the margin profile?

Amit Syngle:

New products fall into two, three categories. One is the categories like Infinia which I spoke of is an absolutely new category where it is new to the world, new to India which comes in. So that's a new segment we are opening and getting into the market. The other is basically a strong quality variant in terms of what we are introducing, which really helps the existing product to find a larger, better acceptance from a point of view of durability, imagery in terms of what we put in.

For example, an Ultima Protek will come with graphene content and basically offers a better warranty as well as a better performance from a consumer point of view, aided by a lot of communication. And for us possibly it might come at a slight increase in margin or sometimes at the same margins, given the fact that we put a certain raw material cost into it. But for a retailer, it definitely becomes a source of a higher margin, given the fact that it is like a new product for the retailer with a new proposition for the consumer aided by the communication.

Sachee Trivedi (Trident Capital) :

New packaging, new branding. Looks like there's a lot of refresh that is happening. Is it to protect volumes or is it to grow them?

Amit Syngle:

I think the integral part is that change is the only constant at Asian Paints. We feel that a positive change is always energizing. It's something which basically triggers the market, it triggers

iggers excitement amongst the consumers . And especially when you see demand is a little bit muted, we need to look at how we can aid upgradation of the consumer going forward and that is something which is the key thing we are looking.

The upgradation is both getting the unorganized brand customer to an organized brand. And also, from a point of view of shifting people from an economy to a premium to a luxury. We think that these are good measures to take . In terms of looking at a newer packaging, far better imagery which comes in newer products, newer colour systems coming in and therefore this is a part of our overall initiative looking at triggering more excitement and really energizing the market as we go ahead.

Sachee Trivedi (Trident Capital):

Could you help me understand a little bit about the dealer discounting? And I'm always very confused with this. If you can illustrate with an example that is last year the product was ₹ 100 MRP. Then what was the landed price at the dealer? Because I believe that's what you recorded as the revenue. And then today what is the MRP and what are the landed price at the dealer ?

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Amit Syngle:

The paint market is a little bit different from a traditional FM CG business where MRP is a very strong indicator. What is important here is that there is a dealer price, and you basically compare in terms of what is the landing for the dealer compared to that dealer price list, which is there. The overall discounting basically brings the landing cost of the dealer down from possibly what the dealer was getting earlier. But at the same time, what really also happens is that the selling price is also dominated by what the market is really selling. It doesn't really mean that higher discounting means, higher margins for the retailer because that selling price is relative to the entire market. If earlier ₹ 100 price was coming at ₹ 105, increased discounting would mean that it would land up at ₹ 103 to the customer now. And the customer, if earlier selling at ₹ 110, possibly the customer might sell at ₹ 111 or continue to sell at ₹ 110, depending on what possibly the market conditions are, how the market competition is, or even that market selling rate can come down to ₹ 108 as well. It could be a variant in terms of whether the margins remain the same or they increase, or they even kind of reduce a little bit as they go ahead.

Sachee Trivedi (Trident Capital):

But what it means for Asian is that for every litre of paint that you're selling now, you're making just a little bit less money.

Amit Syngle:

What it means is that you know yes, it impacts your margins, definitely, if you do higher discounting. But at the same time, it is a source of incentivization for the retailer to sell more. So that possibly, if you are compromising in terms of a little margin, that kind of gives you a higher increase sale so that you are able to balance the reduced margin from a point of view of higher sale.

Sachee Trivedi (Trident Capital):

A separate conversation with one of your new entrants in the industry , they highlighted that painter was probably the weakest link of all. There's a customer, there's a dealer, there's yourselves and then there is a painter. And the loyalty of the painter is probably not as well established because there's a lot of churns in the painted ecosystem. What

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are you doing to hang on to your painters and incentivize them to continue selling your products?

Amit Syngle:

We strongly believe that the painter loyalty is also a combination of consumer demand because most often if the consumer is insisting on a certain brand, the painter would not like to convert it because the consumer will start doubting the painter as to why is he converting the brand and that holds for the dealer as well. What we see is as a conjunction in terms of looking at both the point of view of co

sumer demand as well as contractor.

From a consumer point of view, we are looking at bringing back the corporate branding far more strongly so that we are able to get the person to buy into Asian Paints far more

strongly. And that is one imperative which influences the contractor as well to use Asian Paints. We have various loyalty programs for our contractors, which are divided into various kind of incentivization, and the loyalty pans out to even giving higher business to the contractor as it goes ahead, because we believe that a higher business to a contract or earns you more loyalty than just a per litre rebate which anyone can match.

The second area what we keep looking at is enhancing the quality which you give to the painter. So, the painter is confident of using the product very strongly as we go ahead. And third is a proposition which can be different from what competition would give to the contractor. I think we use a multitude of triggers to really get the contractor loyalty, aided by a very strong, consumer demand pool which comes in .

Sachee Trivedi (Trident Capital):

If the demand does come through , whenever the demand comes through, are you actually hoping , are you set up for a very massive acceleration?

Amit Syngle:

Very difficult to answer that question because it's a question of how demand comes in, at what level it comes in . But what we are very sure is that all these initiatives definitely

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impress on the consumer, the contractor, the dealer to sell more of you. Because the entire crux of the market is to get more excitement so that they are able to really convert that into a stronger demand.

Moderator:

I would now request Mr. Amit Syngle for his closing remarks.

Amit Syngle:

Thank you everyone for joining the Q2 earnings conference today. It was great speaking to all of you. We are looking forward to a better quarter that we can meet you next with and take your questions . Thank you.

Call: Feb 2025

APL/SEC/32/2024 -25/48

7th February 2025

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001
Security Code: 500820 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051
Symbol: ASIANPAINT
Sir/Madam,

Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Investor Conference

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor Conference held on Tuesday, 4th February 2025, with regard to the business and financial performance of the Company for the quarter and nine months period ended 31st December 2024.

The transcript has also been uploaded on the Company's website and can be accessed through the following link:

Investor Conference – Transcript

You are requested to take the above information on record.

Thanking you,

Yours truly,

For ASIAN PAINTS LIMITED

R J JEYAMURUGAN
CFO & COMPANY SECRETARY

Encl.: As above

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Date: February 4, 2025

Management: Mr. Amit Syngle : MD & CEO

Mr. R.J. Jeyamurugan: CFO & Company Secretary
Mr. Parag Rane : AVP - Finance
Ms. Sunila Martis : Head Investor Relations

Disclaimer: This is a memorandum of the proceedings of the Investor Conference Call of Asian Paints Limited held on Tuesday 4th February 2025 at 6:00 pm with regards to the financial results of the Company for the Third Quarter ended 31st December 2024. While we have made our best attempt to prepare a verbatim transcript of the proceedings of the meeting, this document has been edited for readability purposes and may not be a word-to-word reproduction.

ASIAN PAINTS
Q3 FY2025 Earnings Conference
Call
asianpaints

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Sunila Martis: Good evening all of you and thank you so much for joining us today to discuss Asian Paints Q3 FY25 results. I'm Sunila Martis from the Investor Relations team and I have with us today our management team. We have Mr. Amit Syngle, CEO and MD, Mr. RJ Jeyamurugan, our CFO and Company Secretary, and we have Mr. Parag Rane, AVP Finance. I would now like to invite Amit to give his opening comments.

Amit Syngle: Good evening, everyone and welcome to the Investor Conference for Q3. I will take you through the results and overall numbers in terms of how they look at the end of this quarter.

Delivering joy since 1942

We exist to Beautify, Preserve, Transform all Spaces and Objects, bringing happiness to the World!

Delivering joy since 1942, I think that has been our core value. We exist to beautify, preserve, transform all spaces and objects bringing happiness to the world. And that is something which we continue doing over a period of time.

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s:: Weak Festive Demand, Overall Muted Consumer Sentiments
Impacted Volumes; Downtrading Further Impacted Value

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■ CB FY24 ■ CB FY25

11.6%

5.5%

1.6%

Volume Gr% Value Gr%

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VolumeGr% 2.8% ■ 9M FY24 ■ 9M FY25 10.8% 5 Yr CGR >

4.6% --5.8%

Value Gr%

When we look at the overall numbers for Q3 it has been a weak demand period. The overall consumer sentiments have been muted as we are seeing across a lot of industries to that extent. And th

at is something which is true for the paint industry as

well. This has really impacted the overall volumes which we have seen, and we have seen coupled with this also some amount of downtrading which is happening which

has really impacted the overall value delivery in this quarter. If you look from a point of view of volume growth, we have registered about a 1.6% volume growth this quarter. But the comparative value growth has been on a decline. It is minus 7.8%. In both these cases we see the CAGRs on the volume numbers are still double-digit over a five-year period. On value it is about 9.6%.

Same numbers if we were to see over a nine-month period, the volume growth is closer to about 2.8% and the comparative value growth is minus 5.8%. And in this case also, if you see the CAGR numbers over five years are double-digit in terms of what we are still maintaining and have been able to deliver. So, overall, muted quarter in terms of what we see. And it is very clear that the overall industry seems to be on a little bit of a muted trend in terms of the environment.

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ti) Relatively Better Traction in General Industrial & Refinish Segments ..., > > C: I 12.0% 5 Yr CGR 10.0% 5 Yr CGR
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When we look at the whole area of industrial as well. So, the total decorative plus industrial business overall combined, the performance gets slightly better given the fact that industrial segment has done slightly better as compared to the retail segment. When we look at the volume growth, we are at about 1.7% in terms of the overall volume growth. And in terms of value from 7.8% it comes to about minus 6.6% here. The CAGR numbers remain double-digit . On a nine-monthly level, the volume goes up to about 3% and the value is about minus 4.8%. So, this is something which you would actually see is the actual coatings representative number for the quarter which is decorative plus industrial. So, net, the industrial business has been much better, whether it is from a point of view of auto, whether it is from the point of view of protective paints and so on, so forth.

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80 -Softer Volume Trajectory Over the Last 6 Months

Long-term Volume Growth Still in Double-digits

*15.3%

*18.1% *15.1% 14.1% *14.6% *19.0% *16.5% *15.4% ---- *16.8% --n -*11.5% *121% -

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(.) Quarterly Representation af Volumes Said an Base af Q1 FY19 as 100

Cl) *96 represents 5 Year Compounded Growth Rate

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Overall, this is the slide which we have been sharing with you over a period of time which shows how we have been proceeding on the quarter-to-quarter trajectory on a long-term basis. The double-digit volume growth is still intact. If you notice in Q2 it had come down a little. It has gone up now in Q3 at about 12.1 % in terms of CAGR. So, that is something which we are still maintaining as we look at from the point of view of the decorative business.

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C Key Performance Drivers _

■ Q3FY25 was impacted by continued muted consumer demand accentuated by:

- Weak festive demand
- Sustained slowness in urban centers
- Impact on seasonal markets

■ Continued expansion of distribution footprint to ~169,000 retail touchpoints

■ Beautiful Homes Painting Services & Trusted

Contractor Services seeing sustained acceptance & growing well ■ Good pick up in demand in the Projects / Institutional Business driven by Factories & Builders' segment

- Traction seen in Governme

nt segment

post 3 quarters of slow movement

■ Maintained our focus on innovation :

- New products contributed to over 12% of overall revenues in Q3

■ Backward integration projects (VAM-VAE & White Cement) on track

Some of the key factors which we have seen for Q3, as I said, the overall demand was impacted in this quarter. First of all, we saw a weak festive demand, this time we had a shorter Diwali as compared to a larger Diwali. So, I think October was affected in a big way. Coupled with that, what we saw was urban centres continued to be showing a slow growth. All the seasonal markets, given the fact that they are impacted by the festive season, I think have grown on a slightly slower side, which has the impact of October.

From a point of view of distribution, there is continued expansion. We continue to expand more retail points in newer towns, suburbs. In terms of what is happening across India, we have now about 1.69 lakh retail counters across the country to that extent. And that is something which is a constant endeavour in terms of what we see that we are available at every consumer point across the country. Our painting service, which is the Beautiful Home Painting Service, which is there, has seen sustained acceptance and growing quite well. It is a service which is possibly the biggest in the world today in terms of what we are offering with very, very strong NPS

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scores and referrals which kind of come from this. So, I think it is a service which now

is spreading across more than 650 towns across the country and doing quite well. From the point of view of the B2B business has done quite well. The projects / institution business overall picked up in Q3 as compared to Q2. We saw some traction happening in terms of the government spending also coming live. And as we see it, this will go further, and both the factories and the builder segment also did well. So, I think the overall B2B segment is something which is definitely picking up, which is a positive sign in terms of going forward.

Our innovation movement continued, which is all about newer products and a lot of new products happening in the premium and the luxury space in terms of where our endeavour is to keep the market excited. The new products contributed to about 12% of the overall revenues in Q3. We've been speaking about our backward integration projects. The VAM-VAE project which is coming up at Dahej and the White Cement which is coming at Fujairah, Dubai, both are on track. And that is something which possibly will give us very, very strong value as we go ahead at the time of implementation of these projects.

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Transforming the Environment with Advance Technology ,,,,,

For exterior spaces, engineered with photocatalytic technology that neutralizes known pollutants like SOx & NOx bringing them down to safer limits as set by WHO

powered with dust pick-up resistance, whiteness, available in 200+ shades

If you look at some of the new products I spoke of, we are talking of this absolutely new and strong product which is coming first time possibly in a world in terms of what we are launching . This is Apex Ultima Suprema Air-O-Clean . This is a unique product which is basically is a champion for sustainability in terms of going forward. It has got a photocatalytic technology which neutralizes pollutants like SOx NOx which are there in the environment and therefore brings them down in the overall environment and makes the environment great. It is also powered by a very good resistance to dust and overall available in white and some shades in terms of what we launch it. So, it is absolutely the top end of technology in terms of what we are launching for the very first time today. And I think this is something which is going to be very strong from the point of view of B2B business going forward.

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Innovation in Regional Packs

Maharashtra

Gujarat

Kerala

The other area which we have been continuously working is that given the fact that today the regional fervour is coming up very, very strongly and to pick up the consumer sentiment around the region, we have been looking at innovation in terms of our packs. And these are the regional packs which we have done, which are packs which are interactive packs where the customer, by scanning the QR code can look at experiencing the culture of the region and so on, so forth. And this is something which has been very, very popular in terms of how people have looked at, in terms of creating excitement.

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Packaging Change : Interior Emulsions

Luxury Range Premium Range

Economy Range

We have also looked at a stronger packaging change which is far more international contemporary in terms of the overall looks, which comes in along with a very, very strong ingredient story which comes in. So, we have amped up the overall quality and the overall premium-ness of the packs. So, I think this is something which has been accepted well by the market, and it is something giving us a very, very strong imagery in terms of the market the way it comes in.

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Packaging Change : SmartCare ---...

Exterior Waterproofing

Interior Waterproofing

This is the same packaging change, and this has been done across the product. So, you can see for yourself the packaging is fairly contemporary in terms of the way it looks.

Future of Waterproofing

■ Single Component PUD based fleece reinforced liquid applied coating for exposed terrace surfaces

■ Highly Durable, Strong Coating with Best-in-Class Crack Bridging Ability

■ Excellent Puncture Resistance & Tensile Strength

■ Lifetime Warranty & Peace-Up to 25 Years* Waterproofing Warranty for terraces

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We have also launched the future of waterproofing, as we call it. It is something which is a polyurethane dispersion-based paint. which is the single component paint. This is talking of almost about 25 years of warranty, which is unheard of and has the best in-class kind of crack bridging ability and so on, so forth.

Launched new campaign for

Ultima Protek,

an ultra-durable exterior paint

The only Lamination Paint

powered by Graphene

So, I think again, if you notice, the trend is very clear that we want to look at the premium and the luxury segment and look at introducing newer products here, which can be very value adding to the consumer and are very, very strong from a point of view of sustainability and environment protection. We have launched a new campaign for Ultima Protect, which is with graphene, which is the new ingredient which we have looked at reinforcing the whole durability of the product, giving it a 12-year warranty. New commercial which we launched called the Safe House. And this is something which we have launched across the markets. And this is something which is doing very well amping up the Ultima story of Protect very strongly.

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Don't Just Paint, Design

New campaign launched for specially curated

Exterior Textures

The whole area of textures, which is the strength at Asian Paints, which possibly no one else has, is something which we have really amped up again and here has been a strong effort to really develop something which is unique which possibly the world has not seen. And this is something which we are really looking at. It goes for the bungalow segments, even for a lot of second homes in terms of what people are looking at and in terms of some form of even high-rise buildings overall. So, I think again a revolutionary area in terms of influencing the market with more and more textures in the form of product Apex which is offering.

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asianpaints ~ where tile

l1ea1.t is

SEASON 8

We continue to really propagate the brand, Har Ghar Kuch Kehta Hai as a strong emotional connect with the consumer. Where

we have Season 8 of "Where the Heart

Is" along with some popular celebrities who have done up their homes and we have done a full home makeover for them in terms of how it stands. And this has been a very strong area in terms of how we can really look at reaching out to consumers and really link the emotional connect of Har Ghar with them in a very strong manner.

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Our Home Decor Foray

No.1

Integrated

Home Decor

Player -4.5% of

64 Beautiful

Homes Stores

One Stop Home

Decor Decorative

Destinations No. 1 in

Sabyas

1purRugs,

Handa, Euro

design Modular Kitchen,

Kitchen Hardware

Components

Wardrobes and Vanities

Decorative Ughtint BsthFttinp&

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Furniture

Rugs FabriC-3 & Fumishinp

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Walt Coverints

uPVC Windows and Doors

Our Home Decor foray continues as we see it happening across the various categories. We are, as we have been saying, number one, integrated home decor player. 64 Beautiful Home stores across the country in terms of what is there, number one in decorative lighting, number two in fabric and furnishing overall. And in terms of both wallpapers and other collaborations which we have with Sabyasachi, Sarita Handa, Jaipur Rugs, I think are going strong from that point of view and they contribute to about 4.5% of the decorative revenue. So, I think this has been strong. The whole imperative of moving from a share of surface to a share of space within the home so that we are able to connect with the customer over the decor life cycle very strongly.

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Beautiful Homes Signature Store

launched in Mumbai, spread

across 14k sqft. Beautiful Homes Studio launched in

Surat, spread across 13k sqft.

We have opened some more stores. We have the, you know, a Signature store which has come in Mumbai, in Borivali, which is almost about 14,000 square feet in terms of size and something which is very strong from a point of view of offering decor under one roof strongly. Some images of it, you can see. And then we also launched a store in Surat, which is there, which is another 13,000 square feet store. Again, basically showing us everything in terms of what can be done within the home in a very strong manner. So, I think this is something which is really kind of taking the decor root

strongly across and kind of really, you know, appropriating Beautiful Homes in a strong way as we go ahead.
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Launched Nilaya WALL W.R.A.P

op aslanpaints

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Plt1Y

WALL W.R.A P 200 SKU• from Top Hlling Colours

op asianpains

.....

once

WALL WR.AP. Zero PVC, Zero Plastic, Zero voe and made from

naturally occurring minerals

Water Resistant System

Crack Resistant

Fungal Resistant

When we look at another thing, this whole concept of Insta is something which is very big. People are looking at something which can be done in a jiffy. We have launched this product called the Nilaya Wall WRAP, which is called Nilaya Play and Nilaya Ones. This is a wonder product in terms of what we are introducing, which is absolutely green with no VOC and it does not consume any water also at all. And this is something which we are looking at, you know, having a proposition that you can actually do a 2 BHK house in 3 days. So, a new revolutionary technology in terms of what we are bringing. Again, something at the top end, which we know is something very clear in terms of the direction.

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Building on our Foray in Home Decor

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(,) Kitchen & Bath

Marginal Improvement in Topline vs. last year

(figures in columns in f g:!)J

■ Q3 FY25 ■ 9P,,4 FY2S

Kitchen Revewe Bath Pevenue

'Cl) 0 Kitchen: PBT loss of ~ 5 lli in Q3 vs. breakeven last year

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Cl) 0 Bath: PBT loss of~ 7 crs in Q3; .~im!!~.r tQ last year

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:! White Teak & Weatherseal

(figures in columns in (' ill)

iQ:;! FY25 ■9MFY25

White Teak Revenue Weatherseal ReW!flue

0 Weak consumption in urban markets

0 Weatherseal sales impacted by BIS challenges as well

When we look at the Home Decor, while all the categories are growing, this year the environment has kind of literally subdued the overall growth. In terms of what we were seeing, we have in Q3 grown in Kitchen at about 3%, but at a nine-monthly level, we are at about 5% level. And ditto with, you know, the Bath area as well in terms of the growths. So, single digit growths happening here on White Teak and Weatherseal. On a nine-monthly level, we see about 1 % growth here. The consumption has been

slightly muted again given the overall environment. But this is something we are confident should kind of pick up as we go forward. White Teak has been impacted a little bit by some of the BIS challenges in terms of what we have seen. But we hope that this is something which recovers as we enter Q4.

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Oman

UAE

Ethiopia Nepal

Bangladesh

Indonesia

Sri Lanka

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Islands

Vanuatu

Fiji

7 6,7

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Samoa

If you look at the AP global markets, these are the representation across the world in terms of the places where we are operating. And from here we also export to certain other countries.

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C) .., 61

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• PST before Exceptional Items Growth Driven by Improving

Macro-Economic Conditions in Asian Markets

Revenue

■ 03 FY25 ■ 9M FY25

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~ 8SO

Africa PJiddleEast

PBT*

■ 03 FY25 ■ 9M FY25 i i 71 ~

~ 906

Asia ~~

40 120

South Pacific ■ Q3 growth in INR terms at 5%; strong 17.1% growth in constant currency terms

■ Africa: Impacted by currency devaluation in

Egypt & Ethiopia

■ Middle East: Strong double-digit growth;

especially in UAE -a key growth market

■ Improved revenue growth in Asia:

■ Continued recovery seen in Sri Lanka;

Macro-economic conditions stabilizing
in Bangladesh

i ~69 ■ Focus on relax and water proofing
categories supporting growth
25 29

-14 ■ Increase in overall profitability driven by
recovery in key Asian geographies
20 | P a g e

Overall, when we look at this performance, it has been much better than Q2 in terms. In INR terms, we have grown at about 5% at an overall global level and a strong 17% in constant currency terms. If we look at from the point of view of various regions, the Middle East region has done spectacularly well at 20% growth in terms of Q3. Similarly, Asia has done well on the back of Lanka and Nepal doing to some extent well. And I think Africa and South Pacific are the areas which have been suffering given the fact that there is some turmoil which is happening in Africa given the depreciation of currency and so on, so forth. However, when we look at from the point of view of profitability, I think Q3 we have had a 4% growth overall. However, the nine-month picture is definitely on a lower side in terms of what we see in terms of the profitability which is there. Just to remind you that there is definitely impact of the currency devaluation in Egypt and Ethiopia in terms of what we see. But both the Middle East area as well as I think the area of Asia both basically are still doing good from a point of view of overall profitability in terms of what we see. So, that's on the global markets.

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1,652

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Revenue Sustained Growth & Profitability in

Auto Segment

■ Q3 FY25 ■ 9M FY25

PST PPGAP

■ Broad based growth with General Industrial and Refinish
segment doing well

■ Strong profit growth with PBT margin at 22.1% in Q3FY25

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Reven1..e APPPG

■ Q3 FY25 ■ 9M FY25

■ Impact of lower maintenance spends & investments

■ Tight pricing environment continued to impact profits

• PBT margin at 8.4% for the quarter vs. 11.5% last year

PST

(figures in columns in t S,W

21 | P a g e

When you come to the industrial business, we have two joint ventures as you know.

One is the auto OE joint venture which is called the PPGAP which is there which is about Auto Refinishes and General Industrial business. Here as I said, the market has been better despite the auto builds coming down to some extent. But we have grown at about 6% here. So, this has been a good quarter overall. In a nine-monthly level we are growing at 7%. But I think the best which has happened is the profitability is something which is doing extremely good. PBT margins are at about all time high of about 22% here.

When we look at the second business, which is about General Industrial business, which we do more on Protective and Powder Coatings, APPPG. This has been a subdued quarter here after a very long time. We have seen very, very good growths in this APPPG for the last about three years in continuous succession. It has been at base this quarter overall, although at a nine-monthly level it is at about 2% growth. And profits have been a little bit challenging here given the fact that there has been a tight pricing environment. And therefore, the overall PBT margins are at about 8.4% vs. about 11.5% of last year. So, overall Industrial has done much better as compared to the decorative architectural business.

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Sequential Improvement in Gross Margin on Material Price Deflation,
Sourcing & Formulation Efficiencies

Material Deflation r/l Defl1 r/l Defla~ -7" -4% ""2% -4"

43.0% 43.4% 43.9%

38.7%

Q3 FY23 Q4 FY23 Q1 FY24 Q2FY24 aterial Deflation

"0.2%

Price Decrease

-1%

~~~

44.2%

Q3 FY24 44.4%

Q4 FY24

Note: Average price decrease of 0.3% taken in end Jan 2025 on select products 42.9%

Q1FY25 Price Increase

-1.2%

41.1%

Q2 FY25 aterial~

-i..1%

Price Increase

""R4%

43.2%

Q3 FY25

Gross margins shaNn here is at standalone level & as a% of Net sales

Just to give you an idea in terms of how the overall, you know, gross margins have been moving and how are the material price deflations happening . The gross margins have improved sequentially if you see from 41.1 o/o to about 43.2% overall. So, that is something which is strong which has happened in terms of the sequential movement . Although from a year-on-year perspective it has moved from 44.2% to about 43.2%. This quarter we have seen price deflation and as you are aware we had announced a price increase in Q2 of about 1.2% and it has a carryover effect of about 0.4% in Q3. So, I think we have been strong with respect to overall the way we have been looking at prices and that is something which is supporting the bottom line as well as we look forward.

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Net5aes Gross Margins

21,982

Net Sales Gross Margins Summary Standalone Financials

■ Q3 FY24 ■ Q3 FY25

PBOIT PST PAT

■ 9M FY24 ■ 9M FY25

PBDIT PBr' PAT

- Above PBT is before exceptional items

(figures in columns in t gj} Q3

■ Net Sales declined by 7.5%; Impacted by subdued demand, weak festive season & downtrading

■ Gross margins at 43.2% in Q3; ~100 bps decline over Q3 last year on lower mix

■ PBDIT margin at 20.7%; ~40 bps lower than Q3 last year due to operating deleverage

9M FY25

■ Net Sales declined by 5.6%

■ Gross margins at 42.4%; ~140 bps decline over last year

■ PBDIT margin at 19.2%; ~430 bps lower than last year (~420 bps lower excludng one-time impact\*\*)

•• PBDIT in Q1 FY24 included one-time provision reversal of t 39 £\$.. due to change in leave policy

Overall, when we look at the standalone financials, I think given the fact that the top line has been weak, we see PBDIT really affected and PBT and PAT also affected to that exte

nt. However, as I said, gross margins have been up sequentially and 100 bps point decline over the Q3 of last year. PBDIT margins have improved from the last quarter, by almost about 400 bps points. However, if you look at from the comparative quarter of last year it is about 340 bps points lower. But it is in a good range in terms of what we have got the PBDIT margins. The nine-month PBDIT margins are at about 19.2%, about 430 bps points lower than comparative last year quarter. So, that's the overall picture in terms of what we see amongst at a standalone level.

24 | P a g e

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8,522

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3,601

Net Sales Gross fvlargins

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25,468

~

10,638

Net Sales Gross Margins ■ 03 FY24

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PSDIT Summary Consolidated Financials

Q3

■ 03 FY25

~

PST PAT D Net Sales declined by 6.1% given subdued growth in domestic decorative segment. Relatively better performance in Industrial segments and International Business

■ Gross margins at 42.3% in Q3; ~us bps decline over Q3 last year

■ PBDIT margin at 19.2%; -JSO bps lower than Q3 last year due to operating deleverage

9M FY25

■ 9MFY24 ■ 9M FY25

PSDIT ~

PST" PAT

- Above PBT is before exceptional items

(figures in columns in t m) 0 Net Sales declined by ~4.5%

D Gross margins at 41.8%; over 135 bps decline over last year

D PBDIT margin at 17.9%; ~415 bps lower than last year (400 bps

lower excluding one-time impact\*\*)

0 PBOIT in Q1 FY24 included one-time provision reversal of 'f 41 ffi due to change in leave policy

When we go to consolidated financials the picture is a little bit similar. You know, you have a top line which is at about minus 6% in terms of what we see overall at Q3 and

gross margins at about 42.3% and a PBDIT margin of about 19.2%. On a nine-monthly level, this number goes to about minus 5% on a top line and it goes to about almost like 17.9% on a PBDIT margin overall. So, I think these are the financials from a top line and bottom-line perspective in terms of the top line being subdued this quarter.

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#### Outlook for Q4FY25

- Demand conditions challenging considering stress in urban areas; Cautiously optimistic about recovery over the next couple of quarters
- Adequate monsoons coupled with expected boost in Government spending should continue to support rural demand
- Maintain focus on the core & strengthening the brand
- Focus on growing and scaling our Industrial Businesses
- Improving macro-economic situation across some of our key Asian geographies to support business in International markets
- Expect some softening in raw material prices; Weakness in Rupee a key concern

When it comes to the outlook, obviously I think the demand conditions have been challenging in this quarter and it was impacted even more given the fact that the festival season was much smaller. As we go forward, we definitely see the stress in terms of the urban areas will continue. We are optimistic about some of the rural, you know, towns battling to that extent. So, therefore our overall intention is that it is a little bit of a cautious optimistic approach in terms of what we see as a recovery for the next couple of quarters.

Overall, when we look at from a point of view of spending, government spending would be strong. And therefore, as I said, B2B business as well as the rural business should be, I think, strong going forward. I think Industrial Business also should be strong going forward. We are looking at really leveraging the core strength of the brand going forward, looking at a series of marketing forays in terms of what we want to do. So, that the brand imagery, the whole mindshare is something which is strong, which remains. We are looking at scaling the Industrial Business overall in terms of how it goes.

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And we see that some of the Asian geographies should kind of do well to boost the international markets. So, we are putting our focus in terms of both Asia and Mid

dle

East going forward.

From a point of view of raw material prices you know, we see some softening. The buoyant dollar is something which is a concern. We are already seeing weakening in the rupee. And that is something which we will have to watch out and see in terms of how it pans out. So, that is the overall outlook in terms of what we see for Q4. Thank you so much.

Moderator:

Thank you Mr. Syngle. We now proceed to the Q&A session.

Avi Mehta (Macquarie): Wanted to just better understand your cautious optimism on near term recovery -what is driving this? And more importantly by when you expect sales value to start moving to YOY growth rates versus the decline that we've seen for the last few quarters.

Amit Syngle: So, overall, for Q4, I think definitely what we are saying is that the urban centres are appearing as a stress area for us. However, we see that rural demand should definitely be better in terms of how it kind of goes. And as I said that we are also relying on the B2B business to kind of pick up as we go ahead to that extent.

Industrial should also be good. So, we see that possibly, I think it would take at least, you know, two quarters in terms of at least where we see that possibly some of this area will be there. Obviously, we would look at getting you know, stronger value growth possibly towards at least single digits as we kind of go forward. But right now, we see a stress in terms of the two quarters as we go ahead.

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Avi Mehta: With input costs expected to remain benign and pricing largely through, would nine-month performance be a good indicator of the likely EBITDA margin for FY25? Is there any need to revisit our steady state margin profile guidance of 18 to 20% now that we have more colour on the new competition and how they are behaving on the ground?

Amit Syngle: So, we have been strong in terms of maintaining the PBDIT focus in terms of going ahead. So, we are very clear that we are not running after price strongly to that extent. We want to kind of really concentrate at looking at some of the segments where we have a strong leverage in terms of going forward and we would like to maintain our overall guidance of 18 to 20% as we go ahead.

Tejash Shah (Aventus Spark): You spoke at length about the demand scenario. Just wanted to know, are there any segments or geographies which are outperforming the broader trend?

Amit Syngle: In Q3, we saw that all the seasonal geographies, you know, especially geographies which are centred around the northern, central parts of the country, I think to some extent underperformed overall, given the fact that October is a big month, and the October definitely was much slower in terms of the overall demand. And it was also a shorter Diwali. So, I think today what we see is that some parts other than the seasonal markets across the country have been much better and therefore we see a clear differential in terms of growth -what we have seen in November and December as compared to October.

Tejas Shah: Perhaps early in the quarter, but any sense you would have got from your feedback on the ground on our market share position? Would we have protected it in most of the territories or gained or lost?

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Amit Syngle: I think at the industry level, we are saying the overall industry is definitely on a decline in terms of what we see from the point of view of consumer demand. I would say that at least the decorative industry is definitely ranging anywhere around minus 4%, minus 5%, kind of zone in terms of what we see. The Industrial is still up in terms of the overall market. So, I think the feel is very clear that, you know, given the large number of players which we are there, there would be some shaving off of shares here and there, but nothing which is very, very significant in terms of what we see to that extent happening with us.

Tejas Shah: Your guidance on margin

ins, 18% to 20%, looking at the tailwinds and headwinds, both in terms of what government has done on demand recovery and at the same time, you spoke about rupee depreciation and other headwinds which are there. Would you prefer to operate at 18%, given if there's a choice and revive demand, or you will, you will let it go as it comes if you have to kind of go back to 20% in the near term?

Amit Syngle: So, I think, you know, currently demand is just not a function of simple pricing in terms of what we see. Demand is also a function in terms of the inherent consumption. Ours is a category where people are able to postpone the spends to some time to that extent. So, what we are seeing is that we would definitely like to overall spend money in terms of really building the brand and looking at a strong mind share which is going to come about to that extent as we go forward. We are working

on a lot of initiatives so that we are able to kind of look at optimizing cost, you know, recovering more cost internally so that we have more monies to spend in terms of going forward. So, I think as I said going forward, we would still like to maintain our overall guidance between 18% to 20% to that extent. It's very difficult to say that it should be only 18% or it should be only 20%.

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Manoj Menon: I don't really have a question but it's more of request for insights from the panel. Amit, Jeyamurugan, Parag and Sunila. Look in your long careers, particularly in the paint industry, could you just look back in history and say that you have seen similar sort of consumption, particularly for paints where it is generally assumed that given the repainting cycle which has been reducing over the years etc. There is certain predictability to the demand. But let's say if you take a step back and go 24, 36 months back also probably we didn't see this sort of, let's say an impact on paints let's say demand was not necessarily a base case for anyone, including analysts. You know, excluding let's say periods like the Lehman crisis or a demonetization or a Covid probably these are all one-off events. Just want to understand from your understanding of the industry for the last 20, 30, 40 years you know that what are those periods and then let's say what are the specific activities, which you as a market leader would have done. And also, if you could comment about anything which you can talk in a public domain on, let's say the actions or activities which you are undertaking currently as a 60% market leader, which could actually drive demand.

Amit Syngle: So, overall, I think it's a good question because when you go back almost two decades to three decades, you know, we haven't seen possibly a challenge like this in terms of what we are seeing in terms of demand. Possibly when you go to the era of 1997 or something, that is a time when we would have seen some kind of streaks of this kind of market. So, it's been definitely quite challenging in terms of the overall demand conditions in terms of what we are seeing.

But having said that, I think some of the areas which we have looked at basically churning up demand is the fact that we have looked at also areas which are unexplored to that extent. So, one of the areas which we have looked is the bottom of the pyramid in terms of what we had spoken at the beginning of the year, in terms of looking at introducing Neo, which was a new category by itself called the Latex paint,

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so that we could kind of get a lot of newer customers and they kind of come and get into the organized market for the first time. So, which kind of really broadens the overall pie for everyone to that extent. And after us, we have seen some of the other players also trying to launch some similar products in that area. So, I think it kind of really largens the segment for everyone. Similarly, when we look at the whole segment of wood finishes, we have lau

nched certain products like GloMax and some other polishes which kind of enlarges the overall segment, so that we get more players to kind of come in and start really utilizing organized brands in terms of enlarging the market.

The other area which we are looking at is how can we get people to paint much faster. And for that we are looking at, you know, decor options, which are far stronger, far quicker in terms of doing. I just spoke about this whole area of Nilaya Play and Nilaya Once, where you could possibly do your house in just 3 days, so that the whole hassle free kind of becomes a very strong preposition for especially, you know, nuclear homes in terms of looking at what they could do in just 2 - 3 days, so that the frequency of painting itself can go up. It is a long shot in terms of doing it. But that is something which we are looking at in terms of bringing about.

The fourth area we are looking at bringing mechanization into painting in a very strong way. And as a leader, we have put almost 23 centres across the country where we are training a lot of painters into mechanization so that their productivity goes up, their painting time basically reduces, the hassle free in the market kind of comes in. Which basically means that for consumers it becomes an easier process to that extent in terms of going forward. So, I think these are the some of the measures in terms of what we have been taking and I think the other clear measure is that keep the

innovation index high in terms of what you've been able to do and keep on leveraging the brand from a point of view of really building the brand and building the mindshare as you go ahead.

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Aditya Bhartia (Investec): My first question is that if we look at employee expenses and our overhead expenses this quarter, they haven't really grown much on a year-on-year basis. On a sequential basis, there's been a decline in an environment wherein we are seeing competition intensifying, new players coming in, attrition for us has been going up a bit. How is it that we are able to control employee and OPEX costs and what is going to be the strategy around this?

Amit Syngle: So, as we look at it definitely from a point of view of employee cost. As we had said that we had looked at possibly, you know, manning more people in the beginning so that we could really cater to our network far more strongly. Post that we have also taken steps in terms of how we can boost the productivity of the people much more. So, that is something which serves as a trigger for us so that we can get the best utilization as the best maximum output in terms of those people.

I think one area which we are clearly looking is that in terms of going forward, how is it that basically we can utilize the number of people much better in terms of the overall productivity. The sales and distribution expenses have gone up overall in terms of what we see given the intensity of competition which is there in the market. And that is something which we are trying to see in terms of what way you could maximize on the stakeholders in terms of what is there so that we are able to give them a good value which they can pass on to the customer as we look forward.

At the same time, the other area which we are looking at is looking at optimizing all the areas of cost which are there in the organization. So, whether it is from a point of view of looking at overheads which are related to possibly travel and other areas which are there, we are kind of looking at seeing how we can basically optimize the overall operating expenses so that we can really have a good leverage in terms of going forward.

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Aditya Bhartia: And when you speak about 18 to 20% margin guidance, are we baking in some of these cost savings and therefore thinking of slight reduction and maybe in gross margins and some savings coming through from OPEX which kind of off

set each other and we get to 18 to 20% kind of margin?

Amit Syngle: So, it is an overall cost model we will have to kind of look at. So, it is as I said a far more holistic approach in terms of the cost which is being taken because you would like to kind of really spend the money in the right manner so that we are able to kind of also spend money in terms of initiating demand, looking at the right consumption, spending it in the right segments in terms of what we want to kind of do. So, it is a combination in terms of looking at optimization, some of the operating levers to that extent. At the same time looking at in what way possibly we can look at the overall material cost, the overall formulation efficiencies. Even in terms of the whole area of manufacturing excellence, in terms of what we can bring so that the whole overall area of cost is something which gives us the leverage to put the money in the right manner in terms of what we can do and still really look at to some extent top line coming and maintaining the 18 to 20% kind of margin guidance.

Parag Rane: Just to sort of add to what Amit said, I think a better way of looking at some of these expenses like employee cost and some of the discretionary spends is actually to look at the nine-month sort of numbers rather than focusing on the quarter. So, just wanted to place that with you.

Aditya Bhartia: Also on Neo Latex paints, if you could just give us some indication



about how large the category is likely to have become for us and for the industry and how do you see that shaping up going forward?

Amit Syngle: So, I think the overall kind of potential in the category is much, much bigger. Almost the potential is more than 5 lakh KL in terms of the overall category. As  
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I see it, we are just scraping possibly at the moment, you know, 7 to 9% of that overall pie which is there. So, I think the potential is still very, very huge in terms of what you can pick up and what you can get in. It is also a question in terms of how much kind of depth you are able to get, how much you are able to reach in T3, T4 cities, how much you are able to create awareness about that product, both at a consumer level as well as at the contractor painter level. So, I think the potential it offers is fairly big in terms of the volumes it can garner.

Mihir Shah (Nomura): On the demand environment, we understand the decline in urban demand, can you share how is rural doing? Should one think that rural is growing much faster and urban is declining? And any colour on how Jan is shaping up, if you can just throw some insight to that.

Amit Syngle: So, as I said very clearly, the urban centres, I think the demand has been slightly muted, whereas in terms of the rural which we are seeing is demand has been much better in terms of the relative sense. Overall we've also seen that the monsoons have been fairly good, which basically augurs well for Q4 and Q1 of next year. So, I think we believe that the rural demand should accelerate further in terms of both Q4 and Q1. And some of those things we are seeing in January itself also happening. And possibly I think the big area of surge which should happen is looking at how, you know, the urban centres kind of start to pick up as we go forward.

Amit Sachdeva (UBS): Just one question and it's a bit elusive one and you know, and it's my attempt to just ask on the new competition which has been there for a while now. After a long time, such competition has happened in the paints industry and clearly there is some response, and counter response may have been. But my question is that what is your interpretation of how the new competition is positioned its product. And what is a true value proposition thereafter to various stakeholders, whether it's trade as well as customer. And how you have responded to that? Now it's  
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a bit of vague but I just want to understand because

e sometimes as it's a me-too

product, it's a price at discounts and this first way to look at it. But I think there is some value proposition which is circulating in the industry to trade partners, to even painters and all those stakeholders. And what communication you have picked and what is your interpretation, what is going on, how you are responding with your own value proposition there? I don't know whether it's sort of, you know, not specific enough, but I just wanted your reaction to it.

Amit Syngle: First of all, you know, as we see it, there have been literally competitions earlier also. In fact, we have had some players five years back who had launched. And now obviously, you know, there has been new competition this year in terms of what we are seeing. Frankly, if you look at from the point of view of the first half, we have not seen too much possibly, you know, numbers which would have kind of come out. Although I think the spread across the country is something which they are taking a scale in terms of looking at, from a point of view of overall products. They seem to have products at all price points in terms of what we see in the market. But at the moment, very difficult to say that if they have a proposition for the customer coming in.

And a lot of things obviously at the moment are looking at price and discounting led in terms of what we see in the market. So, as I said, we've just seen possibly now 3 quarters. It's too early in terms of seeing whether there's a larger impact which is happening on the market. Because today, as I said, the market is pretty large in terms of what we see of 80,000 crores. And I think we could kind of only say that someone is making an impact if you are talking of at least garnering 7, 8% kind of a share out of

that market in the first year. So, I think to that extent possibly it remains to be seen in terms of how well possibly they will do. I think it's too early to kind of really comment.

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Amit Sachdeva: So, where I'm coming from is, you know, obviously somebody who comes new wants to tell a consumer or trade partners that I'm special, I'm different, I'm distinctive, I have better value. And that narrative is set using quality or price curve. Price curve is not necessarily a right way to position a product that I'm cheaper. Also, people tend to communicate through that we are superior quality XYZ attribute and things like that they might be using above the line spend such as keeping a unique salesperson on the ground, with large dealers there could be several tactics somebody can employ. So, I'm just trying to sort of be very curious that has there any narrative you have picked which says that there is something that you need to respond to or something like that? Because I would not probably assume that somebody is just using a cheaper card to have a foot in the door in the market. My sense is the game would be slightly more than that. And if that is something that you're picking up, especially above the line spends like that.

Amit Syngle: So, overall, what we see is that I think there is definitely a lot of action with respect to as I said, the competition reaching a certain scale across the country. Looking at possibly spending on above the line, below the line in terms of looking at it. But in terms of the overall product story, it remains to be seen that is there a real value proposition which is coming out right now in terms of what they are specifically doing. Because at the moment there is no uniqueness in terms of what we see which is there from a point of view of either a product or a proposition currently. But as I said these are possibly early days, and we will have to see how it kind of really emerges.

Amit Sachdeva: And your conservatism when you go to the next year, you are not really wanting to communicate that you will do a positive pricing growth, etc. Although there's a base that is very benign.

n. So, is it because of that, that you want to

keep that in your hand still that if required you need to respond and is that what is built into your conservatism even though theoretically, we can think tax breaks are

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coming and this is happening, one should feel more optimistic about it. But you are still, you know, keeping very cautious kind of pricing outlook. Is that what is inbuilt?

Amit Syngle: So, I think the larger cautious optimism is with respect to the consumer demand we are not seeing. You know, very, very strong consumer demand flavours coming in the market as we see. And it is not only in our industry, but we also see it possibly across industries. And if you look at particularly the construction business, that area of new homes coming at a larger, mid lower segment. I think all across in terms of what we are seeing is definitely there is a little bit of a muted demand which is kind of coming in. And I think the whole kind of approach is based in terms of saying that unless the demand really comes back very, very strongly, there is only so much you can trigger in the environment as you kind of go ahead.

Jaykumar Doshi (Kotak): First one is just a clarification on your earlier response to Avi's question. You indicated that you're expecting stress to continue for at least another 2 quarters. Did you also indicate that revenue decline would continue for another two quarters and then maybe you move to a single digit growth six months out. So, I'm not sure whether you also indicated that value decline will continue for two quarters, or you did not call that out?

Amit Syngle: The attempt is very clearly that we should kind of really aim for single digit volume growth in terms of going forward. And I think it all depends on the urban centres, the kind of demand which emerges in terms of how value would kind of really come about to that extent. But I think the attempt is very clearly that we have logged in about, you know, 1.6% Q3 overall. So, going forward we would like to kind of really look at single digit volume growth, definitely happening and look at a better product mix so that we can get to a decent value growth.

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Jaykumar Doshi: On competitive pressure, over the last 6 to 9 months, do you think that, you know, now trade schemes, margin trade schemes, rebates, discounts have more or less stabilized or are you still seeing increase in competitive pressure or more discounting or trade schemes from the new entrant?

Amit Syngle: So, what we see is, I think it's a dynamic game in terms of which is there and it kind of varies from region to region, town to town. So, I think in any marketing sales structure, you know, there is never a stability in terms of what you find for any kind of sales discounting. It is something which is dynamic. And as we see it, I think the agility there would kind of still remain as we go forward. Because it is very difficult to predict in terms of what one company will look at in terms of energizing the market in a very different way. So, I think it is very difficult to say that today it has reached a stage of stability in terms of where it is to that extent.

Because if you want to kind of really garner anything, you will not mind possibly putting in even more money in terms of looking at going. Because at this moment possibly some of the players might not be worried about the bottom line.

Sheela Rathi (Morgan Stanley): With respect to your comment around the B2B business, what kind of growth we are thinking of in this business? And is there a specific plan in terms of focus? And my question is more in context of where the trends could be over the next 12 months in this particular business? And what is the share of the B2B business now and where it could be?

Amit Syngle: Going forward we see strong trends coming in B2B because today we see that there is a lot of Cap Ex which is coming in

to India, a lot of investment which

is happening. And therefore, I think factories is a very important segment in terms of how we are seeing in terms of coming up. And that is something which we are looking at.

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The second segment is government. I think that is also a strong segment in terms of what we are seeing where the government spendings are supposed to kind of now go up. This has this year has been slightly lesser given the fact that there was elections. And it's kind of really kicked off at a stage which we are seeing in Q3. So, I think that's another segment which is going to be big. Third, I think given the fact that today hospitality is a big segment in terms of what we are looking in terms of going forward. So, as we look at, I think our strategy is very clear. We want to kind of really concentrate with respect to some of these segments as part of the B2B business and look at even offering some kind of services which are strong so that we are able to hold this business going forward in a very big way. Today the segment would be somewhere in the range of about 16, 17% contribution. And we would definitely like to see that given the growth trajectory here, we have grown at very good numbers this year in Q2, and we would like to kind of have double-digit kind of growth numbers as far as the B2B business is concerned .

Sheela Rathi: How is the competitive landscape in this particular segment?

Amit Syngle: So, this segment I think has two aspects of it. One is an aspect which basically moves from a point of view of pricing and a credit game which is largely the builder segment which is there. And there is another segment which is on technical specifications which are there in terms of factories, government and so on, so forth. So, I think that's how basically these segments move. And therefore, I think in both the areas we look at one, in terms of the value proposition which we are able to offer rather than just a price and credit. And second, more technicality in terms of technology-led products in terms of what we can give which are specification led so that we are able to kind of garner a larger business here.

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Moderator : Thank you for joining us today. Due to time constraints, those are all the questions we can take for today. I now hand over the call to Mr. Amit Syngle for his closing remarks.

Amit Syngle: Thank you everyone for joining us for this investor conference for Q3 FY25 results. It was good to interact with you. Hoping to see next time for the next quarter. Thank you.

# Call: May 2025

APL/SEC/32/2025-26/07

12th May 2025

BSE Limited  
Phiroze Jeejeebhoy Towers,  
Dalal Street,  
Mumbai – 400 001 Security Code: 500820 National Stock Exchange of India Limited  
Exchange Plaza, C-1, Block G,  
Bandra Kurla Complex, Bandra (East),  
Mumbai – 400 051 Symbol: ASIANPAINT  
Sir/Madam,

Sub:  
Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Investor Conference

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor Conference held on Thursday, 8th May 2025, with regard to the business and financial performance of the Company for the quarter and financial year ended 31st March 2025.

The transcript has also been uploaded on the Company's website and can be accessed through the following link:

Investor Conference – Transcript

You are requested to take the above information on record. Thanking you,

Yours truly,

For ASIAN PAINTS LIMITED

R J JEYAMURUGAN  
CFO & COMPANY SECRETARY

Encl.: As above

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ASIAN PAINTS  
Q4 FY2025 Earnings Conference

Date: May 8, 2025

Management: Mr. Amit Syngle : MD & CEO  
Mr. R.J. Jeyamurugan : CFO & Company Secretary  
Mr. Parag Rane : AVP - Finance

Disclaimer: This is a memorandum of the proceedings of the Investor Conference of Asian Paints Limited held on Thursday 8th May 2025 at 5:00 pm in Mumbai with regards to the financial results of the Company for the Fourth Quarter and Twelve Months ended 31st March 2025. While we have made our best attempt to prepare a verbatim transcript of the proceedings of the meeting, this document has been edited for readability purposes and may not be a word -to-word reproduction.

Jayalaxmi Gupta: Good evening all of you and thank you for joining us today to discuss the Asian Paints Q4 and full year 2025 earnings. I am Jayalaxmi Gupta from the Investor Relations team. We have with us today our MD and CEO, Mr. Amit Syngle, our CFO and Company Secretary, Mr. RJ Je yamur ugan and Mr Parag Rane AVP Finance. I would now like to invite Mr. Amit Syngle to give his opening comments. Amit Syngle: Hi, good evening. Good to see everyone here. I think a lot of people are attending online and we have a mixed crowd in terms of someone turning physically and someone on the online. So, I think we will start with the opening areas in terms of what we are looking for .

First of all, wanted to just talk about the core value at Asian Paints that we have been doing since 1942. It's all about looking to beautify, preserve and transform all living spaces, objects so that we are able to bring happiness and joy to the world. I think that has been the core value of what we have looked at and through this process appropriated not only homes but looked at any surface which really comes our way in terms of what we can do to transform .

So, overall, I think it was a tough quarter in terms of the demand condition. If we see the overall numbers, the volume growth in Q4 is about 1.8% and the value degrowth of about - 5.2%. On a 12 monthly basis, we are up by about 2.5% on volume terms and on a value we are down by about - 5.7% . So, overall, even from a full year's perspective, through the various quarters , it has been tough for the overall paint industry this year, and which is also reflected from the weak demand conditions which we have seen throughout the year.

The decorative business has been far more affected than the industrial business. The industrial business seems to be doing much better in terms of growth . So, when I say industrial, it includes auto, industrial paints in terms of the protective coatings, powder and refinishes all these are clubbed under industrial . I think this has been growing quite well quarter on quarter. If you add these numbers, obviously the volume growth is 2.1% in Q4 and value decline 4.1% . On a 12 monthly level, the volume will stand at about 2.8 % and the value at about - 4.6% . So, you could see that the industrial trajectory is still doing quite well this year.

This is our overall trajectory. The CAGR numbers, which is the five-year CAGR numbers over the various quarters , have been very strong in terms of what we have been able to achieve, which shows the health of the organization from a point of view of last five years how we have grown. Obviously, I think the last two quarters have been a little bit lower from the CAGR perspective. But we continuously keep on looking at driving the growth from the point of view of going forward.

As I said, overall quarter was affected by the weak demand conditions. Like last time, the T3 -T4 tier cities did relatively better than the T1 -T2 cities. Therefore, the urban centers were much slower , what we have been able to see overall. And this is a trend which continued in Q4. Our initiative of looking at more distribution points as the country continues to expand, from point of view of suburbs which are there in the larger cities as well as from the point of view of smaller towns expansion. And that foray continues. We have almost about 1.69 lakh touch points created over a period and that is a fairly strong number of how this keeps on increasing quarter to quarter and over the years , the numbers have really gone up. The other advent has been in the area of services. That has been a very strong focus at Asian Paints, and this is something which we have been really taking very strongly. Therefore, the whole area of really taking the trend of service economy and riding it from the point of view of what we offer, is something which we are fairly strong at . This service now has been

in operation for the last six years. Earlier we used to run something called Home Solutions and now it is more like a franchise service that we run across the country. This service has given us large dividends. We are present across more than 600 cities and towns across the country. And this is something which helps us to reach the consumer directly, aiding us from a point of view of CRM and associate it with trends which are happening at a consumer level. The other area which has done extremely well is the area of B 2B and now this area literally becomes B2C, which is directly to some of the smaller builders in CHS, B2B to large corporates, large builders, key accounts and B 2G which is directly to the government. So, that is the constitution of

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the overall B 2B business. This is a strong foray which has been growing over a period of time. In Q4, we have seen a fairly strong trajectory of what we have been able to deliver in the overall B2B business. When we look at from the point of innovation that is something which you are all aware that Asian Paints has been strongly straddling this piece in a very big way. Last five years we have seen almost 300 plus new products what we've been able to launch across the markets because we truly believe that the brand is really making differential propositions in the market to excite the customers and the dealers. Therefore, this continues to be a big initiative. We have more than 130 patents created in the last five years, and more than that this trajectory has contributed almost 14% to the top line in Q4. So, very strong initiative from an innovation point. The other big strategy which we had taken on course was backward integration. This is something which you are all aware that we have invested into a white cement plant at Fujairah in Dubai, a plant of 2.75 lakh tonnes capacity. The plant should be operational by June of this year, and we will continue to look at white cement coming from this plant for us which is our first foray into cement. The second big investment has been in terms of looking at the most progressive emulsion which would be there, and it is a futuristic project from a point of view of emulsion which will be environmentally friendly. It is futuristic and only about four players in the world have technology for it. So, this is the first plant we are putting up with a CapEx of more than Rs 3000 crores. This should be operational partially in the month of March - April of 2026 and fully by April 2027. And we believe that once these forays are complete, they will significantly add to our overall margins plus also from the innovation in the products qualities which we can impart. I think very strong objectives which we have put onto place.

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The other strategy has been on premiumization, associating with the consumer very strongly in a category which is more like interaction once in five years which the consumer faces. As part of the premiumization drive, we have revamped our packaging. And today we can claim that it's one of the best packaging what we see today across the industry. We keep on doing innovations here. What you see on the screen is innovation, which we did as part of the pack, making the regionalism come far more strongly so that we are able to be closer to the customer in the region. We've seen the phenomena of IPL, how IPL has created a regional fervour riding on that same flavour we are doing now regional packs which take the culture of that region and create an association of a consumer which is far stronger. And that is something which we did in this pack, which is premium exterior quoting called Ultima. It used a QR technology, so you just click it, and you really get the flavour of that entire culture. Quite an innovation for the first time in the industry anyone has done this kind of a zone and it brings us very close to the consumer in a drive for premiumization.

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These are more examples of our regional packaging which has been done. You can appreciate the fact that today for the kind of size of supply chain, we have to really look at regionalism. I think it is a very strong customization story of what's coming in. And we are finding that in all the places where the regional packs are going, we are definitely getting a higher traction in terms of overall growth. From a premiumization perspective this really worked very well for us.

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Not only that, it's also about the whole new area of ingredient marketing. Each of the packs today we talk of ingredient which lends special properties to the pack. So, what you see on the screen is a pack of Ultima Protek. It has a special ingredient called

graphene, which is a very special raw material which adds to the strength of the overall coating in a very big way. And that is why it adds to the durability and the warranty of the product. So, I think again differentiation in terms of looking at ingredients. Now this ingredient story comes across our various products in premium and luxury. In Royal we have something called Teflon and in some other products we have a PU serum and so on and so forth. Lot of areas of looking at strengthening our product quality and what we are able to do with new age materials. Second looking at products which can never be imagined or thought of. The example of Smart care Infinia what you see is a futuristic product with almost a lifetime warranty, easily can go beyond 25 years of life for terrace waterproofing and is a high-end technology product which has been introduced by us. And not only this, but we also keep on looking at expanding our innovation with respect to various areas whether it is tools or rollers or any other areas which are leading to waterproofing or to wood finishes and so on and so forth. So, just to give you a flavor that this is a continuous path.

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I think while premiumization is one of the objectives, the other big area is to keep on looking at exploring the bottom of the pyramid far more strongly looking at getting the unorganized customer into an organized brand. And from that perspective, we look at this entire campaign, which is the start point of an emulsion, which is the Ace and the Tractor Emulsion, where we get the person who's a value seeker in buying a product to give him the value proposition coming in strongly. That's why the whole area of a proposition of "Budget Kam Warranty Mein Dum" kind of a zone which comes in. A person buying is comforted that he's getting something in a certain value at the same time something which is durable, comes with the warranty and with the trust of Asian Paints very strongly. I think that's again a very strong campaign which we have unleashed in along with IPL and which is even playing now as we enter the months of April and May. That was a strong thing what we did in Q4 to really rejuvenate some of these products and look at bringing some excitement at that level.

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The other big area what we invoked, all of you are aware that "Har Ghar" has been a very strong strategy and a corporate positioning what we have taken. We really looked at the fact that today given the large portfolio, one of the things which we really stand out is the fact that the quality which we give and the kind of durability we are able to offer is very strong. And given the fact that you talk of a certain kind of a share in the market, we almost spoke of that every second house is today painted by Asian Paints. And this has been a legacy of the last 80 years. Given that kind of an overall presence, we really researched and looked at physically shooting 12 to 14 homes across the country where possibly these were real shoots, where houses painted with Asian Paints and how they really bring about the whole area of warranty, credibility and trust far more strongly. We say it's a winner campaign that is been running and which we launched in Q4 and now running into April and May just to give you the idea of saying that today warranty for Asian Paints would mean that "Har Doosra Ghar Kuch Kehta Hai".

This has really caught the fancy of the consumer, touched the consumer right in the heart because it's a real campaign. It's not something which is concocted, it's something which is real what you see around. And it really says a lot in terms of possibly the whole area of emotion every home brings along with a sense of trust and durability that it conveys from a warranty point of view. That's what we ran. And as a continuation of the "Har Ghar", we felt that not only surfaces, we need to look at spaces and that is why we appropriated entering into home decor.

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So, in home decor, we talk of surface decor, which is all about the surfaces and we talk about the space decor. Today, one of the things to understand is that it is something which is a very strong diversification. Because what we speak today when you make a new home, only 2% of that cost is paint. But when you look at the full home in terms of the space, you have very high spends which happen with respect to all other categories, whether it is furniture, furnishing, kitchen, bath, flooring and so on and so forth. So, the idea was to extend the same customer who's into painting to getting into home decor because painting is episodic. It happens once in five years



as a maintenance cycle. But Home Decor is a continuous process. So, you keep on doing your home, whether it is a cushion, furniture or lighting. So, I think it's the continuous piece. The idea was that the brand always is part of the Decor life cycle of the customer. And that's how the whole Home Decor piece comes into place. We've been strongly looking at this as an integrated strategy for the last four years now. Earlier we had a kitchen and bath which we had purchased separately, as an acquisition which we did. But I think in the last four years we have been into this foray of Home Decor where we've looked at possibly spaces which can offer Home Decor under one roof. As part of that, we have our beautiful home stores, which are today about 67 stores across the country in the 53 cities and they are very strong proponents of offering integrated Home Decor under one roof and that is why we say we are now the number one players in offering an integrated Home Decor. As part of this, if you look at the kitchen business in modular kitchens, we are number 1. As part of decorative lighting, we acquired White Teak. We are number 1 in the lighting business, we also have a bath brand called Ess Ess. We've aligned with a brand called

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Pure to look at furnishing. A lot of collaborations with Sabya Sachi, Sarita Handa and so on so forth to offer a full package of Home. We now talk of full Homes from a Har Ghar perspective, surface decor and space decor combined.

While I think of this strategy we took last year, we looked at exploding that space even more. We found that today if you look at the premium segment but at the luxury segment it was a vacant position. And therefore, we looked at opening world's first design destination for a global luxury in Mumbai. This is a 1 lakh square feet space which has been opened in Lower Parel in Mumbai called the Nilaya Anthology. Nilaya being our super luxury brand and this is a design destination which basically looks at celebrating art, culture and design in a very strong way. The whole concept is based on Confluence of India design and international design where you find the best of art, artisanal, cultural stuff as well as the best of international design in furniture, kitchen, furnishing and so on so forth. If you get a chance possibly do visit this is one of the best stores across the world what you see at Asian Paints right up there from luxury positioning, which no one else has taken this positioning today in the market. And it's not very easy to go into luxury positioning to that extent. And along with this we have launched Nilaya Emulsions, which integrates with the concept of luxury which comes in strongly. So, that's how it really integrates in terms of taking forward.

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We have looked at very premium beautiful home stores which has come. We have two very big stores in a city like Bombay, one of about 14,000 square feet in Borivali and the other close to 15,000 square feet in the linking road in Bandra West. What you also see is a store in Surat, another store has been put in Guwahati. Today this is a very strong spread of offering Home Decor under one roof. These are initial stages; I would say it may take time to build up this category because all of you are aware that today the Home Decor category is the large unorganized sector. Last year again for Home Decor it had been tough.

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This is a glimpse of the Wallpapers we do in terms of the textures Wallpapers.

I was talking about the industry being tough last year. If you look at both kitchens and bath, the kitchen has been again flat, what we have been able to achieve from a 12 month performance. Whereas from a bath perspective, we have seen some single

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digit growths. But I think the concern here is that in both the categories there is a certain loss which we are making in quarter four and as well as for the year. And that is something which we need to set it right as we are going ahead. Secondly, we faced a lot of headwinds in White Teak where for the last five months we have not been able to bill much, which has taken a toll with respect to the fact that there are some BIS specifications which came in, and a lot of input comes in from China. So, we have been stuck in White Teak and not able to look at any selling which has happened in a big way in the last 4-5 months leading to possibly a degrowth which

has happened. Again, in Weather seal, a brand we acquired 2 years back on doors and windows. The top line in last two years, the growth was good. This year the growth is there, but very small. Again, muted demand. But again, this is something which we are looking at strongly even from what we can build together as we grow ahead in profitability. But we must understand that all these are the constituents of that integrated Home Decor and that is why we have to carry all these categories. And that is something which we are still committed to, of how we would take it ahead.

Coming to AP Global business, again, this is spread across largely in Africa, Middle East and Asia.

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Overall, another challenging year from a global perspective. In quarter four, we were at about -1.5%, although in constant currency terms, we were still at about 6%. However, from a yearly perspective, we are just at base. Largely if you look at the geographies of Middle East and Asia have done relatively better. However, Africa has underperformed where we have been seized by the devaluation of the currency, which has taken a toll with respect to both the top line and the bottom line. Even PBT, we see a decline which happened in AP Global this year. So, that is how overall profitability has also suffered as a combination of first which is market led and second from currency devaluation. So, that's the global business for you.

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Looking quickly at the industrial business, again, this business as I said, we have two joint ventures with PPG. PPG is one of the largest coatings company worldwide with a large base in US. One JV has been there for more than 25 years, the other has been there for more than 15 years. If you look at the performance of PPGAP, which is the JV with auto and auto refinishes largely and in marine business; that has grown. And what we see is that from an overall perspective in Q4 we see about 3% growth, whereas for the year the growth is about 6%. However, from a profitability point, while Q4 was a bit depressed, overall the business has done well. We saw about 14.6% PBT margin for the full year. For APP PG, Q4 has seen a strong revenue growth, almost double digit 11% growth is across business segments of powder, protective and so on and so forth. However, PBT margin has been something which is under pressure and is about 8.3% vis-a-vis 10.7% in quarter 4 of last year. But overall the top lines have been strong for the year. Both businesses combined, you see a top line of about 6% value. So, that's the industrial business.

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Just to give you an idea of what's happening from inflation and deflation point of view. If you see the last quarter we saw a deflation of about 1% to 1.5%. We had a small price decrease of about 0.4% overall. But this year it has been fairly good. We have not seen any big inflation and that is something which has been an overall good trend.

Now if you look at the financials how these financials pan out, it is very clear that overall, the value has had an impact with respect to the overall margins, we have

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seen some bit of down-trading which has happened. I spoke of the standalone revenue down about 5%. From point of view of gross margins, have gone up which is a combination of some deflation and some of the work which has been done by sourcing of formulation efficiencies what we have brought in. The gross margins are at its peak in a way of what we see, about 44.9% in Q4 and this is an increase over Q4 over last year. Overall PBDIT margins are in the zone of guidance of 18% to 20% at about 18.5% although they are a notch lower than Q4 of last year and sequentially a little bit lower than that of Q3. So, I think that's how the overall numbers stack out from a standalone business. From an overall year perspective, the top line trajectory is decline of 5.4%. Gross margins are at about 43% which is 42.9%. PBDIT margins are still good at about 18.9% although lower than what we have seen last year.

When we look at the consolidated numbers, quarter four had a gross margin of about

43.7% , which increase over Q4 of last year as we have seen in the standalone business as well . Then we look at P BDIT margins which are at about 17.2 % . So, here there is a little bit lowering of the margin, which is a concern. If you look at it from FY25 perspective, for the full year in terms of consolidated, again the sales have declined by about 4 .5%. Gross margins are at about 42.3% , almost about 100 bps decline. And in terms of P BDIT margins, it is 17.8% . So, if you look at both standalone and consolidated, obviously the gross margins have gone up, but the PBD IT margins have come down a bit from last year as well as sequentially. So, that's the standalone and the consolidated business .

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Some exceptions which I must highlight. So, we have taken impairment in terms of White Teak this was obviously that today we had to take a provision because of the fact that the trajectory of the business was not at as per what we had really predicted and therefore a fair valuation loss on derivative contracts for the future stake purchases is what we have taken. If you look at it, the total impairment provision on goodwill consolidation is Rs77.8 crores . On standalone, the impact is about Rs 78.5 crores . So, that's on White T eak. Similarly, there has been consolidated financials that has seen an impact o f other exceptional items. We had announced our divestment in the Indonesia operations and therefore with respect to that there is a recognized loss of about Rs 83.7 crores in the consolidated financials that we have taken for the quarter. And then we have a company which we acquired in Sri Lanka, Causeway P aints and there we have taken an impairment loss of another Rs 21.5 crores, which is the goodwill on consolidation. So, I think these are the exceptional items for the quarter four financials .

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Overall, I think yes, we will be curious to see how we are looking at quarter one. Obviously, the larger area is that you don't see too much demand coming back very strongly. While the Tier 3, Tier 4 cities are batting a little bit better. I think it is still, a cautious optimistic mood what we are looking forward. Monsoon prediction has been strong. So, I think that is a positive point . Overall, I think there is an element of flux which is happening from the geopolitical situation which is going around. We'll have to wait and see how things really mature there in terms of their normalcy. G iven that , we're seeing the certain demand, which is there, we are still cautiously optimistic about the coming quarter. So, that's our overall thing.

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Just a quick point, the dividend payout has been consisten t. We have been able to grow and maintain. We have taken a dividend payout at 60% as well for this year .

Just a bit on ESG, which has been a core to our strategy in how we are building up on all the fronts, whether it is environment, social or governance, strong imperatives, strong commitment in what the organization is showing and taking it ahead in a big way. And that we have seen strongly.

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So, overall, from a point of view of how we have looked at our numbers , going forward today, the current status is that all the numbers seem to be growing strong from what we have done. W hether it is from freshwater replenishment or it is greenhouse gases and therefore the footprint reduction with respect to the CO2 imprint or it is from the specific affluent, I think that is something which has been strong. And from a social point of view , we run a Beautiful Homes Colour Academy where we were able to work around the livelihood of people who are plumbers, carpenters and painters. And that has been a very strong imperative where we are able to train more than 8.45 lakh people in a year .

I think that has been a strong imperative from a social point of view and these are what we are committed to in terms of looking forward. So, I think well on to our overall target numbers, and we are confident of what we should deliver.

Moderator : Thank you, Mr. Amit, for your opening comments. P articipants in the ballroom. Please raise your hand to ask a question.

Abneesh Roy (Nuvama): My first question is on the warranty which you discussed in

the presentation. One is, is there a cost escalation because of this? Because I remember earlier it was more of a three-year warranty. Now you're talking about four years and in some products, you're talking about 25 year warranty on the rooftop. So, is there a cost escalation from a raw material perspective and from a claim perspective? Because obviously if from three years you move to four years. And how

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important is this from a consumer decision perspective given the competitive scenario and the new player was more on fore play and now you're matching that. So, how important and how it will help in FY26?

Amit Syngle : When we have looked at seeing our warranties, we have looked at our formulations and the formulations have been done in such a manner that the overall margins which we derive out of the product, we don't have an impact from a cost perspective. So, it's more a chemistry marvel what we have put, looking at innovation which comes in the formulation. That's point one. Second, warranty becomes a de facto correlation to the quality of the product. So, it's not necessary that every customer will look at five years or ten years or fifteen years of repainting. But it becomes definitely a strong correlation with respect to how you perceive the quality of the product. And it gives you an assurance that if this product is going to be talking of this kind of a warranty, it's looking at possibly giving me this kind of durability over a period of time. So, we think the relationship of the customer with the warranty is very strong. And in fact, Asian Paints were the first one to introduce warranties about 20 years back when we started looking at all these warranties coming into picture. That's how we look at - one cost neutrality and second from a point of view of looking

at these warranties becoming a very strong signature of your trust on durability and performance.

Abneesh Roy: One related question is in terms of advertising the new player which entered few quarters back, if I see their advertisement, they are talking that why continue with the legacy brand and they are trying to connect with the Gen Z and the new age customer. I understand the warranty bit helps from a quality perspective, but how are you addressing this aspect?

Amit Syngle : See overall, today when a customer is buying, customer is today relating to a lot of new stuff in terms of what we are doing. For example, we recently launched what is called Chromacolor which is the world's largest colour system, which offers more than 5,300 shades. This is today the world's best colour system what we have launched. Today we offer more than 1000 shops across the country which offers the best colour consultancy, which is what possibly any Gen Z or a millennial customer would really look at from the view of appropriation when they are looking at it today. I think the most important part is the visualization. The work we do on digital, whether it is with apps or whether it is on our website is absolutely led

through artificial intelligence and looking at all the latest stuff, which comes in from the perspective of what influences the customer. I think saying is something, but people experiencing it is something very different. And as we know it today, possibly

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we invoke the latest and the best technology. So, one technology is signified by the innovation which we are bringing. For example, a product which can last on a terrace waterproofing for 25 years is a sign of innovation which connects with a modern age customer. Secondly, the work around colour consultancy what we do is something which is there. So, we believe that as a brand which has been there for so many decades, we don't have to go on the rooftop and shout that what we are not doing or what we are not changing. We believe we are bringing the customer the latest.

Abneesh Roy: My next question is on the divestment, which you did in Indonesia. Now in international markets, if I see Sri Lanka has been challenging in FY25 and Africa, Egypt, etc. have been challenging now for many quarters. Similarly in Home Decor, if I see you have listed 9 verticals and you have taken impairment losses this quarter and earlier quarters also in some of those. My question here is, are you evaluating more such divestment in international

markets? And even in Home Decor

would you now evaluate whether you need to exist in all those 9 verticals?

Amit Syngle : So, how we see it from a global perspective, right now we are looking at more at consolidation of what we want to do because now some of these units are not of a small size except for South Pacific operation which is a small operation. Our presence in Middle East is now big. Similarly, when you look at Bangladesh and Sri Lanka, the investments are big. We have made the entire foray to ensure that we are amongst the top two players in those countries, that is the belief in strengthening our position. Similarly, when we look at from a Home Decor perspective, I was just explaining the rationale of why Home Décor, because as part of our corporate

positioning we are the only paint player possibly who are into the whole area of home very strongly. There is no one who is appropriating home in such a way of what we are doing. Because we believe that if you are part of the Decor life cycle of the customer, then whether it is a rented home, or a first home, it's a renovation, it's a second home or even a kid's home you're part of the Decor life cycle of the customer very strongly is what we believe. And therefore, I think that's also what we are looking at consolidation. We want to say that in all the brand spaces, if you are not one or two looking at the businesses, we should not exist there going forward at this stage. I think the other foray is to offer a complete solution to the consumer so that we are able to say it is truly decor under one roof who comes in. And similarly, I think in the paint business also, we have looked at waterproofing, textures, tools to complete the overall offering of what we are able to make. But everywhere the endeavor is that if you have to exist, you have to look at number 1 or number 2 position being there.

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Atul Mehra (Motilal Oswal Asset Management) : Hi sir, So, if we look at the current financial year gone by, it is by far like one of the worst financial years we've had in a long time. So, how much of this would you attribute to new competition and how much of this would you attribute to the broader economy? So, that's the first question.

Amit Syngle : If you look at over the last two decades and this is something which I had commented on last quarter as well, we have not seen possibly demand conditions like this in the paint industry ever. So, if you look at the overall organized paint growth, especially in the decorative sector, it is negative this year. And if you trace back for the last full 2 decades, there's not a single year where you have got a negative growth for the paint industry. So, I would say that one would largely attribute it to the slowing down of the market what has happened, demand conditions being very challenging both from the new construction, second from the repainting and third, while the B2B business is good, but it is not compared to what we have seen in the last five years. While we have always seen competition in the market, we've had newer players like JSW and Indigo and so on and so forth which have come into the market. Yes, this year we've seen about 3-4 new other players which have come in the market. I would say that possibly to some extent in a market which is already slow, the intensity of competitive action has been much more as well. I think it is a double whammy in combination of the market slowing down plus increased competition coming from both the existing and then new players.

Atul Mehra : Secondly, given what you said of increasing competitive intensity. So, what is our strategy going to be to defend market share, to defend profitability? So, if you can talk a little bit about how we plan to come out of this competitive environment in a positive way?

Amit Syngle : Our stand is very clear that we would look at playing to our strengths of

what we would like to do in this environment. The whole area of Asian Paints, bringing a certain quality, certain kind of loyalty, certain value to the consumer which is very important because we believe if your value proposition is strong, the customer will buy into it. It's not the question of just discounting. It's not a question of offering something very cheap. It's the value which counts. And therefore, we would continuously play on the value proposition very strongly as to what we want to offer, whether it's economy, whether it's premium or luxury. The proposition is very important what we have been fighting on and which will continue to fight as we go ahead looking at the market. We also believe that we have a very strong network. I

spoke about 1.69 lakh distribution points. And I think that's the other area which we

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will keep on expanding. As I see it, the moment the demand conditions are back, we would see a much better performance ahead. I think from a competitive intensity, some of it will continue, but it has to be counted only to an extent possibly that it doesn't go beyond a certain value in what we are able to offer to the consumer.

Latika Chopra (JP Morgan) : Just extending from the previous comment that you made, you know clearly that competitive intensity is going to stay high. Just want to get a sense do you see a downside to this 18 to 20% margin guidance that you have shared considering there is more need to spend in the market whether in terms of increasing the brand loyalty, visibility, improving the value proposition further, probably investing more in the market. Any thoughts on that how are you thinking about it?

Amit Syngle : There is no two ways about it that possibly you will have to spend more in the market very clearly. So, whether it is from building the brand or whether it is

from seeing that you are present across the country, distribution depends of what you need to make. Or looking at elasticity of your pricing of how you want to behave vis-a-vis any other competition. And therefore, we are still very confident that today, as we are going ahead, there are series of things as an organization which we have taken up, whether it is a very big area of backward integration which we have built in. And as I said that we saw it coming earlier what was going to happen in terms of the competitive intensity and we invested earlier. So, not only this, but we have also unleashed three of the backward integration initiatives which are already in operation right now. Two I spoke of, which are going to kick in now and next year as we see it. That is going to bring us a very strong cushion for some of the spend which we are going to make in the market. Second, we are constantly working around looking at sourcing purchasing efficiencies in what is there, given the fact that you are able to buy materials at scale. I think that is something which is going to be very important looking at as we go forward. And therefore, we are looking at definitely some saving which comes out of that to spend money in the market. And the third area is, that these times call for very strong cost efficiency measures, which would be in the way we spend, the way we look at our existing models and redefining our model. So, we've already kicked in an exercise to look at what we can do in that space. And the last area which is still getting comforting now is, we've seen a deflation in the last quarter. We see in the current quarter also there would be a deflation of about 0.5% to 1% what would happen. I think all these are good arsenals to give us good spending power in the market at the same time maintaining the guidance which we have and are going to maintain.

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Latika Chopra : On demand, you gave 3 reasons why, FY25 was soft for the category, you know, new construction not being as much. Second was renovation, you know, intensity

was probably not as much high, which is repainting. And the third one was you would have expected B2B to have done better. Now as you look through FY26 or sequentially, as you're going through this quarter or how you exited the March quarter, which of these three you sense is going to pick up first? And is there a hazard, a guess, where you would land or the category lands in FY26 because FY25 was a negative year?

Amit Syngle : When we look at FY26, there are some good areas which are occurring of what we are seeing. First, what we are seeing from the last third and the fourth quarter is the government spending is coming back which was disrupted in the first half because of elections or otherwise. And that is a very big source today. I think as Asian Paints, we are looking at any other airport, tunnels, bridges what are happening. That is something which we look at in terms of contributing to that extent. And we feel that is going to give us a good gain from our whole B2B business which is going to come up. That is one area which we are very confident and that is something

which is going to increase. Second, we also see that the mid-to-luxury housing is going to flare up as we go ahead. We are already seeing second homes coming up in a very big way, this thing which basically gives a flip to the premium and the luxury products in a very big way. And that is something which we see will go up. Third T3-T4 is a good indication while looking at some of the rural demand coming back. And given the fact that last year was a good monsoon and we are looking at a predictability of a good monsoon coming further that is another big bright spot which would auger well going ahead. Given these factors which are there, you know unless there is a geopolitical event which really looks at spoiling this trajectory, we think FY26 should definitely be much better. But obviously there is a caution till the time we really see demand really picking up. We are still being overall cautious in what we would look at. But the idea is to aim for single digit value growths for the year FY26.

Latika Chopra : And if I could squeeze one on CapEx, because you mentioned Rs 3000 odd crore, if I heard correctly on futuristic emulsion plant that you're putting up. I think between FY26 and FY27, any colour on stand alone out and consolidated CapEx for FY26 and FY27 for Asian Paints?

Amit Syngle :

Already about a year and a half back we had announced our overall consolidated CapEx which was about Rs9000 crores in what we were spending. If you look at it today, we have been able to spend a considerable portion out of that till

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FY25. As we look at FY26, our overall CapEx will be complete from a white cement perspective. It's only part of the VAM VA E plant CapEx which is going to go till FY27

which would be left out of Rs 3000 crores . I think that would be something which would come in this years. From a standalone and a console overall CapEx this year we would be.

Parag Rane : We are expecting about Rs 700 to 800 crores outflow this year and probably a similar number next year.

Jay Doshi (Kotak Securities) : Hi, was there a conscious decision to improve gross margin in this quarter because you know the sequential improvement is fairly impressive and on the other side you're under performance versus market is also increased or maybe some of the companies are yet to report. Do you think you may have lost some market share because of this gross margin focus?

Amit Syngle : The gross margin improvement came at two levels. One was the deflation which happened in the market and second, what we see is that the raw material efficiencies which have been built in, with the work which we have done . So, I think the improvement came in from the point of view of looking at cost from a raw material perspective which basically jacked up. I think the bonus came in from the point of

deflation which was there in the market, which gave us the overall gross margin improvement. I think from a overall share in the market as I said that we will have to wait for all the results which would come in for Q4. But given the fact that we are talking of market being negative, there could be the possibility of some loss which could have happened to some of the other existing players or some part to the new competition as well.

Jay Doshi : Sure , second is just clarification, single digit value growth for FY26 that is your outlook for the category overall industry or for Asian Paints?

Amit Syngle : For Asian Paints .

Jay Doshi : Okay. And you still maintain 18 to 20% consolidated EBITDA margin guidance?

Amit Syngle : That's right.

Jay Doshi : Finally, one year ago, most of us in this room would have probably expected Asian Paints to defend market share better when the new entrant came in.

And we would have not expected the consolidated EBITDA margin to drop below 18%. So, I mean, when I look, at the end of the year with hindsight benefit, we feel that, you

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know, this entire thesis has not played out , maybe number two , number three player have defended market share better. So, what do you think has played out this year which you know resulted to these outcomes .

Amit Syngle : The factors which have been played are multiple as I said. First of all, given the fact that the overall market has not played up to that extent . We did not anticipate possibly the kind of competitive intensity which would have come up given the fact that demand was not there and everyone was fighting for the same share.

And given the fact that possibly you have a certain share, you were possibly coming under glare from all the competition. So, it's not about one competition, it is about everyone really fighting for the same pie. Second, what we see is that possibly when you look at the price elasticity and when you look at from fighting the competition on a certain pricing level, you would be very clear that you would go to a certain level which is sustainable, and you will not go to a level which is unsustainable. I don't

think so it is a year's game. It is a game of looking properly at the next three years as well in how it pans out because I think some of those performances can be just a flash in the pan in what we can see of what is really happening. I think sustainability is more important. We could have guarded the share much better by spending some more money and so on and so forth. But one thing is very clear is that you are looking at possibly an area of sustainability, that you want to maintain the market share when you look at possibly even preventing your share erosion to some extent.

Jay Doshi : And this strategy will continue even going forward that you will not want to respond on pricing or because we are getting into a deflationary environment.

Amit Syngle : It's not that we are looking at saying that we have not responded on either on the pricing or in terms of the product innovation. As I said, we are focusing very clearly on looking at the value proposition. It will not be singularly only on the

price to that extent. What is the price which the customer is willing to pay for a certain quality and for a certain brand which they have in mind. That is something which we are playing the card because there is a certain inherent strength in the brand. We also want to spend a lot of money with respect to building the brand further. From that point of view of either consideration to buy or from a share of search and that is strong and something what we want to maintain. Therefore , it will not be that you are not reacting, but you're reacting not in possibly a more predictable way what the market expects.

Shirish Pardeshi (Motilal Oswal) : Just a fear we have been losing a lot of front -end mid level management teams. Is there some

ewhere I mean it's a perception which I'm  
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developing that somewhere we are defaulting in execution and that is also creating a challenge for us that we have been losing I don't know whether it is key or better skill set, but is it that worry you at this point of time?

Amit Syngle : For any organization, it is important to keep on looking at saying whether your strategy and execution skills are syncing together in the right way. And as we are looking at in the market today, there are definitely areas which we are trying

to strengthen, whether it is distribution or whether it is servicing or even from looking at how we want to build capabilities into our people going forward. So, I think that is all part of looking at how these execution skills will come in. What we are very clear

is that given the fact that we know the market, we know our dealer relationships are strong, to that extent we are looking bringing in more technology. So, we've got a

Salesforce.com what we've implemented as part of our technology so that we are able to service the market better. At the same time have an internal productivity what we can look at. Similarly, looking at dealer coverage, dealer opening, dealer servicing

in a certain period what we can do, what are the pluses of what you can incorporate going forward. So, we definitely are re-looking at some of those full areas in terms of execution so that we don't lag in those areas as we go ahead.

Shirish Pardeshi : In the new product contribution or innovation, you gave a number of 14% sales. It has three -part of questions. The first is that if you can elaborate, what is the entry mid economy premium split in terms of volume value? Second, is this overall mix 14% what is the deviation if our gross margin is 42 % on average, what percentage of business is below that? And third is, is it really a conscious strategy we played to develop volume? And at some point, do we take a call that okay, now this new product has to come in Rs 300 plus or Rs 400 plus or Rs 2000 plus per litre a segment?

Amit Syngle : The innovation in terms of the new products happen across the economy premium and the luxury space. In fact, if you look at it the larger plethora of products, basically I think about 60% of the products will come in the premium to the luxury space what we will introduce. And therefore, even from a point of view of contributing to the gross margins, that would be similarly that same range of what they will contribute. From a division point of view, today like last year also we have looked at in terms of launching a plethora of luxury products what we have come in because there is a constant kind of foray in looking at premiumization, in terms of what we want to achieve.

But at the same time, we introduced product called the Neo Bharat, last year, which was more at the bottom of the pyramid level. But the larger contribution definitely comes from premium to luxury. And that has been the kind of

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foray. And that is how the contribution also gets affected on how we would look at in maximizing the sale for premium luxury. It's just that last year we have seen a little bit of a down trading which has been happening. And that is why the mix has not been so great what possibly we would have really seen overall. And as we keep on going, I think the innovation comes in from identifying the consumer gaps in terms of what people are looking at. So, it's not that I will just pre decide that I'm going to launch a product at an X rupees per litre. What you clearly look at mapping is how the market gaps from a consumer kind of buyout, how it is kind of really panning out. And then you would look at possibly expanding that price point from a new product or innovation .

Shirish Pardeshi : This 14%, how much percentage was interior or exterior?

Amit Syngle : Largely it would come from interiors about 65% would be interiors  
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oughly.

Sheela Rathi ( Morgan Stanley) : Hi Sir, you talked about the distribution reach of 169,000 for us . As we go ahead, do we see any, I mean where I'm coming from is FMCG company says that the total reach possible is 12 million, with respect to paint sector what is the maximum potential we can get to ? And you know earlier you have talked about expanding into markets like J&K. So, are we going for smaller dealers now versus what we have been doing in the past or smaller towns? Just want to understand the potential with respect to the distribution reach because everyone is talking about it.

Amit Syngle : We must remember that today the Indian market is expanding very fast.



The consumption levels today is across the length and the breadth. So, suddenly if you've seen that the kind of infrastructure which has come in Northeast, suddenly the whole market has exploded with newer touch points which have come in, which were never accessible earlier. So, those are all new touch points which have come in and there could be about thousand touch points which have come in. Similarly, if you look at markets like the Jammu and Kashmir now the moment the normalcy comes in, there are more touch points.

Similarly, when you look at any of the metro towns,

you know the suburbs keep on developing much more and so on so forth. Kerala is now like one city, there are largely not any differences between one city and other

city. Then there are these whole smart cities which are coming out today. So, we feel that every year there are new touch points which are coming up given the fact that we keep on looking at towns with a certain population where the representation is not there. So, that is how we define the potential in terms of opening more towns and so

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on and so forth. Yes, a larger number of dealers which we are opening are smaller dealers given the fact that they are in smaller towns, smaller cities or in the suburbs.

But at the same time today if you know there are opportunities which come in like I mentioned about a Northeast or a J&K, we possibly even look at counters who have never dealt with paint earlier. So, it could be just a cement counter for example today that itself offers you a huge potential because there might be 1,00,000 touch points of cement, paints, guys who have not even expanded or they never sold paint.

So, I feel that the potential today is immense and we ourselves look at possibly a very large number every year in what we are able to take on. So, if you ask me frankly saying that will it stop at 2.5 lakh? No it will not.

Sheela Rathi : How do we decide the number of 5000 or 10,000 dealers in a year? Is

it a function of incremental growth we get from them? I mean, how do we arrive at a number of how many dealers to add in a year?

Amit Syngle: We do a scientific cluster analysis in seeing a representation in terms

of the reach to a particular consumer. So, in that way, we would really look at saying that these are the minimum counters we would really need to cater to a certain

population of a customer in a certain cluster in how it comes up because it is essential that today's world when people don't want to travel and the whole area of

saying that I want convenience at footstep, I think that's becomes a very big area in

looking at that cluster analysis. And secondly, the newer towns are full opportunity areas where there is possibly no counter. We would like to open a counter so that we can give access to that town availing the set of paints. Consumer reach is something

what we read take as a very finite parameter in looking at how many counters do we want. Because essentially, we would not also like to say that we keep on offering or

improving the counters only in one cluster. Well then it will only distribute the sales. It will not increase the sales going forward.

Sheela Rathi : Sir, the second question is you've answered

this question before also.

So, you talked about the organized sector not doing well, in fact negative growth for the organized paint industry. What in your estimate now, the size of the decorative paint market? If we include waterproofing, putty, everything, where are we now there and what would be the share of organized and unorganized?

Amit Syngle : Roughly the overall paint market size if we take waterproofing and putty

everything would be about Rs 80,000 crores what we see in overall size. And I would say that from a value share today 75 to 78% is organized. So, that's how I put that as the size of the organized market.

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Sheela Rathi : What's the whole idea behind Nilaya Anthology?

Amit Syngle : Okay. So, if you look at the whole germination of the paint industry,

largely the presence has been more from a point of view of economy to mass premium to premium. Today if you look at luxury homes, if you look at possibly the

top 500 HNI families in India, they would really look at getting a lot of things from outside India by either travelling to Italy or travelling to Germany and looking at really

purchasing a lot of stuff from there or looking at seeking something which is exclusive, which is bespoke, which is limited collection kind of a thing. And it is really in the arena of super luxury in what it translates to. Similarly, if you look at from an

architect interior design community, if you look at the top 300 to 500 architects' designers today, they look at possibly seeing something which is very different, which is unusual, which is again limited in what it offers. And that is why we have looked at possibly saying that when it comes, both Surface Decor and Home Décor can we have something which comes in and sits at this place so that we are able to get these

HNI's and these top architect and designers to come and get that feel of that luxury and purchase from there. With that intention we have looked at basically making it as international design destination for global luxury. So, I talk of confluence and design. We have the best of the Indian decor items that we have put, it could be the kitchen, it could be a furnishing range, it could be the wallpaper range, texture, artifact what would be there. And from the best of the world. For example, this space harnesses the best from say, Denmark to Portugal to Japan to Italy. So, the best of the design, artifacts and the home decor items which come into this space. So, it's basically a confluence which seeks the best design and gets the right kind of people who are looking for very limited collection in the area of global luxury. Right from texture to furnishing to mosaics to kitchen to furniture to bath to Sabyasachi, everything is under one roof. And this is we think is the first time in the world someone has created an infrastructure like this.

Rohan (InCred): One is on the competitive intensity while a lot of let's say the attention has been towards the newest entrant, would you say other players like let's say Jo tun Paints, Nippon have you seen competitive intensity step up from them as well or would you attribute most of it to the newest entrant?

Amit Syngle:

When you look at the players you just named, I think we are seeing definitely that they have been affected the most by the newer players. In fact, there was a time when they were possibly following the same route as some of the newer competition is following now. And as I said that path is sometimes not very sustainable. And after five to ten years of existence, they've realized that the path of

just spending money and buying sales is not a great path. And that is how now they are really facing the crunch in terms of possibly not been able to grow the market to that extent. In fact, we have seen possibly in some of those brands the maximum battering down has happened this year. So, possibly it is a combination of exist

ing

players and some of the new players who have come in, which are adding to the competitive intensity, not these two.

Rohan: You also mentioned down trading earlier. Would you attribute it more, let's say from customer shifting preferences from premium to economy or shifting brands completely?

Amit Syngle: How we are seeing is that there are some consumption trends which are changing also in the market which is there, people are now differentially possibly spending money, whether it is on travel, food and so on and so forth. There are much larger spends happening in some categories like hospitality and so on and so forth. We are also finding that overall view of the market, there has been a liquidity crunch, especially when it comes to looking at some of the renovation businesses in Home Decor and the painting business and so on and so forth. Given the fact that there is a little bit of a crunch, there is a postponement which is happening. This year possibly on the repainting there has been a bit of a postponement which has also happened. And given the fact that if some people are constrained to really do it because there is event at home or there is something which is there, I think possibly today some amount of down trading will happen from person saying that if not luxury I'll take into premium product or if not premium I'll buy into a good super economy product. So, I think that is the trend what we are saying that possibly given the liquidity, given the fact that there are also varying requirements where you are spending. I think that is what we are seeing as a little bit of a down trading which is happening across.

Rohan: Sure sir. Just the last one on the industrial business on a full year basis, we've been able to maintain margins in the automotive segment, but we've lost some margins on the non auto side. And if you see the recent strategy briefing by N erolac, they had spoken about structurally improving their industrial margins in the India business going forward. So, just wanted to understand where do you see margins standing for both of our PPG JVs and the overall mix of industrial going forward for us?

Amit Syngle: In fact, you know today the auto and the refinishes margins are the maximum of what we garner. And we cater to a lot many customers across. But I think our margins are very strong in both the auto and the refinishes.

I think the margins

basically come under some pressure when you look at categories like powder and

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protective paints or even a Road marking paint. Some of those categories are more prone to possibly lower margins as compared to auto and auto refinishes.

Moderator: Thank you so much for your questions. We now further move on to participants who have joined us via Zoom video platform.

Mihir Shah (Nomura): It's been about nine months since we've seen, very low volume growth in the industry or deco r. How should one think about volumes going forward?

Do you see that it's been enough time for this week demand and should one expect double-digit volume growth to come back? Is it a possibility that you're thinking? Is it in your assumptions? Also, it can be supported by the lower base, or do you think that there is still high inventory in the channel? Or there are new stocks from other players in the market that can limit, possibility of double-digit volume growth in the coming year ?

Amit Syngle : See, as I said, you know currently given the overall environment, I think we should be more practical in looking at what is the reality in the market today. I think today we are hearing across brands that demand conditions continue to be sluggish. We don't see really acceleration in the demand and particularly when we see the overall home, home construction segment, we are not seeing that a crazy demand is coming. It might be towards the infrastructure side , as I mentioned that we would see a more flurry

of the overall demand and in consumption which will come in. From that point in view today, I don't think so that we should just say that we are gunning for double digit or something like that. I think we should really be watchful and look at possibly saying that what you are gaining , what is achievable and what you are kind of really targeting which is aligned to your strategies of going forward. So, I think from that point of view, I would still say that at this stage, I think single digit value growth would be a more good stronger imperative in how we would look at going ahead in the market.

Mihir Shah: Secondly on crude, has corrected quite a bit, what are your thoughts on the possibility of price cuts or making paints more affordable? Would you think that will be a factor that can drive up volumes or do you think higher dealer margins can lead to better volumes for you? Any study on the current situation on both these aspects that you can share will be very useful.

Amit Syngle :

So, you're right today if you look at from the point of view of crude, the prices have come down and trading at one of the lower levels. Similarly, we have seen the rupee dollar parity which had basically gone to a certain level and now starting to

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come down. I think the whole volatility in the environment is very high now. At this moment I don't think it would be really appropriate to take stances in looking at either decreasing or looking at prices in very different ways . I think we need to have patience. We don't know what the second salvo of tariffs is which are going to come after 90 days of this reprieve which is going to happen. And we don't know how the geopolitical conditions will pan out. At the same time, there is also the talk of some anti dumping duties which are going to come in for some of the raw materials which is being spoken in the market. So, I think we'll have to wait and watch and see how these things pan out and maybe then take calls going forward, it's too early to say that you could take up price decrease going forward.

Mihir Shah: The difference between volume and value has increased from 8% versus 5% that we had seen in earlier years. Should one take this as a new normal until the high value growth, high value paint, category comes back?

Amit Syngle : I had commented last time also that we are aiming that this should not be more than 6%, as we see it this time it is between 7 to 7.5%. The endeavor is very clearly, as we look at our product mix very strongly and the intention would be to get it within that band of 6%.

Tejash Shah (Avendus Spark) : Five years ago , if you were told that the re will be sharp revival in urban housing and the K shaped recovery again favoring urban consumers and on top of that under your leadership our extra focus on participating in B2B business we would have thought a very strong scenario for Asian Paints in the next 5 years , or 20 to 25 years and also for the industry. So, all th at macro indicators are very strong, but somewhere the paint industries have decoupled from some of those macro indicators?

Amit Syngle : See actually if you look it 's not only the paint industry right now, if you take the entire home industry, I think everyone is affected. It 's not just paint part you've seen today it 's also the cement business that's r esizing . We see steel where it is going. I think overall if you see components from construction categories to in home categories, we are not seeing any big amount of inflation. For e xample Bath, all the current players, whether it is Cera, Parry, all the other players are not looking at any big growth. W

hat we are seeing is that it is pan home categories and construction categories which have not grown the way possibly we had anticipated. A lot of stuff which has gone into the infrastructure, for example, the number of airports which have come in or the consumption, which

is going to happen at railways, defense,

some of this sectors is something which we are looking at rather than just looking at the home segment. And that is why you are seeing the inflation from our industrial 40 | Page

sales. But having said that, today I think the whole area of, the A was Yojana, which the government had put for affordable housing and from the point of view of mid to luxury housing are some of those avenues which are going to come around as I see it from a cyclicity point of view. We are really banking in some of those parameters now kicking in, which possibly kicks in from the retail construction growing and then pepping up all the categories around home.

Tejash Shah : Have we done at our level or industry level, any studies where we compare per litre pricing of paint versus per capita income of some of the developed markets versus us in terms of index? Because optically as an analyst, I can see that collectively the industry has improved margins in last 10 years, but have we somewhere made the affordability quotient, which has actually led to compromising the industry growth at broader level? Just tangentially asking the question there.

Amit Syngle : So, see, if you look at the per capita consumption of paint in India is much lower as compared to any of the Western geographies. So, there is potential in looking at increasing that consumption. Which means that if you can get more households to either consume paint or even if you look at increasing the frequency of painting, both will improve the per capita consumption of paint. And I think today as a leader, we have been looking at some of those imperatives. For example, we have looked at various avenues where you can ask the consumer to repaint his house at a higher frequency. It could be just two walls; it could be another room. Or it is even with respect to possibly looking at, seeing that there are other avenues what you can offer so that the per capita consumption can go up. That is still a big opportunity for us in India.

Tejash Shah : When we compare per capita consumption with developed markets, the ratio is actually reverse than us in terms of industrial be 70 -75% versus ours is actually 75 % deco. So, in deco we are as not as much under indexed as it overall number shows. Is that understanding, correct?

Amit Syngle : The industrial markets across the international geographies, especially the West, is much more developed. And infact the ratio there is 70% is industrial and 30% is Deco r, whereas in India the ratio is the reverse. We believe that with the rate of industrialization, the way government spends are in infrastructure and other things, I think today we are seeing that trend in industrial contribution seems to be going up. As I said, we have seen for the last two years, the industrial growth being very strong the way they are coming. So, possibly we are inching towards, the

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industrial contribution going up, but I think very far away from where the Western world operates in.

Manoj Menon (ICICI Securities) : When I look at the overall performance, let's say +2% volume , revenue decline of 5% , margin contribution higher or rather gross margin higher, is it only to do with COGS or is there any other up or down elevators here?

Amit Syngle: It is only COGS .

Parag Rane : In this quarter, we had some benefit of past price increases which has flown through. So, that's marginal benefit also in this quarter.

Manoj Menon : Okay. And one I would say clarification. So, when I look at the volume versus value, I understand the philosophy which you follow in terms of volume which is largely tonnage. Honestly after a point in time it become meaningless, right. I mean when you have such a huge divergence when we have a probably a globally accepted metric called underlying volume growth where you could actually debase or rebase to have mix included in the

volume. Is there a reason why, is it we don't want to follow that and just stick to the tonnage bit here?

Parag Rane : This question gets asked often, but I think in our business tonnage still makes sense is how we see it on a like to like basis , not really comparable with other FMCG industries which do underlying volume growth. And to be fair, I think most of the other players also do not disclose any volume numbers as well. So, to that extent, I think what we disclose is apt.

Manoj Menon : And that's a fair one for the industry. Thank you and good luck, Sir.

Atul Mehra (Motilal Oswal AMC) : Sir my question is, as a 60% market share player, anybody who is like 60% market share, it intimidates competition and potential new entrants. So, from the perspective of perhaps the strategy or the board, to what extent are we willing to go to retain market share? Like maybe it could mean that you cut your margins to much lower levels

for a year or two just to defend market share

and scare competition. So, to what extent are we willing to go or we are okay with seeding market share and maintaining the margin?

Amit Syngle : I don't know the number which you're quoting is your calculation what you're making. But what I see is very clear is that from the correlation between market share and margin

, we are very clear that we should look at something which is really sustainable going ahead. There is no point looking at artificially trying to do something  
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in the market which possibly finds that after about a year, year and a half you're not able to sustain. I think the approach which we are following is very clear that if you play to your strengths, you play to in building the brand, if you look at possibly offering customer the best value proposition. And I think if these actions give you the best retention of share or even gain of share, possibly that would be the best route to take. Just irrationally going after saying that I want to prevent the share at any cost whatsoever might not be a good approach.

Abneesh Roy (Nuvama) : When you were discussing the white cement plant launch in June, you said this is the first foray into cement. Is there any desire that longer term, just the way cement companies have come into paints, you would have some desire of it in terms of being open to it? I know this is something not in the near medium term, but your specific comment first foray into cement, what does it mean?

Amit Syngle: So, it was just to amplify the fact that it was, I didn't say first and only I said first foray into cement. So, we would like to first see how this goes because white cement is very different which goes into repairs, Putty, into a lot many other segments like sanitary and so on, so forth. So, we would really want to see that first we get this thing going and then examine if possibly there is any other desire to get into any other cement in future.

Abneesh Roy : In VAE you are among the four companies to have that capability in March of this year, and you have discussed the differentiated products which is possible once you have that, will that be essentially in the top end? And if you can give some more colour to it, what exactly is the untapped or white space left in terms of your product portfolio? How can it help?

Amit Syngle : Actually, you know from where the emulsion comes in, its the versatility of that emulsion which can be used from economy to premium to luxury. The versatility it offers is very good because one, it is essentially environment friendly, low VOC, no smell which comes in. And the other thing is that it can offer paint properties which can be very different at a cost which is unbelievable. So, I think the opportunities it opens is pretty high in what it does.

Abneesh Roy : Obviously, currently in India, no one has that right ?

Amit Syngle :

People import it. It is not something which is available in India. People import

it from outside. But I think the whole equation changes once you are making it because you are making the monomer and you are making the emulsion as well here. So, the whole cost efficiencies change drastically. And not only that, today there is no paint company making it across the world. Once the paint company starts

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making it, then you can be tailor that requirement to your need so that you can possibly align it to a certain property to what you want.

Moderator : With that, we come to an end with our Q&A session. I thank everyone for actively participating in the same. I further invite Mr . Amit Syngle to give his closing remarks.

Amit Syngle : Thank you so much for taking the trouble and coming here and its been a great talking to all of you. Hope to meet you next time with much better numbers as we see. Thank you.

## Call: Aug 2025

National Stock Exchange of India Limited  
Exchange Plaza, C -1, Block G,  
Bandra Kurla Complex, Bandra (East),  
Mumbai – 400 051

Symbol: ASIANPAINT APL/SEC/57/2025-2 6/6

2nd August 2025

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai – 400 001

Security Code: 500820

Sir/Madam,

S

Subject: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Investor Conference

P

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor Conference held on Tuesday, 29th July 2025, with regard to the business and financial performance of the Company for the quarter ended 30th June 2025.

The transcript

has also been uploaded on the Company's website and can be accessed through the following link:

I

Investor Conference – Transcript

Y

You are requested to take the above information on record.

Thank

ing you,

Y

Yours truly,

For

ASIAN PAINTS LIMITED

R J

JEYAMURUGAN

CFO & COMPANY SECRETARY

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Encl.: As above

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Q1 FY2026 Earnings Conference Call Transcript

Date: July 29, 2025

Management: Mr. Amit Syngle : MD & CEO

Mr. R.J. Jeyamurugan: CFO & Company Secretary

Mr. Parag Rane : AVP - Finance

Mr. Lakshya Sharma : AGM - Finance

Disclaimer: This is a memorandum of the proceedings of the Investor Conference of Asian Paints Limited held on Tuesday 29th

July 2025 at 5: 30 pm in Mumbai with regards to the financial results of the Company for the First Quarter ended 30th June 2025.

While we have made our best attempt to prepare a verbatim transcript of the proceedings of the meeting, this document has been edited for readability purposes and may not be a word -to-word reproduction.

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Lakshya Sharma : Hello, and good evening, everyone, and thank you for joining us today for Asian

Paint's Q1 FY26 results call. I'm Lakshya Sharma from Investor Relations team and it's my pleasure to welcome you all. We are joined today by senior members of the management team, including our MD and CEO, Mr. Amit Syngle, our CFO and Company Secretary, Mr. RJ Jeyamurugan and Mr. Parag Rane AVP Finance. I would now like to invite our MD and CEO to give us his opening remarks. Over to you, sir.

Amit Syngle: Good evening, everyone. Welcome to our earnings call for Q1 FY26.

The core value at Asian Paints, as we have been reiterating every time is about delivering joy since 1942. We exist to beautify, preserve and transform all spaces and objects, bringing happiness to the world.

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Let's go on and hit the results in terms of what they have been. So, obviously the environment, as we have been seeing, some of the overall demand being depressed over the last three or four quarters, we saw a slight uptick in demand sequentially and both T1, T2 cities and T3, T4 cities, we were seeing almost equal demand conditions.

Overall, the early monsoons which came in June were a little bit of a dampener which affected some of our business in coatings. However, industrial business has done well, and this is the story for the last two to three quarters that industrial business is definitely doing quite better.

When we look at from a decor business point of view in India. Overall, the volume growth has been decent. We've got about 3.9% volume growth over the Q1 of last year, which was also at about 7.1% volume growth. When we look at the value number, the value is just about -1.2%. So, just falling short of possibly hitting the base.

When we look at putting the industrial numbers along with this. So, look at the overall coatings piece, the volume goes to about 4.2% and the value is just at about the base of what we see. So, obviously the industrial business has grown almost close to 8.8%. That is kind of pepped up the overall coatings business as we see the final outcome. So, this is where we lie in terms of the overall revenues, and how it looks from the overall business in India.

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If we were to just kind of translate into overall volume trajectory, we have been sharing CAGR numbers with you and the CAGR numbers are obviously very strong still. But when we look at the trajectory, from a trend of the last three quarters, it has been weak in volumes. This time the volume is good, and you would have seen that the volume value gap has also come down in a strong way. So, overall, this is the trajectory of what we have seen over a period of time on the volumes.

Some of the leading indicators of what we see in the market. First, as I said that April and May the demand was still better, it got strongly impacted by early monsoons. However, I think the silver lining was that we saw some shoots of demand coming up in urban areas which was down, and we hope that it continues as we go ahead. In Q1 if you look at the overall mix, some of the product segments

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which have done well, economy emulsions has done well. The waterproofing business, which is under the brand Smart Care is something which is another one which did well. Exterior textures, wood finishes, these were areas which have done quite well. When we look at luxury emulsions, I think here we did not do as per our expectations. Overall, we found that there was a little bit of down-trading which was happening in the market here as we saw in this quarter.

The areas we continuously keep on looking at, our distribution footprint and this is now closer to about 1.7 lakh retail outlets. So, it is something which is continuously growing, and we continuously nurture in terms of looking at the way we want to expand. The projects, the institutional business, which is the B2B business, saw a little bit slowness and was also affected in June because of the exterior painting getting affected. However, I think some of the areas of government, builders, factories - those are the segments which did well for us. CHS, which is the cooperative housing segment, was a little bit down, but traditionally this business has done well overall. This time in this quarter, it was a bit slow.

When you look at the area of our services which has been a strong focus. And it's a strong differentiator that as a paint company which we are putting in the market. Our whole painting service is something which is going strong. We have a strong NPS which comes in and we have a large footprint now across the country where we are able to offer these services. So, this is something which we are truly growing, and which is doing well for us.

In terms of new products, one of the key focus the organization has taken is that innovation is the route we will continuously take. We've been able to introduce lot many new products, new propositions to excite the customer and given this is something which we closely watch, and the

good news is that the new products continue to contribute a strong percentage to the overall revenue. This quarter we saw about 14% contribution coming to the overall revenues from the new products.

The other big, differentiated strategy Asian Paints has taken is the area of backward integration for the various projects. We have put a very strong project of VAM VAE emulsion which is the new age emulsion which is coming up in Dahej and we have put up a white cement plant which is coming up in Dubai. Both projects are on track in terms of how they are going. These are big projects where significant CapEx has been committed. And we see that today as these projects come alive, we will be able to really see not only differentiated products but something which is very different for the customer given the quality of this emulsion and other things we bring, but also a strong stroke of cost efficiencies, which will basically look at, definitely adding to the bottom line as we go ahead.

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So, these are some of the areas where we have done overall quite well.

If you look from a point of view of premium emulsion, this is All Protek which we introduced last year.

This is where we put our weight behind from a marketing point of view. We had a strong ATL on this.

It's a differentiated technology which we call as a Lotus effect technology and a strong brand ambassador to really push this area. And we are speaking of something which is new, which the market has never spoken of. It is not about removal of stains; it's about walls not getting stains at all.

So, I think a very differentiated proposition which has done well for us, and it has also given us strong volumes across markets.

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We have been now putting on a super luxury brand which is Nilaya over Royale which is a luxury brand. And we have launched an emulsion which is right at the top end, a differentiated emulsion which no other company has. And this is called Nilaya Arc. This really gives artisanal matte finish. It's a lime based organic paint which comes in with a very differentiated proposition, which is liked by architects and designers in a very big way - 200 shades, 10-year warranty. So, it has got all the ingredients for the Super Lux segment.

This is another area for exciting consumers, this is our royal play textures. These are inspired from some of the Wallpapers, and these are really world class textures which we are bringing. A space we are way ahead in terms of the market in terms of giving customers a decor element which stands out for their homes and makes their homes come alive.

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Overall, from a point of view of regionalization, which is another big strategy, we have started regionalizing our packs and invoking the culture of that state and that region, in a strong manner.

What you see on the screens is our luxury product Royale Glitz which is there for the Orissa market basically the pack has been altered to take the nuances of the culture tradition which has been in Orissa. And this is a story which we have been strongly backing up in terms of lot of regional things

which we are doing. Last year we did for J&K, West Bengal, Tamil Nadu and lot many other markets. So, this is new to excite the market in terms of the way the consumers are taking pride in showcasing this can, what possibly they buy because there is a belongingness which comes in very strongly. Not only this, we have introduced regional shade guides which are there which is appropriate colors of the region strongly. And we feel that this is another step of what we have taken which pushes us in the arena of decor and looking at invoking regionalism in a very strong way. So, that's the other regional initiative what has been done.

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Apart from this to excite the economy segment also and to excite some of the other segments even in the premium range, we have been launching variants, and these variants are packed with quality, which is far better in terms of what possibly the competition offers. There's a 10% additional coverage, there's larger whiteness and the product feels much better in the overall look. And this is something which we have done across a range of products. And this is a new Ultra range which we have introduced all across which also makes the customers happy and the retailers getting higher margins in some of these areas. So, that's the new range of Ultra which has come in.

Along with this we feel marketing propositions is a big area taking the VFM segment which is the economy emulsions and we really unleashed this whole campaign which is on the low budgets and

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long life what it speaks with a very strong warranty which comes in both for interior and exterior. This campaign was launched during IPL, and it has done extremely well in terms of a) amping up our share of voice and b) in terms of possibly the consideration to buy from the customer. So, this is something which has generated a lot of excitement.



The other big area which we are doing is the Asian Paints relationship with technology. Asian Paints, they're looking at areas of contemporary things which we are doing, and which is world class. So, a new campaign which is Socha Bhi Nahi Hoga, which is about Sab yasachi Wallpapers, it is about Italian textures, colour app which can help you decide the shade and really realize what you are doing on the walls and literally looking at making everything possible as a colour expert for you going forward. So, something very contemporary, which is modern, something which people relate with technology and something which they really enjoy in terms of making their homes come alive with . So, this is something which we looked at coming around strongly and we celebrated the World Interior Day by launching this.

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When we look at our home decors foray, we have been pursuing this for a while now. Overall, , we are the number one integrated Home Decor player now in most of the categories, possibly amongst the top players. We have now about 72 beautiful home stores spread across the country.

However, what we have been seeing is that definitely this business has been slow and it has been slow in the last two quarters as well as we have seen, this quarter was also under pressure given the discretionary spends.

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So, kitchen was literally closer to base. Bath was on a little bit of decline with small losses numbers coming in both. But this is something which we are still pursuing, and we think we will need to turn around.

Even the White Teak and Weathers eal had contrasting results. Weather seal where we introduced system aluminum and other innovations has done well , strong growth has come in W eatherseal. However, White Teak have struggled a little bit, and this is something which we are pursuing with great rigor of how we need to channelize this further. So, that's some of the categories in terms of what you see.

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This is a glimpse of some of the beautiful home stores which have come in. We recently launched a store in Rajasthan, which is about 7000 square feet. Earlier, we've launched 2 big stores in Mumbai, 1 is in Borivali, 1 is in Bandra. So, overall, I think a lot of presence which is coming in state- of-the-art stores with absolutely great retail journey and technology in terms of what we have put in and great locations where we are putting this up so that basically the consumer footfall can be very strong. All the beautiful homes do very well with respect to the decor categories and how they are growing. And that is a strong reason for us to persist with the strategy going forward. Because this is also helping some of the coatings dealers to diversify and start looking at possibly larger reason to stay with Asian Paints as we go ahead. So, that's the area in terms of beautiful home stores.

As you see, one other area which we have opened is the Nilaya Anthology. It is an international design center in a way. It is something which is literally a center, a nucleus for culture, art and design. Something which stands out as a retail store as well. It i s based on a principle of confluence in design where we see the Indian design manning the international design strongly and it is one of the possibly the best international deco r stores what you see. T his is one- of-a-kind , and we've got a very strong response of taking our Nilaya brand forward as part of a journey to create a super luxury brand.

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So, that's the Nilaya Anthology store for you.

Moving now quickly on to the international , when we look at our AP Global, this is where we are present across the glob e largely in some parts of Pacific , Africa, South Asia and Middle East.

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Overall, we got a strong global presence. We grew almost 8.4% in INR terms. In constant currency growth would be closer to 17 .5%. Overall, we have seen very strong trajectory in the Asian markets, especially when we look at Lanka and Nepal and so on so forth. UAE and Egypt have also done fairly well. Ethiopia was impacted with currency issues a little bit and therefore down a bit . But overall, global there has been a very strong result this quarter which is also reflected on bottom lines. The profitability was affected last year in the same quarter and this year we are seeing quite a surge in the overall numbers and in profits. So, this is good news, and we hope that this we carry on as we go

ahead.

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Industrial business, When I look at the two businesses which we have, the PPGAP business which talks of auto refinishes, industrial marine business. This business has done quite well with double-digit growth, 11% is the growth what we have registered. A little bit of lowering in PBT margins given the competitive pressures, but overall, still on a healthy PBT margin in terms of what we see. The second business, which is the A PPPG is about protective paints, powder coatings, road marking paints and so on and so forth. And this business also grew by almost about 5% on top line. PBT margins a little bit depressed, some competitive pressures coming on pricing and so on and so forth. But overall, a steady business what we have seen over the last almost now four years in how we've been able to grow it, which is an indication of the industrialization happening in India. That overall, what we see that segments which is B2B segments like industrial are something which are doing well.

When we look at pricing, despite all the geopolitical things happening the volatility of the crude prices was a relatively good quarter even from a point of view of rupee dollar parity. So, the overall deflation is what we have seen this quarter is closer to 1%, which possibly also props up the overall gross margins, while sequentially the margins are down, but they are equivalent to the quarter when we look at Q1 of FY24. It is higher than the quarter of Q1 FY25 by 40 bps. But as you see it, we've been able to stay at margin range of about 43% over the quarters, which is quite healthy.

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When we look at the financials as a summary overall this is how it pans out. We have seen that the net sales is a little bit of a degrowth of 1.2% in the stand-alone financials. Gross margins as I just said is 43.2, a little bit higher than Q1 of last year, but by and large strong PBDIT margins again is still healthy at 19.4%, a little bit lower than Q1 of last year, but higher than the sequential quarter which is Q4. In terms of consolidated financials, literally the same to what you see of stand-alone to some extent. However, in terms of sales, it is at base overall. In terms of gross margins at 42.6% bit higher than Q1 of last year. And in terms of PBDIT margins still healthy at 18.2% a bit lower than the Q1 of last year, but sequentially again higher from Q4. So, that's how the overall financials span out in both stand alone and consolidated.

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And this is something which people look at obviously how are we looking at as we are going ahead as I said, some good shoots which we are seeing in the urban markets which basically is indicating some revival of demand which is happening.

Similarly, I think the monsoons this year have been fairly consistent and quite regular, which means that it is going to be definitely a normal monsoon and it is looking at upping the agrarian economy and therefore the rural demand should be definitely better and what we should see from a point of view of demand. At this stage, the inflation also seems to be in control. Although in the paint industry we also have anti-dumping duty which is being imposed in key raw material which is TiO<sub>2</sub>. But overall, we think the inflation should be in control at this stage.

When we look at overall competition, it's now a lot of new competition coming in, existing competition also being strong. Overall, I think it's an exciting market. The competition is intense, and it is driving us to look at doing more of innovation, seeing how we can look at propelling the brand further, increasing the saliency, looking at prepositions which are new. But what we are committed to is we would like to look at good growth in coming times.

Overall, when we look at industrial, that's another business which I spoke of. This is a business where we are leveraging a lot of areas of technical expertise, even our smart care range, some of the construction chemicals, all these businesses are adding to this in a big way. As I said, government factories are something which we look forward to propelling as we go forward. Along with this the B2B business is the other area which we are looking very strongly, and we feel that that's a big area what will give us, some results as we go forward. As I said, we see a little bit of a softening of raw material prices, but we are really keeping a very close eye on the rupee and in terms of tariffs which are kind of coming, which can impact overall the material prices going forward. So, this is the outlook we are looking at going forward. Thank you so much.

Moderator: Thank you so much, sir. We will now open the call for the Q&A session.

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Abneesh Roy (Nuvama): Thanks. I have two questions. First is on the demand side and competition. On the demand side, you have mentioned some green shoots in urban which some of the other FMCG companies are also highlighting. But when you see that against the 12,000 job cuts by TCS and maybe other IT companies will also soon follow and overall job market, do you see some reversing of the earlier green shoots because IT jobs will be one small subset for you because you

cater to every sector. So, would you be concerned on that and from a competition, the second subset to the first question now this is now fifth quarter of the new competition. The other large legacy player has said that the last 3-4 months for the new player the sales is stagnating. What will be your comment on that. And on the premium and mid segment, how is the response to the new player from the customers? And here I'm talking about the secondary sales, the primary sales is a number which is initially doable. But if you could comment on the secondary sales in terms of the premium and comment for the new player, you are the number one player. So, you will have a very good sense. Thank you.

Amit Syngle: Okay, great Abneesh. So, overall, when we look at from a demand perspective, you're right, we are seeing a quite a bit of tussle happening in the environment with the recent announcement in the job scene. However, what we see very clearly is when we look at from a point of view of demand, our demand is divided into two, three kinds of segments. First is the repainting segment. So, the repainting segment is either a maintenance led, or an occasion led. So, principally, I don't think so that gets really affected because it's a need-based thing which comes in, it only gets deferred sometime, but it doesn't really get affected from a point of view of consumption. The second area is the new construction, new homes. Yes, that is something which possibly can get affected. But you know a large part of some of these segments, especially the IT segments are in rental homes. And therefore, we feel that possibly the new homes, especially the premium and the luxury homes is something which should not get affected too much looking at how it is going. Obviously, it remains to be seen that whether it becomes really a large-scale movement overall in terms of the way it is going. But I think what we are confident is that today whatever shoots we have seen in demand should continue because the paint industry has anyway not seen very high demand to that extent. And I think in a way some of these things that bottomed out. So, I think we are still seeing that the demands conditions should not go worse than what we have seen in this quarter. That's point one. Second area which you mentioned about new competition. Overall, I've been always saying that new competition is always very exciting. It keeps us on our toes, new things, innovation what we want to bring. Overall, what we see is everyone in the competition would really make the best efforts of what they can do going forward. Because today, as I said, the competitive intensity has gone up. So, whether it is new players, whether it is existing players, we expect that the intensity of competition will remain to that extent. And therefore, what we are channelizing in terms of our ways is very clear that as we go ahead, we will look at possibly very strong ways to keep on growing, looking at innovation, brand saliency, looking at very different ways of what we can look at various regions. Regionalization is a strategy which I spoke of. So, therefore we are very committed to saying that we wanted to pursue the whole business of looking at growth going forward. You also mentioned about a point in terms of the mid-level, and you know other premium level in emulsion. As I see it today, I think in some of these segments possibly the consumers consideration

to buy is very strong. And the work which we keep on doing, whether it is digital, whether it is ATL, whether it is BTL in terms of really exciting the consumer with innovations is remaining quite strong. Our share of search even in the digital medium is strong. So, I feel that till the time, we have the

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consumer with us, and we have the retailer supporting us in taking some of these areas. I think we should not see too much of possibly, interference happening in terms of how we see the growth in these segments. But at the same time, we are very clear the best brands should always win. So, if competition does good stuff, possibly they will get results.

Abneesh Roy: Sure thanks. One quick follow up on that. So, the 10% extra grammage, how big is that a deterrent and how are you responding to that specifically? Is it that the four-year warranty which you are now giving, which new competition is also giving plus the regionalization which you mentioned, which FMCG does quite well and now you are seeing benefit. How are you specifically responding to the 10% extra grammage which the new player is giving?

Amit Syngle: So, see from a customer's point of view, some of these areas sometimes also become blind spots because the customer is just not looking at saying what is that extra will give the customer in per square feet or how the customer will benefit. Sometimes it is the intermediary who benefits a little bit more in terms of looking at what extra the person is getting because that might result in a higher margin for the intermediary which could be a contractor, which could be a dealer. So, to some extent it is in a way like a discount is what we see and not too much of a consumer proposition what we are seeing because sometimes it is the intermediary which is making a decision in pushing it in some manners. So, I think that according to us will not really matter too much in this thing you have seen almost a year plus, that thing going in the market, and we see it as a discount in what possibly the new competition is giving.

Tejash Shah: You called out that higher rebates were also one of the reasons for lower reported net sales this quarter. So, just wanted to know was it in respond to the broader competitive strategy and YoY how that number would have turned out?

Amit Syngle: So, overall, you know we have upped our sales and marketing expenses the way we have gone in the market. Because as I said very clearly, we are looking at growth as we go ahead. And that is something

which is the largest strategy at base. And as we see it, that is something which we adjust according to regions of how we need to look at on which segment how we want to go about. Because one thing which we are looking very strongly in some of these areas is that it has to be a sustainable growth. It's not something which is a flash in the pan that you can just increase some discounts here and there and there you got something in the short term and then you say that the number which you're getting. So, we are definitely not in that business and that is something which we have looked very clearly. So, it is strategic in the way we are looking, it comes from a point of view of region, product segments overall and with a strong marketing push in terms of what we want to do.

Tejash Shah: Just one last question. So, can you share some reasonable nuance on the demand side and any specific observation why premium end of the demand has not done that well in this quarter?

Amit Syngle: Overall, when we look at various geographies, we feel that the Northwest and Eastern geographies have been still done definitely better. I think the southern geographies got affected little bit from a point of view of a demand. But this is something which we are thinking is a little bit of a short-term phenomenon in the way it is going. And from the point of view of overall premium and

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xury, I think the premium segment has still done better it is the luxury which has little bit come down as such the luxury segment is not very big. It is a smaller segment because the larger emulsions market is overall dominated by more the eco as well as the premium segment. So, luxury we feel that there is an element of downtrading also which is happening which is possibly due to either liquidity or it is with respect to some constraints which are there. And I think it is a matter of time what we should see in terms of some spending because some of the other sectors, if you see whether it is auto and other areas even housing, we don't see that people are really cringing in terms of looking at down trading. But in the luxury segment at Asian Paints, we definitely saw that this is something which is a phenomenon which is happening.

Mihir Shah (Nomura): Hi sir, thank you for taking my question. So, firstly, I wanted to check if you can share some more color on the demand front. Firstly, how has July shaped up and this year festive season seems to be early and historically we've seen that usually reduces the number of painting days post monsoon and impact is usually there. So, do you foresee any impact because of that? And by when do you expect double digit volume growth to come back? Will it be this year, next year? So, some color on that, that's my first question. Amit Syngle: Okay. So, when I look at, from a point of view of demand, I think June definitely the exit

was not very great in what we were seeing because of early monsoons. The intensity of the monsoons was much higher of what we would have expected in terms of buildup. And so, we have seen in July as well that the rainfall has been overall strong. However, I think we have seen a little bit of a similar pattern in July as well as we have been seeing in Q1 in terms of demand. So, I think there are no adverse and not very positive things what is there. So, overall, demand seems to be going in that same direction. When you look at from a point of view of the overall quarter, I think it is quarter three which might be affected a little bit more because we have lesser number of retail days in quarter three, which is October. Given the fact that Diwali is around 20th of October, I think the larger retailing season comes into September when there is a shorter Diwali. So, we are still hopeful that possibly a larger retailing season should be September as we go ahead and look at this quarter unless rains really play a spoiler as we see it this quarter.

Mihir Shah: Got it. Thank you for that sir. Secondly, you did mention on the anti dumping duty and also you're seeing some lowering of raw material costs. How should one tie up both because I think anti dumping duty was up by about 20% versus the earlier duty structure. Will this impact our margins in the coming quarters? Will it trigger any price change, when looking at both the raw materials and the rise in anti dumping? And I have one last bookkeeping question, CapEx for the year, if you can share and when should we expect the backward integration benefits to kick in from? That's all from my side. Thank you very much. All the best.

Amit Syngle: Okay. When we look at the overall raw material, we are looking at various raw materials which are also crude derivatives. There we have seen some softening as we have said in quarter one as well should continue in quarter 2. However, you are right in terms of TiO

2 the anti dumping duty

will have an impact because TiO 2 is a very critical ingredient in the paint industry. So, given this some of that impact will start coming this quarter how we see, it might initially balance with some of the deflation what we are seeing, we'll have to see it very closely. So, the options of any pricing change would depend on how the elements of deflation balance out the elements with the increase in TiO 2.

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So, we

would watch it very carefully over the next month as well and then take calls of what we need to do in the pricing decision.

Secondly, from a CapEx point of view, we have committed closer to 700 crores of CapEx this year. We've spent about 100 crores this year already on that. When I look at from a larger commitment in

the backward integration initiatives, our white cement plant is near commissioning. So, we should start soon seeing the benefits of the white cement outputs to start coming in the next quarters or so. When we look at the VAM VA E plant, some of the activities around that possibly will come to fruition in quarter one of next year as we see it today. So, I think quarter one and quarter 2 of next year, you should start seeing some implications from the VAM VA E facility, which is being put up.

Aditya So man (CLSA) : Hii, good evening. Two questions from me. Firstly, on the sort of luxury demand, just to follow up on that, you mentioned that obviously it's not impacting some other categories. Is it a function of your own products like Apcolite which are obviously higher quality products, relatively new launches impacting luxury demand as they take up some of the volumes? And the second question would be from your perspective, what is sort of a fair growth given the competitive environment and the general weakness and overall demand that Asian paint should target in the short term, medium term, I understand the sort of construct of 1.5 times GDP and so on?

Amit Syngle: When we look at from a luxury point of view, as I said very clearly that one luxury is not a very big category in the overall pie. But if you combine premium and luxury, then that becomes a larger segment. So, if I put premium and luxury together, it's not bad how it is doing. However, in luxury we have seen some down trading, and it is not just because of the quality, but we have put in a decent bit of excitement there in terms of some of the new products we have introduced Royale Glitz which is there, Royal Glitz Reserv which is another product, Nilaya Arc which we have introduced. So, there is umpteen excitement in what we have put in the luxury as well. So, it's not that there's no excitement or the quality is not something which is great. It's just that at this point of time possibly we are saying that a big element of the downloading is resulting which possibly we'll see that as we get closer to the festival time how does it really pan out of going ahead.

When you talk from a near term growth, We are still looking at basically a single digit growth in how it would pan out in overall numbers in terms of both value and volume as we go ahead. And that is something which possibly is a more realistic way how we see given the current way how the demand is panning out.

Jaykumar Doshi (Kotak): Hi, thanks for the opportunity When you talk about green shoots on demand, is this largely, pertaining to Asian Paints given that your base is fairly favorable as we move into 2 Q and 3 Q? Or do you expect the same for overall industry as well?

Amit Syngle: So, when you look at last year for the full industry, the industry has not grown. So, whatever is true for Asian Paints is true for everyone to that extent. So, it's not something which is going to be very different for anyone as we see it going ahead. So, that is very realistic in how we see, how this base pans out.

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Jaykumar Doshi : But two- year CAGR basis also, do you think we should expect some improvement as we move forward? Last year 2Q, 3Q were exceptionally weak for Asian Paints, right, 6 -7% decline, so if you look at the year before on that based on two- year CAGRs, do you expect this to improve?

Amit Syngle: Yeah, if you analyze it even today the CAGRs, have still been decent, and I think they should be decent as we go ahead.

Jaykumar Doshi : Okay. Thank you so much.

Aditya Bhartiya (Investec) : My

first question is on the raw material deflation of around one percentage point that you spoke in this quarter. Despite that, if we look on a quarter- on-quarter basis, we have seen a bit of a gross margin erosion and quarter one we understand typically tends to be a better mixed quarter with more exterior paints getting sold and therefore it generally has better margins. So, is this a reflection of high rebating that we are seeing in the industry? That's my first question, sir.

Amit Syngle: While there has been some deflation, you're right in terms of what we have seen. Overall we have seen gross margins largely consistent in the band of about that 43 to 43.5% kind of a zone and that has been consistent over the several quarters. So, I don't think that there is too much of an impact. But yes, from a mix point of view, we would have preferred the mix to be much better overall. While we have done well in eco and premium emulsions the mix is still inferior from our expectations in terms of what we wanted. So, that is one reason where it has impacted. The other thing which I said is that you know, whatever we look at from a point of view of discounting and other things, there is nothing disproportionate which is not sustainable. So, that is something which is a reasonable push in what we will continue to give as we have looked at possibly going forward.

Aditya Bhartiya : Understood sir. sir my second question is on the anti -dumping duty on imports of TiO

2 from China. Now this I understand is only from imports that are happening from China. What is the implication that it may have on our overall cost structure? And is it fair to assume that in this particular quarter we would not have suffered at all given that we were operating with higher than usual inventory?

Amit Syngle: Yeah, that you're right. So, I think in the current quarter, obviously the inventory has helped us in looking at bi doing over this whole anti -dumping duty which has come in.

Overall as I see it, as I said, the anti-dumping duty will definitely have an impact, although what we have seen is that some of the Chinese manufacturers have already decreased their prices further. But they won't be able to compensate for the whole duty impact which is going to come in because of the ADD coming in. So, in net, net, I think it would look at increase in raw material prices because TiO

2 is something which is a very important ingredient. From the point of impact of ADD alone, the impact would be anywhere from 1.5% to 2.5% in the overall raw material cost index level.

Pratik Got hi (HSBC) : Can you please give an indicative split of your standalone business how much is core decor retail business, how much is waterproofing putty business? Anything else that I might have missed?

Amit Syngle: We don't talk of any splits as of now in looking at where it is to that extent. But definitely both emulsions and waterproofing are a very important part of the overall business and contributes in a strong way in our standalone business.

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Amit Purohit (Elara) : Just one thing on the margin you indicated, one on the Ti O2 pressure. And 2nd, you highlighted a point that you would like to focus on growth. So, are we looking to revisit our guidance of 18 to 20% or do you think that you have enough levers to clear?

Amit Syngle: So, as of now, we will keep the guidance on in terms of our 18 to 20% guidance. We continuously work on lot of areas from a overall cost excellence perspective looking at that we have enough ammunition of how we need to really look at the market conditions and how we want to go in the market. So, we look at formulation efficiencies, sourcing efficiencies. The materials are a very big part of the paint industry. So, that is possibly the more you work, the better cost effectiveness you get. So, that is one focus which possibly continues to guide us that we should maintain this guidance

going forward. But having said that, today it is not only one way that you can approach the market, you can approach the market in several ways in what you can do. So, we look at innovation in a very strong way. We look at how you can entice the customer from a point of view of a proposition which comes in. And we look at possibly in saying that there could be some initiatives which could really give you a lot of step jump in area which you're working. For instance, we feel the whole area of even B2B projects is a big area in what we are working, which would come in looking at growths coming from that sector as well. So, it's an all-round growth which we are considering and in terms of mechanics, as I said, which are far more sustainable, which keeps us possibly in the zone of guidance in terms of what we have given from a point of view of our PBDIT margins.

Amit Purohit : Okay. And sir one last thing, you indicated that your focus is on one industrial and B2B segment. Is it medium term or would you say that these segments will probably do better than the decorative segments beyond FY26?

Amit Syngle: So, as I see it and I have been speaking about it that given the industrialization of what we are seeing, we are seeing a large part of CapEx coming into the market and people investing into expanding businesses, new businesses, new technologies coming into India. And that's the flavor which we have seen overall. If you look at the entire infrastructure, whether it is the road networks, the airports, the railway station, we see a very strong investments coming in from the government also, which is a very prime consumer in looking at the overall paints and coatings. So, to my mind, industrial and the B2B business both would be strong proponents in propelling the growth as we go ahead.

Amit Purohit : And volume value gap should maintain right for the year.

Amit Syngle: Yeah. So, the gap has come down in the decorative range as I said, and that is what we are looking at in maintaining as we go ahead.

Amit Purohit : Okay, thanks sir. Thank you so much.

Moderator: Thank you so much everyone for all your questions. With that, we come to an end with the Q&A session. I now hand over the call to Mr. Amit Syngle for his closing comments. Over to you, sir.

Amit Syngle: Thank you everyone for joining us today for the Q1FY2026 results. Wishing you all the best as we kind of look forward to an exciting quarter.

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Moderator : On behalf of Asian Paints Limited, this concludes today's conference. Thank you for joining us. You may now disconnect your line and exit the webinar. Thank you so much everyone.

## Call: Nov 2025

APL/SEC/57/2025- 26/19

18th November 2025

BSE Limited  
Phiroze Jeejeebhoy Towers,  
Dalal Street,  
Mumbai – 400 001  
Security Code: 500820 National Stock Exchange of India Limited  
Exchange Plaza, C -1, Block G,  
Bandra Kurla Complex, Bandra (East),  
Mumbai – 400 051  
Symbol: ASIANPAINT  
Sir/Madam,

Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Investor Conference

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor Conference held on Wednesday , 12th November 2025 , with regard to the business and financial performance of the Company for the quarter and half year ended 30th September 2025 .

The transcript has also been uploaded on the Company's website and can be accessed through the following link:

Investor Conference – Transcript

You are requested to take the above information on record.

Thanking you,

Yours truly,

For ASIAN PAINTS LIMITED

R J JEYAMURUGAN  
CFO & COMPANY SECRETARY

Encl.: As above

Q2 and H1 FY2026 Earnings Conference Call Transcript

Date: November 12, 2025

Management: Mr. Amit Syngle :MD & CEO  
Mr. R.J. Jeyamurugan :CFO & Company Secretary  
Mr. Parag Rane :AVP - Finance  
Mr. Lakshya Sharma :AGM - Finance

Disclaimer: This is a memorandum of the proceedings of the Investor Conference of Asian Paints Limited held on 12th November 2025 at 5:30 pm in Mumbai with regards to the financial results of the Company for the second quarter ended 30th September 2025. While we have made our best attempt to prepare a verbatim transcript of the proceedings of the meeting, this document has been edited for readability purposes and may not be

a word- to-word reproduction.

Lakshya Sharma : Hello, and good evening, everyone, and thank you for joining us today for Asian Paint's Q2 and H1FY26 results call. I'm Lakshya Sharma from Investor Relations team and it's my pleasure to welcome you all. We are joined today by senior members of the management team, including our MD and CEO, Mr. Amit Syngle, our CFO and Company Secretary, Mr. RJ Jeyamurugan and Mr. Parag Rane AVP Finance. I would now like to invite our MD and CEO to give us his opening remarks. Over to you, sir.

Amit Syngle : Hello, good evening to everyone. Welcome to the investor call for Q2 and H1FY 26 results.

When we look at our core purpose this is something which we have been enumerating - delivering joy since 1942. We exist to beautify, preserve , and transform all spaces and objects, bringing happiness to the world. And I hope this time the results give you joy.

What really happened in this quarter was, you know, turning the whole story from a point of view of looking at a series of initiatives which we had basically put into place for accelerating growth and not looking at what the external conditions would be. And it was more driven internally from what we wanted to achieve. Various initiatives included one, a very big upsurge with respect to the overall spending on the brand, building the brand equity and really spending for getting the share of the consumer's mind, looking at the consideration to buy and really improving our overall reach to the consumers so that we are able to connect to all our customers across the length and the breadth of the country very strongly.

The second area which as we have been speaking, we really dialed up the innovation quotient, both from the point of view of our new products as well as some of the newer initiatives in terms of what we kept in the market. So, the element was of differentiation.

The third area, which was a very strong impetus, was the whole area of really looking at the service economy and therefore putting an ignition onto our services. And that is something which is another big factor in terms of how it is bringing us closer to the consumer.

The fourth area was about looking at the regionalization of our efforts so that we could look at our execution far more strongly, look at micro markets, look at differential strategies which span out into very, very different regions in a very different way. And therefore, that was a very big question in terms of what we used in terms of looking at what we can do about looking at really driving growth.

The fifth area was overall in terms of our B2B business, where we looked at really widening the net and not only depend on the conventional builder community but also looked at various other elements so that we could broaden our net and look at sales coming in a very different manner.

And one of the other areas amongst the many which we did were the area of backward integration. And that is something which is giving us some advantage in the market.

I'll try to cover some of these areas quickly for you. This was a season time when we launched newer and differentiated campaigns which possibly gave advantage to our premium and luxury emulsions in a very strong way. We looked up at this entire initiative in which we said that the whole decor is just not about finishes. It is the finish which inspires you to also do textures and wallpapers. And we really kind of launched this entire campaign with a call to action which came in about a glitz decor guide which was along with it. So, it was, I think, a very successful campaign. It was also comeback for Deepika as well for the brand in a big way.

The second area which we really focus on is our core ownership of homes, which is very important. And that is something which we have literally looked at from a point of view of corporate positioning. And that is the area of Har Ghar. So, we invoked Har Ghar very strongly because we know that that's the emotional connect and we always want to be the emotional energy in terms of how people associate with their homes. And that's why we came out with something which was very different. It was very well entrenched in the homes, had a emotional tug, but at the same time had a contemporary feel to it in terms of looking at appealing to Gen Z as well as a wide range of audiences. Quickly we'll try to show you this entire creative in terms of how it unfolded.

So, as you see it, a lot of emotions in terms of what we built -in the whole relationship with the home, and I think it was very well received and we have got really very strong brand recalls in terms of how people have seen this as an integral part of the Asian Paints story.

The other area which I mentioned was about the whole area of regionalization. Today, this is a big marketing theme which is emerging that you cannot look at a country like India in one span. We looked at various regions and looked at doing things which were very core to the culture of that region and appealing to the people. And I believe that this is something which is a phenomenon which IPL has brought, where people are proud of their own regions. And we kind of really appeal to that. We did this innovation in terms of bringing regional packs, which is a huge logistical exercise, very difficult to replicate by any other player. And this is something which really stood out where today, in various parts of the country, we had a differential pack across various products, appealing to the local culture and arts. So, it kind of created a very strong tug for the customer in terms of relationship with the brand and relationship with the can, which was very strongly kept. What we hear is a lot of people have really adorned this can in their living rooms and really treasuring it. So, I think this was really a master move in terms of



what really helped us in terms of really enriching the portfolio from a point of view of a region and a kind of attraction in terms of what we could really talk about .

The other thing was the innovation around how we were able to leverage in terms of our excitement across various media properties. So, whether it was the Asia cup, whether it was the India England series, we really looked at taking the advantage in terms of really asserting some of the big things, whether it was the area of warranty, whether it was the whole area of our waterproofing product, in terms of what it does - we could amplify it. And these were really loved by the audiences and a huge recall in terms of how differently it is done.

We also looked at really carrying on the entire impetus so that basically the energy always remains in the market. And really adorned the Independence Day with something which is core to us – The Colors of India in a very strong manner. We also brought in the whole flavor of warranty, which was clearly our game changing move.

Not only this, the whole element of innovation continued where we looked at a series of newer products and whether it was the area of waterproofing, where we really elevated the story by launching something which was very different, but at a very good VFM price point which attracted the market. And this has really done well for us.

And not only this, we looked at really inflating the affordable price point by offering propositions which are very strong for the customer. So, these are all smart products which offer various choices to the customer in terms of the type of finish. And that becomes a real flaunting point from the customer's point of view of showing that they are using something which is very different. But at the same time, it is a smart choice which is affordable.

At the same time, we looked at the whole world of wood finishes. And for the first time we really embellished by looking at designer chrome and metallic shades which we introduced. And this is something which has been the rage with the architect designer segment. And overall, we have got a fabulous response. And as I said, new products are a very strong part of our strategy. And I think it is great to see that today new products contribute more than 15% of our revenue. And that is something which we are really proud of.

The whole area of looking at the service economy, because this is something which really matters for any brand, as you connect with the consumers and offer a proposition which is very different. We really inflated our beautiful home service in terms of its reach. Looking at more than 650 + towns servicing it, looking at an element of technology so that we can service the customer better. Looking at and bringing a whole element of AI as well in it. And that is something which really gave us very strong results.

The second area was Total Assure - a very unique service which we offer in the B2B segment where we look at standing by the customer, which could be the builder, could be a society and really treasuring the whole process of looking at how we stand by the customer in terms of the whole painting process so that we are able to offer a service which is impeccable at the same time, something which gives the customer a strong confidence.

The third unique service which basically we gave wings to during this quarter was the whole Metacare service, which is really an asset protection service. No one offers this kind of service where we really look at adopting industries, give them a service throughout the year to maintain their plants, which could be corrosion-free and other things. And this has really worked very well for us to kind of really enhance our overall basket and give us basically an insight into so many big players where we are able to get our products in, especially from the point of view of our industrial range.

Not only this, but we also looked at the B2B segment in terms of a one big foray where given the industrialization which is taking place in India and the kind of expenditure which the government is putting in, in terms of giving this country a real facelift from a point of development, we wanted to be part of that story. And that is something which we have invigorated far more strongly so that we can kind of embrace this area and not only look at the conventional space of builders and CHS. And that is something again which has paid a strong dividend to us in terms of what we have been able to achieve.

Not only this, as promised to a lot of you over various quarters, we have looked at this whole area of backward integration. I remember that a lot of people were asking us questions in terms of what this is all about. And then when we look at it, there are two big things.

We just commissioned our white cement plant which has unfolded in Fujairah, UAE. And we have basically tested the product going up to about 90% of the capacity. And we have looked at dealing with both white cement and clinkers of white cement in a very strong way. And this is something which is now underway as a project which is really rolling out.

The second area is the VAM VAE project in which we have committed to the project a CAPEX of about Rs. 3,250 crores. Overall, one part of this project is also nearing completion. And that is something which we are going to look at unfolding in quarter one of next year. And this is something which is a big story in terms of how we are looking at the next gen emulsion which will come out, which will give the company the differentiation, in terms of what we will bring as a very new initiative which is unbeatable. So, these are some of these real advantages from the backward integration part.

Coming to the numbers. A good strong achievement, although the base was supportive, as you all know. I think good trajectory of finally getting to the double-digit growth at 10.9% and looking at overall this trajectory being very strong.

If you look from the point of view of performance, we delivered a volume growth of 10.9% in Q2FY26, but we had a value of about 6% in an environment which was not too great and overall consumer sentiment sentiments were also not too great. We also saw that while, there was a little bit of an uptick from festive season, but it was very short. Also, the extended monsoon took us by surprise overall. But I think a series of our initiatives which I just mentioned have really worked very well in terms of giving a broad-based growth across the urban and rural centers.

In H1, we are at 7.2% volume and 2.1% value growth, which I think in the current circumstances it is good. Overall, all product categories have done quite well. And especially the Prelux category in emulsions as I mentioned earlier on the backing of good marketing effort, has been able to do quite well.

When we look at the total coatings business, which is the decorative plus the industrial business, overall the number goes up further up to 6.7% because industrial business has also done well and the volume goes to 11%. And therefore, in coatings, both value and volume have done well.

In H1, there is a value growth of 3% and a volume growth of about 7.4%. So, overall from the coatings piece it improves when we look at the industrial coming along with the decorative segment.

The home decor foray you are all aware that this is something which we have been pursuing for some time and today we claim to be the number one integrated home decor player. We have got now 73 Beautiful Home stores across the length and breadth of the country. And we have been doing various collaborations, and we exist in various categories. Obviously, this was one area where there was a little bit of disappointment in terms of how we performed.

However, we continue to launch newer ranges. We launched a new range of kitchens, new range of wardrobes and really looked at bringing new energy through not only in our Beautiful Home stores, but also due to our stronger launches which are coming into this place so that we can get the customer excited.

However, overall, as we see it, out of the four bigger businesses, only Weatherseal was something where we got a good revenue. We were also able to work better from a bottom-line perspective for Kitchen and Bath. But when we look at overall top line for both kitchen and bath business, there has been a yoy decline. So, this is an area of work. A lot of initiatives are being put for the second half of the year in terms of how we need to galvanize this, get it possibly in a zone so that it starts contributing to the core business. So, that's something which is an area we are looking at as we go forward.

When it comes to the international business this is our representations with the various brands through which we operate in the international markets.

It's been a strong quarter overall we have done 9.9% growth in INR terms. So, almost a double-digit value growth. In terms of constant currency given the fact that there has been a devaluation in Ethiopia and other places. So, we

are looking at a 10.6% growth. Also remember we also have the base of Indonesia last year. If you take out the divestment we made last year, we would have grown by ~12.2% on a reported currency basis. Here also the focus has been on the Prelux and the waterproofing ranges. But I think the good part is that Asia is doing well for us now with Nepal and Sri Lanka doing well as well and in Middle East, UAE is what is driving the growth for us. So, I think these are the key markets which have done well.

The best part is that I think the profitability story has been good. Last year was not so great. So, overall, I think it's a combination of material cost deflation, the mix in terms of what we have been able to sell and the overall top line numbers which has given us a very strong tick in terms of looking at the overall profitability which has really increased in a big way. The PBT margins are also at 9% for the quarter, higher by about 450bps. So, all around I think it's been a strong performance in terms of what we see from the point of view of international business.

Industrial, as I mentioned last time as well that the industrial business continues to do well overall as we look at India and in that category today, the PPGAP business which is largely into auto OEMs and auto refinishes along with packaging and marine, the revenue grew by 13% in Q2FY26 and 12% in H1 FY26. From a PBT level also we see strong growth from both the Q2 and the H1 level. PBT margins in Q2FY26 have gone up to about 17.3% which is higher by 160 bps.

The second JV – APPPG - which is about the general industrial products again is showing a surge driven by the protective coatings. Revenue, we delivered 10% growth in Q2FY26 and in H1FY26, we delivered 7% growth. In Q2, the PBT growth is good for the quarter, but at H1 level, PBT grew by 5%. The PBT margins have gone up to 8.9%, higher by 190 bps. So, again a steady show in from the industrial business point of view.

Next is how material prices have been behaving over a period of time. The material prices have been fairly benign. In Q1, we had seen a deflation of about 1%, in Q2 we have seen a deflation of about 1.6%. So, if you look at the gross margins, the story is quite good. We are up from 43.2% in last quarter to about 43.7% now. At the same time, we are up 270 bps from same quarter last year. This is also led by some of the work which has been done from the point of view of sourcing and formulation efficiencies which has also contributed in terms of expanding the overall gross margins for us.

So, finally coming to the overall standalone financials, Net Sales as I said grew by 5.8%, Gross Margins have expanded by 270bps to 43.7%. PBDIT has grown by 21% and PBDIT margin is at 18.5% higher by 230bps points. So, overall a strong performance from the standalone perspective of Q2.

At an H1 level, given the fact that the quarter one was not so strong, we are seeing a net sales growth of about 2%, Gross Margins of 43.4% which is 150bps higher from the last year same period. PBDIT grew by 5.9% in the first half. The PBDIT margins were at 19%, 70bps higher.

Let's look at what the summary at the consolidated level. Quite similar to what we see from a standalone perspective, net sales grew by 6.4% , supported by growth across decorative, industrial and international business. Gross margins at 43.1 % was higher by 250 bps . PBDIT growth was 21.3% , and PBDIT margin of 17.7% was higher by 220 bps points.

Similarly, at H1 level Net Sales grew by 2.9%. Both gross margins and PBDIT margins have expanded and that is something which we are able to see at both S tandalone and the Consol idated level.

We have declared interim dividend of Rs. 4.5. This is in line with the performance and for comparison sake, we have shared what we declared last year in terms of the interim and the final dividend. So, again , very clearly it shows the commitment in terms of return to the shareholders.

From the point of view of outlook, all of you are interested in terms of knowing how are we proceeding, what do we see in the market? What we are definitely seeing is that the demand conditions for the entire industry have not been very great. T he industry, in the Q2 has just grown by about 3.5-4%. So, it's not been something which has been really g reat . Monsoons were the spoil sport, and festive window was also small. But I think the good part is that there were still g reen shoots in terms of what we witnessed in September and October .

We are also seeing that as we go ahead there is a very strong marriage season which is going to provide support. We have had good monsoons which would augur well for possibly some growth in terms of the rural markets. And finally, I think GST corrections would create an uptick in the consumption. However, I think we need to be a little bit conservative in terms of seeing how the overall environment kind of augurs out as we look at the next three months and the six months. Overall, the competitive intensity, will remain in the market. And I think we have all the players putting their best foot forward in terms of what they're doing. We will stay focused while looking at the entire area of innovation, looking at brand saliency, deepening our regionalization strategy and at the same time building a very strong element of differentiation from the point of view of our executio n. Some of the good parts of the story which we have kind of picked up from quarter two. Momentum in industrial and international business should continue, which is something which we are kind of banking on as we go forward. And I think the raw material prices will remain benign as we see. However, we are aware that there could be some volatility which can happen because of geopolitical uncertainty. And that is something on which we will continue to keep a good watch as we go forward.

Finally, something which is very close to us, something which we really invest a lot of money in and think how as an organization we are kind of going - our sustainability targets which we have taken. So, if you see the overall performance from FY 2025 to H1FY26 , good progression in terms of what we see clearly moving towards our target of 2030. So, whether it is the freshwater replenishment, reduction in specific hazardous wa ste, reduction in specific effluent, reduction in S cope 1&2 emission, or even increasing recycled plastic in packaging, I think strong

impetus is put in there. Renewable electricity is another big area in terms of what we keep on looking at along with the bio -based materials. And we continue to look at our employee engagement very strongly from the point of view of looking at equity, diversity and engagement. Overall, one of the big areas is our entire work in terms of increasing the livelihoods of a lot of art isans in this country and skilling them. And that is something which we did almost about 9.5 lakh trainings last year. This year we've already done about 4.4 lakh training. And we are proud that our 23 academies across the country are yielding very good re sults for us in terms of picking up a very big force of people who basically make the whole area of decor happen for the customers. So, I think that is something which is a strong direction in terms of what we have taken. So, that's all. Thank you so much, great speaking to you.

Moderator : Thank you, sir. We will now open the call for the Q& A session. The first question is from Mr. Abneesh Roy from Nuvama.

Abneesh Roy : Yeah, thank you. Thanks for the opportunity. My question is on overall competition. I see that your gross margins are up, both Q oQ and YOY. I do understand that the raw material side is favorable and outlook also looks good. My specific question is in terms of the 10% free grammage in the different S KUs by a competitor , what has been your reaction? And the new players, what we are hearing is they are now withdrawing it from many of the SKUs. So, if you could comment on that. Also , I picked up that in terms of the tail of the distribution, there was some loss for you because of the new players coming in. So, if you could comment, how are things there? And from an advertising perspective also I see Asian Paints now being much more ag gressive in terms of all the key events of cricket. So, if you could comment, how is your market share in terms of the media presence? I'm not asking about volume market share, I'm asking about the overall media market share.

Amit Syngle : So, thanks Abneesh. In terms of some of those incisive questions, in terms of what you placed, I think when we look at from the point of view of the whole area of additional grammage, the whole area of free, which kind of comes along with paint, we think it's something which is a n area which has been tried and, you know, worked upon by various players earlier as well. It's something which is nothing new. It also basically reduces the turnover of the retailers from what they will be able to sell. And it is very difficult to keep foc used in terms of where that benefit goes from the point of view of consumer -painter -dealer. So, I feel that possibly that's one area which is a strategy which some of the competitors might take, but it is something which they will see the benefit in

terms of what they are getting out of it. From the point of view of our perspective, what we are very clear is that our work on fundamentals, our work on execution, our work on brand building, our work on innovation will continue and we keep on doing this work. This will definitely give us some gains in the market as we are seeing in this quarter. We are very clear that possibly it is not a game of just discounting alone. It is a game of how you look at placing your brand, how you look at upping the category from the point of view of premium luxury finishes. And that's something which we have been really looking at. From a point of view of building the brand equity, above the line media has been very strong and we have used it effectively for reaching not only the entire country, but also at a regional level very strongly. As we see it in terms of a share of voice, we would be definitely much higher today than the overall competition. And that is something which we have upped from a national level, at a regional level. And for us, I think that augurs well because one, it really affects the to

p-of-the-mind awareness and secondly, the whole area of the consideration to buy of the customer is getting influenced. And therefore, that is something which we have been taking very strongly. And that is why, you see, strong marketing spends in the second quarter.

Moderator : Thank you. The next question is from Mr. Vivek Maheshwari from Jefferies.

Vivek Maheshwari : Hi, good evening team. My first question is on volume growth. So, you know, you mentioned about the macro as well as your own efforts. We have seen a double-digit volume growth in this quarter from your side. There are two parts to this question. First is, you know, your presentation talks about improvement in consumer sentiments. Whereas what you articulated on the call, it looked like more of your internal, you know, internal factors which is driving this growth. Can you just clarify as to, you know, sentiments versus your own efforts, which was the bigger driver and how do you see this going ahead?

Amit Syngle : So, overall, the demand conditions we are all aware have been really average. We have not seen too much of an uptick. The overall industry, as I said, would not be growing more than about 3.5 to 4%. Therefore, we were very clear that we need to really shift our gear in terms of how we really galvanize the market, how do we look at playing to our strengths in a very strong manner. And that is something which we activated. The whole area of looking at aligning to the consumer, getting the consumer on the fore. And that is why you would have seen that we have kind of unleashed so many kind of initiatives from the point of view of media and new advertising across the range of products. And I think the bigger effort was to ensure and give a very strong whiff to our overall execution piece so that we could deliver the right kind of servicing, generate demand, and have the right kind of connect with people. And that has been a stronger focus in terms of executional excellence. The other area has been the area of regional initiatives. So, you look at micro marketing, you look at regional markets in a very strong way, you align to the markets and basically create empowerment and a flexibility so that we are able to perform much better at micro marketing and reaching out to the smaller places, much better. The other area which I think has been very important is that some of our innovations in terms of the new products have also galvanized the numbers for us. Also, uptick in premium and luxury has also helped us at really upgrading the consumer. So, I would say that it's a combination of overall factors in terms of what has worked well. But I would also say that we saw some demand pick up in September for sure. And also I think the first fortnight of October has been strong due to festival being there and some uptick in the demand which has also helped us so that we could kind of take advantage of the demand uptick given our overall execution and consumer connect.

Moderator : Thank you sir. The next question is from Mr. Avi Mehta from Macquarie.

Avi Mehta : Hi sir. Just two questions. First, you know, given how you're seeing your initiatives pan out and the demand improving, would love to get your thoughts on how you see the full year volume growth and value growth for us or for the industry to give us some sense. And second, we have historically seen this industry do double digit growth in value terms as well. What do you think is required or when do you see that panning out? Any thoughts over there would also. Thank you very much.

Amit Syngle : When we look at the next six months, we've already spoken about where we are looking at the overall year going. We are looking at mid-single-digit value growth for the full year. And as we kind of go-ahead volumes would be higher since we are now batting across the range of products right from under coats to the economy to the mid-range and t

o the top end products. And therefore, we would anticipate that the gap between the volume and the value would remain in that zone of about 4-5%. So, I think if we are able to hit, mid-single-digit value growth, we would come closer to a higher digit value growth at the end of the year. So, I think that is the endeavor. But as I said, a lot depends in terms of how possibly the market pans out, how things will kind of augur as we kind of go forward. But I think that is something which is what we think we can really aim for.

Moderator : Thank you. The next question is from Mihir Shah from Nomura.

Mihir Shah : Hi sir. Thank you for taking my question. Congrats on an excellent set of numbers. Just wanted to understand the numbers a bit better. So, two questions here. Firstly, there has been a sharp improvement in volume growth despite the extended monsoon quarter. Was this aided by festive demand which was largely sitting in 3Q last year? And also, did you see any lost dealers coming back or restocking impact indicating that sustaining this double-digit volume growth in coming quarters can be challenging or do you see this double-digit growth, volume growth to sustain in the coming quarters? Secondly, the difference between your volume and value has been much lower versus historical trend. What drove that? And despite being a seasonally weak quarter, gross margins are a bit higher versus 1Q levels which ideally, are supposed to be down. Which means that you have seen some benefits from lower raw material prices. Can these benefits continue in second half and margin

expansion that we've seen in this quarter, you know, continue in the coming quarters as well. These are my questions. Thank you.

Amit Syngle : Okay, as I said this has been the quarter where we approached the entire product category in a fairly holistic manner. So, that today, given the overall equity of Asian Paints, we leverage that and look at possibly battling at the retail with the full range of products. And I think that has given us leverage across the range of products, whether they are at the economy level or at the mid-level or at the luxury level. We have also seen a clear focus on B2B segment, which has given us entire advantage in terms of exploring beyond the central theme of just the builders and CHS. As I said, I think we've looked at the government, the factory segment also very strongly. And I think those are stronger avenues which have also helped us sell a full range and really participate in the whole development story where government is spending a lot of money. And that is something which has been also supportive in terms of giving us benefits across the product range. And therefore, you see that the volume we have been able to expand because it has also been the consistency in terms of looking at the entire range and not looking at specific ranges. The second reason, you know, the September month was definitely much better. And it has definitely upped the overall volumes. I wouldn't say that from a point of view of festive season, because the difference between last year and this year was just 10 days in terms of the overall festive season. But nonetheless, the first 15 days were strong, a very good uptick at that point of time. So, that has also added to the overall volume growth. And that is why I think I see one of the reasons we are closer to this kind of a volume. As we go ahead, we have also looked at saying that we will maintain a 4-5% difference between volume and value. And we have been conscious of this, that we need to kind of shape up our product mix. So, therefore, we have looked at the premium and the luxury and far more strongly, as I said, a lot of energies went in terms of upgrading the consumer also so that we are able to showcase the benefits. And therefore, if you see a lot of our communications ran in terms of the premium and luxury emulsions in this quarter which

has really elevated mix for us. And that is

where the gap between the volume and the value stays in terms of this zone

Moderator : Thank you, sir. The next question is from Latika Chopra from JP Morgan.

Latika Chopra: Hi. Thank you for the opportunity. Two questions from my side. The first one was on margins. You've always maintained an 18 to 20% margin band for yourself. Given the raw material environment is benign, competitive intensity remains stable, though stiff, nothing incremental, hopefully, and clearly there are a lot of cost interventions. From your end, are you comfortable to see visibility that you can land at the higher end of this margin band instead of the lower end, which has been the performance in last few quarters. And the second question was at an industry level. We have seen introduction of consumer financing for painting services. What are your thoughts on this? This is very nascent, but is it a meaningful driver of consumer demand? And is it something that you could explore, or the industry players could explore in the future? And the third bit, just a clarification on your previous answer. You know, this gap between volume and value, you know, I understand over the next six months you are still looking at 4 to 5%, but when you frame your plans for FY27 in terms of mix and all the initiatives that you've taken, and also the salience of B2B which seems to be increasing, do you sense that this gap will reduce or there is a conscious effort to do that. Thank you.

Amit Syngle : From a point of view, overall margins, you know, at the standalone level, in Q2 we are at 18.5% at standalone level and at consolidated level, we are closer to 18%. Today, we are making some very meaningful investments in our marketing efforts, we are also looking at investing in technology a lot, we are looking at bringing in more innovation which we are adding in the market and are able to reach out to the consumer far more effectively as we go ahead. We also see higher competitive intensity in the market as we go ahead. Given all this, it is okay to maintain the whole guidance of 18 to 20% PBDIT margin band. I would not qualify whether it should be at an 18% level or a higher level. But it's good to maintain 18-20% margin as we go ahead. The second area which you raised in terms of consumer financing, I don't think it's a new concept in the country. It has been tried and tested for a long time. In fact, we were the first ones to introduce financing about almost five years back. It is something which has got a little bit of a muted response because people are also wary about the fact that there are certain resultant charges which accrue to them. And therefore, it totally depends on the ticket size of painting and the ease of getting that level of finance. So, I feel that there is nothing new in the concept. It's been tried tested earlier. Possibly it will give only that much of connect with the consumer but cannot become a big game changer. The third question on the volume value gap which you spoke of, please remember that today when we reach out to the market, we are talking of reaching out to every segment of consumer, right from the segment at the economy level to the mid-level to the luxury level. And therefore, we would not like to see that we are losing out in any of these segments. And today the economy to the mid-level segments are fairly big segments. And therefore, what I would see is that as we keep on going ahead, this kind of volume-value gap will persist if we are looking at a far more holistic approach across the range of products. And that is something what would be our endeavor going forward.

Moderator : Thank you. The next question is from Mr. Manoj Menon, ICICI Securities.

Manoj Menon : Hi team. Good to note, far higher disclosures on the activities which have been undertaken, and request please continue. Just one, one thing on those act

ions which you have taken, not really talking about

macros and markets and industry growth, etc. If you could comment about anything which would have done in the last six months or on a year with the dealers, you know, anything different versus in the past, that would be very

helpful. That's one. The second question is any color over the last six, nine months in terms of your regional mix changes. What I'm trying to understand is in markets like Tamil Nadu, Karnataka, Kerala, where you are probably over indexed versus your national average. So, let's say how do I think about these parts of India, the growth for you, is it closer to the overall growth or is there a regional divergence and also on the product. Thank you and good luck.

Amit Syngle : So, for us, the entire set of retailers are something which are core to us. I think what we have definitely looked at in the last six to nine months is the area in terms of building far more stronger relationships. I think that is something which is a very different thing in terms of what we have tried to do. Because for us, the relationships are much more important in terms of what we kind of really build up. So, that it really then adds up to the overall business. The second area which we have looked up is in terms of generating more business for the retailer. So, that it is something which is very different from the industry standpoint saying that today we get you better leads, we get you better business, so that today the retailer gets more interested in terms of doing business with you in terms of looking for a brand which is really supplementing his or her efforts from a point of view of selling more. And that is something which really matters to the dealer. I think the third area is to kind of really look at their earnings and basically, we look at two initiatives. One is from the point of view of giving them a strong ROI in terms of their overall business. And secondly, by the virtue of a lot of variants, a lot of differentiated propositions, we try to give them higher margins so that the entire return on his investment really amplifies a lot. So, I think those are some of the key areas in terms of what we have looked at really building from strength to strength in the last nine months. When we look at, from the point of view of certain regions which you mentioned, especially the southern regions, we have looked at a lot of regional initiatives which are basically tuned to that region in a very strong manner. To give you an example, that if today we see that there is a region which is tuned to more in terms of looking at that they are excited in terms of looking at a certain finish in a certain category at a mid-level, we would kind of try to give more wings to that category and that finish in that market through various mechanisms, whether it could be through the architects through the interior designers or the painters, contractors, so that we could kind of play in that category, which is so good for that kind of a region. Similarly, I think the whole area of regionalization, which offers some areas like colors which suit that region, packs which suit that region, something which appeals to the art culture of that area, has been a strong galvanizing point in terms of what we are seeing, where people are looking at aligning with you. Because that is something which the customer is asking, and the customer is really enjoying. And that in the true sense is bringing joy and happiness to consumer lives. So, I think that is something which have been the strong differentiators there.

Moderator : Thank you. The next question is from Mr. Amit Sachdeva, UBS.

Amit Sachdeva : Hi, good evening. Thank you for taking my question. Sir, my question is on the competitive intensity. I think last year we've seen, for lack of any better word, kind of bandwagon effect where a lot of dealers, joined competition, and competition built

it up some scale. Now, is this because some sort of fatigue has set in there as well, where dealers are going back and buying Asian Paints again and some sort of that effect is waning. And also related to that is that the painter commission that you also gave you also accelerated quite a lot a bit, I believe. How do you record that commission? Is it part of the net pricing or it sits on in the other expenses. But I just wanted to your reaction to it, whether competitive intensity actually is waning from a dealer adoption point of view.

Amit Syngle : So, it's very good that you asked this question because if you look at it from a point of view of the consumer, this is not an FMCG industry that you basically come in with a force and you look at possibly giving consumer a lot of goodies packed by, people who are kind of aligning in terms of giving and offering those areas. I think it is also a question in terms of saying that this is a cycle which keeps on visiting you once in five years, which means that every year you have a new set of consumers which possibly are coming into the market. And this is a continuous process that if you don't build bridges with this customer over a longer period of time, a shorter-term kind of invasion will really not help you in terms of getting to the consumer. Having said that, at the same time, I think it is important that you build in the consistency of brand spending to that extent, which can only happen if you do it over a larger period five years to 10 years, to that extent, so that you are able to get that customer, the newer customer, and then start basically getting a repeat from that customer as you can kind of look at your long term journey. So, therefore I would say that while there are ways of accelerating in terms of incentivization which can come in terms of looking at discounting. But I think the more important thing is the fact that are you building a connect in terms of ensuring that both the dealer and the contractor are able to get a continuity in terms of their business. And that is something which is very important that you work with the contractor in terms of one increasing his business and not only in terms of looking at either discounting or giving him a benefit per litre. I think some of those areas will have a little bit of a short term effect and it would kind of really call for really strong energy that you could kind of really leverage the areas of overall brand connect far more strongly along with relationships, which would really work for medium to long term.

Moderator : Thank you, sir. The next question is from Mr. Tejas Shah of Avendus Spark.

Tejas Shah : Hi, thanks for the opportunity and congrats on recovery. So, just in your presentation, you called out that part of translation from volume growth to value growth is also missing because of rebates. Just wanted to know how are we tracking and how is the overall industry also tracking on that front? Has the intensity on that particular line item come down?

Amit Syngle : So, as I said, the important thing is that, when you look at the overall segments, there is a certain kind of balance you will have to really look at because it is a large product range today, and each segment has a large contribution, given the diversity of this country and the huge consumption . And therefore, possibly just blindly pursuing the fact that I need to just decrease the value volume gap might not be a great idea going forward. What really matters is that in each of the segments, are you really scoring out with the consumer? Are you really giving consumer a different segmentation and are you really winning in each of the segments . The segment sizes vary to that extent in terms of what possibly economy contributes, what is the mid end contributing, what is the luxury contributing. And therefore, just saying that I need to concentrate only at the mid and the luxury end and kind of

look at possibly increasing my value might not be a great choice when you are really traversing the entire range and reaching out to the entire country. And especially when you talk of your retailing and your distribution strength, which is both very strong towards the urban and the rural centers. So, therefore, I would say that possibly a balanced approach, is a good option in terms of maintaining volume and value parity going forward.

Moderator : Thank you. The next question is from Mr. Jaykumar Doshi, Kotak Securities.

Jaykumar Doshi : Yeah, hi, thanks for the opportunity and congratulations on good performance. My question is on premium and luxury part of the portfolio. Could you give us some indications in terms of what has been the growth rate relative to the company? And the question comes primarily because the new entrant has indicated that for them 65% of the portfolio is premium and luxury. And if that is the case, mathematically it appears that either the market is growing at a super normal rate, like 25, 30% plus in value terms of premium luxury, or maybe they are gaining share from others. So, I would like to know your thoughts on that aspect.

Amit Syngle : So, I can speak for Asian Paints here that today, when you look at the luxury and medium category today, it's not that large a category in terms of what we see. The larger, bigger category obviously is the economy category. And therefore, we have reason to believe that every new entrant who comes in basically tries to get a larger peep into the area of the economy segment . Because it takes a lot of effort in terms of brand building, a lot of effort in terms of product differentiation to start making forays from a mid- level to a luxury level. And therefore, what we believe is that the economy segment will still be the largest segment in terms of the market. And therefore, I think our endeavor is to look at upgradation, which is a very strong initiative what we take , in terms of how we upgrade people who are using distempers to the economy emulsions, from economy emulsions to the mid- level immersions and from there onto the luxury emulsions. We keep on prodding that pyramid far more strongly , but the larger base of that pyramid is the economy segment.

Moderator : Thank you. We will take the last question from Mr. Pratik Gothi, HSBC Securities.

Pratik Gothi : Thank you for the opportunity. I have a quick question on the mix again. Any color in terms of interior, exterior performance in terms of mix.

Amit Syngle : The interiors would have done much better this quarter, given the fact that there was extended monsoon. And please remember, in the monsoon, the exterior painting suffers. Especially large, big sites, especially in the B2B business. It takes a toll in terms of the exterior painting because no one wants to risk painting at a time when there was incessant rain. So, I would say that this quarter has been much stronger from the point of view of all the interior finishes.

Pratik Gothi : And just a quick one, if I can squeeze it in on the waterproofing category or the construction chemicals category in general. Any commentary there?

Amit Syngle : That category has done very well for us. Overall, we are looking at growing more than double digits in that category. And there are lot of innovations in terms of what we are bringing from the kind of products and really offering consumer a proposition, which is a strong waterproofing proposition. And, in the B2B business, it is basically foundational to get into the waterproofing first and then start supplementing it with the top coats. So, I think it's been one category which has been doing very well for us over a period of time.

Moderator : I thank everyone for their questions. With that, we come to an end of the Q and A session. On behalf of Asian Paints Ltd. this concludes today's conference. Thank you for joining us. You may now disconnect your

line and exit the webinar. Thank you so much, everyone.

## Call: Feb 2026

APL/SEC/57/2025- 26/26

2nd February 2026

BSE Limited  
Phiroze Jeejeebhoy Towers,  
Dalal Street,  
Mumbai – 400 001  
Security Code: 500820 National Stock Exchange of India Limited  
Exchange Plaza, C -1, Block G,  
Bandra Kurla Complex, Bandra (East),  
Mumbai – 400 051  
Symbol: ASIANPAINT  
Sir/Madam,

Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Investor Conference

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor Conference held on Tuesday , 27th January 2026, with regard to the business and financial performance of the Company for the quarter and nine months period ended 31st December 2025 .

The transcript has also been uploaded on the Company's website and can be accessed through the following link:

Investor Conference – Transcript

You are requested to take the above information on record.  
Thanking you,  
Yours truly,  
For ASIAN PAINTS LIMITED

R J JEYAMURUGAN  
CFO & COMPANY SECRETARY

Encl.: As above

1 |

Q3 and 9M FY2026 Earnings Conference Call  
Transcript

Date: January 27, 2026

Management: Mr. Amit Syngle : MD & CEO  
Mr. R.J. Jeyamurugan : CFO & Company Secretary  
Mr. Parag Rane : AVP – Finance  
Mr. Lakshya Sharma : AGM – Finance

Disclaimer: This is a memorandum of the proceedings of the Investor Conference of Asian Paints Limited held on 27th January 2026 at 5:30 pm in Mumbai with regards to the financial results of the Company for the third quarter ended 31st December 2025. While we have made our best attempt to prepare a verbatim transcript of the proceedings of the meeting, this document has been edited for readability purposes and may not be a word -to-word reproduction.



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Lakshya Sharma: Hello, and good evening, everyone. Thank you for joining us today for Asian Paints Q3 and 9M FY26 results call. I'm Lakshya Sharma from Investor Relations team, and it's my pleasure to welcome you all. We are today joined by senior members of our management team, including our MD and CEO, Mr. Amit Syngle, our CFO and Company Secretary, Mr. RJ Jeyamurugan, our AVP finance, Mr. Parag Rane. I would now like to invite our MD and CEO to give us his opening remarks. Over to you sir.

Amit Syngle: Good evening, everyone, great to have you for the Investor Conference for the Q3 and the 9M FY26 results.

Let me take you right into the area in terms of what we are going to speak today. You are aware of the core value in terms of what we have been driving from a long time. This is about delivering joy since 1942.

We exist to beautify, preserve, transform all spaces and objects, bringing joy and happiness to the world. So, that is something which we really stand by.

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The standard disclaimer.

As we start, I wanted to really take you on to a journey in terms of what we have been driving this year, very strongly. Something very different, something unique, something possibly no one in the industry is looking at it in this way.

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The first area has been from a point of view of seeing how we can really propel the brand going forward because that is something which gives us the equity in the market and the power of the consumer, and we are putting newer initiatives, newer things which I would show you.

The second area is that one of the bedrocks of our strategy has been based on innovation, and that is something which we continuously dial because, as a leader, we felt that this is one area which will be disruptive and also give us the required momentum and the excitement in the market in terms of what we can bring for a consumer, as well as for other stakeholders.

The whole area of services is the third big area, and we feel that given the scale in terms of what we are driving, possibly we are the only ones who have taken this entire area, which literally means that you are becoming very consumer centric and you are able to really reach your desired segmentation of what the consumer desires in a very strong fashion.

The fourth area is another trump card from our side in terms of what we have been doing, and this is about the whole area of regionalization. Today, as we know India is fairly diverse, and as we look at it, you can't really have one kind of initiative or a strategy across the country, and therefore, at a regional level, we have looked at differentiating in terms of what is relevant for that market, and regionalization is a very strong area in terms of what we have built in.

The fifth area is the whole area of B2B, which is really galloping at a good pace. We feel that today the kind of momentum, which is coming from the infrastructure and other areas, that is something which we have taken on very strongly. So, two areas, one is from the point of view of the government initiatives. The second is from the point of view of private CapEx which is happening in the industry, and that is something which we are looking at, seeing how we can propel this to give us a strong gain in the market as we go ahead.

And the last area is what we have been speaking for a while, the whole area of backward integration. As you know that this is a journey, which we are on to, we have started our white cement plant, and we are now really looking at the next level in terms of what basically starts in the coming year in terms of the whole area of backward integration, which will give us a lot of advantages as we go ahead.

So, these are the six big areas, very different, very disruptive, and strong from a point of view of what advantages we get out of all these areas as we go forward.

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When we look at the whole area of brand building, one of the big things which we are proud of is that we became the colour partner to the team India, and this is something which we invoked very strongly. We felt that this is a very strong partnership which we have done with BCCI which helps us really appropriate the entire cricket team in a very strong manner and this gives us a very strong visibility around the year in terms of something which is very popular - cricket - and a big leverage that we have got.

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We are also bringing lot of innovations, so whether it is looking at how do you garner visibility in terms of any event or a sponsorship which happens to that extent. So, whether it is colour countdown which we bring, the colour cam in terms of being noticed, and that is something which is a joy to the customer and supporting cricket all over for instance congratulating the women's team on winning the tournament.

I think the impetus is that how do you leverage colours and the fact that we started earlier with "Mera Wala Blue", we have taken a variant of it in terms of "Meri Wali Blue" and explored in terms of full page enumeration for the customers to see what we are doing here.

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Not only that I think any great property which is a high impact property we have looked at participating in a strong manner so whether it is the KBC, where we appropriated the whole property called 25 years of knowledge as KBC completes 25 years or the wall of legacy, which we made for all the celebrities who are coming on the show was something which has given very strong results.

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One of the things we are focusing on for younger audiences, whether it is the Gen Z, Gen Alpha is relatability. So, celebration of the pop, as we say it, with Spotify. Just to give you an idea that we don't talk of a certain segmentation, but we really see that we are able to connect with people across genres and segmentation.

When we look at another big property - Big Boss - where we looked at innovatively participating and integrating a lot of stuff here. The step in terms of really seeing that we bring colour, we bring innovation, and we bring home as an area is something which we reinforced with our brand presence.

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Not only this, I spoke of regionalization, and this is an example of what one of the things which we have done in terms of saying that we had a regional pack which basically invoked the culture of that region and very strongly gave customers a part to really associate with, so much is that the popularity of the packs that people really see that pack adorning their homes in terms of what they proudly do as part of their whole living room experience for people who come into their home. So, literally, you kind of own the homes and not only make them beautiful, but you also stay with the customers for a very long time.

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New campaigns, which we continue to do very differently, for example, the whole campaign in terms of indicating that we have a very strong premium luxury exterior product which has basically a tough protection that comes from an ingredient called "Graphene". So, looking at really partnering with the master himself, and that is again a very strong area in terms of how we connect with the customer.

Services, as I said, is a big area we have been speaking about. The "Beautiful Home Painting Service", is possibly the largest painting service in the world. We have really amped up the service literally, and we are now looking at AI as a very big force in terms of hyper segmentation of the customer, and not only that I looking at the service being seamless and, at the same time, looking at AI-led NPS to measure the output.

The second big area is "Total Assure". This is a comprehensive service which basically looks at offering solutions to large factories, large projects, where people can get a supervision-led experience which is seamless, so that they can see the start and the end of the project very clearly. Another variant is "Smart Assure", which is literally being the waterproofing expert and offering the same service which is supervision controlled.

Not only that we built a whole platform for asset protection service also. This is an asset management service called "Metacare" which we have launched, where we maintain factories, and

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we are proud that we today maintain factories for most of the bigger players in various industries, and this is a big service we have placed in the market.

So, this is the whole services paradigm what we have unleashed, and we are proud to say that we are the only ones possibly offering so many services as a differentiator in the market.

The other area is of B2B, as I said, whether it is the factories, the government, the hospitality segment, or any other large project which comes in. It could be airport, it could be a tunnelling area, large bridges, so on and so forth. I think this is something which we have invoked very strongly, and this is something which we have taken in a very big way so that we are able to offer solutions which are technical in nature, at the same time with a certain expertise and warranty.

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Not only that, but we have also taken a step ahead in the area of digitalization. We have launched a unified platform, which is called "AP Assure". It brings a series of service from our industrial and B2B offerings, where we bring in the best of the technologies, the best of the solutions, and a

data-driven customized approach which basically helps customers to see a very strong collaboration which we offer to them.

So, these are the range of services which we wanted to really take you through, and these are all unique and very strong initiatives, which we are bringing as an industry leader in the market.

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Coming on to the Q3 results, as you see, we have been able to drive a strong high single-digit volume growth of 7.9% which is strong. If you see in the last three quarters, the trajectory has been strong and resilient which possibly, going ahead, we should be able to maintain.

When we look at, from a point of view of the overall volume and value of the decorative business, we had a little bit of a compressed festive season. All of you know, we had earlier Diwali, and

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therefore we got only about 15 odd days in October which was festive. We also had a prolonged monsoon which stepped into October as well. So, it was not great.

So, overall, November and December, were good, which helped us basically prop the entire Q3 volume to about 7.9% growth. The value growth was about 2.8%, so you can see the difference between the value and the volume was approximately about 5%, which indicates a relatively strong mix in terms of what we have been able to deliver.

When we look from a 9M level the respective volume growth is about 7.5%, and the value is about 2.4%, which is a marked improvement in terms of what was there last year.

However, the story changes when you look at the overall coatings business, which is the entire decorative and industrial business, which is a comparison which is done with the industry.

When we see this the volume growth jumps to about 8.3% from the 7.9% in decorative and the value growth for all coatings jumps to 4.4%. So, I think it literally is closer to the mid-digit level in terms of what we spoke about last time. Overall, from a point of view of 9M growths again in the same regime, about 7.7% on the volume and about 3.5% on a value on a 9M frame.

So, I think the industrial business has done quite well and has added a lot of acceleration in terms of the overall coatings, giving us possibly a good growth in terms of the industry as we see. And we have reason to believe that possibly, this would be a better growth as far as the overall industry growth is concerned.

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Now we look at some of the things which in the quarter worked very well for us. As I said, high single-digit volume growths, despite the fact that there was a shorter festive period along with a prolonged monsoon. One of the things which we saw was, that the rural parts fared better than the urban centres, possibly a good rainfall which has augured well. I think the mood has been good. So, November and December that is a clear trend in terms of what we see, that rural markets were slightly ahead of the urban centres.

From a point of view of product categories, I think a strong focus on the premium and the luxury category, is something which is helping us really improve the margins and help us with better realization.

Not only this, I think we have been able to trail blaze the whole waterproofing portfolio and cementing the leadership in this category and really becoming the water proofing expert in the market and this is something which has really given us a very good leverage.

We also continue to expand our distribution footprint. We have added about 3,500 to 4,000 retailers this year overall, and our reach is now in more than 1.6 lakh retail outlets.

The B2B business did better than the overall retail area, was led by strong growths coming from the factories and the government, and therefore this has been a trend which I have been speaking about. Both industrial as well as the B2B business has been doing well for the last four quarters, and I feel that this is a trend which will continue as we go forward in the coming year.

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The other thing which we see very clearly is that our Beautiful Home Painting Service is giving us a very strong edge. We see better implementation, huge technology which we have put into it, seeing the outcomes and the response from the consumer, which is AI-led resulting in better NPS. Not only that, a lot of new products in terms of what we have launched, we showed you some of them in the last call and now more products which are coming in. And today, new product contributes to about 16% of our overall revenues.

Just to show you one very innovative product, which is a first in the world called the "PU Gold".

This is a premium polyurethane paint which has got anti-termite element in it.

We had also launched two other variants. One is basically called the water-based glossy product, which is "Aquadur" and the other is a VFM category polyester paint which we have launched.

So, spate of new products keeps on coming, really kind of giving excitement to the market and also showing basically our technological progress in terms of what we are making, in terms of constantly giving market something very different and something which really resonates with the consumer in terms of the right need.

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We have been pursuing this strategy, which is really owning homes, the area of moving from surface decor to space decor. The progress here has been a little bit limiting in terms of what you have been seeing in the previous quarters as well, but I think this is a very important area for us which kind of gives us credence in terms of owning homes. It also rejuvenates us in the coating segment so that possibly you can become a very strong home player, and that is why we are pursuing this whole strategy for some time. Right now, obviously it contributes to about 4% of our decorative revenue.

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Our Beautiful Home stores network, which is doing quite well overall, expands to about 74 stores across the country. And therefore, there is a large retail space which is owned jointly with both decor categories and the coatings category, which gives us a full window into the area of the homes.

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However, as I said, from a top line perspective, the categories of White Teak and Weatherseal did well. Although we were stretched in terms of the overall bottom line for White Teak, but two categories' top line is now emerging to really build-in.

The area of bath was something which continued to be weak. Kitchen has done fairly okay in terms of 3% growth while improving the bottom line there as well.

From the point of view of international business, you can see our footprint.

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I think a good steady business in terms of what we have done. We see there is a 6.3 % value growth, in constant currency terms it boils down to about 4.2%, given the fact that INR has depreciated. Very strong growth which has been coming in units of Sri Lanka, UAE, Ethiopia, and that is something which has given us a larger growth. If you can see largely, all the units have grown, except for the Pacific units.

Even PBT has been very strong this year. For AP Global overall, we have got a 26% growth which comes in, at a 9M level, the growths are even higher. So, I think overall, if you see, we have done fairly well from the top line and the bottom line. And even at a 9M level growths are 8% by value, and in terms of profitability, PBT again, something which is a number which is very strong. So overall I would say, we have done well.

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When we come to the industrial segment, again a very strong performance, the PPGAP which is our JV, which is about auto and general industrial segment, this is something which has really delivered a stellar performance in terms of almost growing by 17% this quarter, and on a 9M level also growing at a strong 14%.

Even from a point of view of PBT, we have really expanded the PBT margin for the quarter. It is an all-time high with almost 300 bps growth year on year. So, overall, I think this business has done quite well and this is riding on the good business done by the overall auto segment, in the market. When we look at the APPPG, which is comprising of protective paints and powder coatings and some traffic paints. In this business again, a very strong quarter with about a 16% value growth. On a 9M basis, we are on a double-digit growth and again we have delivered PBT growth of 11% on a Q3 level and about 7% on a 9M level.

So, again we see that we have been able to look at growing the business, although here PBT margin is little bit contracted by about 40 bps points, but the business overall has done quite well in terms of the top line. So, that is the industrial segment where we have seen significant growth uptick which is also giving us a larger impetus in terms of the overall coatings category.

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When we look a little bit deeper to see what is really happening, I think the paint market has gone through a certain bit of deflation, given the fact that today consumption worldwide is something which is down. And we see larger raw materials, whether it is monomers, whether it is TiO<sub>2</sub> - the prices have been low. And we have seen a material deflation of about 1.1% as well, which is also really helping us in the gross margins we are deriving in this quarter.

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So, finally, we look at the overall financials for Q3 at a standalone level. If you see that the Net Sales growth is about 2.9%, I think a little bit lower here because of the festive season being cut short. But, the volume growth has been strong at almost about 8%.

At the same time, when we look at the gross margin, one of the highest Gross Margins I would say over the quarters in terms of what we have registered, about 44.9%, 200 bps points higher, and I think other than the deflation, we have also seen a lot of efficiencies in terms of the cost which we have brought in giving us a boost in terms of overall gross margins.

The PBDIT growth is almost closer to 8% in terms of what we have been able to drive, and the PBDIT margins are also quite good at 21.4%, 100 bps up yoy. So, I think the Gross Margins, PBDIT margins, have been strong and PAT before the exceptional items is close to about 6.6% growth. So, on the whole good bottom line performance in terms of what we see from the quarter perspective.

On a 9M basis, again, if you look at it the Net Sales growth is about 2.3%. Gross Margins are high at about 43.9%, almost about 170 bps points higher. PBDIT has grown by 6.6%, and the PBDIT margins are strong at about 19.8%, almost 80 bps points higher. PAT before exceptional items, again on a 9M basis, is up by about 4.6%. So, overall if you see, a strong quarter from the perspective of how the growths have come in.

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At a consolidated level, when we see again, from a top line perspective we are at about 4% yoy growth, a part of the industrial sale is not here. The Gross Margin is 44.3% which is higher by about 200 bps points.

Again, in terms of the PBDIT growth, almost 9% growth here, with PBDIT margin of 20.1%, which is also higher about by 90 bps points.

From a point of view of PAT, when we look at before the minority interest and the exceptional items, it is at a strong growth of 7.7%.

On a 9M basis, similar picture with 3.2% top line growth, Gross Margin of 43.3%, PBDIT growth at about 7.4%, and a margin at about 18.7% overall. And the PAT before the minority interest and the exceptional items is at about 5.6%. So, again possibly, strong catch up in Q3 and therefore that is reflecting in the 9M in terms of how we see overall results.

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There are two exceptional items in the quarter which are there, one is all of you are aware, the impact of the labour code, which basically has a component in terms of gratuity and leave accumulation. And that is something which is Rs. 63.74 crores.

As I mentioned that while we got the top line in White Teak the month of October was not good.

I think the whole bottom line was affected here. So, we have to take another impairment here, and that has been something which is close to about Rs. 94 crores which has been taken in White Teak which is the Ogenix Software Private Limited.

Similarly, on a standalone basis, the two exceptional items, one is on the labour code, which is about Rs. 60.56 crores, and similarly an impairment loss on the standalone numbers which comes close to about Rs. 106 crores. So, these are the two exceptional items which came in this quarter.

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Now, coming to the outlook for Q4, we want to really maintain the growth momentum. I think that is something which we want to take on strongly. We are keeping a very strong watch in terms of how demand is coming out overall, but we would like to maintain a certain momentum in terms of going forward.

From a point of view of competitive intensity, it is bound to remain now. We have obviously newer competition; we have also amalgamation of two players which is kind of coming in the market. So, I think we will have the competitive environment continue as we kind of go ahead.

From a point of view of industrial segment, I think this is something which will really grow, and I think there would be a strong traction which will come in, along with the B2B. So, these two, as I said earlier would kind of continue to grow possibly higher than retail, going forward.

International business, again with the exception of Bangladesh, I think all other countries should do well overall, and that momentum should be maintained.

Overall, yes, we all know that there is a geopolitical uncertainty in terms of how the world is kind of sitting at. I think some of those volatilities will remain, but we are obviously getting used to this volatility, the way it is. And therefore, what we would like to look at is put our head down and see in terms of how we galvanize the quarter going forward.

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Some quick view into the progress on sustainability targets. If you see at a 9M level our

performance has been very good whether it is fresh water, whether it is the whole area of hazardous waste reduction, or from the reduction in effluent generation, the reduction in scope 1 and 2 emission; we remain committed to our targets .

The whole area of recycled plastics , the whole area of renewable electricity, the work which has been done on a social framework of healthcare, looking at our skilling process , we are making good progress. We already trained about 6.7 lakh people here, and this year , as we kind of go ahead , we are gunning for training almost 10 lakh people.

From an employee engagement level, which is a very strong indication of the inclusive environment, the engagement scores have been quite healthy. And that is something which possibly is a big area in terms of what we look at from a point of view of galvanizing the organization ahead.

So, these are the larger things in terms of what we do from a ESG perspective, and that sums up the whole area in terms of some of the important updates on Q3. Thank you so much.

Moderator: Thank you so much, sir. We will now open the call for Q&A session. The first question is from Mr. Abneesh Roy, Nuvama.

Abneesh Roy : Thanks. Two quick questions. First is on the regional variants. So, first is, how many states have regional offerings, and do you see proof of the concept? Is the growth faster in such

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states? And second part of the demand question, if you see the real estate stocks, real estate index, the business updates which have come, clearly this shows that , there is some big change happening in terms of the demand side. It seems we are at the fag end of the real estate upcycle. I do understand 15% of your India demand comes from new homes, 85% is repainting. But if you could tell us on the 15% of the demand which comes from new homes, what is your sense? You are a PAN India player, not just a large developer kind of a player, but what is your take on that? That's my first question.

Amit Syngle : Okay, great Abneesh. In the first area, in terms of the regionalization, I think that's a very differentiated strategy what we have taken. We now cater to almost about 8 to 9 states where we have taken different kind of products. The products vary from upgradation emulsions to premium emulsions to luxury emulsions. We have also introduced waterproofing variants coming in various regional packs. So, to name a few states, we have done it in J&K, we have done in Kerala, we have done in West Bengal, we have done in Karnataka, we have done in Haryana. So, a lot many states we have taken, and this is something which is not just a shot in one or two states, it's something which we are making big. The proof of the concept comes in from an acceleration in terms of the growth which happens. It is also a very differentiated offerings which we support with a lot of below the line initiatives . Not only this, the excitement levels are quite strong as well , both from the dealers and the consumers and today our research is showing that , consumers are adorning these packs into their homes and not only that, we have also got the regional colour preferences, regional books which comes in, which are also based on some of the popular TV soaps. Therefore, the whole area of regionalization is something which we are making it very big because, we believe that, today this is a kind of a strategy which will give us a lot of strength and a lot of brand equity from a point of view of customer centricity. So, that is the whole area on regionalization.

The second area which basically you spoke of, in terms of the whole construction segment and the whole boom from a point of view of housing, I think clearly what we are seeing is, across parts of the country, the luxury and the premium housing is something which is on an uptick and definitely that reflects in product mix that is something which we are seeing, where basically in this segment the growths are far higher than possibly just looking at the repainting retail segment. So, that is something which is very clearly coming in. Obviously, in this there are a lot of things which are coming from a large demand for waterproofing, repair and construction chemicals as well, which is also fueling our numbers in terms of how we look at this entire segment forward.

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Abneesh Roy : Sir thanks. My second and last question will be on the competition and advertising spends. So, in terms of the new player, we surprisingly saw the price hike while your own gross margin, EBITDA margin seems obviously are at a multi -quarter high. EBITDA margin is at the top end of the expectation. So, what will be your strategy on pricing in the near term? And on the media spends, official paint partner, now we have the Cricket World Cup in February, so do you see that benefit? And specific question on media, what will be your share of voice now given the aggression is back and second when I see FMCG companies, digital spends is now a very big portion of the overall spends, it is bigger than traditional media. In your case, if you could give that break up. Thank you.

Amit Syngle: So, there are lot of questions in one question which you asked us. So, first of all I must say that some of this pricing increase is something which is just an artificial strat

egy, because

a price increase has a meaning when possibly you are at a discounting structure, which is reasonable in the market. So as per us, possibly this price increase has no meaning, because anything which is in the zone of about 2 to 3% will not have any impact. So, therefore we are very clear that in our whole

strategy we look at overall pricing from a market perspective. We know that today, as a leader, we can command a certain premium in the market and that is something which we are really looking at going forward and not tinkering with the prices there. Obviously, I think we are watching out if the volatility shows that going forward possibly if there are any indication of inflation which comes, we will review it accordingly.

I think the coming cricket series is very exciting and you would see a lot of innovations coming from our side, given the colour partnership we have done, and we promise a lot of excitement around such a popular game in India. Our digital spends have also increased, given the fact that today media is becoming more and

more fragmented. We do not look at only one TV media. Our digital spends have gone fairly high in terms of overall mix. Possibly from a share of voice point of view, we are leading the game today not only in terms of north, east, west markets but also across the southern markets. And we have been really putting a lot of money from a point of view of the overall marketing spend in terms of what we have been making and that is a strong strategy to really propel the brand geographically and not look at only north, west markets or look at only specific markets. So, I think that is how we have been taking the whole strategy ahead.

Moderator: Thank you so much sir. The next question is from Mr. Manoj Menon, ICICI Securities.

Manoj Menon : Hi team, just only one clarification if I may. So, the growth initiatives Amit and team are fairly impressive. The last couple of quarters you have been highlighting those granular

30 | growth drivers but just one big picture thought which comes to my mind is you being a 50% plus market share leader, what's been the reasons, for industry growth being so muted? What's your assessment? The context I'm asking this because, when I look at the last 20 years of paint industry growth, particularly the last 10 years, there appears a two-year pattern, two years good, two years muted. But going by that logic, the growth should have recovered this year. So, the question is, in a lot of activities done by you, a lot more media spends has gone into the market as well, thanks to the new player. What's your prognosis on why industry growth really not happening the way it should have? Thank you.

Amit Syngle: So, overall, I think the way we have looked at industry growths, there is a little bit cyclicality to it, in terms of what we have seen in the past as well. There have been periods when basically the overall cycles of growth have come down. Although if you look at from a CAGR point of view, I think that still continue to be strong for the overall industry. We are also seeing some kind of consumption trends, which is a change which is happening. I think what we have seen during this point of time, for whatever reason it is there, that possibly the frequency of painting has come down a little bit. I think the occasion-led painting has also come down. Wedding is a very big phenomena today in India and that is what we are seeing that today there are more destination weddings happening than home weddings, so that has contributed to some amount of possibly postponement, and we have also seen that it is a discretionary spend. Obviously, there are other avenues in terms which people look at, where they can defer painting and get into other investment and other consumption areas. Travel and hospitality are big areas in terms of how they are booming. But what we also see is that, the industrial sales

has really gone up. The whole area

of B2B, which contributes to a certain demand today, you are seeing really an uptick in terms of high-teen double-digit numbers. So, I think these are strong indicators in terms of saying that

there is also a shift in the demand which is taking place in some of those areas and as we see it possibly this is one area which is bound to continue growing. But what we are also seeing is that, today somewhere with the interest rates coming down and possibly now today people shifting their investments to other areas, given the volatility in terms of what we are seeing, we could see that possibly some of those shifts will come, in terms of the painting cycle. So, we are really hoping that this whole cycle comes back. What you are saying is right. I think the expectation was now, which has not happened.

Manoj Menon : Thank you, Amit, for the granular and detailed response. Just one quick follow up if I may, when we look into next 12-18 months, what is your confidence level 60-70-80-90-100%, to say that you will end the next 12-18 months, with material market share gains?

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Amit Syngle : So, that is the endeavour in terms of what we want to take. All our strategies are geared towards the fact that today we would like to possibly grow to some extent higher than the market. So, whether it is from the point of view of innovation giving us that leverage or it is from the point of view of far more different areas which we are driving whether it is waterproofing, whether it is construction chemicals, whether it is the whole B2B business. So, we are reasonably confident in terms of doing that.

Moderator: The next question is from Mr. Avi Mehta from Macquarie.

Avi Mehta : So, my first question is on the decorative coatings industry. Could you give us a sense on how the growth momentum is, in particular what exactly was the growth in November,

December versus the overall 3Q?

Amit Syngle : So, as I said, I think October was depressed for us in terms of what we saw, given the fact that the festive season was just about 15 days and that also was affected by a little bit of prolonged monsoon. So, I think the growth which came in, was much higher in the months of November and December. In fact, the exit growth rates were even higher than what possibly we saw in November. So, progressively, I think November and December is much higher. October gave very little growth.

Avi Mehta : Got it, sir. And just a follow up on that, by when do you see volume growth possibly moving to double digit? Is this like a few months' phenomena, is it a few quarters phenomena? Any thoughts over there would be useful?

Amit Syngle: So, progressively, we see that this is the third quarter, which is seeing volume growths. In fact, last quarter we had a double -digit, this quarter we had a high -single -digit growth. So, I think that regime should continue as we go forward.

Avi Mehta : Just one bit on the Home Decor, if you could just give us some sense, on what are we doing to drive profitability? And is it fair to say that we are now in consolidation as we focus on profitability, which should impact sales growth. Just your thoughts on that. That's all from my side.

Amit Syngle : So, as far as decor is concerned, it's a very fragmented market. And if you look at from the point of view of the organized market, the organized market is very small, the unorganized market is very high. Therefore, I think there will always be pricing pressures which

would come in, in terms of the affordability of the customer. Where we are leading the game is, one we are looking at maximizing our sales on the Beautiful Home store network, which are also places where we are able to cross sell from the paints to the area of space decor and vice versa.

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So, that's been a larger strategy in terms of what we are playing. We are opening some stores every year

, so that it gives us a larger coverage. And therefore, we would say that the approach is we spend sensibly here, at the same time, look at innovation and look at concentrating in terms of growing the business through our Beautiful Home Store Network.

Moderator: We would now like Mr. Mihir Shah from Nomura to kindly ask his question, please.

Mihir Shah: Hi, Amit and team. Thank you for taking my question. So, my first question is largely on the demand environment. Given 3Q was impacted by a shorter festive and a prolonged monsoon, can one expect volumes to be better in the coming quarters? And if you can share some insights on how is January shaping up, from that point of view?

Amit Syngle : I think we are seeing some of the trajectory of December into January as well, for sure. And as we look at it, given the fact that the second quarter for us was at about 10.9%, this quarter is about a high -single -digit. I think as we go ahead, this band would remain, in terms of what we would be able to target for the Q4 as well.

Mihir Shah : Secondly, on margins, now you are at the higher end of the margin guidance band. And with raw materials being deflationary, can one expect margins to sustain at current levels, excluding the mix impact during the quarters? And is there any case for a price cut theoretically?

Amit Syngle : So, as we see, the whole price environment seems very volatile today. We all know that given the current geopolitical situation, the whole crude impact can come in very fast. So, we do not know, in terms of one, where is the pricing index going. Second, there is obviously some possibility in terms of regulating the key raw material of TIO

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there could be some movements in that direction going forward in terms of what can happen.

How we see it very clearly, that for us, we want to really look at spending very constructively from a point of view of brand building. We want to spend a large amount in terms of our services, so that we can make the services far stronger. At the same time, the focus in terms of the premiumization should continue. A lot of energy would go into some of the newer products, in terms of what we would like to launch in the market and create that excitement. At the moment, I don't think so we are looking at any price change, but we will keep a close watch in terms of where we are going. But at the same time, the areas I have outlined we should look at concentrating on those areas to build ourselves for future.

Mihir Shah: Got it. So, lastly, if I can squeeze one, if you can share an update on the latest latex paints that you had launched focusing on the rural market, how are they doing? And any thoughts around share gains from the unorganized players? We have about 220 paint companies in India;

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we probably know names of only about maybe max 10 companies. How do you think about share gains from that part of the segment? That's all from my side.

Amit Syngle: So, great question. I think from that point of view, we had launched "NeoBharat" and we have been pursuing it very strongly. So, we have looked at the latex market, which is basically sold in "Kgs" across various markets. In certain states where we have seeded the product where we felt that the profile of the region suits it, we are seeing some uptick for us, which comes in from those geographies, digging into some of the unorganized markets and that was the



purpose literally that, if we can upgrade the unorganized customer to organized markets, is something which we are looking at going forward. So, I think that persistence will continue, we have not made it a mega launch across the country, but we have seeded it in certain states, where we would continue to focus on that product.

Moderator: The next question is from Percy Panthaki from IIFL.

Percy Panthaki: Hi sir, just trying to understand the context of the growth this quarter

for the

domestic business, the sales growth is about 3%, this is on a base of about minus 7%. So, what is really constraining the growth here? Is it the competitive environment and some loss of market share or is it that the industry growth itself is that weak? And if it is the latter, is this something particular to this quarter or to the short term so that we can expect this to sort of improve with some clarity or certainty or the improvement is more of a hope at this point of time?

Amit Syngle : I would say that it is pertinent to look at the overall coatings growth which is about 4.4% and even from a point of view of volume level, it goes to 8.3%. I think, given the current demand conditions, it is still quite a good growth and we believe that, while the results are going to come for the other companies, it should be possibly higher than the industry average and that is something which we have been pursuing in all the areas, where we are seeing growth, we are putting a lot of effort in those areas, as we want to grow, namely the B2B and the industrial. I feel that going forward possibly, a good ticker would be to keep on looking at the volume growth in terms of what is there and I think the value growth would follow from that point of view. And

therefore, anything in the volume, in the current context, which is between that 8% - 10% is a good growth, in terms of what I would say under the current circumstances.

Percy Panthaki: Understood sir. And the volume value gap for last several years has been negative for us. Any chance, that this will become zero or something in absence of any price changes or it will remain at this 3% - 4% gap between volume and value?

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Amit Syngle : So, as I see it, in fact the gap has come down. Earlier, the volume and the value gap used to be about 6% to 8%. So, the gap has come down, which is an indication of the fact, that possibly there is a premiumization which we are attempting. But I think I have commented on this earlier as well, if you look at the entire segment of economy, primers, some of the upgradation products which are there, it is a large segment. So, I think by virtue of the fact, that you would like to grow both sides whether it is the upgradation segment as well as the premium luxury segment, some of this gap is bound to remain. So, I would say that this 4% -5% is a more realistic thing which would remain in the market, so that possibly from a point of view of share you are able to concentrate far more holistically in terms of how the market is growing.

Percy Panthaki: So, if we are saying that about 9 -10% volume growth is a respectable number and there is a gap in volume value, does that mean, that about 5 -6% value growth is what we should be realistically expecting in the next few quarters?

Amit Syngle : I think that is a reasonable take in terms of what we can look at.

Percy Panthaki: Second question on margins, earlier you had given 18- 20% band, now we are at that 20% number, do you think that assuming that input costs more or less remain where they are, we would maintain this 20% going ahead as well or you would still think that it could fluctuate between the 18- 20% band?

Amit Syngle : See, what we have seen is that, given the kind of environment, the volatility which we are seeing, the kind of competitive intensity which we have, our spends in terms of building the brand going forward, we would say that, we should judiciously use the monies, to say that, what is the longer term view we are taking, what are the endeavours which we are making, which is our investment in the market, it could be from a point of view of technology, which could be both information technology, AI or development technologies, which would really come in. At the same time, I think the whole marketing impetus is something which is a very big imperative for us going forward. So, I would say that we would keep the

balance between that 18 and 20% band

as we go ahead and that is something which we will endeavour to maintain.

Moderator: The next question is from Mr. Amit Sachdeva from UBS.

Amit Sachdeva : Hi, good evening and thank you for taking my question. Sir, if I recall, you had given some sort of ambition, if not guidance, for second half, kind of 5% or mid -single -digit revenue growth and value volume gap of some 5% as well. Now, given the Q3 performance and if I were to reflect back, that Q4 tend to have some sort of channel filling or at least quest for channel filling, a lot of competitive activity because everybody wants to finish the year with good

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numbers. Is it a remote possibility that your guidance is intact and in fact, we could see a bit of very strong volume growth in Q4? Is that a possibility or are you sticking to that guidance what you said in the past?

Amit Syngle: No, I think I have been maintaining that, as I said that, band of 8- 10% for volume

and gap between the volume and the value is a good indicator, because see, this whole thing of channel filling is something which is always artificial. It is not something, which basically becomes a very productive kind of a thing, when you start the next quarter. So, overall, we basically take a balanced stance, in terms of how we would like to channelize our sales and to some extent there is a little bit of a hockey stick effect which comes in every quarter. So, literally if you see, it is built into your base as well. So, I would like to maintain the numbers in terms of what I just said.

Amit Sachdeva : Got it. Amit thank you so much for this. And if I may just stretch a little bit of the comment you made about the value volume gap of 5%, sustaining for few more quarters. Now in your thinking, you have probably reflected largely mixed activity which is causing this to persist. Now is it also your competitive signalling, inbuilt into it, that you expect competition to behave in a certain manner, and you have inbuilt your thinking, that pricing would remain in this band or at least the value or volume gap will persist for some time. Is it a two-year phenomenon for you? When would you see the base catching up, is there a sort of framework we should think about, because right now we are always second guessing, how this gap would bridge?

Amit Syngle: Yeah. So, as I said, if you look at from the construct of the market I have been always maintaining that, the premium-luxury market contributes to only a certain portion of the entire market and you can really grow the premium-luxury market, even if you were to take a hypothetical price increase, you can grow the market only by that percentage points. The fact is that today there is a large segment which is the upgradation economy segment, which remains with a lot of attendant products, which comes in from a point of view of undercoats. So, given that fact, that we look at possibly this kind of a product mix which is possibly true for a larger set of companies. I think it is realistic to assume that this gap will remain for a certain point of time. This structure can't change strongly, very easily in a very short time. Even if you see from a point of view of a waterproofing range and that also has a mix from a point of view of premium as well as eco category in terms of how it balances out. So, therefore, I would say that possibly this gap will remain if you want to have a far healthier growth across the range of products.

Moderator: We would now take the last question by Mr. Tejas Shah from Avendus Spark.

Tejas Shah: Hi. Thanks for the opportunity. Sir, if we attribute this quarter's slowdown or the disappointment on growth to shorter Diwali window, is it right assessment that the corollary to 36 |

that, was that last quarter had some tailwind coming from early puja also or Navratri? Because despite all the headwinds of mon

soon or a very heavy monsoon, we did very well in 2Q. So, when we do 9 month over 9 month and neutralize this whole volatility in between, we still seem to be, not only us, but the industry seems to be struggling there. So, all those green shoots that we are actually seeing in 2Q, would you still say that they are there, or would you say that it is still sometime away before we come out of this headwind environment?

Amit Syngle: See I feel that, not too much is going to change for the immediate quarter or the immediate two quarters. I think largely given the demand trends in terms of what we are seeing overall, some of those demand trends from a point of view of retail, B2B, industrial would remain in the same zone. I think progressively we could really say that it could be some improvement which can take place, given the cyclicality of the industry and the fact that possibly in the past also we have seen in terms of that demand coming back, but I think we will have to really watch the environment very carefully in terms of looking at how it is auguring, because it is also dependent on a lot of other factors which are happening in and around us in the environment. I also said that some consumption patterns are changing and given the fact that we are in a discretionary category, it also governs the growth that comes in this category. So, I would believe that possibly, we need to wait for another one or two quarters, before we really see some things changing in the market.

Tejas Shah: Clear sir and just on margins, so there appears to be some divergence between the growth outlook, the competitive intensity commentary and the margin performance, because despite the muted growth environment and elevated competition, we are still at a higher range of the margin. So, just wanted to understand is it that the industry and not only you, believes that now passing on the benefit to consumer will not revive demand and hence perhaps it is better to either hold the margins or what we are doing is invest it in more of a marketing and branding activities.

Amit Syngle : No, I do not think so that is the case, because I think the competitive intensity is still very strong in the market in terms of what you see. I don't think we see that there is any pull back which is going to happen. I think our strong ingredient has been the whole cost model, which we have broken up in a very big way. So, we are not relying on just the external deflation or the prices.

We are working on a very strong cost model, which basically see, that how do we really attack the structural cost which we have in our system. It could be fixed; it could be variable cost in terms of what we are looking at. At the same time, the whole model is also saying that there is a case in point in looking at a strong material innovation, what we can bring, in terms of going forward, which I think is a strategy which has been successful for us

and which is also giving us this impetus

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that it really builds a war chest for us in terms of really saying that we can really look at spending the money in the market, investing in terms of technology. At the same time, possibly see that we are able to stay within our margin range as we go forward.

Moderator: Thank you so much sir. On behalf of Asian Paints Limited, this concludes today's conference. Thank you for joining us. You may now disconnect your line and exit the webinar. Thank you so much everyone once again.

## Call: Jun 2026

APL/SEC/57/2026- 27/9

3rd June 2026

BSE Limited  
Phiroze Jeejeebhoy Towers,  
Dalal Street,  
Mumbai – 400 001  
Security Code: 500820 National Stock Exchange of India Limited  
Exchange Plaza, C -1, Block G,  
Bandra Kurla Complex, Bandra (East),  
Mumbai – 400 051  
Symbol: ASIANPAINT  
Sir/Madam,

Sub: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Investor Conference

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor Conference held on Friday , 29th May 2026 , with regard to the business and financial performance of the Company for the quarter and financial year ended 31st March 2026.

The transcript has also been uploaded on the Company's website and can be accessed through the following link:

Investor Conference – Transcript

You are requested to take the above information on record.

Thanking you,  
Yours truly,  
For ASIAN PAINTS LIMITED

R J JEYAMURUGAN  
CFO & COMPANY SECRETARY  
Encl.: As above

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Q4 and 12M FY2026 Earnings Conference Call Transcript

Date: May 29, 2026

Management: Mr. Amit Syngle : MD & CEO  
Mr. R.J. Jeyamurugan : CFO & Company Secretary  
Mr. Parag Rane : AVP – Finance  
Mr. Lakshya Sharma : AGM – Finance

Disclaimer: This is a memorandum of the proceedings of the Investor Conference of Asian Paints Limited held on 29th May 2026 at 5:00 pm in Mumbai with regards to the financial results of the Company for the fourth quarter and year ended 31st March 2026. While we have made

our best attempt to prepare a verbatim transcript of the proceedings of the meeting, this document has been edited for readability purposes and may not be a word -to-word reproduction.

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Lakshya Sharma: Hello, and good evening, everyone. Welcome to Asian Paints Q4 and FY26 Investor Call. I am Lakshya Sharma from the Investor Relations team, and it's my pleasure to welcome you all. We are joined today by senior members of our management team, including our MD and CEO. Mr. Amit Syngle; our CFO and Company Secretary Mr. R.J. Jeyamurugan; our AVP Finance, Mr. Parag Rane. I would now like to invite our MD and CEO for his opening remarks. Over to you, sir. Thank you.

Amit Syngle: Hello, good evening to everyone, and welcome to the investor conference for the Q4 and FY26 results .

For Asian Paints, this has been a core value since 1942, and I have been speaking about this over several quarters and years. We clearly believe that we exist to beautify, preserve, and transform all spaces and objects, bringing joy and happiness to the world. If you see, whether it is any surface —home or object — which we look at really transforming, beautifying, and preserving as we go ahead.

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The standard disclaimer for everyone.

Let's get on to what we have been doing and what we have been doing and driving in this quarter. Overall, there have been very powerful initiatives that we have seen, and we have driven.

First of all, the whole area of upping up the ante in terms of building the brand and that is something which we have purely driven very strongly throughout the year and also in Q4, given the whole area of focus in terms of what we have taken. And it's a challenge to really see that in a fragmented media setting, what is it that you can do both in conventional channels as well as digital to really bring it up.

The second area is driving growth with innovation, and that is something which we have driven from the technology point of view in bringing differentiated propositions, which the market really holds.

The third area is the angle of services, and in today's world, that is something which takes precedence and really builds the brand in being closer to the consumer, and that's what we have really put the real ignition on.

Regionalization has been another objective which we have taken, and that is something getting closer to the regional consumer and looking at appropriating areas, which really enthrall the customer in various regions across the country.

The whole area of B2B has been very strong, and given the kind of investments that are happening in this space, this has been a growth engine for us in a very big way.

And finally, giving credence to the fact that today we can really add to our areas of cost excellence, the whole space of backward integration has also been very significant for us and a huge amount of investments are taking place in this area.

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Just to build this story and amplify the points which I just made, we have really gone full on at amping up the whole area of Damp Proof so much , that now Damp Proof has become generic to the category, and therefore, today, we are appropriating Asian Paints Damp Proof very strongly, which singularly is the largest product the way it really offers solutions to the customer both from the point of view of waterproofing as well as the heat conservation that is cooling the interior.

We have also looked at appropriating cricket. Cricket is a religion in India and that's something which we have really taken in a very big way and therefore we partnered up with BCCI in terms of a colour sponsorship for every cricket event which is happening in India and that's a very big space we have appropriated where we have looked at lots of innovations during the matches, of really getting the fans aligned and owning up the

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colours in a very big way and this is something which has really worked magically for us to reaching out the brand to billions of people across.

What is it that you can do in every match apart from the innovations, you also reach out to one emotion, one nation, and therefore, we created one anthem where we used Sunidhi and Vishal to really appropriate an anthem which really touches people at the right spot. At the same time, it amplifies the whole nation part in a very big way as a universal emotion which comes out.

The other big area that we have been working on for the last 23 years involves looking at and talking about the only Indian research in the Indian market on colours and regional usages. This is our ColourNext property, where we look strongly at colour and material intelligence, and this has been something that has been really very close to architects, making us literally the forerunners in dictating what colours would move and what materials would move along with them.

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Here we spoke of two things very clearly, the colour of the year "Moonlit Silk" and the wallpaper of the year "Zanskar" inspired from a peak in Ladakh. So, lots of areas that really motivate the architects and the design community strongly.

We have also looked at upping the ante on decor by coming out with signature collections, which are topmost and top-notch across the world. We bring in the best of the excitement from all the fashion capitals across the world, look at appropriating what it means for the walls, and really offer scintillating finishes, which basically up the whole game of how today's high-end homes can really look like appropriating these kind of finishes.

Not only this, the whole world of digital is very important. We have shifted a lot of our spending into the digital zone now, and we have various properties which we keep on appropriating. One of the biggest property is "Where the Heart Is", which is bringing the whole area of "Har Ghar Kuch Kehta Hai" in a very strong manner. We launched the 9th season with very strong personalities like Cricketers, Bollywood and Regional stars coming in a very strong manner, and doing up their homes and making it something which is very aspirational, both from the point of view of colour and decor in terms of what you bring in.

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I spoke about innovation, and this is constant at Asian Paints. We have been looking at amping up the whole element of bringing lots of new technologies. Today, we speak of more than 160 patents of what we have put into the market.

As a part of that, we look at commercializing certain patents giving parameters and differentiated product propositions for the customer. We launched something called "Damp Secure" in the whole world of waterproofing.

We have launched for the first time in the world an anti-termite finish called "PU Gold", and in the space of high-performance coatings as well, some elevated finishes for steel structures, based on really evolved platforms and technology of what we appropriated. Lots of new zones which we brought in Q4 in alignment with our innovation strategy of what we have taken.

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We have been partnering with the St+art Foundation across the country, and for about last 10 years, this has been a very strong foray where we have looked at really beautifying the public spaces in a very big way. Today, we do more than 500 murals across about 29 cities, seven art districts of what we have created. And this is something which is really an unparalleled initiative, which gives us a very strong work with the nation as well as modernizing India with art - one wall at a time.

Services, as I said, and this is one area, which we have been really amplifying a lot. We have today the world's largest painting service which is called the "Beautiful Homes Painting Service" and we run various models here where we are looking at appropriating these services directly to the consumers, offering them the best of the solutions, the best of the decor for their homes and this is something which is fully technology-led service which we pursue in a very strong manner.

The second area is "Total Assure", which is a service we offer backed on an AI platform to large projects. Large projects where builders and other big entities can monitor how the painting is going at their large areas and this is something which we also give to large factories as well and seeing what we can do across the painting cycle there.

The other thing which we do very strongly is the whole area of maintaining factories and maintaining assets against corrosion resistance and other things and this is a service called "Metacare". A very popular service and all the big names in the industry today are aligning with us taking care of their assets from the point of view of coatings, which come in strongly from preserving the assets.

And lastly, "Smart Assure" service, which talks of offering solutions regarding waterproofing in a very big way so that the clients get a full experience of the expert knowledge of Asian Paints, and they are able to take care of any dampness or waterproofing issues in their homes. A series of services as a very big differentiator, which is really unparalleled in the industry.

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The other area which has been very strong is the B2B, and this we look at appropriating from the point of view of the conventional builders in the CHS, but we have moved very strongly into parallel spaces where we looked at large builders, large factories, large hospitality areas and also the whole area of the government where today every airport, every port, every tunnel which we are approaching and looking at participating in the growth story where government is putting a lot of money where we are able to offer a very strong platform for aligning our services, our products to give solutions here. And we think this is a very high-growth segment.

We have an initiative called the "Juggernaut", which brings the strength of One AP, where we marry decorative and industrial interfaces to give one solution to the consumer, which is holistic in nature, what we put in. Lots of great things happening in this space as we look at it.

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Coming to the numbers, it has obviously been a strong quarter of growth. The volume growth is back in double digits in this quarter, and we can see that the trajectory has been steadily good over the four quarters this year.

When we look at the decorative business, we have achieved 12.4% volume growth and a very strong value growth of 10.2%. Both double-digit growths, and also this time the difference between the volume and the value is just about 2.2%, indicating a fairly healthy mix in terms of what we have been able to sell.

On a yearly level, volume growth is close to about 9%, which is quite commendable, and the value growth is about 4.3%. The volume-value gap at a year level is still about 4%. Overall good going for the quarter.

When we look at the coatings world, which is decorative plus industrial, which means the full coatings range, the volume growth from 12.4% goes up to 12.7% in the quarter, and the value growth goes up from 10.2% to about 11%.

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Very strong, robust growth you see for the full coatings of what we have been able to get in. At a country level, yearly volume goes to about 9%, and the value growth goes to about 5.3%. So, Good growth and they are strongly above the market growth rates.

If you look at some parts of this overall growth, we saw improvement in the demand conditions in all three months, where we were able to register good growth across the months.

We got good growth both in rural and urban centers across, that is something which was good. Rural was a little bit ahead of urban growth of what we could really get in, which is good news in terms of market growth. The other area which was very good was that the premiumization strategy has been working very well. It improved the mix, and the PreLux categories have moved quite well improving the mix.

I spoke about B2B business. This has been stellar in terms of how it has been able to do, and this is something which has now become a very strong growth vehicle, from the point of view of a builder segment, the factory segment and the government segment, going very well here.

Then, if you look at the area of distribution, we continue to add retail touchpoints; more than 6,000 retail touchpoints we have added across the country this year. Not only that, but we have also been able to spread our distribution footprint for "Beautiful Homes Painting Service".

If you look at the area of technology and innovation, new products are something which we have always looked at, and they have now contributed to a substantial 17% of the revenues, which just shows the pace of innovation and the whole area of consumer excitement that we can bring into the market.

The area of VAM-VAE, which is our backward integration project, is something which we are looking forward to strongly. Today, worldwide, there are very limited players who are making VAM-VAE, and for us, it is a signature project and we expect to commission first phase in the first half of this year. The VAM-VAE project will bring to us very strong innovation capabilities in the market and really change the fabric of the market from the area of looking at green paints in a strong manner. That's something which we feel is a very strong catalyst for us going forward.

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In the area of Home Decor, we have moved our inclination from surface decor to space decor because we felt we are very close to homes. We have been struggling a little bit in this area over a period of time, and this is one strong zone which we are not leaving so easily. We are today the number one integrated home player with very strong strengths in areas like kitchen, lighting, textures, wallpapers, furnishings. These have been strong areas in terms of what we have been doing.

And this is something which we are also marketing through 74 "Beautiful Home Stores" across 20 states, and no one today in the industry has created a space of convergence for the customer where the customer gets their visualization very strongly, and they get a spate of territories to beautify their homes through the "Beautiful Home Stores" which we have put in.

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If we look here, we have been better in the quarter. The kitchen revenue has grown both from the point of view of the quarter as well as from the point of view of the year, even bath has done fairly well in the quarter by about 4% growth, while at a yearly level, we are just below the base.

When we look at the two other businesses, White Teak and Weatherseal, we have had a very strong quarter where both White Teak and Weatherseal have done very well. Weatherseal for the yearly level has also really done well at about 42%, whereas White Teak has been a little bit down.

A little bit of a mixed result, but this is again continuing to be an area of passion which we are strongly driving because we know that it adds back to the original coatings category in the same manner, because it is the same customer whom we are approaching and really appropriating the whole area of "Beautiful Homes" very strongly. So that's about Home Decor.

When we come to international business, this is the spread of our business across the world, which you can

see across geographies . We also export from some of these markets to 60 other countries, but some of our brands here are also different brands, which have come in over a period of time through some acquisitions.

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If you look at the business, the overall business has done very well. The markets of Asia have really led the show very strongly, but the Middle East has also been strong, along with Africa. It's been a very good quarter where we have grown in double -digit terms, and in the year also we had 9% growth, and there are clearly good gains which have been registered in markets of Sri Lanka, Egypt, UAE. And despite the current geopolitical situation continuing, the Middle East has still stretched and delivered a strong, resilient performance.

Now this is also reflected in the profitability when we see in absolute terms, very strong growths, but the good part is that we have been able to extend the PBT margins, which is about 8.5% for the quarter, which is a strong improvement by 370 bps year -on-year. If you look at a yearly level, we have also done fairly well. So that's AP Global for you.

Coming to the industrial segment, today we have two joint ventures, as you are aware of one for the auto OE, which is called " PPGAP ". The other is for general industrial products, which is called " APPPG ". Both businesses have done well in Q4. In both businesses, strong double -digit growth has been achieved in the revenue, and

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that is something which is also reflecting in the yearly sales in both the JVs. Both at the quarter as well as the year level, strong growth is coming.

As far as PBT is concerned, if you look at the area of PPGAP, very strong delivery we have got here , very strong growth upward of about 20% both at a quarter and a yearly level, PBT margins are at about 12.2% for the quarter and higher than the year -on-year for the same quarter.

When we look at APPPG today, as I said, the revenue growths have been very strong, double -digit both in the quarter and the year level, but even from the point of view of PBT, the margin has been a little bit affected, given the fact that there has been a little bit of competitive intensity which we have seen in the market. Overall, PBT margin is at about 7.3% lower by 100 bps .

But combined, both the businesses have done very well in terms of their performance.

If you look at the whole trajectory, it has been a good year where we have seen deflation in the market across the four quarters and even in Q4 we saw a deflation of about 1.4% , taking our Gross Margins to almost an all -time high of about 45.6%, which is very strong.

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And therefore, how does it really reflect on the financials. First, if we were to look at it from a perspective of the standalone financials, I spoke of the Net Sales, which is in double digits 10.3 %. From the point of view of PBDIT, very strong growth of 26%, with a PBDIT margin of about 21.2%, which is higher by 260 bps year -on-year. Very strong growth which is there, even if you look at PAT, while the PAT is shown as 67%, if you exclude the exceptional items and were to compare like -to-like last year, we are at about a 32.7%, year -on-year growth, which is pretty substantial.

A very strong top line driven by an equally strong bottom line have come in a very big way.

Similarly, if you were to look at the yearly level, the overall top line is at about 4.3%. I spoke of the volume growth closer to about 9% . From the point of view of PBDIT , growth has been strong at 11.2% growth, PBDIT margins at 20.1%, higher by 130 bps, and even PAT is at double digit, about 10.8% growth excluding the exceptional items. For the year also, the bottom line has been very strong, the volume has been very strong and the value is at about 4.3%.

Let us look at the consolidated numbers. Now consolidated numbers are reflected from the standalone definitely, and even consolidated numbers are pretty good. In fact, the top line moves further to about 11% as I spoke. The top line again is very strong, and if I look at it from the point of view of Gross Margins , again higher by 100 bps year -on-year, PBDIT growth is quite good at 24.4%, and the PBDIT margins at about 19.4%, higher than 210 bps year -on-year. PAT growth before minority interest and after excluding exceptional items, is 34.1%, so strong numbers which we are able to see for the quarter.

For the year, the net sales growth from 4.3% moves to about 5.1% , consolidated from standalone . Gross Margins at 43.7%, higher by 140 bps. PBDIT grew in double -digits, and PBDIT margins at 18.9%, higher by almost 110 bps. Similarly, the story of PAT before minority interest and after excluding exceptional items , where we have grown by about 11.8%.

Again, I could say that strong numbers we see both at a quarter level as well as the year levels, especially from the bottom line, have been very strong .

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As we promise, we have been consistent with respect to our dividend payout. Again, this year we have declared about 60% payout. The final dividend would be Rs. 23 per share, and there was an interim dividend which we had already declared at Rs. 4.5 per share .



If we look at the total dividend for the year it becomes Rs. 27.5 per share, and the payout is about 60% ratio. So that is something which is again very strong and that is something which we feel is very clear, as a return to all the shareholders we really pledge out.

After this performance, the question is how is the market panning out? We are already two months into this quarter.

We have seen obviously very high volatile macro conditions in the market, the geopolitical situation is very dicey and there is a cautiousness around that of how this volatility translates into inflation, because we have already seen a very high inflation in the market and that is something which is to be watched out day in day out how that situation points out.

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We want to sustain the growth momentum despite all these uncertainties happening and really see that we look at controlling the market from the point of view of what price increases we pass out, so that we are not in a situation where inflation becomes really very high, affecting the demand. We are approaching that very carefully in terms of what we want to do.

Industrial coatings will continue to grow much higher than decorative, given the investment happening in the infrastructure and Government spending that is happening in this area.

International business again is expected to continue to grow and therefore, both industrial and international will strongly contribute to our growth going forward, as far as Q1 is concerned.

When I spoke about pricing, despite very strong inflation, where we have already taken close to about 10.5 - 11% price increase, and we are talking of going ahead and taking some more price increases, which are going to happen. And it is really important at this point of time that as a leader of the industry, we see the measured increases which we can pass out to the customers, so that we do not allow the inflation and let it affect the demand going forward. We are continuously evaluating this the way we want to go, but at the same time, some minimum increases are something which we have already passed in the market, and some more might happen as we go ahead.

Now the areas of sustainability, this is an area of passion. If you can see that the performance has been very strong. And somewhere we are getting closer to our targets for 2030 much earlier, whether it is water replenishment, whether it is specific hazards, whether it is a reduction in specific effluent generation or it is about the Scope 1 & 2 emissions, along with the usage of recycled plastic in packaging.

Not only that, the renewable energy is also a very big area along with bio-based raw materials coming in products.

We have also really looked at working in the health space so that we are able to align and help people in that space and at the same time we have looked at training a lot of people through our Beautiful Homes Academy.

More than 9 lakh people we have really trained and that is something which has been the hallmark of a service which we are offering. Along with training, there is a quality of training which is monitored.

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And finally, the whole area of employee engagement has been strong. We have had a very strong quarter. We just did the engagement survey, and we have really come out very strongly, how we have been able to increase people's engagement, inclusiveness and empowerment in a very strong manner.

That is all from me in terms of how we have really performed, what we have done, and it is a real pleasure speaking to all of you. Thank you.

Moderator: Thank you so much, sir. Ladies and gentlemen, we will now open the call for question-and-answer session. The first question is from Mr. Vivek Maheshwari from Jeffries.

Vivek Maheshwari: Hi, good evening, team. Two questions, the first is, you mentioned price hikes of about 10-11%, can you just highlight if you were to pass on the total cost impact, including the rupee depreciation. Have you passed on the entire impact, or what will be the shortfall? You did mention another round of price hikes. What are your thoughts on that? So that is the first question.

Amit Syngle: As I said, we have only passed on some necessary increases. We feel that the impact is much higher, maybe closer to about 20% or so. We have passed on around 11%. We are looking at further price increases, which might happen in the market, as we go ahead. And at the same time, we do not intend to look at passing out the entire impact so that we can maintain a balance between inflation in the market and what we can really absorb.

At the same time, we are also looking at a lot of measures from our side, which would be in the area of cost excellence, looking at what we can do around material sourcing, efficiencies. That part of the inflation which we are not passing out is something which we can work around and see how we conserving those costs and seeing that we are still able to maintain our margin guidance.

Vivek Maheshwari: And just a follow-up Mr. Syngle, when you say 20% versus what you have taken, that is the basis of the previous quarter, or that is the basis where the spot prices are as well as where the rupee is?

Amit Syngle: Largely, we look at the inflation, which is affecting the quarter. And from that point of view, we have looked at evaluating it, and that is how we have looked at passing the price increases.

Vivek Maheshwari: And the second question is on volume growth. This quarter and the last, you have been doing well for the last two quarters. Part of this is essentially the base. But what do you think about the intrinsic demand in the sector? What is your outlook? And would love to know your thoughts on the

competition. Two parts. One is the outlook on volume growth beyond the base. And the second is, the competition bit.

Amit Syngle: What we see is that, as I mentioned, the demand has been good both from the point of view of the rural demand as well as from the point of view of the urban centres. We expect at least some part of this demand to sustain in the market. And we have been seeing some early shoots in the months of April and May. And we basically believe that going forward, we are still looking at least a high single-digit volume growth in terms of what we would kind of achieve.

Vivek Maheshwari: Sure. And any comments on the competition?

Amit Syngle: Yes, the competitive intensity in the market is going to be strong, and we feel that it is something that will continue. We have the consolidated players now who have been trying to align and come out with a unified strategy. We also have newer competition in the market, and the existing players are also equally intense in the market. We feel that the competitive intensity will continue to grow in terms of how we see the year ahead.

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Vivek Maheshwari: Got it. Thank you. Wish you and your team all the very best.

Amit Syngle: Thank you.

Moderator: Thank you so much, sir. The next question is from Mr. Mihir Shah from Nomura.

Mihir Shah: Hi, sir. Good evening. Thank you for taking

my questions, and congrats on a great set of numbers.

Sir just wanted to understand how you see the volume growth trajectory as we go through the quarters during the year? How are you seeing the 4Q and 1Q volumes? Are you seeing dealers buying more than what they bought in the past, and they're stocking up due to the 10% plus price increase that you have announced? And secondly, post 2Q, you will be having a higher base, unlike a favourable base that we had seen over the past few quarters. Can this upstocking that we are seeing in 4Q and 1Q maybe, and a higher base from 2Q, impact volume growth trajectory for the year? So that's my first question.

Amit Syngle: Yes, even in Q4 towards the year end, we have seen some increased stocking, which would have happened because of the price increase announcements. But in quarter one, we would expect that the pipeline stocks to go up to some extent as and when a price increase is announced. But at the same time, we are also very clear that today we will look at the liquidation of the stocks in the market and the demand conditions being there in terms of how it is going, because the market can really stock up to only a certain limit.

So, while there could be a little bit of upstocking, which could happen because of the price increases, we are still confident that demand conditions should continue giving us closer to high single-digit volume growth in the band of about 8-10%, as we predict going forward.

As far as bases are concerned, in Q2, we have a longer Diwali. We have a larger period, which is there both from the point of view of Q2 and Q3 as compared to the previous year. We are also looking forward to the monsoons being quite okay, not full, as what the IMD predictions are coming in. We are looking at good, fairly okay demand conditions, and a longer festive season also. The only worry in the segment is the geopolitical scenario, which is going on. If that really prolongs, it will have a different set of calibrations of what we will have to look at from the point of view of inflation and other things hitting the demand conditions.

Mihir Shah: Understood. That is very clear. Thank you for that. Sir, the second question is on the margins again. The price hikes that you have taken will cover a part of the Gross Profit per ton, but margins, on a percentage basis, will see some impact. However, the commencement of your backward integration projects from 1Q or 1H, which you have called out now, is also quite timely. So, how should one think about the benefits that you will probably get from these backward integrations plus which the peers will not see, but you will see the benefits coming in. And how should we see the impact of the margins as we go along, because in the past upcycle of crude, we had seen margins going down by 500 to 800 bps also. Any colour on the percentage margins with the benefits of backward integration over the coming year will be helpful.

Amit Syngle: Two things, one, as I said, we will continue to take some more calibrated increases, which we think the market can absorb, and we are also aware of the fact that we should not really look at suppressing the demand by too much of increases, which happen in the market. That's one part of it. Second, as I said, we have been working very strongly in terms of our cost frameworks, how we conserve material prices, how we bring more efficiency with respect to how we consume material, and how we manufacture products. That's a strong initiative, which we think would give us definitely some cover from the point of view of margins.

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The third area, as you rightly mentioned, is backward integration. However, as I see it, we'll have to see the whole impact of backward integration over the year because today a part of it is coming in H1, as I said, and therefore, we will definitely get benefits, but we'll have to observe these benefits over a year, rather than getting

those benefits immediately in Q1. But with a set of things which we are doing and some passing of some more price increases, we should see how we can retain our margin guidance going forward.

Mihir Shah: Sorry, so you said you'll maintain the margin guidance, sir?

Amit Syngle: Yes.

Mihir Shah: Understood. Got it. Thank you. Wishing you all the very best.

Amit Syngle: Thank you.

Moderator: Thank you so much, sir. We now move on to our next question by Mr. Amit Sachdeva from UBS.

Amit Sachdeva: Good evening, sir. Congratulations on a great set of numbers, sir. My question is to your comment when you say competitive intensity will remain high, or at least that's what I could hear. But last year we saw competitive intensity show up in a manner that there was a free volume to consumers and there were higher discounting and even higher margins for dealers as well by new entrants. And that persisted for a while. Now we are in a very volatile environment of commodities, input prices. Things look uncertain on many fronts. When you say competitive intensity remains high, do you still allude to that discounting will remain high or do you think that it will show up in more product innovation or A&P spends and so on and so forth? I would assume that in such an environment, perhaps discounting -led competitive intensity would have reduced. How should we interpret your comment on this front?

Amit Syngle: First of all, despite the inflationary environment that we are seeing and despite the price increases that we have taken, we have not seen any let-up in terms of the discounting in the market. I must make it straight that today the discounting intensity stays whether it is retailers, whether it is contractors, whether it is other stakeholders, and therefore what we see very clearly is that, whether it is existing players, whether it is new players, the intensity of that continues and people calibrate how much they need to really spend.

Maybe there could be some rationalization around the A&P spends, what we could see in the market, but when I mentioned competitive intensity, I meant about the whole area of discounting, which, according to us, will continue.

Amit Sachdeva: Got it. Very well understood, Amit. Thank you so much. My very quick second one would be where the 10% price hike that you mentioned that you have taken on a cumulative basis. Has some part of it reflected in Q4 as well, or is it largely for Q1? I would assume that some inventory buildup was already there. How should we think about the pricing playing out in the revenue line in this quarter or the next and if you take incremental price increases? Just to help understand a little bit on the pricing side.

Amit Syngle: You are right because some part of the inventory is always with us. It has not majorly impacted us from the point of view of any things which are hitting the margin because the existing inventory has helped us tiding over the inflation which is there and therefore the larger impact we will definitely see in Q1 and Q2 which is going to happen.

The other thing is that, in the last quarter, we also had the benefit of a deflation, which we saw and that is why we are also seeing higher PBDIT margins and even higher Gross Margins. And as I said earlier, we are looking at recovering some of these things through the price increases already taken, some we are in the

22 | process of taking, coupled with the whole area of cost excellence and other areas of how we want to calibrate our spends going forward, so that we are able to play this game of driving top line as well as balancing the bottom-line margins.

Amit Sachdeva: Just to understand clearly that in doing so, you would like to maintain your margin guidance, which has always been 18-20%, there is a high single-digit volume ambition as well for the year. I assume when you say high single-digit, you mean FY27. And also the pricing wh

atever will build up on top of it. Is this a way to interpret what you are saying?

Amit Syngle: Absolutely right. We are maintaining our margin guidance, which is there. We are looking at the price increases that are happening and trying to see that we get into that area of 8-10% volume growth.

Amit Sachdeva: Excellent, Amit. Thank you so much. Excellent set of results. Congratulations once again.

Moderator: Thank you so much, sir. The next question is from Latika Chopra from J.P. Morgan.

Latika Chopra: Hi. Part of my question was answered, but Amit, I just wanted to check again on the competitive intensity. It seems all the players, including the new entrant, took double-digit price increases, and it seems that the pricing levels are now coming at least at par, but you mentioned that the discounting levels remain high. Is it right to assume that the new player pricing is still below yours?

Amit Syngle: Just to reiterate what I said earlier, finally, what we see is that everyone adjusts to the overall pricing at the same level, which are the apparent rates of the market in terms of what pricing is pitched at. But finally, today, what matters is what discounts you are giving to various stakeholders. And as I said earlier, today, the differentials in terms of the discounting between the various players are the same as they were earlier. There is no change at all and therefore, the intensity of competition still remains going forward.

Latika Chopra: Assuming the raw material prices come off, in such a scenario, do you think a part of these price increases that the industry has taken will be sticky, basis your experiences from the past?

Amit Syngle: As I see it, if there is a prolonged situation which really happens today, we will have to really think of what part we can really pass further in the market from what we have already done. And therefore, some of those will be sticky till the time the situation carries on, there is no going back on it. And it is going to take some time before softening is going to really happen, all depending on how the geopolitical environment behaves.

Latika Chopra: And last bit, Amit, we have wrapped up FY26, you had a good exit quarter. Basis your understanding of the secondary sales environment, how would you read the market shares for Asian Paints in FY26 versus last year?

Amit Syngle: All the results are out in the market, all of you can calculate the shares in terms of where we have moved from where we were. Latika Chopra: All right. Thank you and all the best.

Moderator: Thank you so much. The next question is from Percy Panthaki from IIFL.

Percy Panthaki: Hi, sir. Thanks for taking my question, I just wanted to understand this. When you are saying that you will maintain the margin guidance of 18 -20%. Does this in the backend imply an assumption that the macroeconomic situation or the geopolitical situation will get resolved and the commodity prices will come down pretty quickly? Or would you say that even if crude remains in that \$90 to \$100 band for the rest of the year, even in that scenario, the margin guidance would remain intact?

Amit Syngle: As we see it, in these conditions, it is very difficult to really predict for over three to four quarters. Clearly, if we were to look at the next two quarters as something which we are seeing, the inflation levels are not going to come down so easily. It depends on where the whole war situation goes and how it really fructifies, what further impact on raw material prices it really caters. In the given scenario, we need to work very diligently, looking at maintaining our margin band. It will be a combination, as I said, of working on cost efficiencies. It could be a combination of the mix that we are able to sell in the market and at the same time, looking at a very disciplined approach, in terms of how we really look at our spends in the market as we go ahead.

Percy Panth

aki: Understood. The context of my question was, if I look at the last crude cycle which was FY22, at that time, also, on a Y-o-Y basis for the full year, there was about a 14% average price increase. At that time, we had finished the full year at a margin of 16.5%, FY22 consolidated. If I compare it to FY20, because FY21 was exceptional because of cost savings, etc., FY20 was about 20.5%. There was about a 400 bps contraction in FY22 despite fairly high price increases. What is different this time which gives you the confidence to say that we have closed this year at 18.8%, you are saying the contraction would not be more than about a 100 bps?

Amit Syngle: See, first of all, the current context is that, we are looking at the first six months at this stage because it is very difficult to really predict for the full year. And as I see it, for the first six months, possibly yes, we are still open to more price increases we need to take from the current levels where we are, and that would really compensate for some deficit what we are seeing.

The second different thing this time, is the whole area of the premiumization story and other areas of bettering the product mix we want to set up in the market. And the third area is backward integration, and in some of the areas of our cost efficiencies we are looking at. It is not going to be an easy one, it is going to be tough, but the endeavour is definitely that you try to remain in the margin band given.

Percy Panthaki: Understood. My second question, sir, is on demand, in any product, there is a certain price elasticity of demand. If you take pricing up, it affects demand. How do we look at this price elasticity for paints? Just for example, in the last cycle again in FY22 we did not see any impact, but the construct was different there in the sense that people were spending more time at home and therefore, looking at their houses and feeling that we need to make this better and spending more on home improvement anyways there were not too many avenues to spend on at that point of time. But that is not the case right now. People right now will have to pick and choose where to spend, and very frankly, the last big crude inflation cycle, apart from FY22, that I can see where you have taken a double-digit pricing is only FY12, where the demand scenario itself was very buoyant and robust. In a way, we are at a position today where this question is difficult to answer, empirically speaking. What is your take on the price elasticity of demand for this product, and how do you think the price increases will impact volume?

Amit Syngle: If you look at it from the point of view of the paint industry, when we speak of the final cost to the consumer, it is a combination of the material prices and the labour prices. The material component in terms of the per square feet of what lands to the customer, is only about 35-40%. The larger area is of labour. What we are seeing is that the increase in the material prices gets a little bit nullified in terms of per square feet prices. The impact which we see from the percentage terms doesn't come to the same thing and that is why in each cycle, which we see that the impact might be limited unless obviously the things go haywire of everything turning very different from the point of view of crude prices or from the point of view of dollar strengthening. We will have to watch out for that from the point of view of looking at it, but we feel that

today, given the fact that one the spend on paint is discretionary and sometimes it is occasion and maintenance led, also which is there.

From that point of view, the elasticity is definitely there. But it all depends on the quantum of increases you take and that is why I said we need to calibrate those increases in such a manner that the final landed cost to the consumer is something which is still tenable, and we do not really ruin that equation of

the prices becoming too high, which becomes untenable for customers to get their homes done.

Percy Panthaki: Just a couple of very quick hygiene questions. One is, what is the impact of upstocking on this quarter? I know it is difficult to exactly calculate, but whatever you think is the best estimate, we will go with that. Or even if that is not possible, what is the growth in Jan and Feb, only these two months, and we will go with that as the substitute. Second question is the other expenses line has grown only by 2% this quarter. Any reason behind that?

Amit Syngle: When you look at the current quarter, the good thing is that all the three months have grown by double-digits. That has been very strong. Some uptick from a point of view of upstocking has happened in the first half of March in terms of what I see. The impact of that would be for the month of March, the March

growth rates would be higher by 3 -4% mark, which would be the impact of the upstocking which would have happened in the month of March. But the good part is that both January and February have been very strong in terms of what we have been able to achieve from the point of view of sales, which has happened this quarter.

Percy Panthaki: And the other expenses?

Parag Rane: The other expenses growth is largely in line with how we have seen the full year, where the various cost initiatives have actually worked for us. Also, it helps that we have a higher revenue scale this year in this quarter, which has also helped the overhead absorptions.

Percy Panthaki: Okay sir. I will take this offline. Thank you very much, sir.

Moderator: Thank you so much. The next question is from Aditya Bhartia from Investec.

Aditya Bhartia: My first question was again on VAE and VAM project. While I understand that these benefits would be felt over the course of the entire year, could you give us some indication of what could be the benefit in terms of costing and in terms of Gross Margins? I understand that it will also help formulations and improve the quality of the product, help us differentiate, but what could be the impact on Gross Margins over the course of the year?

Amit Syngle: As I said, it is too early to say because there are several factors at play. One is the extent of usage and production of this emulsion across various products of what we can take, and the other is how do we ramp up the capacity of what we are able to make. And therefore, at this point, it will be very difficult to really give a quantum to that because the whole thing will vary from quarter -to-quarter, and it is only by the last quarter that we would be able to come to know, what would be the larger impact across in terms of what we would be making.

Aditya Bhartia: Understood, sir.

Parag Rane: Also, the fact that what we are commissioning in this first half is only the VAE part, the entire VAM -VAE project as such will still take some time, and that is when we will start realizing the whole anticipated benefits. We will have to phase it out over the next one and a half to two years.

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Aditya Bhartia: Understood. That is very clear. My second question was on the mix impact that we saw in this particular quarter, which was only minus 2.5%. If I recall, it was almost a similar trend that we had seen in Q3 of FY22 as well, which is again a period wherein we had taken very sharp price increases. Is it a case that when we take sharp price increases, there is upstocking that happens specifically for paints and therefore, paints proportion goes up in the mix and that's why we get to see a lower mix impact as well, and we should be back to whatever 4.5 -5.5% range in the next few quarters.

Amit Syngle: See Q4 is also a month where you have larger, higher value contributions, which really happens. That is one. Second, yes, because of the price increase, there is definitely an upstocking which happens in high -value products, especially as I said

that in the month of March, we would have seen some upstocking happening there. And we feel that over a period of time, it is good to maintain that 3 -4% gap, which would remain from a point of view of overall direction between volume and value.

Aditya Bhartia: But we are now speaking about a 3 -4% gap versus, let's say, 5 -6% that we used to speak earlier. Is that on account of the confidence that we are having that premium and PreLux categories are doing better?

Amit Syngle: Currently, it looks like that. We should really be able to look at that gap of about 3 -4%.

Aditya Bhartia: Sure, sir. That is very helpful. Thank you so much.

Moderator: Now, we will be taking the last question. The last question is by Mr. Pratik Gothi and he is from HSBC.

Pratik Gothi: Thank you for the opportunity. I just have one question, please. In terms of mix, you already touched upon this. Any more colour on the performance of the PreLux category and whether economy range continues to outpace them on growth?

Amit Syngle: No, as stated earlier, the contribution from the economy range remains significant. It is not a trade -off where growth comes only from the premium or PreLux segment at the expense of the economy range. That said, there is a clear and strong strategic focus on driving growth in the PreLux segment. This is not limited to emulsions but extends across categories, including waterproofing and wood finishes.

Premiumization, therefore, remains a strategy, with an objective to outpace overall category growth, even as the economy emulsions segment continues to grow.

Pratik Gothi: Got it. And a related question is the volume value gap. The volume value gap of 3 -4%. Did you mention that?

Amit Syngle: Yes, I did.

Pratik Gothi: That will remain over the next few quarters as well, even while the price hikes are being followed through.

Amit Syngle: Yes, because the price increases might not be at a regular interval. But, we think that this trajectory of 3 -4% will remain as we go ahead.

Pratik Gothi: Got it. Okay. That helps. Thank you so much.

Moderator: Thank you, sir. On behalf of Asian Paints Limited, this concludes today's conference. Thank you for joining us. You may now disconnect your line and exit the webinar. Thank you once again, everyone, for participating.